Latent View (LATENTVIEW)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

Call: May 2023

Classification: Internal Contains PII: No

May 1 6, 202 3

The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call held on May 09 , 202 3

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Earnings Call held on May 09 , 2023 , post announcement of financial results of the Company for the quarter and year ended March 31, 2023 .
This is for your information and records .

Yours Sincerely,
Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer

"Latent View Analytics Limited
Q4 FY '23 Earnings Conference Call"
May 09, 2023

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
MR. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – E&Y LLP, INVESTOR RELATIONS

Moderator: Ladies and Gentlemen, good day and welcome to the LatentView Analytics Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on you r touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y LLP, Investor Relations. Thank you and over to you, ma'am.
Asha Gupta: Thank you, Faizan. Good evening to all participants in this call. Welcome to the Q4 and full year FY '23 Earnings Call of LatentView Analytics Limited. The results and presentation has already been mailed to you and you can view them on the website at www.latentview.co m. In case anyone does not have the copy of press release or presentation or you're not in our mailing list, please do write to us and we will be happy to send you the same.
To take us through the results today and to answer your questions, we have the CEO of the company, Mr. Rajan Sethuraman, whom we will be referring to as Rajan. And we also have the CFO of the company, Mr. Rajan Venkatesan, whom we will be referring to as Raj, to avoid the confusion while doing transcript. We will be starting the call wi th a brief update of the quarter, which will be given by Rajan and then followed by the financials given by Raj.
As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction with the risk and uncertainties that we face. This risk and uncertainties are included but no t limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find it on our website.
Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.
Rajan Sethuraman: Thanks, Asha. And thank you all for joining the earnings conference call. I'm sure that all of you would have taken a look at the press release and the numbers by now. We had a fairly strong year in terms of growth. We grew it about 32% in rupee terms and from a year -on-year perspective, for the quarter, we had a 20% growth, from the same quarter, the previous year. However, you will also note that this quarter has been a bit muted for us and we actually ended it slightly less in comparison to the previous quarter .
I did wan t to call out some of the happenings at our end so that you're able to understand the context around these numbers. Traditionally, quarter 4 has always been a slower quarter for us in comparison to quarter 3 because quarter 3 is when typically most of our clients have year -end budgets that they want to exhaust , and typically we see a good uptake in quarter 3 and quarter 1 is the start of their fresh fiscal year and engagements take some time to get going as they get into new initiatives. So, this year has b een no exception on that front, and we have seen some amount of sluggishness on account of that. What we are also witnessing is that, newer deals and initiatives are taking more time to come through and that is especially true for some of the larger initia tives that are there in the pipeline and they are taking much longer than what we are used to in the past and that has meant that, some of the new projects that we have kicked off have started only towards the end of the quarter or they are still in the pi peline awaiting confirmation.
Latent View Analytics Limited
May 9, 2023
What we also saw is that, with some of the clients, where we were executing fixed fee, fixed scope, one-time engagements, traditionally, you would have been able to find more follow -on work but because of the g

eneral market un certainty and the environment, the number of follow -ons for that portion of work has been less than what we are used to and that has also contributed right to the revenue profile that we have seen for quarter 4. All of this has also meant some amount of ma rgin implication for this quarter that has recently ended. I will have our CFO give you more details about the margins that we had for quarter 4 and some of the other factors that have played out.
Having said this, I did want to also call out some of the h ighlights that we see from our end. This quarter starts onboarding Chief Growth Officer for our US business , Prashant Ramanujan, has come on board, and he will be focused exclusively on building out the practice in the US working with our Chief Client Offi cer, Krishnan Venkata. We also won the E.T. Human Capital Awards, the Silver Award for the Rewards and Recognition category and this kind of forces in a good position from a talent and a supply perspective.

We welcomed a couple of new advisors to our advis ory council, John Copeland and T.V. Kumaresh, join us as part of the advisory council and both of them come with several years of experience in analytics work for their respective organizations and both of them are also stacked on the other table working with organizations such as McKinsey, helping clients identify the right kind of paying points and opportunities that, they can tackle, through the power of data and analytics.
We continued our investments on several fronts. Notable are the investme nts that we continue to make in the European market. We added several people to the front end on the growth and the business development side in Europe. We also added people to not only the growth and sales team in the US, but also to the client servicing and the account management team. And that is one thing that, we believe, we need to continue to do.
So, in spite of the slight sluggishness that, we currently witness in the market, our take is that we need to do the right things in terms of the investment s that we need to make at the front end and also in terms of capability, development, value proposition, assets and accelerators. And we continue to be visible in the market through our own exclusive marketing events like our round table events that we conduct in the West Coast and the East Coast along with participation in other external industry events. While at this point in time, there is still market uncertainty and slowness on account of that. We believe that this uncertainty will resolve itself in a few quarters and we do want to be well positioned to capitalize on the demand upswing that will happen at the point in time. And therefore, right now, we are not taking the foot off the pedals in terms of our investment standpoint.
At this point in time, a s we look into the new year, what gives us confidence is that all of the renewals have been completed and except for one client, whose fiscal year is from July to June, all the other renewals have come through. And when I look at the confirmed revenue plus the high probability extensions that we have, that already exceeds the revenue that we have done in the last fiscal. And on top of that, there is a $50 million pipeline that we are working in terms of converting. Of course, the speed at which we can conve rt and add in more opportunities into the pipeline will determine what the revenue trajectory will be for the subsequent quarter s which will in turn, have a bearing on the margins as we play out, over the quarters.

However, as a management team, we are ali gned with the philosophy that we should continue with the investments and that, when growth returns we will also see that the margin trajectory is back on what we were originally intending. So broadly, that's the commentary that we had in terms of the business update. I will now pass it o

n to Raj, to give a little bit more color on the financials.
Rajan Venkatesan: Good evening, all, thanks Rajan. As Rajan explained, on a full year basis we reported a fairly strong set of numbers growing at 32%, clocking a revenue of INR 538 crores, for the current fiscal. For the current quarter, on a year -on-year basis, the growth that we were able to record was 20.1%. While on a sequential basis, there was some bit of sluggishness and our revenues shrunk by about 3% for the most recent quarter compared to the earlier quarter. In dollar terms, there was a 3% de -growth, so both the rupee as well as dollar de -growth was along the same lines. Rajan also already spoke about why there was sluggishness in revenues, but the good n ews is that all the contract and all the order book that we have for the last year has already been renewed, which puts us in a strong wicket for the coming fiscal. We have not seen any leakages over there and therefore, that gives us a lot of confidence getting into 2024.
In terms of the other income for the q uarter, that stood at about INR 150 million, where there was a decrease of about 31.9%, on a quarter -on-quarter basis. This decrease, you really look at it was attributable to an SEI's income or a service export incentive scheme income of about INR 20 mill ion that was recognized in Q3, which was not there in Q4, and the rest of the decline is actually attributable to foreign exchange gains on an intercompany loan that we had reported in Q3, which was again not there in Q4, but for that, there was a marginal uptake in the interest income that we had booked for the current quarter.
EBITDA for the current quarter stood at about INR 301 million , and in margin terms, the margin that we reported was 21.4%, decline of about 800 basis points on a quarter -on-quarter basis. You will find in our investor presentation a margin bridge that explains the margin drop from the 29% that we reported in Q3 to the 21. 4% that we reported in Q4. I will go through some of the key reasons as to why there was a contraction in the marg in. As Rajan mentioned, one of the big learnings that we've had coming on the back of the pandemic was that, at that point in time, we did not invest sufficiently, when there was an imminent slowdown or there were some macroeconomic uncertainty, given that we are well -capitalized and have a very healthy balance sheet with decent operating cash flows. What we've decided during this downturn is, despite any sluggishness that we witnessed, we will not take our foot off the pedal in terms of investments in fron t end as well as capability building. Therefore, you will see that, even in the current quarter, we added close to about 12 people in sales and BD roles, half of which were in the US and the remaining were in the European region, which continues to be a focus area. This led to an impact of about 2% on the margins. We continue to invest in marketing activities . We organized four events, which were our own events and participated in three industry events. Again, this level of activity was significantly higher than what we did in Q3. We believe these

spends are essential for us, to build good visibility and a healthy deal pipeline going into FY ‘24. The impact of these increased marketing spends was about 2%. The remaining 2.3% was largely attributable to lower revenue in the quarter as we continue to carry the same level of headcount to deliver the revenue. So, 2.3% was the impact on the margin on account of lower revenue from this quarter.

There was also a one -time cost attributable to ESOP excise, where there was a very large ESOP excise that happened in the US, where there are employer Medicare taxes that you need to pay because these get counted as packages, in the hands of the employee and therefore there is a Medicare tax that the employer needs to pay. Bu t on the flip

side, what this also does is this helps us with our EPS, where we get a benefit at a PAT level and what we believe is for the US region, we will not have to pay any taxes in the current fiscal owing to this carry -forward losses that we have o n account of the ESOP. Now, these were the reasons as to why there was margin contractions in the current fiscal. Having said that, one of the learnings that we had is not to take our foot off the pedal.

So, we will continue to invest for growth. We will c ontinue to invest in the market as well as marketing activities as well as capability building. So, we believe that the coming two quarters, there could be a little bit of muted EBITDA margins, which will be along the lines of what we've reported in this current quarter. However, as growth comes back and some of these investments start to pay off, we should start seeing operating leverage kick in. But at this point in time, we don't want to slow down on the investments and that's going to be the focus or th at's going to be the mantra for this year.

Our PAT for the current quarter stood at INR 342 crores, reflecting a fall of about 3.9% from Q4 of FY ‘22. On a full -year basis, like I already mentioned, operating revenue stood at INR 538 crores, a growth of 32 %. EBITDA on a full -year basis, was at 26.9%, which is in line with what our historical guidance has been, where we will clock EBITDA margins of between 25% to 28%. So, on a full -year basis, we managed to stay within that band.

In terms of the geographical split of revenues, US continues to be the dominant geography, contributing to almost 95% of our overall revenues. Europe, while it currently stands at 2.5%, our endeavor is to substantially increase the share of European revenu e. And we want to get this up to between 5% to 8% by the end of next fiscal. And our investments that we've made in the geography are in line with the growth trajectory that we expect.

Our balance sheet cash flows and cash levels continue to be healthy. Ov erall cash, including the IPO cash balance, stood at INR 1,078 crores. Of course, there is a question or a very eminent question that will come up on the utilization of the cash and the M&A. I will cover this later on in detail, but in terms of the people side, the good news is that we've added a couple of peopl e in the corporate development team, specifically to focus on M&A.

Even during the current quarter, there was a lot of focus on building the pipeline of opportunities. One of the focus areas that we've already identified is data engineering. So, we will co ntinue to go after data engineering assets in a big way. At this point in time, there are close to about three opportunities in the pipeline, which are actionable in the next couple of quarters. We hope to convert at least one of them in the coming quarter s, but there is a fairly healthy amount of activity that is happening on the M&A side. In terms of headcount, we added about 19 people on a net basis in the current quarter, taking our overall headcount to 1,116 in FY ‘23. We will continue to invest in the front end as well as on the delivery side.

In terms of outlook, we, like I mentioned, we will continue to invest in marketing and people, and that will be roughly along the same lines as what we've done in the current quarter.

With that, what I would li ke to do now is to hand it back to Asha and we can open the floor for Q&A.

Moderator: The first question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Yes, sir, two questions. One, our revenue margin outlook was very differ ent in Jan uary and during the last quarter call. So I'm assuming some of it has happened in Feb and March. So, what deteriorated so fast? That's one. And second, for FY ‘24, now do we continue to stick to the same outlook? 25% to 28%? Or do you think that outloo

k given in Jan uary is no longer applicable for FY‘24? So that's one.

And second, I could not find any operating metrics for Q4 in the presentation? If you could share some of the key numbers, that would be great.

Rajan Venkatesan : So, Mohit when we connected in the month of January, the guidance was that we will be at the lower end of the 25% to 28% range. You would note that, in the initial presentation, one of the aspects that we've attributed the margin decline to is softness in the revenue rate. On the back of the work that we had done in Q3, there was an expectation that there will be follow -on additional work that we will land in Q4.

One of the things that we have, in fact, witnesses that there is a little bit of sluggishness in decision making . Some of the follow -on work that we were anticipating that we will sign on and we will deliver

it in Q4, did not materialize, which resulted in lower revenues by about INR 4 crores . The margin impact from the lower revenue resulted in about 2.5% decline in EBITDA margins.
The other incremental aspect that we also had to factor in Q4, was the one -time charge owing to ESOPs. So, these two factors put together resulted in about a 3% drop in EBITDA margins compared to what was the guidance in January. If you actually add up these two, you get to almost a 25% mark that we were indicating at that point in time.
Mohit Jain: Okay, and for FY'24, is that the range you would like to hold on or that range was for a FY'23?
Rajan Sethur aman: At this point in time, we believe that, for the next couple of quarters, at least, we will be in the same range that we have reported in the current quarter because most of the investments that we have made are already in there. We need to add maybe a couple of more people, in the front -end in the US, but from a front -end standpoint, most of the investments we believe are fully baked in. We will continue to spend, though, on marketing and other initiatives. What we believe is, at this point in time, t he next couple of quarters, we will continue to be in the same range, but once the growth trajectory improves, the visibility improves, we believe that, we should start seeing some level of operating leverage, but at this point in time for us to put a time line to it will be a little difficult.

Mohit Jain: And from a deal pipeline, TCV standpoint, you are still looking at flattish first half?
Rajan Sethuraman: Yes, in the first half, we are going to see some amount of sluggishness and uncertainty. I did men tion that we have done all the renewals and the high -probability extensions, already adds up to more than the revenue that we did last year. And then, we have another $50 million of opportunities in the pipeline at various stages. The pace at which we are able to keep adding to the pipeline and convert them, as well will determine how quickly the revenue trajectory improves f rom here on.

And that will, in turn, have a bearing on the margins because in some countries, investments are all made, and we want to continue leveraging those investments to drive more action at the front end. But conversion and the pace at which the rev enue trajectory improves will have bearing on the margin trajectory.
Mohit Jain: And when do you recalibrate the two, meaning if revenue doesn't turn up, at what point should you recalibrate the marginal challenge?
Rajan Sethuraman: The calibration and the recalibration is an ongoing affair. At any point in time, as we evaluate further expenditure and investments, we do critically examine whether this is something that we need to go ahead and do at this point in time or whether we should defer it, as more c ertainty or clarity emerges. The calls that we have taken so far were all the right things to do, whether it is the front -end bandwidth or the capability build -out or the asset build -out or t

he marketing.
But we will continue to watch, in terms of the impa ct these things have and how it plays out in terms of conversion from here on. So, it's an ongoing affair. I wouldn't say that there is any particular timeline where we will sit down and then evaluate what we do from there.
Mohit Jain: Okay. And last on Q4 operating metrics, like as a financial, if you can include it in the PPT that would be great from everybody's point of view. But for example, where will be the utilization for this quarter? Is it close to 80 or has it dropped? If you could share some of t he numbers, that would be great.
Rajan Venkatesan : We've already included a bunch of metrics with the client -mix client concentration, the employee mix, all of that, has already been included as part of the investor presentation. If you look at slide number 16.
Mohit Jain: Yes, I'm there. Couldn't find utilization, actually, utilization in the onsite offshore. Those things are missing, I guess. And for Q4 top five is also not given for FY '23.
Rajan Venkatesan : The revenue mix by client is shared alre ady.
Mohit Jain: Yes, I was looking at utilization and all, some of those metrics, onsite offshore and utilization. If that is handy, otherwise I will take it offline.
Rajan Venkatesan Yes, we can probably take this offline, Mohit. But in the past also, it 's not like, it's a number that we publish. Our utilization for the current quarter continued to be at the same level as historical. Of course, there was a little bit of an element of onsite -related buffer that we are carrying now in anticipation of the wo rk that we are intending to sign on. So maybe there was an impact of about 0.9% for the current physical, because of the additional buffer that we are carrying.
Moderator: We'll take the next question from the line of Karan Uppal from PhillipCapital India . Please go ahead.
Karan Uppal: Yes, thanks for the opportunity. A couple of questions on the growth, firstly. So, Rajan, you had mentioned in the last call that there are two clients in your top 10, where you are expecting some bit of a ramp -down. So, has it completely played out or you are expecting further ramp -downs in your top clients, with two of the top 10?

Rajan Sethuraman : Yes, there isn't any ramp -down. I had mentioned in the last call as well that the decision -making with respect to new initiatives is taking a little longer. With both these accounts, we have actually gone ahead and completed all of the extensions at this p oint in time. There is a set of book of works under the managed services kind of model that we were executing , all of that has been renewed. And in fact, we have seen some incremental additions as well. But those are incremental additions and not the big initiators that are still in the pipeline. In fact, only last week, for example, there was a fairly large opportunity, million and a half in terms of total size that, they were almost on the verge of taking a decision, but then they indicated that, they nee d another four weeks before they conclude and move forward. So, we are seeing a little bit of that uncertainty. There is no ramp -down, in any of our top accounts.

Karan Uppal: Okay. And apart from these two, are you seeing any pressure in other top clients at this point of time?

Rajan Sethuraman : There is one other account, and I mentioned that, this is a client, where their fiscal is from July to June. While the organization is doing extremely well and they have been in the news for all the right reasons, they are also looking at the general market uncertainty and then they are trying to look at how they can get some cost efficiencies going for them. So, there is a bit of a consolidation exercise that they are doing. So, they have turned around and asked us whether we can take on some additional book of work, although it will be at lower charge -out

rates. So, this is a discussion that we are currently having with them as we are trying to work out a model that will make sense to them.

Largely, looking at how we can tweak the on -site, offshore mix for this, so that there is a larger quantum of work that can be executed. They will be consolidating and moving some of the work that they are currently doing with another partner to us, as part of the consolidation e xercise. We will know for certain how this plays out over the next couple of months.

Karan Uppal: Okay. And if I understand the overall forward -looking statements, I just want to summarize it. So, you say that all the renewals have come through and you are also expecting some bit of extra revenue from the extensions. But the pipeline is still wait and watch. So in the base case you are at -- are you expecting a flat growth for FY '24? How we should read ?

Rajan Sethuraman: Yes, FY '24 revenue will be flat in comparison to FY '23, I think that would be a very pessimistic type of scenario. As I mentioned, there is about $50 million worth of opportunities in the pipeline, and they are at various stages of discussion. And some of the m are advanced access, meaning that we are currently uprising 25% or even 90% probability. And we expect that these will conclude in the next one month, two months and therefore we might start seeing some revenue uptick, even in the first quarter of this f iscal itself. Now, what I don't know for certain is how quickly these will transpire and whether all of them will move at the same pace.

So, when I said earlier that, this pipeline and how it materializes into incremental revenue will have to see how it pa ns out, that's what I meant. We are reasonably confident that our conversion and therefore the revenue trajectory will, in no way be worse off than what you might witness in the industry. If anything, we should be able to do better than the industry.

Karan Uppal: Okay. Thanks for that clarity. Last two questions from my side. If you can provide any color in terms of the verticals, which we are work look, which we are working. And secondly, on the margins, you

will have weight ice in Q1. So, are you expectin g margins to further decline from here on?

Rajan Sethuraman : Yes. So, in terms of the verticals complete itself, if you take a look at our investor presentation, we've given you the script by verticals. So, technology continues to be the somewhat vertical for us, contributing to about 69%, of our overall revenue. Industry has contributed about 12.5%. Consumers in retail are 10.2%. And financial services are going to be 8.5%. That's the split by vertical.

Your second question was in terms of margin sustainab ility, right? So, like I mentioned before, the theme for this year is investment for growth . So the first couple of quarters, we will continue to step up on the investments in the front end because we want to set ourselves up well for growth, which is there in the market, despite the macroeconomic situation right now and also the fact that bulk of our revenue comes from the tech sector, which is also witnessing some bit of sluggishness in the US.

Our intent is, we will not slow down on investments and ther efore our margins could be in the range that we've reported in this quarter for the next couple of quarters as well. But however, there is, the investments are with the hope that you will see revenue growth that will kick in from Q3 at least onwards. And t herefore, at that point, and we believe operating leverage should start playing out and we should start seeing margin uptake.

Moderator: Thank you. Mr. Uppal, may you request that you return to the question queue for follow -up questions? The next question is from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Yes, thanks for the opportunity. Sir, the question is again f

ollow -up on margin. It does seem that the prices actually come on the revenue side more so rather th an costs, simply because I'm sure the costs were pre -planned from your end, you've always maintained that you will not fall back on investment. And I don't think the ESOP costs that came during the quarter actually were a bit of a surprise. So firstly, it does seem that the surprise actually came from the revenue growth.

So the second point is given the discretionary nature of the work that, we do for enterprises to be, what are the chances that, the confirmed work, that we have with us, the projects, that could see some sort of a further delay, which is of the environmental conditions that, we are in and especially in the high -

tech vertical, where all your peers have sounded out a bit of a caution. If you could just make some comments on both these angles? Thanks.

Rajan Sethuraman: Vimal, you're right. Definitely, the revenue trajectory is where we saw a little bit of a surprise, at their end as well. While the investments and the expenditure went along the planned lines. As I mentioned, when I made my opening remarks, the surprises were in the form of, in some instances, follow -on work that, was expected at the end of ongoing 6 6 CISCO projects, which didn't materialize and plans decided to defer or do that later, continuing longer lead time for closure on larger new initiatives. So, both these things have meant that the revenue trajectory has been flatter than what we expected, even as when we end at q uarter three, for example. So that has actually played out in terms of how the margin has been impacted for quarter 4.

Coming to the second question related to the discretionary nature of spending and therefore, whether the clients continue to spend on dat a analytics, what gives us comfort is that all the ongoing book of

work has been extended and renewed. In many instances, I would say that, almost 70% of the cases the initiators are directly impacting, either the top line or bottom -line optimization. And this is something that clients recognize as well and that is the reason all of those initiatives have been renewed.

However, given the general sentiment in the market, as you pointed out, new initiatives are proving harder. Basically, what it means is that the rounds of inquiry and scrutiny in terms of whether a big initiative will actually give the intended P&L impact. That is what is going through the rounds and that is what is resulting in longer lead time for those initiatives.

So, we are not going to be immune to just the general sentiment and the multiple rounds of critical evaluation and considerations that, organization will enforce on any new initiative and that is what we are witnessing. But having said that, none of those large ticket initiatives have been shelved. Nobody has indicated that we are not going to be doing this and this has now gone out of the window. What they are generally telling us is that we need more time and as a result, the more rounds of evaluation. This is why we pointed out earlier as well that, some of that uncertainty, we will also know only in a quarter or quarter 2 in terms of how it is resolved.

So, as I mentioned in response to the earlier question, we are confident that several of them will come through even in the ne xt one month, two months , thereby providing an uptake, even in terms of the quarter 1 revenue that we have. The full revenue trajectory and how the entire year will pan out will depend on the pace at which this uncertainty is resolved.

Moderator: We will t ake the next question from the line of Ashish Thavkar from IIFL AMC. Please go ahead.

Ashish Thavkar: Yes, thanks for the opportunity. So, you did mention about having opportunities in the space, especially for your company. So, if someone wants to take a three -year view, how would you put in

some total, how would you put the organic and the inorganic growth opportunities put together? How you as a company are seeing your revenues flowing for the next two years to three years? And a subsequent question woul d also be on, what kind of an EBITDA margins could one look at?

Rajan Sethuraman: So, let me talk about the general revenue trajectory and then the split between organic and inorganic. And then I'll request Raj to comment on the EBITDA profile and the margins. We have indicated in the past that, we are confident of industries needing growt h and we are maintaining the same guidance at this point of time. What I don't know is what the industry growth rate itself will be. And that is obviously impacted by all of the uncertainty and everything that we have talked about. But at this point in tim e, we continue to be confident that we can beat the industry growth rate by 5% anywhere from 5% to 10%. So that is something that we will continue to maintain.

Now, assuming that some of the uncertainty is resolved and growth rates are compact to what they were before, we were expecting that our growth rates will be notch of the 20% -25% rate that, you see typically. And therefore, that will mean that, in a three -year time frame, we will get to a certain revenue number, and you can do the maths on that.

From our perspective, we believe that in a three -year timeframe, about 14% -20% of revenue could potentially come from inorganic, if we identify and integrate the right kind of opportunity. That is the

kind of model that we are working with, that about 14% -20% of revenue at the end of three years would have come on the back of acquisitions that we do, over the next three years. So that's the kind of broad range that we have in mind. Raj, do you want to comment on that?

Rajan Venkatesan: Just to add to what Raja n said, in line with our historical growth rates, the endeavor internally at least is to deliver industry -beating growth on an organic basis and maybe roughly between 2.5x to 3x our current size in the next three years because you spoke about a three -year view. So that's the aspirational goal to get to roughly about 2.5x to 3x our current size in the next three years. Now, close to about 15%-20% of the growth itself that we will need to deliver to get to that number will have to come through inorganic. So t hat's the broad split.

In terms of the EBITDA margin profile, while historically, we wanted to deliver 25 % + EBITDA margins, what we also mentioned during the course of this call is, we will continue to be in investment mode for us to be able to deliver in dustry -beating growth. And so that could play out over the next few quarters. However, the long -term intent is to get back to that 25% EBITDA margin profile in the next two years , maybe, we will be in investment mode in the current fiscal as well as the ne xt fiscal. But if we take a three -year view, the view will be to get back to that 25% EBITDA margin profile by the end of next two years.

Ashish Thavkar: Okay, and lastly on the INR 1,000 crores of cash that we had, so would it be one acquisition or probab ly, you will consume the entire cash for multiple acquisitions?

Rajan Venkatesan: It could be one large acquisition, or it could be two medium -sized acquisitions as well. The current pipeline of opportunities that we have, we have a fairly sizable opportun ity that is there and there are two mid -sized opportunities. So, we are going after all types of opportunities in the market. Whatever is put, some of them could be transformative, some of them could be tactical in the short term. So, both the options are open at this point in time.

Ashish Thavkar: Okay, thanks and all the best.

Moderator: The next question is from the line of Harshil Shethia from AUM Fund Advisors. Please go ahead.

Harshil Shethia: Sir, do you see any of our work

being cut down in the lon g run due to AI as in the past timeline analysis that we generally do or something?

Rajan Sethuraman: Yes, I mean this could actually be a fairly long philosophical conversation, but the short answer is no. You would probably have heard from other people t alk about, but I believe that work being done by people is not going to be replaced by the work being done by AI. What Generative AI and other some new technologies is going to do is to elevate the entire level playing field and therefore it will then offer tremendous opportunities for people who can combine the power of Generative AI to do more sophisticated deep dive into all the kinds of problems and opportunities that we try to address.

So, people who don't use Gen AI and AI will be replaced by people w ho use Gen AI but I think there is several layers of peeling the onion and complexity that is required before one can be bold enough to venture that all of data analytics can be replaced by Generative AI. I don't believe that is going to happen. Given that we deal with complex subjects like human behavior, I think we still have a very

long way to go in terms of what can be done.

However, we are also exploring how Generative AI can be used to find the proverbial needle in a haystack. Typically, when you do d ata analytics work, one kind of approach you can take is a hypothesis -based approach where you have a set of hypotheses related to why something is happening, not happening or hypothesis around how things will turn out and what should you do about it. And then you can collect the necessary data and do the analytics to prove and disprove the hypothesis and then use that as the basis for decision making.

The other approach is what is called as a database approach where you act without any a prior hypothesis itself and can you actually analyze all of the data in a variety of different ways to then surface what should be the in sights and what should be the decision making like that is driven by that. So, we are trying to integrate Generative AI into the database kind of approaches.

So, whether it is a connected view value proposition or whether it is a subscription analytics val ue prop, we are looking at how can Generative AI been used to identify those needles in the haystack which may not be apparent and therefore may not lend distance to a hypothesis -based approach.

I think that is where a big chunk of transformational kind of work can happen because imagine if you are a supply chain planner and on the way to work on Monday morning based on everything that is happening with supply chain, there is an insight that tells you what are the top two things or three things that you need to focus on this week in order to really make a big difference and that is where something like Generative AI can be put to use. But of course, there are several steps along with way right in t erms of how we can make use even with the familiarity that we are developing around GPT -4 and large language models. I think there is some distance to go as we start integrating that.

arshil Shethia: Okay, thank you.

Moderator: Thank you. The next question is from the line of Amit Kumar from Nuvama. Please go ahead.

Amit Kumar: Hi, I would like to ask, so we have seen this trend that private companies in the analytics space like Tiger, Prudence are already following this high growth model in the past few ye ars and I see with your commentary you are also trying to reach, you are also trying to follow the high growth approach. So, I just wanted to ask, can this be a reason for more margin pressure because everyone is now focusing on high growth and lower profi tability? Please would like to get your comments on that?

Rajan Sethuraman: Yes, that's a great question, Amit and obviously there is a spectrum, and, on that spectrum, you will have a variety of appr

oaches. For example, one could actually take the view th at any kind of data analytics work irrespective of whether the work is on -site, offshore, whether it is low end, high end, complex, simple, whether it is done in a managed services model or whether it is done in a staff art model, all of that is game and t hen you can pursue all of that just having a single -minded focus on growth.

At the other end of the spectrum, you could say that I am going to do only high -end AI and Gen AI and that kind of work with very high charge -out rates which means that you are add ressing, your addressable market itself is smaller. We want to take a balanced approach we have been a very

profitable company right from our very early days and we believe that it is important to focus on the right kind of work not just in terms of the pr ofitability and the margins but also in terms of the employee experience and the motivation for people to be a part of consulting organization like us.

So, we are taking all of that into cognizance in terms of evolving what should be our model for growth and we realize that sometimes there are adjacencies for a wheelhouse and other kinds of work, sometimes you could take strategic decisions in terms of what could be an entry point into an organization. We also see that the whole of data analytics space itse lf is evolving. I faced in the past that data analytics is still a very fringe initiative in many organizations and it could become mainstream and it is already starting to become mainstream in some of the organizations.

So that will also mean a certain ki nd of an evolutionary path in that ecosystem in terms of who makes the decision, what kind of initiators, how big those initiators are, what is considered primary between data analytics and data engineering for example. So, we are taking all of that into a ccount in evolving our approach towards what we believe is profitable growth. So yes, growth is important, and we also believe that you will have to seed it well and set it up right and therefore you should be willing to make those adjustments as you move along.

However, we are also very clear that we will be a high profitable, high growth company and therefore we will choose a channel of growth that makes sense to us. You might hear that in the industry there are organizations that are doing much higher tr ajectories of growth, but you will also see that many of them are probably in single digits or even negative at this point in time in terms of EBITDA. We don't want to go there. We are choosing our channel of revenue growth and profitability based on what we believe is appropriate for the philosophy that we have chosen.

Amit Kumar: Understood. Just one more question from my side. So, like we see even after the overall IT tech spending growing at a lower base, like in this quarter in analytics because we hav e seen Microsoft and Google and Facebook all the farm companies are investing a lot in the AI themselves. Do you foresee getting lower wallet share of theirs because now they are themselves building AI and analytics capabilities themselves and we, Latent V iew has a good share coming from such big tech companies. So, how do you see it playing out? Do you think they will still outsource more and any change in the business model from there and that you foresee right now?

Rajan Sethuraman: Yes, absolutely. I do n't have any hesitation in sharing what I believe is going to happen. While Generative AI and ChatGPT and GPT -4 and those technologies are what is being talked about today, if you go back ten years in time, there has been an evolution of several such techn ologies that have happened and one could talk about visualization, one could talk about deep learning, machine learning, one could talk about other things like neuro -symbolic logic and other stuff like that have surfaced in the past.

T

he interesting thing is that some of the large tech companies like the ones that you mentioned who are also our accounts, they are focused on cutting edge research into these technologies not from necessarily a perspective that they are looking at how they can run their busine ss and operations using the technology but how they can take and monetize the technology for growing the revenue that they get out of this technology.

If open AI and related LLM and GPT -4 technologies are being built by Microsoft, it is with an idea of how can those be integrated into the products and services that Microsoft offers to their clients and not necessarily just in terms of how will they increase the efficiency of running their own business and that is what we have seen pan out over the last seve ral years. So, while these technologies have emerged, for example Power BI and the entire Power App is a big thing as far as Microsoft is concerned.

They have come up with a technology, they have invented it but when it comes to applying Power BI and Power App technology for running Microsoft's own business, they are very happy to partner with vendors like us who understand the technology and who can implement it for them and who can help them use the technology in running their business. So I am differenti ating between the revenue generating aspects of what they sell into the market which is their products and services versus how they use these technologies to run their own businesses whether it is their collections or whether it is their supply chain, whet her it is demand forecasting, whether it is customer experience and so on.

So that is where partners like us can come in and they do expect this aspect that any new technology that they build, that there will be a partner ecosystem that will come in and un derstand the technology and which will help them sell and integrate that new technology into the products and services for their clients and which will also help them apply the very same technologies like for running their own businesses. I believe that th at is how new technologies that you see now and what will emerge in the foreseeable future will also evolve.

Moderator: Thank you. We will take the next question from the line of Sameer from ICCI Prudential, AMC. Please

go ahead.
Sameer: Thanks for the opp ortunity. Just two questions. One is on High -Tech, which is one of the highest figure segments for us. What we get a sense from bigger IT companies is that the sector which is facing higher cuts in their spends. Overall, on IT and not sure on the data analytics. So, if you can share some color on this segment, how do you see it performing for us? That is the first question. I have a second question and I will just come back.
Rajan Sethuraman: Are you asking how the High -Tech segment is the life long…
Sameer: This segment as we call it. How is it going to perform for us? Because that is where we have seen a drop in terms of revenue on a Q -on-Q basis.
Rajan Sethuraman: That is absolutely a sector that will continue to be a f airly high growth sector and will continue to contribute a significant chunk of our revenues in our three -year trajectory as well. So, Raj gave an idea of what we are shooting for it, from a three -year perspective. And we believe that, in the time frame th e technology vertical will continue to be a very -very important and strong vertical for us. That is where we have built our jobs in terms of data analytics capability expertise that we have.
And if anything, the conversations that we are currently having, very interesting conversations, very interesting opportunities and use cases. And with the evolution of technology, there will be more opportunities for applying the very same technologies, within the technology, vertical itself. For helping these companie s run their businesses very well and helping th

em purchase , the right kind of

insights that gets them closer to their own customer base and ecosystem and vendor . I do not have any kind of doubts in my mind that the technology vertical will continue to be a strong vertical for us.
Of course, technology, the entire sector being in the limelight and being a very visible sector, whether you talk about the US or Europe, obviously you will see a bit of volatility and reactions to sentiment and what is being talke d about, within the market. And therefore, some of that will obviously play in terms of new initiatives and what they decide to do. But if you take a medium -term perspective like the three -year view, that Raj talked about, we have absolutely no doubt in ou r minds that the technology vertical will continue to remain a very strong one.
Sameer: So, should we understand this is one of the quarter, where we have seen some sluggishness, but going forward this is, we should expect good traction?
Rajan Sethuraman: Absolutely, yes, some sluggishness now, but as I said, technology also bounces back very fast, right, and that is what we are expecting in a two quarter, three quarter time.
Sameer: Second, on the margins. We look at, so we have done some marketing events. This event would continue to recur, right, it’s not one -off. It will be there in the next year as well, in the same time period. And also, when we, so that is one thing. And second, when we say our margins will be in the same range, there is this, so our margin drop in the current quarter as you said is, also because of the work or the lower revenues, operating deleverages, I say it.
So since from next quarter to the next few quarter s, we would again be on the growth journey. Shouldn't we expect margins to actually improve because of the operating leverage and why are we, our guidance is to remain in the similar range. So is that from upside this from that front. Is what I wanted to u nderstand and how does the wage hike play a role in this whole margin trajectory, for next few quarters? Thanks.
Rajan Sethuraman: Yes, so first question on the marketing, on the events and on the marketing spends , you are right. We have to continue to spe nd on the right kind of marketing events. And this is something that we have gone into a great deal of detail, in terms of how we spend our marketing dollars, in the last year and the years before, what worked well, what didn't work well and so on. for exa mple, our own exclusive events like the Roundtables that we conduct in the West Coast and the East Coast and some of the lunch and learn and the connects that we conduct, they give us a better return on investment in terms of the marketing dollars spent.
We also see that there are very specific industry events that can get us access to the right kind of decision makers and people, right? And therefore, these are events, both internal and external, that we will continue to invest in, in the coming quarters, i n the coming years as well. So, we are not going to be taking the foot off the pedal. The good thing is that now we have a lot more granular data as well.
One of the things that we do for our clients is marketing attributions, we help with media means mode ling, we help clients with attribution models, right, in terms of how do they spend their marketing dollars. We are turning the same lens on ourselves, and we now have more robust systems and processes, in place that, helps us collect better data at a more granular level and therefore, we are using the same principles in terms of how we drive our marketing plans.

While we might dial up and down on specific type of events, the quantum of investments that we will make into marketing, we are fairly convinced that we need to do the right thing. We can already see the result and impact of all of that, in the number

of le ads and opportunities that we have been able to
generate. And one of the very important things is that adding people to the front end means that we also need to be able to have the capacity of the backend from marketing and demand generation perspective, t o feed leads to that, that they can take and run with. So that will continue to happen.
Now coming to your other question on operating leverage and if the revenue trajectory picks up, whether the margin will pick up as well. Yes, absolutely, that will happ en. Now the pace at which the revenue trajectory improves will have a bearing on how quickly the margin can pick up. At this point in time, when you have done the modeling, we are thinking that it is going to take two quarters or maybe more. Q1, Q2 may be a little bit into the second half of the year as well, for some other operating leverage and the revenue, the healthier revenue trajectory starting to help us with the margins. Now if things happen sooner than that, then we could see an uptake in margin so oner, but otherwise, it could take that kind of time frame.
The one other aspect that I would like to add on the marketing spend itself, while we will continue to incur the current level of marketing spend going forward as well. From a C90 standpoint, wh at we've seen work well for us is Q4, which is the Jan to March quarter, as well as the Q2, which is essentially July to September quarter. Those are the two quarters in which our marketing activity in terms of event speaks.
And this is also one of the activities in Q4, we do in anticipation of generating enough leads and building the pipeline, for the following fiscal. And Q2, in general, is just before the Christmas season. There again, we believe that some of the events are the level of participation and also the stakeholder engagement is significantly higher in Q2. So, there is a little bit of a seasonability element as well, in the marketing spends, which we've seen in historical periods.
Moderator: We'll take the next question from the line of Prolin N andu from Goldfish Capital. Please go ahead.
Prolin Nandu: Yes, a couple of questions but before that just a clarity on your three years pathway. What you are saying is that in three year ’s time we will be 2.5x our size by both organic as well as inorganic growth with a 25% kind of a margin. Is that the right summarization of what your target is?
Rajan Venkatesan : Yes, that's the kind of path that we’re going to have to 2.5x to 3x .
Prolin Nandu: Okay, so sometime in FY ’26, would be a three -year period, ri ght?
Rajan Venkatesan : Yes, that is correct.
Prolin Nandu: Sure, and now just to understand, your business a little bit better. From your reading of the environment and as well as our own capabilities and the distance that we make to clients, in some sense. Why not take a pause for a couple of quarters and let the environment settle and then raise the growth pattern again? I mean just given that, the environment is such that, if everyone is taking a pause, why not do that? This is just to understand your business a little bit better.
Rajan Venkatesan Yes, so this is a very dynamic space problem and something like a GPT for example, right? You have

seen the pace at which it has come in and how quickly it starts getting incorp orated and assimilated. So, if you were to ask me this question on capability and value for open asset building, even taking your foot off the pedal for a quarter or Quarter 2, can actually mean a substantial delay and how quickly your response, when the m arket comes back.
On the front end and the business development capacity and the capability, we have seen the same thing. This is one thing that we did during the pandemic for example. We actually did what you're suggesting or what you're asking about, rig ht? We took the foot off the pedal and then we said that cas

h is king and let's wait for some time and then see what happens .. But then the speed at which demand bounced back and quickly everything was in demand. It was something which is a bit of a revolu tion to us as well. And then we realized that we should have actually not done that at that point in time.
This is also a time when using the unbuilt bandwidth, we actually do a bunch of build -out and assets and capability development. This is also a time when using the unbilled bandwidth, we can actually do a bunch of build -out and assets and capability development. This is also a point in time where it is easier for us to hire high -quality talent because of the sluggishness the supply is much better. And therefore, we want to make use of all of that opportunity to do the right things and set ourselves up well.
Prolin Nandu: Very clear. So yes, that's what I mean. This is a very dynamic environment but at the same time you mentioned that one of your clients is probably looking at rendering and consolidation and we might have to probably take up some additional revenue which might have not a very favorable offshore onshore mix and margin might be dilutive. So, is this a one -off or are we looking at this, I me an, don't you think that more such clients will also look at such kind of arrangements and then this whole dynamic nature of the business, how should one look at this both slightly conflicting kind of a thought process here?
Rajan Venkatesan Yes, I think s ome of this will play out and we will need to understand. For example, none of us would have anticipated the extent to which remote work and hybrid models and offshoring even in the nature of work that we do which is very iterative fuzzy problem solving. T he uptake of the remote model was a bit unprecedented , and we saw our own on -site offshore ratios go from 1:2.7 all the way to 1:5.6 more than a doubling of sorts.

Now, how the current dynamic phase -out plays out on the back of any efficiency gains that organizations are looking at and also in terms of some of the newer technologies becoming available, we will know as things pan out. What is certain though is that when you have high -quality talent, you have good models in place, when you have managed servic es, construct is good, and we have the right kind of governance and service delivery excellence. We have always seen that things come back to a norm in terms of how you can effectively make use of the offshoring model access.

So, in the short term, we might see some of the stuff. What we have also seen is that when your partner with clients are at the right moment and help them out, then when the demand comes back, they are also more amenable because we would have demonstrated the capability of the team and the kind of constructs that we have in place. At this point in time, I am not too worried about how things will play out.

We are not seeing too much of this, in fact, some of the clients when we have these conversations , they ar e actually asking for the inverse. We d on't have people on site. Let's actually try and get this work done offshore because we want to experiment, we want to do a few things, but we are also sensing that there is a bit of uncertainty in the environment and therefore even the incremental stuff that they are doing, they are asking us whether it can actually be done using a model that we are familiar and comfortable with.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from Valuequest Investment Advisers. Please go ahead.

Sagar Dhawan: Hi, thanks for taking my question. So, my question is on the nature of work that you do. So basically, specifically on data engineering. So as the nature of work that you do evolves over time a s data engineering probably grows in terms of the overall stage mix, how do you think about the margin profile in light of the changing mix of work?

Rajan Venkatesan : Yes, that's a great question, Sagar. So, I would say that the evolution that we have seen that has been along the following lines. In our earlier days, we weren't even looking at data engineering as a significant source of revenue. In fact, we pre -supposed that the data that was needed to do the analytics and problem solving was already availa ble and organization in the right shape and form.

But as we started going after some of the more challenging problem sets, we saw that the data was not either well organized or it was dispersed or sometimes you even have to make attempts to bring in unstr uctured data from outside the organization. So that is something that's been evolving for a while now. What I see now is that as organizations take on the more larger complex initiatives, in pretty much all of those instances, there is a fair component of data engineering work that needs to be done. You can approach it either on a use case by use case basis and then just cover together what data is needed to solve for the particular problem. Or you can take a more broader view saying that getting all this d ata organized and in shape and form is the cost of doing business. It's like implementing an ERP for example and therefore take a more holistic integrated approach where you set up the right kind of data platform, set up the right kind of data ecosystem, i n which case it can be a very large transformation and initiative.

So, if it is just lift and shift or if it is a little bit of lift and shift with some use case-based approach, then it's a more simplistic kind of a setup and the data engineering work coul d be slightly lower end and margins could be different there, lower as well. However, if you are taking a more holistic integrated approach and you are looking at it as a transformation kind of a setup, then typically you will see that you need to have the right kind of architecture. You are not just moving data tables, you are also moving code bases, you are moving sort procedures, you are looking at what data can be rationalized, what tables can be dropped off, how do you set up the transformational kind of databases and models right on top of it.

Even if you look at organizations like Microsoft, for example, with their new approach on Azure text pack ,that we can actually integrate a lot of these things in terms of the technology that we are building so th at you can implement the right kind of data ecosystem. So, I see that there is a spectrum of work there as well. Our focus has been more on the complex end of the spectrum and that's what we are

trying to do now.

And I believe that there is a good chunk of work that needs to be done. Raj mentioned earlier that we are in conversations with several data engineering potential acquisition opportunities and in most instances, we see that they are actually doing fairly interesting work for which the charge -out ra tes and gross margins are very similar to the high -end analytics work that we are doing and those are the kind of opportunities that we are pursuing at.

Sagar Dhawan: Got it sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Vivek from Consulting. Please go ahead.

Vivek: Yes, thank you. In waiting for my turn, I've seen that the two topics I wanted to discuss have been covered fairly well. But these are comments given the times that we are in. Is latent view looking very seriously at the opportunity of broadening and expanding their pipeline given the fact that both revenue

and profits are likely to be weak given the environment that we are in. And can you throw some light on the numbers in terms of how many new names are a ppearing in the pipeline?
And is there a very big focus on that? Because anyway, in the long haul, in three years, you are expecting to become 3x or 2x, whatever it i

s. But at least the focus in these weak times should be on
building of pipeline. So that's the first one. And the second one is conversation, open us around AI GE, GPT, etcetera. Are good for even salespeople because almost everybody, clients and vendors are speaking about the potential for disruption coming from there?
Rajan Sethuraman: Absolu tely. And Vivek, you are right. In fact, the entire focus over the last year, and I would actually extend it a little beyond that as of last 18 months, has been to build the pipeline on a three -pronged approach. The first very important aspect is that we r ealize that we need a more powerful front -end engine, sales and business development people in the markets and this is not just a pure hunter profile, but also account managers, unbuilt people that we are ready to dedicate for our larger accounts where we sense the bigger opportunities and people who are able to walk the corridors, meet with the people, right, and generate opportunities.
So, this is one where we have been investing. If I, in fact, look at the last two -year kind of a trajectory, we have gone from having about 12 people in the front -end between US and Europe to having about 38 people today. We've made substantial investments, and that is going to help us, and it's already starting to help us, right, in terms of the type of pipeline that we are building. The second has been the investments that we've been making into on the marketing front. So there again, there's a combination of money that we are spending on the demand generation team, the inside sales team.
We are talking about our internal a nd external events. The sharper focus in terms of content -driven marketing that we are doing now, where we are really talking about specific things, right, that will appeal. We have a white glow list, for example, which is the set of accounts that we reall y want to go after, and the stakeholders who we believe are the people with the first range and who are the budget holders and the decision makers. So, the money that we have been spending on marketing again is with that intent in mind.

A couple of years b ack, if you had asked us what is our marketing spend as a percentage of revenue It was less than a percent, but today we have ramped it up significantly, and we believe that that is an important lever to pull as well. The third one is the entire focus on o fferings and value propositions. So rather than go to market with capabilities, skills, and competency, we have learned the market is very, very specific value propositions.
So we have been again investing dollars, whether it is a subscription, e -commerce offering, whether it is a power platform offering that we have, or whether it is a connected view that I talked about right on the supply chain front, or whether it is a fraud and risk analytic value proposition or the revenue growth marketing, for example . All of these are very focused, targeted value propositions that we believe address very felt, real challenges and opportunities that are there in the market today. So, the combination of all of these is really what is resulting in the pipeline that we ar e building, and we can see that pipeline is starting to get bigger, and we are able to chase those opportunities.
Of course, if the environment was different, we could already have started sensing a whole lot of the impact of that absolute from a revenue standpoint. We are seeing that uncertainty in the market, but we are not taking the foot off the pedal in terms of building out the pipeline itself.
Vivek: Thank you.
Moderator: Thank you. The next question is from the line of Sumit Podda r from Tikona Capital. Please go ahead.
Sumit Poddar: Hi. Thanks for the opportunity, and thanks for sharing the updates as far as maybe AI as a threat also, which has been the most asked question. So let me just kind of

invert the question. How are you us ing
AI as an opportunity? Because if we look at analytics per se, primarily the clients would be using analytics through some predictive analytics, and AI itself is actually based on the fundamentals of having models in place. So as and when AI graduates, possibly it will actually turn out to be more into predictive analytics. So just, to kind of understand what's your strategy to use it as an opportunity rather than as either accepting it as a threat or kind of denying it as a threat. How are we using it a s an opportunity?
Rajan Sethuraman: Absolutely. I think, again, this is a great question. And as I mentioned earlier, every significant evolution on the technology front, we have seen that it actually creates more opportunities than opportunities that it m ight take away. We firmly believe in that as well I mentioned earlier that, it's not like humans will get replaced by AI. It will be like people who don't use AI and the newer technologies will get replaced by people who use those new technologies.
In fact , with every evolution, we have seen that the complexity and the nuancing increases multi -fold and therefore it actually opens up a plethora of opportunities. If you have learned the technology and if you know how to bring it to, put it to good use for sol ving the problems that we fight for . From our perspective, AI has been an integral part of the work that we do for several years now.
Even within the descriptive and diagnostic analytics work, when you're trying to understand why

something happened or what went wrong, you can actually use the power of deep learning or neural networks or machine learning and the AI model to go deep into t hat. And definitely it is in use on the predictive and the descriptive analytics side. When you're trying to recommend what should you do

or what is going to happen and what should you do about it. So, this has been an integral part. I think at this point in time, easily 20% of the work that we do will already be leveraged the power of artificial intelligence and machine learning and deep learning and image analytics and all that kind of good stuff.

In terms of using Generative AI and the powers that GPT -4 and these new technologies bring, currently there is a lot of experimentation and understanding that is going on. Our people are already making use of these to actually cut down the efforts that they spend on new problems that come at them. What we're not doing is to take code or stuff that is directly generated by Generative AI and then incorporating that into models because some of our clients have also expressed reservations around directly including code because there is still some concerns around confi dentiality and data privacy and the potential for backdoors and all that.

But just in terms of getting a head start on how you can solve a particular problem and the different approaches that you can take. Our people are already making use of it in terms o f simplifying their day-to-day work and how quickly they can come to a solution that can be implemented for the client.

The other big thing that we are doing is that we are looking at how Generative AI can be incorporated into all the value propositions th at we are building.

I talked about connected view for example. This is aimed at getting a full integrated view of the entire supply chain and with every passing evolution of technology while you have better and better and more comprehensive systems of reco rds that collect a ton of data, the ability to make use of the data to take decisions that is still a bit of a holy grail. And that's where a technology like GPT -4 or Gen AI can come to the fore. And I talked about the earlier example of the hypothesis -driven approach versus a data driven approach. We believe that generative AI and related technologies can actually be a huge help in un

covering insights that nobody is looking for, that nobody knows are there within the data and that is where we are focusing our efforts.

And with that we believe that the ability to come to very high-quality optimization and decision making in all of the work that we do will be significantly aided by the powers of generative AI technology. That is what our focus is, and we beli eve that therefore those value propositions that get powered by these new technologies will stand out amongst all other solutions that might be there, not that might be available in the market.

Of course, it doesn't mean that all of that is already in plac e. We are working on it, and we are understanding that better. One example that I will give, in fact, we were discussing this in the board meeting today and I talked about this. All of you know about AlphaGo, which won against the top rated GoPlayer. And t he very same technology and model was then adapted to playing chess and one very interesting thing it did was to actually learn chess by spawning of multiple copies of itself and played millions of games with itself to very quickly learn chess over a 24-hour period and then it became super good at playing chess.

Now GPT -4 kind of technologies allow you to do that because today you know that when you are using GPT, you need to query and you need to interact with it, for it to get high quality results. In fac t, there are now designations like prompt engineers that are propping up, where all you need to do is to be really good at what prompts you send to GPT -4 for it to get good answers.

Now the interesting thing that one can try is can you have two different i nstallations or versions of generative AI technologies interacting with one another in order to surface the more pertinent solutions and the questions, for example. So, these are some of the things that we are experimenting with, and we believe that these will power the value propositions of the future.

Moderator: Thank you. We'll take the next question from the line of Ruchit Shah, an individual investor. Please go ahead.

Ruchit Shah: Yes, sir. Okay. So, you mentioned acquisition in our growth plan. So jus t wanted to understand whether the acquisition

would be regarding specific capability building and what would be the plan towards acquisition?

Rajan Sethuraman: Yes. So, we were looking at the alignment of an inorganic strategy with the organic. So, in the past, I've talked about how verticals, BFSI and retail are the areas of focus. How Euro is a focus from a geographic perspective, and supply chain and data engineering, are areas of focus from horizontal capability standpoint. We have now looked at a certain set of opportunities. We believe that right now the play, the big play is going to be in the data engineering space.

In fact, we were just debating this earlier today. And Raj mentioned that we have on boarded two people into our corporate developm ent team who are going to be focused on the M&A and the inorganic side. We also kind of narrow down our focus to data engineering as the most important area.

So, the intent is that in the next few months, we will actually try and surface as many data engin eering opportunities that are there.

We also have a bit of a revenue threshold in mind, about $10 million or above that, up to $30 million for example. And that is the focus that we will have. So, the intent will be that we will look at all opportunities t hat are there in the data engineering space, in that revenue range, in the geographies in which we operate, which is Europe and the U.S. and maybe a bit of back office in India. And those are the opportunities that we will evaluate and try and control.

Mod erator: Thank you. The next question is from the line of Amit Kumar from Nuvama. Please go ahead.

Amit Kumar: Hi again. I just wanted to ask for the guidance on ad

dition of revenue from new clients for the years considering the macro environment. And also, if you can tell how the on -site to off -site mix would change for you. Like you mentioned in the call earlier that now you are looking to change the on -site to off -site mix. So just some guidance on both these numbers could be helpful.

Rajan Sethuraman: Yes, we are expecting that good chunk of the revenue growth will come from what we call as either new logos or new groups. The way we currently track within the organization is that any stakeholder that we are already working with, we call them existing gr oups. And that is the one where I said that we have already renewed, and we have good visibility right into the extensions. And that is already a little bit more than the revenue that we did last year.

The bulk of the growth that we are expecting on top of that will come from either completely new

logos and new accounts or new groups. So, at this point of time, I think there is easily more than close to three dozen different clients and stakeholders that we are in conversations with. I don't think all of them will come through because in general our approach is to focus and try and build substantial large relationships.

But at this point of time there are a good number of opportunities in the pipeline across those different conversations that we are having. And we are expecting that in most years we have added about anywhere between a dozen to about 18 odd, 15 odd clients. And we are expecting that that will be very similar for the upcoming year after.

Moderator: Thank you. The next question is from the line of Prolin Nandu from Goldfish Capital. Please go ahead.

Prolin Nandu: Yes, hi. Thank you. I think the question has been answered. But just on this M&A part, one of the objects of our issue was to do M&A and it's been taking quite some long time now. So jus t wanted to understand why is it, is it valuation and now they are in our favor. And that's the reason why we can expect something in the next couple of quarters? And should we look at the cash balance and the size of the deal or are we open to probably ad d some short -term debt as well if the opportunity is there to acquire something good?

Rajan Venkatesan So, it is a combination of reasons, as to why the M&A has taken time. The first one that you did mention was for the most part of last year, valuation ex pectations still continue to be fairly high. Given the backdrop that a lot of these companies were growing at a fairly fast clip, the valuation expectations were significantly high, between 5x to 8x sort of revenue multiples even though a lot of them were sub-scale. So, from an inorganic standpoint, like Rajan mentioned, we've been very, very selective in the sense that we wanted to look at targets which are in alignment with our strategic wheelhouse as well.

So, these would continue to be in the area of su pply chain having a significant presence in Europe. Data engineering again is a big focus area. As well as consumer and, targets that are focused on consumer retail and banking and financial services from a vertical standpoint. So that was our lookout and what we felt was a lot of the companies that were there in the market had fairly steep valuation expectations. Given the current backdrop where there is a bit of a slowdown, there is a little bit of uncertainty, we believe that some of the valuation expect ations have started tempering down.

There are more opportunities that are coming towards where promoters are willing to engage given this backdrop and we believe that this is probably a right and opportune time to pick up a few assets.

In terms of the size of the assets itself, while the INR1,000 crores that we have on our balance sheet, we will look to deploy majority of it towards M&A or inorganic expansion. What we will also do given that

we are a listed company, we will look to use a little bit of o ur stock as well. If the opportunity presents itself, we will look to utilize our stock as currency.

What we are also not averse to is if there is a very large ticket type transaction, something that could be transformative, which even if that means that w e have to go beyond the cash balance that is there in the balance sheet, we could look at options to raise capital as well. So, we are not averse to either or any of these options if the asset quality is good and the asset will really be transformative in some sense for us. Does that answer your question, Prolin?

Prolin Nandu: Yes, that is very clear. Thanks a lot. That is it from my side and all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajan Sethuraman: Yes, thanks, Faizan. I just wanted to wrap up by saying that some of the points that we talked about earlier is that we believe that the opportunity ahead of us is immense. We do acknowledge the current environment and sentiment of uncertainty and sluggishness. But as I mentioned earlier, the fact that our book of work has been renewed and today are confirmed plus the high probability extension is already more than the revenu e that we have done last year gives us a lot of confidence and hope.

But the fact that all the investments that we have made have started panning out in terms of the additions that we are seeing to the pipeline. Though the pipeline movement is slow today, we believe that we are doing all the right things. At this point in time, there is no intent to take the foot off the pedal in terms of continuing to make the right investments on capability on the front end, on marketing, on assets and everything. We will , of course, be calibrated with every such expenditure and investment that we make and as the management team, the leadership gets together on these important decisions, and we take the calls as we go along.

We believe that this uncertainty will resolve in the next couple of quarters, and we will start seeing the revenue trajectory coming back fairly sharply at the end of it. What is also exciting is all the developments that are happening in this space in terms of the new technology and how everybody is really excited about the possibilities that lay ahead of us. Of course, I believe that some of that will mean a little bit of disruption, changes to the kind of pain points and approaches that organizations take.

But that is what creates opportunities for o rganizations like us because we are at the front end, we are understanding these cutting -edge technologies as they are developed and as they evolve, and we believe that we are positioning ourselves well to capitalize on the opportunities that they will tak e. So, with that, I want to thank you all for joining us today for this earnings update and we look forward to staying connected.

Rajan Venkatesan : Yes, I think you pretty much summed it up well, Rajan. So that's it from us. Thanks, Asha.

Rajan Sethuraman : Thank you, Asha. Thank you, Faizan. Take care.

Moderator: Thank you. Ladies and gentlemen, on behalf of LatentView Analytics Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Classification: Internal Contains PII: No

August 02 , 202 3

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call held on July 27, 202 3

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Earnings Call held on July 27, 202 3, post announcement of financial results of the Company for the quarter ended June 30, 202 3.
The transcript is also uploaded on the Company's website at
https://www.latentview.c om/investor -relations/financial -results -reports/

This is for your information and records .

Yours Sincerely,
Thanking you,
For Latent View Analytics Limited

____
P. Srinivasan
Company Secretary and Compliance Officer

Classification: Confidential Contains PII: No
"Latent View Analytics Limited
Q1 FY'24 Earnings Conference Call"
July 27, 2023
MANAGEMENT: MR. RAJAN SETHURAMAN, CEO
MR. RAJAN VENKATESAN, CFO
MODERATOR: MS. ASHA GUPTA, E&Y LLP - INVESTOR RELATIONS
Latent View Analytics Limited
July 27, 2023
Classification: Confidential Contains PII: NoModerator: Ladies and gentlemen, good day and welcome to the Latent View Analytics Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y - Investor Relations. Thank you, and over to you, ma'am.
Asha Gupta: Thank you, Zico. Good evening to all participants in this call. Welcome to the Q1 FY '24 Earnings Call of Latent View Analytics Limited. The results and presentation have already been mailed to you and you can view them on the website www.latentview.com . In case anyone does not have a copy of press release or presentation or you are not in our mailing list, please do write to us and we will be happy to send you the same.
To take us through the results today and to answer your questions, we have the CEO of the company, Rajan Sethuraman, whom we will be referring to as Rajan. And we also have the CFO of the company, Rajan Venkatesan, whom we will be referring to as Raj, to avoid the confusion while doing the transcript. We will be starting the call with a brief update of the quarter, which will be given by Rajan and then followed by the financials given by Raj.
As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be

viewed in conjunction with the risk and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.
Rajan Sethuraman: Thank you, Asha, and thank you all for signing in for the first quarter's earnings call of this fiscal year. As Asha mentioned, I will share some business highlights and then I will pass it on to Raj to provide more details around the financials.
First off, we are happy to be back on the growth track after a slightly sluggish quarter that we had towards the end of the last fiscal. In this quarter, we grew 4.7% quarter-on-quarter and 23.1% on a year-on-year basis from a rupee standpoint and that kind of sign

als a bit of the
back to the growth track. While I would say that this is still not as great as what we were doing in the last year, I think it still signals that the work that we are doing is resonating well with the client audience and we have been able to retain and actually grow incrementally on the book of work that we were doing for our clients in the last fiscal.

We also added quite a few new accounts to the list this year. Some of them have been shared
as part of the press release that we have put out. Particularly happy that we are starting work with one of the large iconic quick service restaurants that everybody knows about. We had our first win in the European market since we started investing in Europe around the middle of last year and this is again one of the largest manufacturers of tires in the world and we have started working with them. We also had a very interesting piece of work that we won for one of the large two-wheeler manufacturers in India and I am particularly happy about that because it validates the strategies that we are taking into the Indian market where we are able to bring in quite a bit of the expertise that we have built servicing clients in the US to bear for the Indian market as well. However, I would need to add that many of the new wins that we have had have started off on a much smaller ticket size in comparison to what we have experienced in previous quarter and I think that is the reflector of the general macroeconomic scenario and the sentiment that we see. However, these are all high-quality accounts and we believe that the start that we have in this quarter will pave the way for expansion in the quarters to come as some of the uncertainty evolves.
We were also fortunate that we had significant growth in many of our existing accounts so much so that two of our accounts have now crossed the $15 million per year run rate in terms of what we are clocking with that strong growth on the technology sector, we saw growth in CPG and we also saw growth with the logistics on the industrial side and many of these accounts are long-standing relationships and we are very happy that we are able to build on the relationship and bring in more value addition to the clients that we are working with.
As we have exited the Q1, we do have a fairly strong pipeline that we are pursuing, and this pipeline includes conversations that we are having with many of our existing accounts for growth in those accounts and there is also a very good list of new logos that we are having conversations with where we expect that the closures will happen in the next few months and we will be able to see further uptick right through the remainder of the year.
With all this, I would say that the quarter two, we will be able to show growth probably along the lines of what we have done in Q1, if not better. However, it remains to be seen how the rest of the year will pan out.
In general, the market is still a little slow when it comes to decision making. Many of the clients who even have budgets at this point in time are still sitting on the fence when it comes to kicking off large initiatives and while they are ready to take on some small pilots, I believe that the commitments to the larger initiators will take a little bit more time.
At this point, we are still optimistic that the second half of the year will pan out better in comparison to the first half of the year and potentially, we will start seeing some green shoots
towards the end of this quarter as client decision making improves in relation to the
macroeconomic scenario.
There are a few other highlights that we had in this quarter which I thought I will share. I have mentioned in the past that our go-to-market strategy is now predicated largely on the impactful value propositions that we are building. We saw really good traction on several of them.
A few notable ones that I wanted to call out here, one is our on-shelf availability value proposition, which is part of our supply chain analytics practice. That is resonating really well with the CPG as well as Retail clients that we are having conversations with.
S

imilarly, the multi-tier supplier visibility value proposition, MSV as we call it, that is also finding a lot of favor. Most organizations, whether they are in the automotive / industrial space or whether they are in technology device manufacturers, they are all still seeing a lot of disruption to their supply chain and the multi-tier supplier visibility value proposition provides a very integrated view of their extended suppliers supply chain. The component manufacturers and the suppliers and that is also resonating well.

A third one that is really finding a lot of favor is what we call as One Customer View, which is a 360 degree customer view that can be made available for any organization that is interacting with either B2B or B2C customers which dramatically helps them improve the personalization that they can do and the offers that they are able to put in front of these customers.

And finally, we have been building out capabilities around Generative AI. So, our smart search and our bird view value propositions are resonating quite a bit. In fact, over the last year, there has been a very interesting use case that we have been implementing for one of the top device manufacturers in the US around how do you use customer sentiment and review analysis to identify the improvements that you can bring about in making parts available in predicting failure and in ensuring that the right inventory of parts is available right even before the device breaks down. So, we have been using generator and transformer models for a period of time to help solve these problems.

At this point in time, there are quite a few conversations which are looking at leveraging Generative AI and large language models to analyze unstructured data especially around customer reviews and sentiment analysis and also around large volumes of unstructured text data that might be available with organizations either in form of legal contractual documents or process flows and documents or internal knowledge bases that they might have created. So, there is quite a bit of action happening on that front.

We also onboarded another senior member to our Advisory Council this quarter. He has been working with multiple CPG and Retail brands in the past and we believe that we can leverage

his expertise and experience in how we are shaping some of the work that we are going to be
doing in that space.

From an addition to the bandwidth on the front end, we continue to make progress over the last quarter. I would say that at this point in time, we have made the investments that we intended to make on client servicing as well as on the sales side in the US as well as in Europe.

In addition to that, we also onboarded quite a few people into an India based sales team that is focused on the US market and I think the combination of all of those investments means that we are well set up in terms of the bandwidth that we need to identify and pursue opportunities in the US as well as in Europe. These investments will pan out over the next several quarters, but at this point, I believe that we are adequately capacitated in terms of go-to-market bandwidth that is available.

One other thing that I want to call out is that we were recognized as one of India's great mid-sized workplaces by the Great Place to Work Institute. We came in at Rank 49 and we are particularly proud of this achievement given that we are largely a people-based business and it is a testament to the caliber of the people plus also the fact that they see themselves as very integral parts of how we are able to create the right kind of idea and value for our clients and we are able to monetize that in terms of our revenue and growth performance.

This quarter saw further moderation on the attrition front from a trail employment perspective, our attrition came down by almost 10% in comparison t

o where we were previous quarter. We
have not had any incremental growth in terms of head count in this quarter which is largely because of the fact that he did have adequate capacity exiting the last quarter and we have been able to improve the utilization of the people that we had and the utilization increased the build count increased by as much as close to 4% and the utilization improved on account of that as well.

We have now about 300 plus campus hires that we have in the winch. These are all offers that we have made in the last season and we have been engaging with those campus hires. Some of them have already been onboarded. We are expecting to onboard the remainder of the people as the demand scenario unfolds over the next few months.

Finally, I would say that one important people initiative that we had this quarter was around launching a framework that will guide our employees to consider different career options and possibilities that they have within Latent View. So, this is aimed at bringing greater clarity on job roles and the career paths that are available for them and enabling them to have high quality career conversations with their managers, their peers and their L&D team and this will also help implement better decisions from a talent perspective and improve the engagement that we have with our employees. We work with an external partner for developing this

Classification: Confidential Contains PII: Noframework and this is very comprehensive in terms of the job roles and families and the kind
of skill sets that are needed for people to be successful in their careers. So, we are expecting that employee engagement will improve on the back of that initiative.
So, overall, I would say that it's been a good quarter for us in many ways. We believe that we are well set up for the remainder of the year. We will be watchful of the macroeconomic scenario in terms of how the demand unfolds and the decision making, especially with respect to some of the larger opportunities that are there in the pipeline and then we will calibrate any further investment decisions based on that.
With that, I will hand it over to Raj, our CFO to give some additional insights on the financials.
Rajan Venkatesan: Thank you, Rajan. Good evening everyone, and welcome to our Q1 FY '24 Earnings Call.
Talking about our quarterly performance, like Rajan mentioned, we are happy to be back on the growth trajectory. For the quarter ended June 30th, we are happy to report a 4.7% growth on a sequential basis and a 23% growth on a year-on-year basis. Obviously, you know, in terms of where we would have liked to be, that number should have been a little higher. But as elaborated earlier, the macroeconomic environment at this point in time means that there is a little bit of sluggishness that we are witnessing in closure of new deals and that is what in some sense has impacted the growth rate in this quarter. In dollar terms again, our growth rate was close to about 4.6%. So, pretty much the revenue growth that we see on a rupee basis is the same as the dollar revenue growth.
In terms of what really drove this revenue growth, it's a combination of one, growth that was seen in some of our largest logos. Rajan spoke about the fact that there were two of our largest logos now at this point in time are well past the $15 million annualized revenue run rate mark and revenue growth in those two accounts were the key reasons why we were able to maintain a growth rate of 4.7% in Q1. But that apart, we have also seen a few marquee deal wins in Q1 which we believe we have the ability to build on some of these wins. Although at this point in time, the initial contract value of some of these wins are smaller, the ability to mine these accounts and make them into larger accounts is definitely there and therefore, we are excited about some of the deal closures on the new logo

side that we were able to accomplish in Q1.
The other income for the quarter stood at about Rs 17.9 crores witnessing an increase of about 19% on a sequential basis and 83% on a year-on-year basis. The increase was primarily driven by higher investable surplus that we had generating comparably higher yields. Also increasing interest rate in both US and India where predominantly most of the surplus of this part also led to the growth in other income.

Classification: Confidential Contains PII: NoEBITDA for the quarter came in at about Rs 28.1 crores and the EBITDA margin was at 19%,
thereby witnessing drop about 235 basis points on a quarter-on-quarter basis. While we had positive movement on the revenue side which gave an EBITDA benefit of about 3.8%, this was the offset by higher payroll costs which was because of the impact of wage inflation in Q1 where there were wage increments that were given to the tune of about 9% in India and 4% in the US. That was one of the main reasons why there was a bit of a dip in the EBITDA margins.
The other one is also on account of the cyclical visa expense, which tends to be typically higher in Q1 and the impact of higher Visa spends was about 0.8% in Q1. If you were to exclude the cyclical sort of visa costs, our EBITDA margin for this quarter would have been close to about the 20% mark, which is in line with what we reported the last quarter.
Of course, the investments that Rajan spoke about, a lot of those investments were made towards the middle of Q4, right. The people addition that we did and we are happy to report that most of the additions in terms of headcount are already in place, but the full-blown impact of all the additions that we did in Q4 was seen in Q1 of the current fiscal and that again had an impact. The hope is that these investments will play out and we will start seeing deal closures in the coming quarters which would unlock operating leverage for the business.
In terms of the overall margin guidance itself, we had indicated that we will continue to keep the investment levels high because we believe that downturns or periods of uncertainty are the best time to invest in the frontend and build relationships because once the demand scenario comes back, it will be beneficial for us to have made these investments and we have seen this in the past down cycles where we actually paused the investments during a downturn and when demand came back, we didn't have sufficient people on the ground to drive deal closures.
So, those are some of the lessons that we have learned from the past and we would definitely not slowdown in terms of investment. So, our margin for the next couple of quarters would also continue to be in the same range, but we do expect that H2 demand should come back and once that comes back, we will hope to end the year with the trajectory of between 23% to 25%.
Our PAT for the quarter stood at Rs 32.9 crores, reflecting a growth of 4.4% on a year-on-year

basis and a decline of 3.9% on a quarter-on-quarter basis. There is an impact of tax as well on our profits because the Chennai office which is located inside a Special Economic Zone, we have two facilities over here, SEZ 1 and SEZ 2. SEZ 1, we have lost direct tax benefits, the 10-year period that you typically get as a part of being in the SEZ or located in the SEZ came to an end as of 31st March 2023 which has resulted in a slightly higher tax expense than the previous quarter. Of course, on the US side, the benefits from the ESOP exercise that we had from the last quarter continued in this quarter as well and we believe will continue for the rest of the year as well. In terms of the ETR, we expect the ETR to remain consistent for the next two to three quarters but maybe beginning of FY '25, we will see the ETR for the company inch back to the 25% or 26% mark.

In terms of the geographical split of the revenues, US continues to be the dominant geography contributing 96% of our overall revenues. Europe, where we made a significant investment, is still subscale. We want Europe to be between 5% to 8% by the end of FY '24 and our investments that we made are in line with the growth trajectory that we expect.

Technology continues to be the largest vertical for us contributing 69.2% of our overall revenues, which is followed by Industrials and both these verticals witnessed fairly strong momentum in the current quarter. And industrials in specific, we are seeing a lot of green shoots and in terms of existing logos as well as new logos that we have won or deals that are there in the pipeline, Industrial at this point in time promises to be a fairly strong vertical for us.

In terms of our balance sheet, our cash level for the current quarter stood at Rs 1,114 crores.

The one other question that I am sure is on everyone's mind is in terms of M&A. We would like to update you that we have added people specifically in the corporate development or M&A team and these are people who come with a deep background in M&A. So, the intent is to try and increase the velocity of the work that we are doing on the M&A side. Even during the current quarter, there were several opportunities that we did evaluate, but we didn't proceed with any of them because of lack of fitment or we didn't have cultural fitment in these cases and that's the reason why we were not able to consume any transaction, but the intent is to increase the velocity and accelerate our efforts on the M&A side. We hope to have some positive development by the end of the year on the M&A front.

In terms of the head count, we closed the quarter with a headcount of 1,091. Like Rajan said, we will continue to invest in people. At this point in time, we have numbers close to about 300 odd campus hires who we will look to onboard in a staggered manner over the next couple of quarters.

With that, I would like to end the management presentation and hand it over to Asha for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Mohit Jain from Anand Rathi. Please go ahead with your question.

Mohit Jain: Congrats! Strong comeback from last time. I have three questions. One is one high-tech client outlook. So, what are you guys hearing because you had good growth and the pipeline also seems to be better? So, how much of the environment in your business has changed versus last quarter? So, that is one. And then I have two follow-ups on the cost side.

Rajan Sethuraman: So, on a high-tech contract, this is our largest vertical. As I said earlier, we are already seeing signs of growth. We called out the two largest accounts that we have, where we have crossed the mark from a run rate. Both of them are high-tech clients and we have seen incremental

growth happening with these stakeholders that we are currently working with. We also added at least half a dozen new stakeholders in these accounts, but as I pointed out earlier, the projects that have been kicked off are slightly smaller in nature.

I mean, we did have one win beyond that, but the others are kind of in the $200,000-$300,000 range because they are just still testing out a few things, especially around concepts such as Generative AI.

So, I would say that the tech environment is looking resilient for us at this point in time. However, I wouldn't call out that it's growing by leaps and bounds, as we would have expected it to. I believe that there is still some uncertainty and there are quite a few cats on the wall. We are expecting that some of that uncertainty will resolve over the next couple of quarters. There are at least two, three big oppo

rtunities that we have in the high-tech sector which could be in the million dollar range, right, in terms of overall size of the opportunity. So, optimistic cautiously at this time. We are still waiting for some other teams to come through, in a full-blown fashion.

Mohit Jain: And when you say incremental business, this is like business as usual for you or is there a new service line or offering where you are seeing more growth compared to the regular part of the business?
Rajan Sethuraman: Yes. So, within the tech sector, a lot of it is when I say incremental, it is basically additions to existing scope of work, expansion there and therefore, if we have, for example, a dozen statement of work that we are executing, in several of them, we would have seen additions of two, three people happening. And that is what is contributing to the increment. So, more in the nature of the work that we are currently doing. I think the big, exciting thing that everybody is really evaluating is around the whole Generative AI and large language models, right, the GPT stuff. So, there is a lot of excitement and interest.
Quite a few pilots that are, today as we were having the Board meetings, we also held the second internal analytics convention, and this analytics convention that we had today was completely focused only on Generative AI and there are at least half a dozen teams that presented the options that piloting with their customers.. I did mention One Customer View.That is resonating well as well. So, there are a few focused conversations, but otherwise, the incremental growth is broad-based around the scope of work that we are doing from.
Mohit Jain: Raj, so investments in SG&A you spoke about and also shown in the PPT, from an head count addition perspective, are we done with it? Or do you think some bit of cost increases may come in second quarter as well?
Rajan Venkatesan: So, in terms of the SG&A, from an addition perspective we are talking of, Mohit, all of that is fully baked in. The current quarter has the full-blown cost of the investment on the front-end side, right? So, there, all of that cost is baked into the current quarter additions.
Rajan Sethuraman: So, any additions that we will have on the frontend capacity will only be replacements. I mean, of course, given that the go-to-market team is something that we will continuously evaluate, there will be opportunities where we can fine tune, but these will be backfills where necessary and not net new additions.
Mohit Jain: No, like what I meant to ask was that cost increases will now be slower compared to the revenue growth expectation that was there for the rest of the year.
Rajan Sethuraman: That is correct.
Mohit Jain: And this thing is also related. Now we don't get the split of gross margin versus SG&A. So, when you say this drop on account of people cost, is it fair to assume gross margin is more or less flattish for the quarter versus last quarter? Or do you think there would be some drop there and then some drop in SG&A on account of SG&A?
Rajan Venkatesan: So, not a substantial drop in gross margins. Of course, there is some impact of taxation on the gross margins in the current quarter.But to some extent, Rajan also spoke about improving utilization.So, that is something that we are focused on. In fact, in the current quarter, the reason why you don't see an addition in the headcount is because we also reviewed performance of people and there were maybe a few folks who werebased on performance were, you know, that there was some level of involuntary attrition in the company as well and so that also helped us improve our overall utilization for the quarter. So, the gross margin is not substantially different from what we reported in the last quarter, if that answers your question.
Mohit Jain: I think question is n

ot there so to say the drop you are seeing is essentially investment rather than any other factor.
Rajan Venkatesan: Absolutely.
Moderator: Thank you. Our next question is from the line of Utkarsh Katkoria from PGIM India Mutual Fund. Please go ahead.
Utkarsh Katkoria: Just a more long-term thought process, you know, just to understand where you see yourself or the company, say, three to five years down the line in terms of what is the sustainable growth rate or what is the sustainable EBITDA margin band?
Rajan Sethuraman: So, from a growth rate perspective, we have in the past indicated that we would want to be around 5% to 8% better than the industry growth rates and we are confident of that. I mean, you do see the bounce back that has happened in this quarter and we also talked about all the investments which we believe are the right kind of investments that need to be made whether in terms of capacity or the frontend or the very specific value propositions of the new generation technologies and I think we are well positioned for capitalizing on the industry growth rate and going beyond that, right, when the turnaround happens.
From a margin standpoint, we did go ahead with investments ahead of the curve and we took a call that we will not slacken on these investments even though this macroeconomic downturn

was happening and I think that will place us well when the turnaround starts materializing. So, while the current demand scenario means that these investments are a bit of a drag on the margin, I believe that the very same investments will give us better margins as things turn around. So, we are expecting that we will be back on the 25% kind of a trajectory by the end of the year assuming that the second half thus witnessed the turnaround from a macroeconomic standpoint, but otherwise, we believe that we have made the investments that are necessary and from here on, any further investments will be calibrated. So, we don't expect that there will be any margin dilution on account of that. From here on, you should see the trajectory improving to the 25% kind of a mark.

Utkarsh Katkoria: I just had one more question. So, just to understand, you know, our deal size data we have, but typically, what is the tenure of these deals? How are you seeing the pricing environment currently and maybe over the longer term as well? And are the deals getting smaller? Or are they getting larger?

Rajan Sethuraman: The typical deal sizes that we were witnessing, three quarters back, right, or a year ago, they are all in the $600, $700 thousands kind of a range, and we did have quite a few closures which are even significantly larger. For example, last year, we had a $2 million win, right, on just one opportunity. So, if I kind of average out, we were doing somewhere in the $600,000, $700,000 per statement of work kind of a mark.

What we have witnessed in the last two quarters is because of uncertainty, most new projects that get kicked off, they are smaller in size. I mean, even if there is some clarity in terms of the end state and the larger initiative, we see that clients are unwilling to stake everything at this point in time and therefore, they want to kick off something which is smaller, manageable, where they can show some improvement and then, potentially, follow it up with the larger initiative as external scenario improves as well.

In the last couple of quarters, the deal sizes have fallen down to maybe the $214,000 kind of a mark, but from a long-term perspective, I believe that we will get back on the earlier trajectory. The deal sizes should improve even further. As analytics initiatives become larger and more

Classification: Confidential Contains PII: Nocomplex, we will see several million dollars plus initiatives, and that will also mean that the
tenur

e of the initiatives will get longer, not just ones that get executed within 6-to-12-month time frame, but ones that go past the year mark.

Many deals, especially in the data engineering, data platform kind of space will mean that the deals will be larger and complex and will need to be executed over a 24-month time frame, for example. So, we are expecting that the tenure of the deals will also go up in the coming years. Of course, some of this has to pan out and it will mean that the external environment has to be ready for that. But I would say that if you are asking me about a three year kind of a trajectory, I would imagine that the average deal size will inch up closer to $1 million kind of a range and the tenure will get longer than the 12 months that you are typically used to have.

Moderator: Thank you. Our next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: And once again, a great comeback. And I just want to understand more about the revenue growth or the resurgence that you have seen sequentially after a tough quarter, a tough Q4. Now, you had highlighted in the conference call as well as the couple of media interviews that Q1 and maybe Q2 will sort of stay face off and by new means I would consider a 5% Q-on-Q increase for this quarter and possibly even the next quarter, you know. So, my presumption here is that, you know, things have changed quickly for us for the good against what we saw in Q4. So, what has really changed? And plus you are also indicating that our macro continues to remain strong. So, how should we join the dots here, sir, if you could just help me with that?

Rajan Sethuraman: The situation is getting better, but internally, when we talked within the organization, our expectations were even higher in terms of the turnaround that we could see in quarter one. It's been a little slower than we wanted it to be or we expected it to be and that is just the reflection of the external uncertainty, the macro. I mean, I am sure that you are hearing commentary from other organizations as well. So, the sluggishness and the uncertainty continues to be there. Many people will look at analytics and consulting type of initiatives as discretionary.

What is happening for us is that the work that we are doing is seen as very core, critical important so much so that as I mentioned earlier that all of the book of work that we had for the last year, that has all been renewed and we have also had some incremental growth. In many of these instances, the stakeholders that we were working with, the business sponsors and the stakeholders, they have seen their mandate and they have seen their own remit within their organizations increase as well in this uncertain environment.

Of course, we have also had one or two instances where people have been rotated out or they have gone on larger roles and jobs, but for a vast majority of the people where they are continuing to play the role, their mandate has increased and their ambit has increased and that

is what is resulting in the incremental growth that I talked about. So, these stakeholders have
slightly larger budgets or some rationalization has been done and they have been given the money to continue to spearhead what they are doing. That is resulting in some of the incremental growth that we are witnessing.
The other big thing I would say is the investment strategy itself. We did talk about all of the front-end investment that we have made and we have continued to support all of the investment and the client servicing and the growth team capacity with the right kind of backup from internal demand generation team, from marketing events and all of that. So, that is also paying some dividends. Of course, it is not exactly in line with the kind of investment. That's why

I said that we have ended up front ending the investments and we believe that we should not take the foot of the pedal on that one because as the scenario unwinds, uncertainty unwinds, we believe that this investment will serve us even better.
So, I would say it's a combination of those two things, working with the right stakeholders, their mandate and ambit increasing, which is providing us the incremental growth and the front-end investments and the support that we have been providing on the marketing and the events and the demand generation and the value proposition starting to yield early benefits. Of course, we are expecting that those investments will pan out even more in the coming quarters and when that happens, you will actually, I mean, we would then be back on the double 8% to 10% or 12% kind of a quarter-on-quarter growth trajectory. That is what we are pushing for in terms of the kind of investments that we are making. That is something that we expect will unfold, right, as the uncertainty is resolved.
Vimal Gohil: That 8% to 10% quarter-on-quarter is very encouraging. Thank you for that. Sir, my next question is a bit more industry-led and of course, related to you. Our core expertise of data engineering now which happens to be our largest piece, how do we make sure that we shield this particular service line against the disruption that comes with the Gen AI? I understand you are speaking about initiatives that you are taking, but what is the risk that your clients especially on the technology side will leverage Gen AI as a platform to engineer the data internally and probably, you will have to sort of look at other avenues? So, you know, any thoughts around this?
Rajan Sethuraman: Sure. First, I will give you a little context. Data engineering work today roughly makes up about 20%, 23% of the work that we do. So, that is not the biggest chunk, but it is a very important and growing type of work, right, a component of work that we do. The bigger kind of work is in the diagnostic descriptive analytics, predictive prescriptive analytics and the consulting work, they make up the remaining 80, 75, 80 odd percentage of the work, but data engineering has grown for us significantly in the last couple of years and I expect that it will continue to grow as well.
Vimal Gohil: Sorry to interrupt, but even the Predictive Analytics that there could be some portion that could
be, you know, get, that portion could get impacted because of the generative AI capabilities that it brings, that technology brings. This is overall basis. I mean, how do we shield ourselves, how do we keep ourselves more, more relevant and make sure that 8% to 12% sequential growth happens in background of the disruptions?
Rajan Sethuraman: So, interestingly, if you look at generative AI as a technology, right, and what it is capable of doing, the realm is largely in unstructured space.You would have heard about all this, the hallucination challenge, that generative AI technology has. It generates a lot of stuff. A lot of it is stuff that doesn't exist. It works great when you are on a creative quest or at least when you are on a so-called creative quest, but the moment you start talking about structured data and insight generations from structured data, there is a lot of hoops that you need to go through. In fact, today's Analytics Convention that we had, the focus was on those two different types of problems. How do you use generative AI to solve problems in the unstructured data domain? And how do you use generative AI, can you use generative AI to solve problems in the structured data? For example, if somebody has a sales database or if they have a supply chain database, can you use generative AI to come up with the kind of insights that may not be possible through classical, diagnostic descriptive, driver analysis and t

hose kind of approaches
that are available there? On that, the jury is still out. There is still quite a bit of proof that one needs to go through in order to come up with the right kind of insights and of course, that would be possible.
So, the reason I am mentioning that is that in some sense, the whole concept of how do you

apply generative AI when it comes to insight generation, which are factual database especially on structured data, it's a problem that people are still going through. Of course, you can use it for coming up with SQL queries and code bases and stuff like that, right, that you can quickly get started, but those things I believe will only help improve the productivity of the people that we have. They are not going to replace the kind of work that they do. It will help them do the work faster so that they can get onto the more challenging and complex problems, that need to be solved.

At this moment, we are not seeing any evidence of the insight generation and the analysis work being replaced by the concept and the theory, that comes from the generative AI landscape. You should use that for particular kinds of analysis. I gave examples of customer sentiment and review analysis, right? That is where you can use Gen AI concepts and you can actually quickly change the, you know, reset the bar in terms of the kind of insights that are made available to you.

Overall, if you ask me, as a philosophy, I think any new technology that is sufficiently disruptor like generative AI will mean that the level playing field will get reset. There will be a

higher bar that everybody now aspires to and they can easily get in place by using the technology, but that will only open up a lot more nuanced complexities and problem solving opportunities that are available. That is what we are witnessing at least in terms of the conversations that we are having. I don't think the growth rate that I talked about is under any threat because of the emergence of the new technology. On the contrary, I would argue that the new technologies will actually open up so much more vistas that will make the growth rates even more probable.

Moderator: Thank you. Our next question is from the line of Hitesh Malla from Steinberg India Advisors. Please go ahead.

Hitesh Malla: My first question was on the Europe side. You know, we have been consistently winning deals and investing over there, but this quarter, there was a very sharp decline in revenues. I agree it's a subscale business for us, but an 85% drop in revenues sort of is concerning. So, can you just clarify what exactly happened there?

Rajan Sethuraman: You are right. I would actually say that the entire Europe business is going through a reset phase at this time. The decline that you see is on account of a little fall off in revenue with one of our existing accounts, but to contextualize that, we had all of three accounts, right, in Europe which are generating revenue earlier and when you have such a small subscale operation, even a small change in the revenue that you have from one account will have a very big impact from a percentage standpoint.

We have won the first new account in Europe and there are at least 40 conversations, that we are having and most of these are with really high quality accounts, clients and prospects. We are also leveraging the relationships that we have with the same accounts in the US and trying to look at how can we open up opportunities in the European market. Many of these accounts, especially in the technology space and also in the CPG space, have substantial European operations and we are having conversations with many of them.

I would add that Europe in general stock market, to crack it takes a longer lead time to operate from the strength of the relationships that you are able to build. In this tough macro scenario, we are s

aying that it will take even longer.

The good thing is that we have a good caliber team that is there in the market and that is what is driving the 40 odd conversations that I talked about. We also have a very strong advisor and a set of advisors that are helping us open doors and getting the right kind of connection. We haven't seen the kind of closures that we would have wanted to see so far.

I think we still need to give a little bit more time especially given the macroeconomic environment. I am expecting that when I report back to all of you in a quarter of time, we

would have had at least two-three more wins on that bed, in Europe. I still don't know how big they will get within the next two-three quarters, but as Raj pointed out, the aspiration and the goal is that in a three-year time frame, Europe will contribute 10%, 15% of our revenue that is the trajectory and that is the kind of growth we want in the market as well.

Hitesh Malla: And just one follow-up from my side. While the commentary in Technology and Industrial verticals is quite encouraging, there have been certain pockets like Retail, BFSI. and for that matter even like the non-top 20 client accounts which have seen very sluggish dollar revenue performance over the last four or five quarters, not just the last two quarters. So, just wanted to get some sense of what is happening with these pockets? What are you doing to address and like, you know, sort of kick start the growth in these pockets?

Rajan Sethuraman: You are absolutely right. I mean, BFSI and Retail were traditionally not a strong portion. We were quite underrepresented, in these verticals. By the time that we made the decision to make the investment and this is like about a year ago in some instances even putting track that we started bringing in the people, right, who could, that drive action. We started witnessing some of the external uncertainty.
I mean, you bring in somebody in the start, he takes at least six months. However experienced that they might be in their domain, for them to come and assimilate the kind of value propositions and ideas that we have and what they can take to the table, it takes that kind of time. And by that time, they had done that integration and they had assimilated what we had to offer, we were already starting to witness the external uncertainty and BFSI and retail have been impacted significantly in terms of sluggishness around new initiative kickoff. That's kind of reflecting in what we are seeing.
For the last several quarters we had such challenges, but BFSI, we did have some wins. I mentioned that out of the existing logos where we saw growth in this quarter, there were two important accounts that we had on the BFSI side and in both of them, we saw one strong comeback in terms of the total quantum of work that we are doing. We are expecting that we will continue to build on them. We are having conversations with two, three large banks and other logos as well at this time. We could see some conversion at least in the BFSI space in the next quarter. I think Retail might take a little longer.
So, while the investments are being made, I think this current environment means that the sales cycles are going to be a little longer. But again, there we have a few conversations that are currently underway. I am hoping that, we will have better results to share, on the Retail front in a quarter or two from now.
Moderator: Thank you. Our next question is from the line of Sameer from ICICI Prudential AMC. Please go ahead.
Sameer: Raj, if you can just provide, you know, you have spoken about a consolidation exercise in one
of our top lines last quarter. I am not sure if you have given an update. Can you just share an update of that, whether you have won t

his share of business or how is the progress?
Rajan Venkatesan: We are happy to report that with this client, which is our top five clients, after the two top accounts is actually the third largest account in the technology vertical, we have managed to renew our entire book of work with this particular account at the same rate as well. That is the first positive news.
The second one is within the existing, groups, we were able to as a part of the consolidation that we spoke about, we have, been able to add a book of work which is on an annual basis close to about 800k. And then incrementally, there was one new group which is a part of the gaming business of this particular account where we were again able to win an additional SOW to the tune of about 700k.
On an overall basis, this entire consolidation exercise that we spoke about has actually been beneficial for us. We have managed to regain a lot of lost ground in this particular account. We added close to about a million and a half in terms of the total order book with this particular account.
Moderator: Thank you. Our next question is from the line of Ruchi Mukhija from Elara Capital. Please go ahead.
Ruchi Mukhija: Pardon me if it is coming at the cost of repetition. In earlier conversation when the generative AI came up for the discussion, it was painted with the risk characteristics, but given your portfolio which is more concentrated around data engineering and as we understand about the AI where if you don't have a data strategy, it is difficult to build the AI strategy. In that context, could you help me understand for your business you would see generative AI more as opportunity and how could you see risk maybe from the service line perspective for use?
Rajan Sethuraman: Thanks for the question, Ruchi. I think you were right. Any analytics work that an organization wants to undertake, they should have a very strong data foundation under database. If you go back, say, three, four years in time, organizations used to work with data that are available within their particular business or functional silos, could be coming out of their ERP systems or transaction problem systems, but they typically worked with some silo of data that they have and that are solving simpler problems, lower hanging fruit. That meant you needed a certain maturity from a data, data engineering, data platform perspective.
Now we have seen in the last two years or even a slightly longer time frame that the complexity and the maturity of the initiators are increasing and that means that the low hanging fruit has been taken. You are now going after problems that requires a more holistic
integrated perspective, right, across the entire organization and therefore, you

need to be able
to harvest data from multiple parts of the organization, bring it all together, right, into one platform. Data engineering is on an upward curve from a type of work perspective.
The good thing is that as you bring in all of this data and especially if you are talking about unstructured data from outside of the enterprise from social media, reviews and other mechanisms, that is what creates the kind of opportunity that I talked about. Generative AI and large language models are particularly suited for unstructured data, for text data and now that organizations are collecting that kind of data from the multiple customer interactions are having, it will mean that there are plentiful opportunity for how you can apply generative AI kind of principles to mine that data.
Now Generative AI as a technology and as a new tool itself is exciting and interesting for people to play around and experiment with, but the real value of all of that can be achieved or realized only when you have very solid use cases on what data are you going to analyze.What problem are you looking to solve? And how do you addr

ess some of the hallucination
challenges that I talked about earlier, referred to earlier? You want to make sure that whatever these large language models are throwing out are completely fact-based and there isn't any extraneous inferences that are being made, right, that are not connected with the data and the unstructured information that might be there. So, I think that is where the opportunity would be.
In fact, you would have heard the terminology called prompt engineering. Prompt engineering itself can be a very interesting space on if you have data and if you have technology such as large language models, how do you use prompt engineering and the right kind of interaction so that you are making the best use of tools that are available? I am expecting that on the back of what is happening in the generative AI piece, there will be even more opportunity to undertake the right kind of predictive, prescriptive analytics and what you can do with the kind of customer information that you are able to collect at this point in time. So, in some sense, we are quite positive about the impact that Generative AI can have on the entire analytics landscape itself.
Moderator: Thank you. Our next question is from the line of Karan Uppal from Phillip Capital India. Please go ahead with your question.
Karan Uppal: Just one clarification. You mentioned that you are seeing Q2 to be similar to Q1 in terms of growth and you also mentioned that H2 will be better than H1, but also you have mentioned that there is some uncertainty which is there in the market. Clients are taking some more time to close the deal. So, in that context, how should we look at the trajectory of growth from here on?
Rajan Sethuraman: We are at the end of July now. One month is already gone by in quarter two. And if I look at
my full potential pipeline for this quarter and then the probability weighted pipeline for this quarter, I can see that our growth rate for quarter two will be a little better than what we have done in quarter one. So, that is something that based on just the data that I already have in terms of the opportunities that we have, closed.
Now for Q3 and Q4, what I have is like a large pipeline. Of course, the current trajectory is assured meaning whatever we end up doing in Q2, we will continue to do in Q3 and Q4, but the growth on top of that, that is currently largely a pipeline of opportunities, so that will depend on how quickly those opportunities are closed. So, if I have a few good closures in Q2, in the remainder of Q2, then Q3 starts looking a lot more interesting than what it is right now. So, that is where we are.
So, in some sense, I mean, I am not able to give any more assurance than what I see at this point in time. I do see the kind of growth that we have in Q1 continuing into Q2 and Q3, right? So, that will happen. Further uplift on that will be on the back of at least some good closures that we have, right, in the remainder of quarter two.
Karan Uppal: So, basically, our visibility is limited to a quarter at this point of time and beyond that, given the uncertainty, we are still not sure of the trajectory. Is it a fair understanding?
Rajan Sethuraman: Yes. So, I will just rephrase that. What we have confidence about is the current growth trajectory. For the trajectory to become steeper, I will need more closures.
Karan Uppal: And in terms of margins, so we are talking about margin improvement from here on. Investments we have already made and no further incremental investments we are planning to make and rate hike impact is already behind us. So, from here on, as the growth improves, margin should also improve. Is that the way to look at it?
Rajan Sethuraman: That's correct. Yes.
Moderator: Thank you. Our next question is from the line of Swechha from ANS Wealth. Please go ahead.
Swechha: My first questio

n is around the order books. If you could help me understand what kind of
order book do we currently have? And if you also could give me a number of the big pipeline that we have? And also, I think you had mentioned in your commentary that, you know, the new deals that we have got, the new logos that we have got, they are of a smaller ticket size. So, do you think this is going to impact our margins? Like, does the margin vary depending on the ticket size? And if you could also give me the average ticket size that we have currently?

Rajan Sethuraman: I will give you some context around the order book question first. One of the reasons why we, at this point in time don't publish a order book is also you will have to understand that the

nature of the business or the nature the contracts that we typically get are between 6 to 12
months and given that most of the customers that we have if you see are based out of North America. The budgeting cycle or the fiscal that most of our clients follow is Jan to December and therefore, most of the renewals or extensions that we end up signing typically run through this period.

So, if you look at the order book that we carry at any point in time, it will be very high towards the end of the calendar year or beginning of Q1 of the following calendar year or for us, it will be Q4. That's when our order book will be at the highest and through the year, as we execute this order book, the confirmed order books that we carry will actually progressively come down.

But there is another internal metric that we track which we cannot publish or give out at this point in time is again extensions, right, which again is rated based on the probability of the extensions. The way we internally as management track these extensions is any account or any client where we have a history of working with that particular account for a period of more than two years is typically tagged as high probability extensions.

The sort of internal metric that we as management track is at any point in time, the order book plus the high probability extensions that we carry should roughly be higher than or equal to the trailing 12 months revenue and which is what we can at this point in time give out, the order book that we carry today is slightly higher or marginally higher than the trailing 12 month revenue that we did clock.

The second question around margins on some of these smaller value deals, right? Just to let you know, see, as a benchmark or as a sort of internal metrics that we track, our threshold for taking on any new work is typically 50% gross margins in the US. We have a slightly lower threshold for some of the newer emerging geographies because these are fledgling geographies and our intent, is to win marquee logos over here and build on that in the future so that that threshold might be slightly lower for the Europe or APAC, but in the US, 50% is the threshold that we normally operate in and even for these new small wins that we spoke about, our margins are in the same range, which is 50% plus.

But on the contrary, in fact, if clients are typically signing on smaller opportunities to begin with, they also know that they cannot get the benefits of leverage. The onset, offset ratio will be of a certain nature. Once you get onto a larger initiative, then clients also understand that they get the benefits of leverage. The pricing and the margin will reflect that. The deals that we have signed in this quarter, while they are smaller, we don't have any impact from a margin perspective.

Swechha: And sir, my second question is, what is the revenue contribution from our top five customers?

And if you could also help me understand what is the onshore and offsite billing rate and how do we typically bill ou

r clients?

Rajan Venkatesan: So, the first metric you will be able to see it as a part of our investor presentation as well, our top five accounts contribute close to about 60% of our overall revenues. But to answer your question, your second question was around billing rates and onsite, offshore ratio?

Swechha: Yes.

Rajan Venkatesan: Our billing rates typically is not on a blended basis. Most of the contracts that we have are on a managed services contract where we have and what we call as a Center of Excellence model where we typically bundle a combination of on-site and offshore resources and we sell it as a Center of Excellence for the client.

The average revenue per employee is in the range of about $60,000 to $65,000 and it has trended in that range for the last two to three years. Our on-site, offshore mix is typically 1:5.5. In the past, it went as high as 1:6, but in recent times, we are again seeing that that number is coming off and we are closer to about 1:5.5 at this point in time.

Also the reason why we don't end up tracking the rate per person or rate per hour is because we don't do a lot of work. We do very minimal work on a stopwatch model and that's the reason why I am not able to give you a rate card or a rate per hour for on-site and offshore. But our

average revenue for employees is in the range of about $65,000, if that helps you out.
Swechha: So, that means we don't bill our clients on an hourly basis, right?
Rajan Venkatesan: There is a very, very small book of work which is less than 5% of our overall turnover which will be in that model.
Swechha: So, how do we bill our clients? And is it contract wise?
Rajan Venkatesan: It is for a capacity that we give the client and that capacity will deliver a book of work to the client. There are a set of initiatives that we agree upon with the client and there is a capacity and a skill mix that is given to the client and we bill a fixed monthly rate to the client and that is what we charge them on a monthly basis. This capacity itself can be dialed up or dialed down depending on the client outlook as well as the requirements from the client side, but the rate that we agree on is a fixed per month rate for this capacity.
Moderator: Thank you. Ladies and gentlemen, that was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.
Latent View Analytics Limited
July 27, 2023
Classification: Confidential Contains PII: NoRajan Venkatesan: Well, thank you everyone for joining the call. Like we mentioned, we are happy to be back on the growth path and growth trajectory. Despite a lot of the commentary that has been coming from the market, which has been largely negative, we have managed to press the pedal or keep the momentum going on the investments and we continue to be fairly optimistic about the future. Some of the recent conversations that we are having and some of the opportunities that we have in the pipeline definitely indicate that we could witness a bounce back in H2.
However, there is still work to be done like Rajan mentioned which is why we are at this point, I am hesitant to put out a guidance for H2, but we believe we made the right investments in terms of people and capability building, which will put us back on the growth tracks as well as the margins that we historically reported, we hope to be back on the same tragic in a couple of quarters.
Moderator: Thank you. On behalf of Latent View Analytics Limited, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 03, 202 3

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call held on October 30 , 202 3

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on October 30, 202 3, post an nouncement of financial results of the Company for the quarter and half year ended September 30, 202 3.
The transcript is also uploaded on the Company's website at
https://www.latentview.com/investor -relations/financial -results -reports/

This is for your information and records .
Yours Sincerely,
Thanking you,
For Latent View Analytics Limited

____
P. Srinivasan
Company Secretary and Compliance Officer

"Latent View Analytics Limited
Q2 FY'24 Earnings Conference Call"
October 3 0, 2023

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
MR. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – EY LLP – INVESTOR RELATIONS

LatentView Analytics Limited
October 30, 2023
Moderator: Ladies and gentlemen, good day and welcome to LatentView Analytics Limited Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero o n your touchtone phone.
I now hand the conference over to Ms. Asha Gupta from E&Y. Thank you and over to you, ma'am.

Asha Gupta: Thank you, Sagar. Good morning to all participants in this call. Welcome to the Q2 FY24 Earnings Call of LatentView Analytics Limited.

The results and presentation have already been mailed to you and you can also view them on the website www.latentview.com. In case anyone does not have the copy of the press release or presentation or you are not marked in the mailing list, please do write to us and we will be happy to send you the same. To take us through the results today and to answer your questions, we have the CEO of the company, Rajan Sethuraman, who will be referring to as Rajan, and we have the CFO of the company, Rajan Venkatesan, whom we will be referring as Raj.

To avoid the confusion while doing the transcript, we will be starting the call with a brief update of the quarter, which will be given by Rajan and then followed by financials given by Raj. As usual, I would like to remind you that anything that is mentio ned on the call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find it on our website.

Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.

Rajan Sethuraman : Thanks, Asha. Good morning all for taking the time and joining this call of LatentView Analytics. I'm sure that you all had a chance to look at the press release and go through the presentation as well, so I don't want to repeat what is already stated there.

From our perspective, we see that quarter 2 has continued to remain, in some sense, a little muted in comparison to what the scenario was a year back in the quarter 2 of FY23. As you all know, the macroeconomic scenario continues to remain a little sluggis h. However, we are happy that we have been able to report a growth in quarter 2 as well from an incremental quarter -on-quarter as well as year-on-year perspective.

Much of the growth, I would say, has come from additional work that we have got from our existing clients and stakeholders that we are working with, which is good news for us in the sense that most of them feel that the work that is currently underway is o f significant importance to them, even in the trying economic conditions in which they are operating.

Therefore, we continue to execute on the initiatives that have been already identified, and in many instances, there has been additional work that had to be done even as part of those initiatives, which is what has contributed to the growth. As stated in t he quarter 1 earnings call, new initiatives continue

to remain a little challenging for many of our clients.

So while there is widespread acceptance that a lot needs to be done on the data analytics front, many of them are still finding challenges in terms of securing budget or even in case they have budgets to get all the necessary approvals from within their or ganizations for starting o ff substantial new initiatives.

We have witnessed some additions in the form of new initiatives, but many of them are smaller in scope and size at this point in time, and the substantial la

rger initiatives are taking a lot more time and conversations for us to convert. In spite of this, we did have additions to our account list this quarter, and we were able to start work ing with a few new accounts that have been indicated in the press release.

We also saw that one of our accounts crossed the 15 million per annum revenue threshold, which is a really good piece of news for us and reaffirms our faith that many organizations are still getting started on their analytics journey and there is a lot mor e to be done in terms of what can be achieved through the power of data analytics. We also continue to proceed with some of the important initiatives that we have from a growth perspective. I will just talk about a few of them here.

We added two more people to our advisory council. Both of them come with substantial background and experience in the retail and CPG space and bring with them a wealth of knowledge in addition to the connects that they have within the industry. I have been mentioning in the past that a lot of our go -to-market strategy is now predicated on specific value propositions that we are building in response to the challenges and the opportunities that our clients see within their context. And this has been a story over the last 9 to 12 months. So more and more of our initial conversations as well as actual initiatives now revolve around specific value propositions that we are taking to market to address these problems and opportunities. In particular, we have found a lot of tracti on for our migration value proposition in the data engineering space.

We have been seeing good traction for our on -shelf availability and demand forecasting in the supply chain analytics space. We have been seeing good traction for our one customer view, which is a 360 degree view of the customer in the hospitality and the C PG space, for example.

We also participated in several events. A lot of them were internal events that we had organized. Our 15th LatentView Analytics Roundtable event was held in New York in the month of August, and it saw a lot of interest and traction in terms of the topics that got discussed around how do you prioritize on analytics initiatives in the current set of challenges.

We also were able to attend a few external events, including the Data Hack Summit that happened in the U.S. And this is all helping generate a lot of new conversations and opportunities. But as I said earlier, there is still a lot of work that needs to be done to translate them into signups in terms of engagements and statements of work.

We continue to expand our sales team as well. We brought in two senior people into our front end team in the U.S., specifically on the CPG space. And both of them come in with a lot of experience as well as the relationships that they have with senior stakeholders within the industry. And in some

sense, they have started hitting the ground running and generating new leads and opportunities for us already. One other thing that I wanted to touch upon is what is happening on the Generative AI and the large language model space. I'm sure that you are all hearing about all the action and the buzz in this space. We have been focused on a two -pronged approach when it comes to Generative AI . So there are two specific value propositions that we have built, which are using the Generative AI technologies as th e central theme and technological thrust.

One of them is LASER, which is focused on how do you extract meaningful insights from unstructured text data and documentation that a lot of our clients grapple with, whether it is related to procurement or whether it's related to customer reviews or wheth er it's related to contract documents that they have. There's a ton of information that

is typically buried within these, and you can actually mine them
successfully using the power of Generative AI technology. So LASER focuses on that.

The other one is titled GenCompose, and that is focused on how do you use the creative power and aspects that Generative AI brings in to generate content that is very personalized and targeted for the specific customer segments that our clients are looking at and they are interested in. GenCompose helps create the kind of engaging content, whether it is text, whether visual im age, analytics image, with the intent that you have very specific, tailored content that appeals to the target customer segments .

So that you can actually reach them better using messages that resonate with that. So these are two value propositions that are specifically using Generative AI at their core, and the main value proposition is the power of using Generative AI and large language models to address specific issues. GenCompose in particular, we are actually taking it to a lot of our B2B clients and prospects, with the intent that they can actually mine the long tail of leads and prospects that they have, and still reach them in a very engaged and personalized fashion, using the power of Generative AI and the content that it can generate, which targets them. The other prong of a Generative AI approach is really around embedding the power of Generative AI into all the other value propositions and solutions that we are building.

As I mentioned, for example, in the supply chain space, work that we are doing around procurement, for example, procurement contracts and other things, you can actually look at insights that are coming out of that, and you can layer in Generative AI type of approaches to mine that information, and integrate that with the general on -shelf availability and connected view value proposition that we have in the supply chain space.

So this is the other approach that we are taking, in terms of integrating Generative AI components into the other value propositions that we have. I would say that at this point in time, both of that is seeing some good traction. We will see more action in the coming months and quarters, and we will continue to update on this front.

This quarter was also very good for us in terms of external recognition that we got. We awarded the Minsky Award in the Indian market. The Analytics India magazine organizes this Cypher event, and as part of that they have the Minsky Award. We received it for the work that we are doing along with the International Myeloma Foundation, specifically focused on how to use data analytics for

community good.

We are also recognized by the Great Place to Work Institute, and we now feature in the list of top companies to work for women. Finally, we also featured in the analytics maturity quadrant that the Analytics India magazine publishes. These are some things that gave further motivation and push for the type of work that we are doing in the data analytics space.

Overall, I would say that from a demand standpoint, Q1 and Q2 have continued to remain a little muted. At this point in time, I would say that from a Q3 standpoint, we will continue to grow slightly better than the growth rates that we have seen in quarter one and quarter two. How the entire year turns out and how the next year will unfold, we will be in a better position to provide an update as quarter three unfolds.

Quarter three is typically the time frame during which a lot of our existing contracts are renewed. Hopefully, we will also see a kick-off of some new initiatives on the back of conversations that we have been having this year. We should be able to provide a better update on how the full year will look and how the next year is going to pan out when we do the update at the end of quarter thre e.

With that, I'll hand it over to Raj, our CFO,

to provide some additional highlights from a financial
standpoint.

Rajan Venkatesan: Thank you, Rajan. Good morning everyone, and welcome to our Q2 FY '24 Earnings Call. Just to add to what Rajan already covered as part of his opening conversation, for the quarter ended September 30th, we are glad to report that we were able to grow our t op line by 5.4% on a sequential basis. This is in rupee terms, of course, and 17.6% on a year -on-year basis. In dollar terms, again, for this quarter, we were able to grow by about 4.9% on a sequential basis. As elaborated by Rajan, the gr owth was largely driven by growth in existing accounts, and even over there, growth in some of our marquee and large logos where we were able to sign on incremental work or incremental initiatives from these clients.

We are, of course, continuing to witness some level of sluggishness in new disclosures and signing new logos, and that continues because of the uncertain macroeconomic environment at this point in time. However, like Rajan mentioned, Q3 at this point in ti me looks like we will be able to report slightly better numbers in growth terms over Q2, whereas for the full year, we will be able to give a much better picture as we close in towards the end of the calendar year.

Other income for this quarter stood at about INR17 crores, a decrease of 5% on a sequential basis, predominantly on the back of lower forex gains that we recognized during the current quarter. The EBITDA for the current quarter came in at about INR30.8 cro res, and EBITDA margin itself was at about 19.8%, which was on a sequential basis 77 basis points higher than what we reported in the earlier quarter.

You would also remember that in the last quarter earnings call, we did talk about the investments that we are continuing to make notwithstanding the sluggish macroeconomic environment. I would say even in the current quarter, we did not take our pedal off the foot in terms of investments that we are making in our sales and business development teams as well as in running marketing events. We

continue to ramp up the investment over there.

However, we were able to drive some level of operational efficiencies across our delivery organization. The utilization for the current quarter was marginally better than what we had in Q1, and that resulted in some level of EBITDA margin expansion. That coupled with slightly lower visa expenses because visa expenses, tend to be cyclical in nature. So Q1 is when we have a higher share of the visa expenses, so we had lower visa expenses in Q2. The operational efficiencies combined with lower visa expenses and slightly lower professional and legal charges on the administrative side led to margin expansion in the current quarter. That plus, the benefit that came from the slightly higher revenue numbers for the quarter. Overall, I think we would expect the EBITDA margin trend to continue at these levels for the next two quarters as well because we will not take our foot off the pedal in terms of the investments on the sales and marketing side. However, we will be able to take a much more calibrated view on where the margins are likely to be on a full year basis towards the end of Q3.

Our PAT for the current quarter stood at about INR34.03 crores expecting a growth of 3.55% on a quarter -on-quarter basis. For H1, our revenue stood at INR3 03.4 crores, reflecting a growth of about 20.2% with an EBITDA margin of 19.4%. In terms of geographical split of revenues, US continues to be the dominant geography contributing 95% of overall revenues.

However, you would have also noted that in our press release, we did indicate that we are beginning to see some level of good traction in the European region. While we'll be able to give you a concrete view in terms of deal closures that we've had in Europ e in the next quarter's earnings call, we are happy to

report that we are seeing increased traction in at least the pipeline build -up and also some of the conversations moving to a fairly advanced stage of closure.

We will be able to give you a better sense of how Europe is trending in the next quarter's earnings call. For the full year, Europe will be between 5% to 8% by the end of FY '24, which would be a slight increase. But we will hopefully, on the back of all t he investments that we've been making, the following year we should be able to see a significant growth trajectory for that region.

Technology continues to be the strongest vertical for us contributing 71% of our overall revenues, followed by industrials. We have for the current quarter, if you look at CPG and retail, there has been a little bit of a shrinkage compared to the earlier quarter. This is not on the back of any client losses or ramped down in any budgets. As opposed to that, what happened was in Q1 there were a few, I would say, one -time projects or discovery consulting engagements that we had done for some of our CPG client s, where the follow -on work for the last couple of years, you see a small shrinkage in this vertical in the current quarter. In terms of our balance sheet, our cash -in-cash equivalents, including the IPO money, stood at about INR 1,160 crores as of 30 September 2023 In terms of our headcount, our headcount for the quarter came in at 1,146 people. As mentioned, we continue to invest in people. In fact, in the current quarter, we onboarded close to about 80 plus people from campuses. We will continue to add mor e people from campus in a staggered manner in Q3 as well.

Lastly, the update on M&A, which I'm sure that all of you guys are waiting on, we are at this point in time in advanced stages of discussion with a few opportunities. Of course, we are going through the due diligence process and also preparing ourselves fo r, I would say, more intense due diligence at this point in time. Hopefully, we should have some news on this front in the next earnings call for all of

you folks.
With that, I would like to end my talk and I would hand it back to Asha for Q&A.
Moderator: Thank you so much. We will now begin the question -and-answer session. The first question is from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain: Sir, first is on pricing trends. Do you see an uptick in pricing given that growth is back for us, at least for the last two quarters? That was one. The related thing is, what is the headcount requirement we're looking at, say, the next two quarters?
Rajan Sethuraman: Raj, do you want to take the pricing question? I can comment on the headcounts.
Rajan Venkatesan: Hi, Mohit. Thanks for the question. In terms of pricing, I would say at this point, we are getting into that season where we will be renewing a lot of the book of work that we execute. Almost 80% of the clients that we work with follow the January -December budgeting cycle, we will be at this point in time initiating pricing conversations as well.
We are quite hopeful, that at least in a few of our key accounts, we will be able to get pricing in the next couple of years. We have not had raised prices, but then again, it is again a function of how the macroeconomic environment looks. There is no, pre ssure on pricing at this point in time where clients have come back and requested for either pricing cuts or initiated any downward revision in prices. So that is not a trend that we are seeing, but we will be pushing for price hikes in upcoming fiscal.
Rajan Sethuraman: Thanks Raj. I will take the question on the increases. So Mohit, a lot of the hiring is going to continue to be on the campus front. So last year we had made close to 400 offers on campus. And after taking into account acceptances and some of the natural attrition bet ween offer date and date of joining, we ar

e expecting that a total of 300 plus people will join us.
So at this point in time, we have completed onboarding about one -third of them. It is likely to get to about a 40% -45% mark by the middle of November, which means that we will have another 50% of that 300 number to onboard between mid -November and likely t he January -February time, depending on how the demand scenario unfolds for us in Q3 and Q4.
In addition to that, the current campus hiring season, that is underway, this is for people who are passing out in May, June, July of 2024. We are going ahead with the hiring season, and we will be making about 200 -250 offers. Broadly, that's the indication in terms of the number.
Attrition has come down substantially in comparison to the previous quarters. Of course, as the demand scenario picks up, one could also expect that there will be more opportunities available for people so like to see how that plays out.
And at this point of time, we are confident of having the people required, trained and ready for the opportunities that are currently in the pipeline. We will supplement this with some quantum of lateral hiring, depending on specific skill sets and any urg ency for initiatives that get underway.
Mohit Jain : Right. And, sir, one follow -up on this. So if I get it right, you guys are waiting for flattish kind of

margins over in the second half. But, if our pricing environment is steady and as you said in the opening remark of the speech, that most of the investments are behind. Shouldn't we expect some uptick in margins as we move forward?
Rajan Venkatesan : So, Mohit, the answer to that is, yes, if the current growth trajectory continues, right, and we are hopeful that at least Q3 we will continue to see growth which will be incremental, we should see marginal expansion in the EBITDA margins. However, what re mains to be seen is, how will on a full year basis the renewals pan out, and what is the book of work that we have for the beginning of the next calendar year . I think that will be very critical for us from a full -year standpoint.
At this point in time, we do believe that, if we continue with the same growth trajectory which is, 4% to 5% or slightly higher than that, we should see benefit of that on the EBITDA margins on a full year basis. But it may not be that to the historically levels of 25% plus, I think that will take some time for us because even at this point in time, some of the investments that we've made on the SG&A side, right, are for a much higher level of sales, the visibility of which is at this point in time a littl e low .
Mohit Jain : Got it, sir. Sir, gross margin is holding up, right?
Rajan Venkatesan : Yes, on the gross margin front, both from a pricing standpoint as well as from a delivery efficiency standpoint. We are continuing to do well. So, the gross margins are definitely holding up. The one thing, though, that even from a gross margin standpoint, what we have noted in the last couple of quarters is, there's a marginal shift in the work that we deliver.
There is a slight uptick or increase in the onsite work that we have been executing, especially for some of our current clients, where there's a request for resources to be based onsite and that. I would say, having a marginal impact on gross margin, which is, of course, being offset by the better efficiency that we've been able to bring in through better utilization. So, utilization for this current quarter is almost at about 85% in comparison to 81% for the previous quarter. So, the increase in onsite was compensated by better utilization for this quarter.
Rajan Sethuraman : I'll just add, Mohit, that the reason for the onsite uptick is because of the nature of the initiatives. When you have larger substantial initiatives, there's opportunity for more leverage. But when you're doing

smaller initiatives, ty

pically the intent is let's have the people close by and get it monitored closely.
So, as bigger initiatives unfold, the leverage should get back.
Mohit Jain : Understood. Perfect, sir, and good quarter. Thank you.
Rajan Sethuraman : Thanks, Mohit.
Moderator: Thank you. The next question is from the line of Hitesh Malla from Steenberg India Advisors. Please go ahead.
Hitesh Malla: Yes, hi Raj, hi Rajan. Nice to hear from you guys again and congrats on a good quarter. A couple of questions from my side. The first one is on the technology vertical, right? You guys have shown a really good quarter in terms of how that book has grown. So, just curious in terms of how the nature of work for those clients has changed because your peers in the industry seem to have very divergent sort of guidance and performance basis, the nature of work.

If it's kind of like marketing analytics, they're seeing like a lot of pressure in those verticals versus if it is more like health tech or something on those lines, they seem to be getting a lot of traction on those contracts. So, I just wanted to know ge t a sense of, what is driving this technology vertical and any changes on that side?
Rajan Sethuraman: Thanks for the wishes. I wouldn't say that there has been any substantial departure in terms of the nature of the work. A lot of the work still continues to be at the front end of the value chain, customer and marketing analytics. I think one of the things that we see is given the spectrum of clients that we work with, most of these organisation have some pockets of their business which is growing very well and is seem to have good demand.
We have also pivoted over the last two quarters to opening more doors within these accounts, which are focused on the businesses that are performing well. So, if you take technology companies across the board, it's not uniform performance across their busin esses. There are pockets which are doing well.
There are some pockets where they are also looking some dips given that the interest rates have gone up and companies are reluctant to kick off substantially in big projects. So, that is having an impact on which parts of the business are going. So, we ha ve been looking at helping businesses where there is an uptick from a customer marketing analytics perspective.
Another area that is finding some traction is on the devices side. We have seen that as some of the supply chain challenges that were there two years back during the pandemic, as they are starting to subside, there is also a need for greater visibility acr oss the device supply chain. And we are starting to see some traction for our connected view value proposition on that front.
So, that is also driving some of the interest and the action. But otherwise, a lot of the new initiatives that we have gone into are related to work that we have performed for them earlier. And on the back of the impact that those initiatives are delivering, we have seen additions to those teams where they said, okay, we have solved these problems. Let's actually go a little deeper and then tackle some more nuanced understanding of customer behaviour, whether it is on the B2B or on the D2B side. B2B in particular is seeing some good, interesting action. I talked about one of the value proposition s around the B2B growth engine. How do you address the long tail of account and how do you mine that? So, that is receiving some good traction and we are having conversations on that front also.
Hitesh Malla: Understood. And on a related note, Europe, you guys still seem to be very confident on achieving those 5% to 8% of revenues by the end of the year, while it is still at 1.5%, less than 1.5% today. But you have been making very significant addition in term s of the sales force and had couple of big hire in that region. So, can we expect like a big deal closure or do

you have some visibility on like some
of these big logos converting in Europe that gives you that confidence?
Rajan Sethuraman: Yes, what is encouraging for us is the nature of the conversations and the accounts that we are engaging with. Much of our Europe go -to-market strategy is predicated on our advisor network and the connects that we are able to get through them. Europe is a tough market otherwise, very relationship driven.

But the good news is that the advisor that they are engaging with, they are able to get us introduced at very senior levels and also with some of the top brands within Europe. All of these are Fortune 500 companies and conversations are starting at the CXO and Senior Vice President level.
Given just the general economic environment, there is obviously reluctance to kick off any substantially large initiatives and even for the initiatives for which they already have budgets and they want to go forward. While the introduction is helping us get into the door, they still want to do some pilots to begin with before they substantially expand their relationship with us. So, that's where we are at this time.
As Raj mentioned, while we didn't have closures in quarter two itself, we have already seen some closures in October on the back of these conversations. And there are at least a dozen very interesting

conversations that are happening at this point in time. So, we will have more closures through the remainder of this quarter. However, I expect that these closures will probably be in the 250K range in terms of the size of the initiatives that get underway.
For us to start seeing $1 million - $2 million -plus relationships, it will probably take a little bit more time. One hopes that the economic climate also changes to aid us on that front. What will also be critical is that the initial initiatives that we are picking up, that they are executed really well for us to get the confidence of the stakeholders that we are enga ging with.
What I can say now with a good deal of confidence is that right logos, right senior stakeholders, and the right type of work as well. That is what is giving us the promise is there on the back of all of that.
Hitesh Malla: Got it. I appreciate that. And one last thing before I get back into the queue. We've previously put a lot of attention on the data engineering work that we've been doing. And that pack or that layer in the stack doing really well in this context. So, jus t curious on in terms of like what portion of your revenues today is still data engineering and how are you seeing that demand going forward?
Rajan Sethuraman: Yes, that is intact. That trend is intact. Today, I would say, it's probably in the 20% to 23% mark. As I said in earlier calls, I expect that to actually go past the 25%, maybe even touch the 30% mark. Complex initiatives will require complex data enginee ring work to be done as well.
And when we look at organizations across the path, there is still a lot of data silos. There are a lot of challenges in terms of bringing it all together. It's a good thing that even the hyperscalers are building capabilities that will help organizations. It's one thing to move the cloud, but if you just do a lift and shift, you will just inherit a lot of the silos and other challenges that might have been there in your on - prem and legacy systems.
The good news is that Microsoft, for example, with their Fabric, they are really pushing the envelope in terms of how you can bring it all together into one platform in a more easy, seamless fashion. And companies like Snowflake, Databricks, they are also leading on that front. Google Cloud, again, a lot of investment happening on that area.
So all of that will mean that there will be quite a bit of work that will need to be done on the data engineering front. And therefore, the 25%, 30% part of revenues coming

from there, I would say that trend is still intact.

Hitesh Malla: Got it. Thanks a lot, Raj. I'll get back in the queue now.
Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.
Vimal Gohil: Yes, thank you for the opportunity. So my question is regarding margins. Now, over the last few quarters, we have seen almost a 10% point decline in our operating margins. Now, if I were to look at our revenue growth performance, apart from one, probably Q4, I think, of FY'23, where we had a decline sequentially, our sequential quarter -on-quarter performance has been quite decent. And if I were to believe that H2 is going to be better than H1 in terms of sequential growth, we should land up anywhere between 15% to 17% growth for the year. And 15% to 17% growth, per se, is really not that bad, given the scenario.
But what worries me is despite that growth, we are looking at a flattish kind of a margin. I understand that we've made such investments, but could we have done better in terms of, guarding our margins for this year? And what gives us the confidence? And what is the kind of growth rates do we need to get back to that 28%, 29% kind of EBITDA margins? Thanks a lot.
Rajan Sethuraman: Yes, thanks for the question. Let me get the business growth part of it, Raj, and then I'll hand it to you. Yes, so the investments that were made were with an expectation of a 30% kind of a growth trajectory, right? And this is what we committed to, a year back, for example. Actually, even in February of '22, when we had gotten together internally to discuss what is the trajectory we were looking for the next three years, we wanted to be in that kind of trajectory.
Of course, at that time, we weren't witnessing the kind of challenges that we see currently in the environment. So we committed to a certain strategy and an approach at that time, and we have continued to stay the path, right? So a 30% -35% kind of growth trajectory is what will get us back into the 25%, -28% EBITDA range. But obviously, the growth has been sluggish in comparison to that.
Now, one might ask the question in that case, why don't you scale back on the investments and improve on the EBITDA? Our experience, at least from a recent past, even during the pandemic times, is that these investments are important to make right now. And if we cut back on that, then emerging from the current economic climate, it might then prove a little bit of a catch -up game . So, we are okay at this point in time to continue with the general investment philosophy that we have. We're starting to see som e traction. It is also helping us maintain the incremental growth that you commented on, right. Which is, while it is not great, it's not bad either, I mean, given the overall economic environment.
So we're going to continue to persist with this, and we will make some calibrated adjustments to this. And we are okay with waiting a little bit longer, okay, for the EBITDA profile to return to our 25% kind of range. I'll pass it to Raj to add in any othe r nuances.
Rajan Venkatesan: I also wanted to emphasize on the fact that the current level of sales and marketing investment that we have made, which is fully reflected in the current P&L, is for us to deliver almost a 25% to 30%

growth, in fact, towards the higher end of the 30% grow th on a full -year basis. So that was the basis for us to invest heavily in both the front end, as well as the other thing that I think we didn't touch upon was the capability teams that we have been investing in. These are, of course, tea ms that are

building on value proposition so that we go to market with much more sharper solutions that address specific client needs .

Up until now, majority of the people who were in the solutions for product

development teams have been unbilled . . One of the initiatives that we have as part of the driving operation efficiency concern is, one of the things that we have taken up is, we've also looking to see if some of the people in these capability teams can also be built on engagement. So that's s omething that we are actively reviewing which could also result in some level of margin unlock in the coming quarters.

But that aside, the intent right now is to continue or not sort of take our foot off the pedal on the investments, even though growth is not commensurate or not in line with the current level of investments. We are fairly hopeful that once the demand comes back, which should happen in maybe one or two quarters, of course, the hope was that in H2 of the current year, we will see demand coming back. But it looks like , the overall sentiment still continues to be a little weak .

Our hope is that in a couple of quarters, we will start seeing demand come back in and therefore, you should start seeing the margins inking up. We are not very unduly concerned about the margins being at the current levels. It's something that we can very easily control. But what we want to set ourselves up for is the right level of growth. We believe that at least a 30% growth is what we should achieve or deliver as a business on an organic basis and the inorganic will be on top of that . So we are trying to set ourselves up for that size of growth and we will continue to do so in the coming quarters as well.

Vimal Gohil: Understood, sir. Thank you so much for the detailed answer. All the best.

Moderator: Thank you. The next question is from the line of Chirag Kachadia from Ashikai Institutional Equities. Please go ahead.

Chirag Kachadia: Hi, I have a couple of questions. I just want to know what size of acquisitions are we looking forward to in terms of turnover and valuation wise? And second, with the help of these acquisitions which are in the pipeline or an advanced stage of discussion as you mentioned, what synergy are we looking forward in terms of growth, margin and from three to five years perspective?

Rajan Sethuraman: From a size perspective, an ideal acquisition target will be anywhere in the 10 to 20 million revenue range. And if the margin profile is similar to ours, one could expect that it will be a multiple of four and a half, anywhere between three and a half to five and a half, okay, in terms of revenue multiple. So that will give you a size of the acquisition itself in terms of valuation.

We are currently focused on specific domains and capabilities. So for example, BFSI and consumer packaged goods, these are areas that we are not very strong. We are behind the curve in terms of our representation within the space. So we are interested in t hose domains. From a capability standpoint, any new value proposition, it was a very value proposition based play in these spaces.

So for example, in BFSI, it can be around risk and fraud, for example . In the consumer packaged goods, it could be around pricing analytics or revenue, for example . If there are particular solutions and value propositions that these companies bring to the table, then they will be more interesting for us to look at. Similarly, we'll be looking at capabilities around supply chain analytics, around data engineering . These are areas of focus as you have defined on the growth strategy. So combination of

these would what make it an attractive target.

If there are leverage opportunities in terms of if they have a dominant onsite model and then we can unlock more value by offshoring some of the work, or if there's a consultative layer and they're doing that work and there's a lot of follow -on work that we can further get in, or if it helps expand our wheelhouse in terms of an adjacency, like planning, budgeting, for example, these are all things that

would be of interest.

So the intent is that the synergies will not only come in terms of their value propositions and our value propositions, which we can cross sell into one another, but also that we are able to actually bring completely a new type of approach scale on the bac k of solutions and value propositions, to what might have been typically done through a services model. So that will help unlock even more synergies and non -linearity. That's really what we're looking at. Raj, go ahead and add in if there is something else.

Rajan Venkatesan: I think from a synergy standpoint, we will be looking at some of the capabilities or solutions that we have built. I think our endeavour would be that we're able to cross sell and upsell some of the solutions that we are building into the client side of the target. The other big sort of synergy unlock that we w ill definitely look at it, using our go -to-market teams, because we have invested substantially in sales and business development teams in the U.S. as well as in the European regio n.

The big synergy unlock would happen if we're able to effectively leverage our go -to-market teams in these regions and accelerate the rate of the growth of the target business. I think these would be the

two big synergy unlocks that we would look at when we are looking at an acquisition.
Chirag Kachadia: Thank you so much.
Moderator: Thank you. The next question is from the line of Hitesh Malla from Steinberg India Advisors. Please go ahead.
Hitesh Malla: Yes, hi. Thanks for the follow -up. Rajan, this is more for you. On the M&A front, a couple of quarters ago, we did mention that we had a couple of opportunities which were on the verge of finalizing. I'm just curious in terms of why those deals didn't go through. W as it more of a valuation concern? And then again, the industry valuations have cooled off quite a bit in the last 12 months.
I'm just curious as to why those deals didn't go through. Going forward, how can we expect some of these deals to come across and what are the key characteristics that you are looking at for some of these acquisitions?
Rajan Sethuraman: There are a couple of deals where we felt quite positive about. One of them didn't materialize on account of two reasons. One was that there was a difference in the valuation expectations between us and between the current promoters. Also, a second reason was that the promoters were also debating between growth capital versus a complete sell -out or a majority stake sale. And given the valuation differences, they took a call that they will insert a growth capital and then move forward and g et their business to a better level before they potentially explore this again.
The other one, interestingly, that company did go ahead and complete the transaction. I mean, they

got acquired by another organization. We were led to believe that they had actually shelved the plans and they're going to get back to the market around the December timeframe. But they were running a process in the background, and it looked like that proc ess fructified.
This is something that we were not completely clued in because with us, the engagement was very strong, indicating that they had temporarily shelved the process and they're now talking to potential suitors and that they found us as somebody who they really liked in terms of the synergy and the culture fit and all that. But then they decided to move forward with the process that they had already initiated some time back, which they had kept in abeyance. So those two didn't pan out for these reasons.
, Every such instance also provides additional knowledge and learning for us and experience for us. So we are taking all of this into account. There is one opportunity which is quite advanced at this time, and then there are another half a dozen -plus which ar e in various stages of e

valuation. Obviously, we
will be factoring in all of this understanding. We don't want to go crazy though with the valuation.
I mean, if the demand comes back and there is a general economic sentiment improvement, that will also get factored into the valuation expectations that organizations have. So we want to make sure that that is in line with what we believe makes sense for u s, the synergy benefits that are possible and how we can unlock value. All of that will be taken into account in terms of how we value the business and what we are prepared to pay for it. I'll say that the one where we are a bit more advanced. We have actually ticked many of those boxes and we seem to be moving in the right direction.
Hitesh Malla: Got it. And a quick follow -up on the employee side. This quarter we have seen, in fact, for the past couple of quarters, we have seen quite an aggressive addition on the PG hiring side. So is it fair to assume that your strategy is shifting more towards be ing a consulting partner for your clients and is that where the industry is heading and is that where you are hoping to garner more revenues, more margins?
Rajan Sethuraman: Yes, in a sense that is correct. This whole shift from being an execution partner to being a consulting partner is an agenda that we've been driving for the last couple of years. Of course, it's a long road, but we realize that some of that can be accelerated by hiring people, not just a postgraduate degree, but also the experience that they have between their undergrad and postgrad.
We've also been looking at increasing the quantum of hiring from business schools and IIMs, campuses, people who have done a consulting stint or work of that nature. I think that is important. It dovetails well with the value proposition and solution -led s trategy that we are taking where we need to be able to articulate the problems and opportunities in the domain really well.
We are seeing some good traction for that approach. So today I would say that most of our conversations that we initiate, whether it is through our demand generation channels or our reach -outs or one -on-ones, they are all predicated on the particular soluti ons and value propositions. We just organized the 16th LatentView Analytics Roundtable event in the Bay Area and it happened just a week back. I just got back from California last Sunday and in some sense it was the most attended analytics roundtable even t that we had ever conducted. We had almost 150 -plus participants. It was in the Menlo Park area and extremely well attended and we got very good feedback for that event.

And a significant feature of that was that it was all around the value propositions and the solutions and that's what we showcased given the demos. Of course, this is not part of the last quarter's update, but given that it has happened recently, I'm able to share this with you. So the traction for the so lution value proposition consulting -led approach is strong and we believe that therefore we will continue to

hire people with the kind of caliber and experience that will support that approach.
Hitesh Malla: Understood. Thanks, Raj. I appreciate a lot of it and all the best going forward as well.
Rajan Sethuraman: Yes, thanks, Hitesh.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Moderator: The question is from the line of Hasmukh from SUD Life. Please go ahead.
Hasmukh: Thanks for the opportunity. one question on the client concentration front. So if I look at our total revenue from top 20 clients, that is almost at 92%. And that has, let's say, increased from 86% to 92% in last five quarters, six quarters. So any thought s around this number? Why so high client concentration? And though I consider in these difficult times, probably you might

not be able to get
your client, but still what's your view on this from three years perspective also?
Rajan Sethuraman: From a three year perspective, it should definitely get better. But as you yourself pointed out, the growth in the last few quarters has been of an incremental nature . Working with current stakeholders and an expansion of their initiatives and small additional initiatives that they have launched.
Even if we have one account in the CPG or in financial services or in industrial, for example, the new initiatives have not been of the type of size and scale that you typically see. So it's been a bit muted on the front. And therefore, the contribution to revenue from these new accounts that we add has also been minimal. So that has continued to impact the concentration point that you bring out.
In some sense, the concentration in this environment, right, is something that we're not worried about. I mean, it actually goes to show that the work that we are doing for some of the larger accounts that we work with is very important and critical to the m. And not only are they retaining for all of that work, they're also growing with us . So that gives us confidence that we are doing the right things with them. I think the concentration will come down as a little bit of that economic environment sentiment changes and you start seeing more substantial spends from the new accounts that we have acquired in the recent times.
Hasmukh: Understood. But let's say, if one would want to take a view of three years, then where does number for a size of, we should land at from three years perspective?
Rajan Sethuraman: Hard to put a number right now, Hasmukh. it's going to be definitely lower than what it is. From our perspective, top 5 accounts, if it comes down to the 60% mark, then that is good. I mean, because it means that we are also growing substantially with many of the other new accounts that we are bringing in. Typically in the past, three years, four years back, if you win an account at 250k, it was really good. And we were looking at a trajectory of growth from 250k to 2 million over 18 mont hs, 24 months kind of a timeframe.

More recently, two years back, when we were evaluating scenarios, we said that now we should get in at least at a 0.5 million mark, and we should get to the 2 million mark in a much shorter timeframe, in a 12 -month timeframe itself. We are expecting that w e will revert to that kind of a scenario as the economic environment improves. And if that happens, then the kind of percentage that I indicated should be possible within a three -year timeframe.
Hasmukh: Okay, understood. Thank you very much for that.
Rajan Sethuraman: A few closing remarks, I would say that in the current economic environment, our performance in quarter 2 continues to give us a good deal of confidence. The number of opportunities that we have in our pipeline has gone up significantly in comparison to where we were at the same t ime last year.
We have a 100 -plus open conversations amounting to over $45 million in terms of opportunities. That is like an increase of almost 3.5x in terms of the number of conversations, almost 200% in terms of the value of the opportunities that we had at the same t ime last year. The timeframe for closure is much, much longer than what we had experienced before.
These opportunities continue to move very slowly through the pipeline because of the current economic environment, and that is what we are expecting, that things will change as some of the uncertainty is lifted. But all this has been possible on the back o f several things I talked about earlier.
All the investments that we have made into the sales and the business development front, the advisors that we have onboarded, the focus on capability building and value propositions, all of that. And also, as it was pointed out,

the investments that we are making in bringing senior post -graduates and higher -
caliber people right into the organization. All of that is contributing to this.
I think we are poised well. We do need to see the unlock happening, through the conversions in the remaining quarters. So we will continue to look at this very carefully and further calibrate in terms of what we do. The very recent analytics roundtable event that we had was a huge success in terms of attendance and appreciation and all that. Obviously, we will want to see traction in terms of closures also on the back of that.
So that gives us a great deal of confidence, but we are also mindful of the current economic environment and the uncertainty, and therefore, we will be watchful in terms of how we respond to all of this stuff, both from an investment and from a cost contro l, margin expansion, and all of those

perspectives. At this point in time, I would say that we are encouraged by what we have seen in recent times, and we will continue to stay focused on the growth and profitability.

So with that, I will pass it on to Raj for any concluding remarks that he has.

Rajan Venkatesan: Thank you, Rajan. I don't have anything further or substantial to add to what you already mentioned. I think the point that I already mentioned in the opening remarks around the fact that while our growth rates and margin profile, both are, I would say, a little more muted or I would say depressed compared to where we would like them to be .

The fact is that the economic environment and the overall sentiment continues to be a little sluggish. We are mindful of the fact that the investment that we are making at this point in time are disproportionate to the current level of business or the grow th that we are demonstrating. However,

we remain committed to deliver growth which is industry -leading, in fact, better than the industry by 5% to 8 percentage points. So we remain committed to delivering growth that is exceeding the industry benchmark.

We will not take our eye off the ball in terms of where the business is trending. We continue to closely monitor all the operational and operational KPIs as well as salesforce productivity. And we will take suitable actions whenever they are necessary. But at this point in time, we do believe that there are positive signs as much as there are, I would say, negative sentiment s. There are enough positive signs in terms of the demand for some of our value propositions as well as growth in the European region. And so we remain positive that we will be able to get back to the historical growth trajectory in a couple of quarters.

With that, I would like to close this call and hand it back to Asha and the operator.

Moderator: Thank you. On behalf of LatentView Analytics Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Classification: Internal Contains PII: No

February 02, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol: LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call held on January 29, 2024

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on January 29, 2024, post announcement of financial results of the Company for the quarter ended December 31, 2023.
The transcript is also uploaded on the Company's website at https://www.latentview.com/investor-relations/financial-results-reports/

This is for your information and records .
Yours Sincerely,
Thanking you,
For Latent View Analytics Limited

____
P. Srinivasan
Company Secretary and Compliance Officer

"LatentView Analytics Limited
Q3 FY '24 Earnings Conference Call"
January 29, 2024

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
M R. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – EY LLP, INVESTOR RELATIONS

LatentView Analytics Limited
January 29, 2024
Moderator: Ladies and gentlemen, good day and welcome to the LatentView Analytics Limited Q3 FY24 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is been recorded. I now hand the conference over to Ms. Asha Gupta. Thank you and over to you ma'am.
Asha Gupta: Thank you, Manuja. Good evening and welcome to the Q3 FY24 Earnings Call of LatentView Analytics Limited. The results and presentations have already been mailed to you and you can also view them on the website www.latentview.com . In case anyone does not have the copy of press release or presentation or you are not marked in the mailing list, please do write to us and we will be happy to send you the same.
To take us through the results today and to answer your question, we have the CEO of the company, Rajan Sethuraman, whom we will refer to as Rajan and we have the CFO of the company, Rajan Venkatesan, whom we will be referring as Raj. This is just to avoid the confusion while doing the transcript. We will start the call with a brief update on the business, which will be given by Rajan and then followed by financials given by Raj.
As usual, I would like to remind you that anything that is mentioned on the call that reflects any outlook for the future or which can be construed as forward-looking statement must be viewed in conjunction with the risk and uncertainties that we face. This risk and uncertainties are included but not limited to what we have mentioned in the prospective file with the SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.
Rajan Sethuraman: Thank you, Asha, and welcome everybody for the Q3 Earnings Call and update. I thought I would use the opportunity to give a few additional highlights about the quarter that has gone by in addition to what you probably already see on the press release and the investor presentation.
We are particularly happy that this quarter continues to move us in the right direction from a growth trajectory as well as the margins improvement. Some of this is obviously on the back of slightly improving macroeconomic conditions in terms of a few more decisions being taken by our clients, especially with the existing stakeholders that we are already working with. We are also starting to see the impact of some of the investments that we are making at the front end in terms of account mining as well as new business and sales. In fact, we were able to actually win three new accounts in Europe in this particular quarter, and while the engagements are small to begin with, they are with the right kind of enterprise customers that we have traditionally partnered with. And we believe that this actually sets the stage well for long-term partnership and growth with these accounts as well as potential growth in the region and the market itself. Of course, it is still early days in terms of Europe starting to pick up in a significant fashion, but we believe that the start provides the necessary interpretant momentum and we will be able to capitalize on this in the coming quarters.
In the U.S. as well, on the growth-related investments, we have continued to bring in full-time
LatentView Analytics Limited
January 29, 2024
Classification: Confidential Contains PII: No employees who have become part of our sales and business development team, as well as advisors
who have been helping us with the value propositions and solutions that we have been building and connecting us to potential buyers and clients in the marketplace. We added a couple of new advis

ors
in Europe as well, specifically on the financial services side and on the consumer side, and we already are starting to see traction with their connections and expertise, helping us win some of the logos that I just mentioned. Overall, we feel that the year is starting to pan out better.
I had mentioned in earlier conference calls that we are expecting the second half of the year to be better than the first half, and in some sense that is playing out. We are expecting that the fourth quarter and therefore the second half of the year will also continue on a similar trajectory and that we will be

able to end the year well. Particular note is that our pipeline build-out has happened at a fairly steady pace, and in comparison to where we were at the same time last year, our overall opportunity pipeline is more than double of what it used to be a year back. Of course, we are still at various stages in terms of discussions and closure, but we are energized by the fact that there are a lot more conversations and that some of the conversations are starting to proceed in the right direction. The size of the deals and the velocity with which we are able to close the deals, I would say that the matter is still in some sense getting decided. We have not had too many very large closures this year so far, but as I mentioned, the pipeline has at least a dozen such opportunities in that, and we are expecting that we might have a few good closures even before the end of this fiscal year.

Of course, the impact of all of this will be felt more in the next year rather than in the current year. We did not have too many net employee additions. Of course, we did onboard a batch of campus joiners and we also completed the boot camp for an earlier batch in this quarter. We did have some attrition this year in this quarter, and the next impact was marginal in terms of employee strength, but on the back of all of this and the increasing revenues that we have had in this quarter, that meant that our utilization in this quarter has been much better, and that has also aided us in terms of the margin expansion that you see.

Our CFO Raj will give you more highlights about the margin expansion and some of the other highlights that we have on the financial side, but I want to end this initial opening remarks by saying that in general, we feel that the momentum is more upbeat than what we witnessed in the first half of the year, and we are now gearing up and making some of the tweaks and adjustments, not only on the front end bandwidth, but also in terms of how we shape the horizontal capabilities that we are building so that we are well prepared and set up for the growth that is expected in the remainder of the year and into the next fiscal.

So, with that, I'll pass it on to Raj to touch up on the financial guidance.

Rajan Venkatesan: Thank you, Rajan. Good evening, everyone, and welcome to our Q3 earnings call. Just to summarize our quarterly performance, Rajan did speak about qualitatively some of the developments and the business updates for the quarter.

In terms of the financials, of course, we are pleased to report that our top line grew by about 6.4%, and we are happy that on a sequential basis, if you compare the growth rate that we clocked in Q1 versus Q2 versus Q3, we are continuing to see an upward trajectory in the sequential quarter growth. We are happy to report the third quarter in which we were able to report a fairly healthy sequentially

 quarter growth. If you take the same metric on a year-on-year basis, we grew by about 14% compared to the last year in rupee terms.

In constant currency terms, again, I would say our growth for the current quarter came in at close to about 6.2% or 6.3%, so we grew at the same rate in constant currency terms as well. As you guys would be aware, Q3 typically is seas

onally a strong quarter for us, and that's been demonstrated several times in the past fiscals as well, and this quarter was no exception. A lot of this is also primarily driven by, I would say, a budget flush or clients looking to exhaust their budgets for the fiscal right. But in this particular quarter, apart from growth that came in from existing accounts, what we also witnessed was we had three to four good, nice logo additions that came in all of which contributed to the revenue growth in this particular quarter.

In terms of some of the other financial metrics, other income for the quarter came in at about INR23 crores, a growth of almost 35.5% on a sequential basis. A lot of this growth in other income was primarily driven by a large forex gain that we recorded owing to some intercompany loans that we had given. So, excluding this, the other income growth for the current quarter would be lower by about INR5.5 crores. So that's the amount of forex gain that we recorded in this particular quarter.

The EBITDA for the quarter came in at INR36.8 crores, reflecting growth of 19.4%. We were able to improve our EBITDA margins to 22.2% up about 242 basis points on a sequential basis. A couple of factors that led to this margin expansion. One, Rajan already touched upon the fact that the utilization and the operational efficiency for this quarter was significantly better, and we were able to deliver a higher level of revenue on pretty much the same level of employee base. But two more importantly, what we are also beginning to see in, I would say, small measure is some of the work that we are delivering is on the back of the value propositions that we are creating. And therefore, the delivery effort in delivering some of these projects is significantly lower and the margins on some of these projects are much higher than the typical gross margins that we would have on some of our services contracts. So operational efficiencies were driven by better utilization coupled with a small uptick or a decent uptick in value proposition-led services meant that our gross margins were better for this quarter. That coupled with the fact that our revenues increased whereas our overhead spends were pretty much in line with what we spent for the last quarter meant that there was operating leverage kicking in, which both these factors led to the margin expansion that we spoke about.

Directionally, I would say that for the following quarter as well, we would expect to clock similar EBITDA margins. In fact, we would want to say that we would, on the back of the current order book

and the visibility that we have, our EBITDA margins are expected to be in the range of 22.5% to 23.5%. So, it will be in that bracket for the following quarter, which is Q4.
Our PAT for the current quarter stood at about INR46.5 crores, reflecting a growth of almost 36.7% on a quarter-on-quarter basis. The PAT, of course, benefited from higher operational as well as non-operational income that was generated in the current quarter.
One other call-out that you would want to sort of emphasize on is in this particular quarter, we did have an SEZ benefit that came out of an extension that we will be filing for the next five years. And therefore, there will be a certain amount of investment that will be earmarked for the SEZ that we operate out of, on the back of which we will be eligible for an extension in the direct tax benefit. And
 so that entire benefit was booked in the current quarter, which also means that our effective tax rate
for this quarter was lower than the historical period that we reported. Our EPS without tax benefit would have actually stood at INR 2.21 against the INR 2.27 that was reported.
For the nine months, our revenue came in at INR469 crores, reflecting a growth of 17.9% with an EBITDA of 20.4%.
In terms of the g

eographical split of revenues, the US continues to again be the dominant geography, contributing 94.5% of overall revenues. Europe contributed about 2.2%. As we mentioned in the call earlier, we continue to see good traction in the European region. While some of the deal wins are fairly small, we believe that these are the right sort of logos that we would want to work with. On the back of some of these projects that we will be delivering, we expect follow-on and continued work from these clients. In FY24, we would ideally expect the contribution of Europe to go up from the current 2.2% levels, but we will be able to give a better outlook on the contribution from Europe as we get into FY24.
Technology again continues to be the strongest vertical for us, contributing 71% of our overall revenues, followed by industrials. Industrials, in terms of performance, has been a bit of a standout vertical for us. Technology has always been the strongest vertical for us, but in this current fiscal, industrials has shown fairly good strength in adding new customers and also growing some of the existing customers that we had. Therefore, that is the second largest vertical for us today. Consumer and retail came in at 8.6%, whereas financial services contributed about 7.6%.
In terms of our balance sheet size, our balance sheet continues to be healthy. Our total fund balance, including the IPO money, stood at about INR 1,200 crores as of 31st December 2023.
During the quarter, we onboarded about 60 people from the campus hiring that we had done, and we closed the quarter with about 1,162 headcounts. As mentioned earlier, we will continue to invest in people. In fact, in the current quarter, we will be onboarding two more batches, most likely from the campus hires that we had done last year.
Lastly, I know this is a question that everyone would have. This will be on M&A specifically. The update from our side is that we continue to invest a fairly substantial amount of time in evaluating new prospects. We would also like to give an update at this point in time, we are in a fairly advanced stage of discussion with one of the prospects, and we are carrying out legal due diligence and working on some of the other closing matters for us to be able to conclude on this deal. As is customary in a process like this, we envisage that this process could take anywhere between four to eight weeks to complete, post which we will be able to give a further update on the transaction itself.
With that, I would like to conclude our opening remarks and would hand it back to Asha for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain: Sir, congrats, good quarter. First is on 4Q outlook. So, generally it is weak for us those last few years. So, are we saying that given our order backlog, etcetera, 4Q is likely to be as strong as 3Q or 2Q?
 Rajan Sethuraman: Yes, hi Mohit, thanks. Firstly, at this point in time, I would say that we should end the year well. Our
quarter four numbers should be better than what we have done in quarter three. And both in terms of revenue as well as margin, I would expect a smaller peak in comparison to quarter three. We will have a better read on the next year towards the end of this fiscal. So, when we do the next conference call update, I might be in a position to give you an update for the next year.
Given that, I mean, the pipeline is large, as I mentioned, but I also indicated that in general this year, the number of large deals and the velocity with which we are able to close has still been sluggish. Of course, we are expecting that things will continue to improve over the course of this quarter as well. So, I would be able to give better guidance on the n

ext year then. But definitely, Q4, we should see upticks in terms of revenue as well as margin.
Mohit Jain: Okay. And second, where should your utilization be broadly for this quarter?

Rajan Sethuraman: I think for the current quarter, the utilization could get impacted a little bit because we do want to onboard a bunch of the campus hires and offers that we have made. The timing of the onboarding, we are still working through that. And as I said, it will depend on how quickly we see some of the larger opportunities closing.
So, if they close sooner and we see strong signals, then we might even start, I mean, we might do the onboarding even in the month of February. And then those people will go through the boot camp in the month of February and March, which means that they will be unbilled. And therefore, to that extent, it could impact utilization.
If we see a little bit more delay, then we will accordingly push the onboarding. But with all of this taken into account, we are still planning to complete onboarding everybody to whom we have made offers by April at the latest. We are just trying to phase this out in line with what we see as the demand trajectory.
So, the utilization could get a bit of an impact on the account of the campus onboarding. We will be very watchful of any lateral hiring. I mean, in fact, we have initiated a fairly disciplined exercise of Pyramid Refresh so that a lot of the upcoming demand, we will be able to staff internally, meaning that we release people who are even currently on build engagements and backfill them either directly or through a tiered model with the campus hires.
So that we are able to absorb and make more of the campus hires productive while at the same time meeting the demand for the new jobs as well. So, now, all of this will mean that the utilization will get impacted by these factors. I'm expecting that the utilization could be a tad lower in this quarter.
Mohit Jain: And in third quarter, we would be around?
Rajan Sethuraman: In the third quarter, it did improve. The utilization levels have improved in comparison to the previous quarter because we were very calibrated both on the external hiring front as well as on the campus onboarding. I mean, we did one round of campus onboarding, but that was a controlled action that we took and we didn't let the numbers run up too much ahead of the curve. So, our utilization for quarter three, the quarter that just ended, that's been better than what we did in quarter two and quarter one.
 Mohit Jain: Right. And last is on the tax rate. Now, this quarter we had an exceptional item. So, should we expect
you to revert to this 23%-24% range for FY25 or do you think it could vary from there?
Rajan Venkatesan: Mohit, your question was for ‘24 or was it for Q4? Sorry.
Mohit Jain: FY25.
Rajan Venkatesan: Yes, FY25, a couple of things will happen, Mohit. So, like we've mentioned in the past, there was a fairly large ESOP exercise that had happened in the U.S. for which we were getting a tax break, right? And we continue to enjoy that tax break. I think for us, it will take us up to Q1 or even potentially Q2 of next year for us to completely exhaust the tax break that we had in the US. Secondly, the entire tax benefit for the SEZ facility that we operate out of, which is SEZ in Chennai, will run out in March ‘24, both the SEZ units that we operate out of will come to an end as far as the tax quality is concerned. And therefore, I think, in fact, our effective tax rate for the group as a whole will go back to 26%-27% for the next year.
Mohit Jain: 26%-27%. Okay.
Rajan Venkatesan: Yes.
Moderator: Thank you very much. The next question is from the line of Rushabh Shah from O3 Wealth Asset Management. Please go ahead.
Rushabh Shah: Okay, sir. So, my first question is, sir, has there any M&A happened in

our industry at a global level?
And what could be the valuations of that M&A, sir, if possible you could state?
Rajan Sethuraman: From an industry global perspective, I would say that most data analytics service providers, as well as analytics practices are still experiencing the sluggishness that I talked about. In many instances, they have even commented that analytics initiatives can be sometimes discretionary in nature, especially if that revolves around newer technologies and some amount of change management to be implemented on the part of the client and as well.
Of course, analytics initiatives that support cost reduction and revenue enhancement that have a direct P&L impact, they have seen more traction even during the course of the year. Although I would say that clients have been reluctant to kick off large new initiatives. In many instances, they have continued with initiatives that already have found favour within the management, and that has been the case for us as well.
For this year, we were pretty much able to renew all of the managed services work that we were doing last year. We did see some drop off this year in terms of fixed fee engagements. We did see some impact in the case of clients that were directly affected by the interest rate regimes that prevailed in the US and Europe. But barring that, we did see renewals coming through pretty much as expected.
What has been challenging, of course, are large new deals with new clients and even with existing clients. With existing clients, a lot of the growth that we have had this year so far has been smaller incremental additions to ongoing engagements and smaller newer initiatives that they have kicked off.
I would say that that is reflective of the general global environment that prevails at this point with

 respect to data analytics. The one big kicker that the entire industry has been witnessing is generative
AI, and I'm sure that you have seen a lot of news on that as well. I would say that at this point in time, while that is generating a lot of excitement, the initiative sizes and the nature of the initiatives are still in an earlier stage of maturity. Smaller initiatives, many of them could even be unpaid POCs and pilots. There might be some infrastructure work that is happening in preparation for larger initiatives, but otherwise organizations are still figuring out the best use cases to make use of the generative AI capabilities. I'm expecting, however, that this will be a fairly significant lever in the next year as we see organizations taking up newer initiatives on the back of improving macroeconomic scenarios. So, I would say that is a broad commentary in terms of what we are witnessing globally.
On the M&A question, we are generally looking for opportunities where the revenue ranges between $10 million to $20 million, and in general, you will see that if it is a services organization, multiples are in the range of $3 million to $5 million revenue to valuation multiples. If there is any nonlinearity at play in terms of product or IP that the organization brings to the table, then the valuation multiples could be better than that. At this point in time, the conversation that is currently on the table where we are in advanced stages, as Raj mentioned, is more of a services play, but they do have some IP and a product that they have built, which has already started giving them revenue. So, we will be factoring that into the valuation discussions that we are having.
Karan Uppal: Thank you, sir, for the detailed answer. My second question is, what could be the entry barriers for your business in the future? Like what more latent view has that it can defend and no other competitive player can enter into it? What could be the entry barriers?
Rajan Sethuraman: Yes, so I believe that there are two or three

that are worth mentioning. Of course, there can be a very
long list that one can talk about, but I would say that the real differentiators are the two or three that I will just mention. One is that as an organization, we have built pretty much all of our expertise and capability working with technology and digital native companies.
In fact, the very first account that we won back in 2008 when we actually started focusing on the U.S. market, Microsoft is one of the big five in the technology space, and we continue to work with them. And we have expanded our limit to work with many of the leading technology and digital native companies in the Silicon Valley and the U.S. West Coast. These organizations are pioneers themselves in the area of data analytics.
They are inventing the next new, like you know how Microsoft has invested in OpenAI, for example, and they are building Microsoft Fabric, for example, to compete with Snowflake and Databricks. So just to share experience of working with the organizations that are creating the next new in the space has given us an edge in terms of the technological as well as the algorithmic novelties and approaches that are emerging in the space of data analytics, and we are able to take these and apply in many other situations and in other industries, like retail and consumer and industrial, for example. So, I think that is a very important, significant differentiator factor.
The second point I would say is that consciously we have strayed away from the lower end of work that happens in the data analytics space. So, for example, in data engineering, we don't do too much of the lift and shift work, nor are we too much into the regular dashboarding and reporting work. A lot of the work that we do has a significant element of complexity and softness, and that is also
 reflected in the premiums that our clients are willing to pay for the work that we do.
Of course, this means that we are a little selective and choosy in the work that we take on, and if we take on work at slightly the lower end of the spectrum, we bring in a lot of the automation and the latest tooling and technology that is available to get that work done in a very productive, efficient manner.
This has meant that we have to hire a certain calibre of people, whether it is from engineering colleges or whether it is from the management institutions or whether it is from statistics and mathematical institutes. I think the combination and calibre of people that we hire and the fact that we focus on fuzzy, complex problems, has again stood us in good light in terms of the kind of premiums, and like you said, right it provides a certain level of comfort and moat to the work that we are doing.
I would add the third thing as the solutions and accelerators that we have been able to build. Over the last 16 - 17 years of our existence, we have built a very solid set of accelerators and solutions that provide, if not a non-linearity, and that has happened in many instances, but even if there is no non-linearity in terms of the revenue on the particular engagement, these are fantastic conversation starters and the tip of the spear strategy in terms of getting us connected and having discussions with the right set of stakeholders and convincing them that we have the ability to solve their toughest problems.
We now have a very good suite of products and solutions that we have built over the years. In the last year and a half, we have also been layering in capabilities around generative AI into those solutions, in addition to having solutions that have been built with generative AI at the core, and all of these are

helping us in terms of newer conversations as well as in terms of increasing the efficiency with which we are able to do the work.
I would kind of restrict my answer to these three. I believe

that these are the most significant differentiators.
Karan Uppal: My last question is, how has been the learning curve for Latent View, like before six to seven years versus now? How has Latent View evolved?
Rajan Sethuraman: I think that's a good question, and it kind of provides me an opportunity to talk about some of the changes that we have been making internally at our end. In general, data analytics is a fairly dynamic place, and this is something that we have witnessed over our entire existence. But having said that, I would say that the same principles of Moore's law are at work in the data analytics space. If anything, the pace of change and the dynamism is accelerating even more, and we now see the emergence, the maturing, and the fade-out of newer technologies at an even more rapid clip in comparison to what might have happened five years back or ten years back.
So therefore, the ability of organizations, and this I mean both service providers as well as client organizations, to be able to quickly appreciate what is the next new that is emerging, find the right kind of business problems that can be tackled in an entirely new way or in a more impactful manner using these technologies, and being able to quickly kick off initiatives that can capitalize on that, I think that is the defining characteristics of successful organizations, and I think that is also exactly what we have been doing.
 So, in the past, five years back, six years back, we were largely organized as a portfolio construct with
three or four portfolios of accounts, and that was the only construct that we had. Everybody was part of one of those other four portfolios. These portfolios were not defined by industry, nor were they defined by any kind of horizontal capability. They were just loose clusters of accounts, and in many instances, defined by geography rather than any other factor.
In the last three, four years, we have reorganized ourselves by industry as the main defining dimension, and I think that is significant and important because our ability to come up with industry-leading solutions that tackle the most pressing problems of the industry have been significantly impacted by that new organization.
In addition to that, we have also set up multiple technical as well as value chain-based horizontals. One of the value chain horizontals that we have is supply chain analytics, and there are three value propositions that have come out of the supply chain analytics horizontals that tackle the core problems of supply chain organizations across industries, around on-shelf availability, around multi-tier supplier visibility, around demand forecasting, for example, and these are the value propositions that are again finding traction in the market.
So the horizontals that we have set up, whether it is a functional horizontal like supply chain analytics or whether it's a capability horizontal like the data science practice or the data engineering practice, they are actually pushing the envelope in terms of the technical as well as the algorithmic and the functional problems that we are able to bring to the table, and I think that again is a very important defining characteristic of what has changed for us in the last few years.
Lastly, I'll mention that with all of this happening, we are also very conscious that we need to be able to put our arms around all of these things and then act as a consulting and a thought partner to our clients and not just be an execution partner. So, the other thing that we have been focusing on is the consulting capability and the consulting practice, and that practice has been doing really well, especially in this fiscal.
Our consulting practice is currently operating at a chargeability of 80%, and we are looking to add more people into the practice. There are several engagements whe

re we are helping define the analytic
strategy and the roadmap of initiatives that our clients should be undertaking. I believe that these are the ones that are also helping us with generating a lot of opportunities that we currently see in the pipeline. So, I will mention that these are the three substantive changes that we have made in the last three, four years.

Moderator: The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.
Rohan Nagpal: Hi, I have a few questions. I will just ask them one by one. So, the first thing I want to know is you talked a bit about the right kind of logos that you are finding traction with in Europe. So, could you just provide some colour on the kinds of logos you have found in Europe that are sort of giving you confidence for expansion in that geography?
Rajan Sethuraman: Yes, sure, Rohan. We have shared a bit of that in the press release. In fact, three out of the four bullet
 points that you see under select key client wins in the press release pertaining to

the account additions
that we have in Europe. One of them is one of the largest players in the consumer space. They actually are a well-known global brand into beverages, into food, and other products. So, we are working with them.
We are going to be helping them with, on the innovation and the R&D front, helping them validate what kind of flavours are likely to work in what kind of markets, and we are helping them on the front.
Another one is an asset management company, and we are helping them with their data strategy. They are, again, a fairly significant player within that space.
A third one is also in the consumer package good space, and they are a biscuit manufacturer, and we have been helping them with a tool that goes right up to the CEO level in terms of decision-making and data utilization. In addition to that, if I look at the current set of opportunities in the pipeline, most of them fall, again, either within the BFSI space, the consumer space, or into the automotive manufacturing space. That is where we are finding a lot of traction.
We have mentioned that, we are already working with one of the largest iconic luxury car manufacturers based out of Germany. We are having plenty of open opportunities with them. There are also several other car manufacturers, automotive manufacturers that we are in conversation with on the back of the capabilities that we have, especially around warranty analytics, around predicting part failures, and so on. I think that's an interesting area that we are finding traction. The entire R&D innovation suite, leveraging our smart innovation solution, that is also finding a good amount of traction in the European market, and the solutions that we have around payback growth payments and asset management, is again finding traction in the European market.
So again, just in terms of the profile, pretty much all of them would be in the Fortune 500 list, and that is the type of clientele that we have focused on in the past, even in the U.S., so we are happy to note that the conversations in Europe are also with the right kind of client.
Rohan Nagpal: Got it. That's really helpful. The next two questions pertain to margins. So based on where we revers on a year a little more than a year ago, with a significantly more profitable company, I already see the company making significant strides towards improving that, but there's still a lot of headroom, if I just take the past as a benchmark. I think next quarter, you just guided for 22.5% to 23.5%, but what is the longer-term outlook on profitability over here? Is it just a matter of the investments in Europe sort of kicking in, or are there other factors weighing on profitability?
Rajan Venkatesan: I'll answer that question in two parts. One is, this is the current level of inve

stment that has gone into
the business. I think we did sort of respond to this question in one of our earlier conference calls as well. Beginning of this year, the level of investment that we had planned for, which is in the capability teams, which is the sales and business development teams as well as the account management teams, a lot of the investments were planned with an intent to and also to build a capacity which will enable us to get up to $25 million on a quarterly basis, right.
So, at which point in time, these investments would mean that we would be back to the 25% odd margin levels, right. That's the sort of current investment that has gone into the business. Once the business hits a run rate of $24 million to $25 million on a quarterly basis, we should be back at the
 25% EBITDA margin trajectory.
Having said that, our endeavour again is not to really ramp up or sort of rev up the EBITDA margins to historical levels of 28%, 30%, right. The intent is to continue to grow at a much faster and healthier clip than the rest of the market. Therefore, for us, the goal for the next couple of years, in fact, two to three years, would be to grow at a much faster rate, if trying. This year, we'll probably end the year with a growth rate of between 16% to 18% on an annualized basis. But if you look at the last couple of years, last year we grew at an excess of 25% plus. The year before that was 33% plus.
So, our endeavour would be to get back to those growth levels, even if that means that EBITDA margins stay in the range of 24% to 25%, right. So, as a management team, we are comfortable giving up a few basis points on the EBITDA margins so long as we're able to maintain a certain growth trajectory. That's the guidance from our side at this point in time.
We will be able to give a better view on the margin outlook for the next year once we close our planning exercise, and once we sort of meet during our next earnings call. At that point in time, we would have a better view once of the order book, the pipeline visibility, plus the level of investment that we would like to commit for the next year. And we will be able to give a better margin trajectory when we meet in the next earnings call.
Moderator: The next question is from the line of Karan Uppal from Phillip Capital India. Please go ahead.
Karan Uppal: Yes, thanks for the opportunity and congratulations on a strong set of numbers and great to see positive demand commentary. So, Rajan, just the first question is in terms of the improvement in the demand.
Would you characterize this as an improvement in the discretionary spending or the outlook of discretionary spending improving from the clients or do you think other factors are also at play? So that's the first question.
Rajan Sethuraman: Yes, hey, Karan. I would say that maybe there is some element of confidence returning on the macroeconomic front with potentially interest rate softening and getting back to earlier levels, which might be encouraging people to take up some discretionary initiatives. But I would add that most of

the profits and clients that we are talking to are still very focused on ensuring that the initiatives are helpful in terms of either revenue growth or margin enhancement. And therefore, there is a lot more levels of internal scrutiny and validation before they sign off on the engagement.

And even when they are ready to in some sense, take a plunge into an initiative where everything may not be quantified and set in stone, they would want to do it on a smaller scale rather than launch a big initiative. So, for example, they might want to test the waters in a few markets or with a few SKUs or they try and do it in one part of the business before they go more aggressive in terms of the coverage.

So, the sentiment is improving, but it is definitely not back to

the earlier levels in terms of being willing to take on bigger initiatives. I think the sentiment will improve, though. I mean, obviously, there is some expectation that interest rates will turn the corner.

Obviously, the whole higher interest rate regime increases the cost of capital and therefore it means that, all considerations will have to be weighed against IRR and payback and other things, And therefore, it's tougher for teams to justify new initiatives.

 What we have seen though is, where it is already proven and they are seeing the benefits either on the cost reduction or on the revenue enhancement front. We have seen substantial increase in budgets that have been allocated.

So, this year, for example, if we take the whole year till date, we grew significantly in the three largest accounts that we have and it's really significant growth that I'm talking about. And with all of them, it's been on the back of work that's been already done, that's been proven where they know for certain that the work is already giving them the kind of impact that they are looking for. So, they have been more comfortable betting on expanding initiatives that are already working for them, still a bit conservative when it comes to kicking off completely new initiatives.

Karan Uppal: Okay, thanks for the detailed colour. Second question is in terms of the large deals. So, you mentioned that the large deal pipeline has doubled. So, in any colour in terms of the nature of work, the deal size, duration, as well as the stickiness of the work which you guys are getting?

Rajan Sethuraman: Yes, the deal sizes, when we say large deals, I mean, what I meant by large deals in this conference call are deals that are at least a $1 million and above. Internally, when we classify deals, anything that is more than $0.5 million, we call it a large deal or a strategic opportunity. But for the purpose of this conference call, I really had a $1 million kind of a threshold in mind. And we do have several opportunities that are upwards of a $1 million at this point in time.

The nature of the deals are not very different. I mean, they span the full spectrum, going all the way from undertaking strategic work to data engineering, getting the data ecosystem in place, to actually applying newer principles of decision-making in terms of the kind of dashboards and reports and work that they want to do, as well as quite a bit of work on the advanced analytics front, especially around innovation, around the one customer view value proposition that we have.

For example, work around applying Generative AI and newer concepts to how they generate insights from a lot of data that they might be already having in unstructured format. So, I wouldn't say that the nature of the work is very different. But these are larger initiatives, which cut across the organization, maybe involve multiple business units and so on.

The time duration of the deal and the contracting model, the larger deals, I would say that most of them are in the managed services model, where the client actually has already identified a set of initiatives that needs to be done and therefore, they are looking at working with a partner to make all of that happen. And therefore, we will be contracting in a managed services kind of a model only.

And in most instances, therefore, these would also be repeatable over a longer time horizon, and these are not just once-and-done, fixed-scope projects, but instead on-going initiatives that will need to be continued for the foreseeable future.

Moderator: The next question is from the line of Manan Poladia from MKP Securities. Please go ahead.

Manan Poladia: Hi. So, my first question is on the lines of the Generative AI thing that you mentioned in this call and the previous call. I just wanted to understand what sort of role we're playing w

hen it comes to Generative AI? I understand what you said about LASER and the other products, but if you could please just give me some specifics of what kind of generative AI projects we're looking to work on?

 Rajan Sethuraman: Yes, sure. As far as Generative AI is concerned, we are taking a three-pronged approach in terms of how we are looking to utilize and leverage that. The first prong of the approach is to build products that are Generative AI at the core, and that's what LASER and AI Pen Pal are all about. And I already talked about both LASER and AI Pen Pal.

But just as a quick refresher, LASER is all about using the power of Generative AI to look at documents that organizations already have within their internal knowledge repositories in text and unstructured form and being able to generate insights. These could be contractual documents, for example. These could be customer reviews or employee surveys that they have conducted, right? And how do you use the power of Generative AI to generate insights from all of that?

AI Pen Pal is more focused on generating new content that is tailored to the preferences and the understanding that we have about specific customers, potential customers or cohorts as the case might be, where instead of sending mass mailers, you can actually be more targeted in terms of designing campaigns and executing along the lines of what will appeal to individual customers or specific cohorts. So that's what AI Pen Pal is all about. It actually uses the generative capability of Gen AI to come up with very tailored content. So, these are two examples where the core of the product itself is Generative AI. So, this is one prong of the approach.

The second prong of the approach is to build a layer of Generative AI into all of the other value propositions that we have. So, for example, one of the value props that has found a lot of traction in the recent years is what we call insight lens. And essentially, this is about how do you use the latest in technology to move away from a dashboard kind of a concept to more of a decision board.

A dashboard still tends to be a representation of what somebody wants to look at in terms of data and the visual representation of it, whereas a decision board goes one or two steps about it in actually spurring action, giving very particular and specific recommendations on what needs to be done, given what is there on the dashboard. And that is where we have, again, implemented Generative AI to come up with very specific actionable points, actions that the decision makers can take.

And this is something that we are trying to implement in as many of the value propositions as possible, bring the Generative AI to answer the so what question. The dashboard tells you what, but the so what is where the Generative AI comes into play.

And then the third prong of the approach is to use Generative AI internally for enhancing and improving the productivity of our own people. So, whether we are building data pipelines or whether we are building a model or a dashboard or whatever it might be, can we do it faster? Can we do it with less effort? Can we leverage code or options and suggestions that are already available? And that's where, again, Generative AI can be put to good use.

Of course, on the third prong, it is still early days because we also want to be careful that we are not taking any issues that might be there in what Generative AI comes up with because everybody knows the issues around hallucination and so on. So, we are being calibrated on the third prong. But that's another area where we are already starting to see traction in terms of improving the productivity of people. So, these are the three things that we are doing in terms of how we make use of Gen AI.

 Manan Poladia: Right. So that sounds like a fantastic initiative, sir. Secondly, sir, I have a follow-up question. On the
revenue front, the first prong that you did explain, are we seeing any meaningful traction, number one? Secondly, when we are making pitches to customers, especially customers that are Fortune 500 customers and larger logos that you speak about in Europe, are we seeing any sort of generation from them where they want to move towards Generative AI within your contracts? Or is that something that's not happening very commercially right now?

Rajan Sethuraman: There is a lot of traction. There is a whole lot of interest and excitement when it comes to Generative AI. Some of it is just driven by the general excitement and the hype that is there around the topic.

So even board members and very senior people, irrespective of whether they really know how a large language model works, they have all experienced it in some shape and form. I mean, for all you know, their children or grandchildren might be using an LLM actually to write their school essays or come up with a poem for their granddad's birthday, for example. So given the general democratization that has happened, there is a great deal of visibility and excitement right on account others.

So, when you talk Generative AI, and when you then mention how can it be put to good use in the context of problems that they are trying to solve, there is always openness and willingness to engage. Now, of course, this doesn't mean that it will immediately translate into very large initiatives engagement. You still need to go through the entire process of evaluating whether it will work within their context with the data that they have for the problem that they are trying to solve and whether it will still be meaningful for them in terms of what emerges from that.

Having said that, I mean, we have won already several engagements with Generative AI. In fact, one of the most strategic opportunities that we won, this year is a complete Generative AI engagement. It actually utilizes the laser value proposition that I talked about, solution that we have built. This is with one of our existing customers. In fact, they will be the largest account that we have. And it's more than $650,000 of work that we have won with them, just implementing that particular solution.

So, there is traction. Now, obviously, the understanding of what Generative AI can do for them will, again, vary based on the maturity of the organization in terms of how much they have been already leveraging data and analytics and the data ecosystem that they have. We see better traction even now with technology and digital companies. When it comes to consumer, retail, other organizations, it's still more education that is called for at this point in time.

Moderator: Thank you very much. The next question is from the line of Sumangal Pugaliya from Rare Enterprise.

Please go ahead.
Sumangal Pugaliya: Hi, I'm Sumangal Pugaliya. First time on the acquisition. Can you help us just give some colour on what kind of ballpark size and nature of the asset?
Rajan Venkatesan: Yes. I'll take that question. While we can't give you exact specific details in terms of the transaction because at this point in time, we are, I would say, still in the process of completing the entire due diligence exercise as well as some of the other confirmatory checks that we would like to do in a transaction of this nature.
 But in terms of, I think, guidance, Rajan has already mentioned the targets that we are looking for are
in the range of $10 million to $20 million in revenue. So, you know, it would be fair to assume that the target that we will be looking at would be somewhere in the sort of midpoint of the range that I spoke about. Secondly, in terms of the size of the deals, of c

ourse, there is a certain structure that we
would, you know, we would sort of put out even while evaluating target, which would mean that there would be a certain upfront acquisition, you know, which will then be followed by a target acquisition of the remaining stake in the company.
But typically, what we've seen, specifically for companies that are there in the analytics space and which also have, you know, high quality logos as claims and have some sort of repeatable, I would say, solutions or accelerators that they've developed on the back of which they're able to charge premium pricing. We've seen the deal multiples range between $3 million to $5 million , with $4 million to $5 million being the multiples for, I would say, more premium businesses which have high quality logos, better pricing, as well as accelerators that I spoke about. So, the transaction that we are evaluating at this point in time can, you know, we can safely assume that the valuation multiples will be in this range. And the ticket size of the transaction would obviously be based on the revenue number that I just spoke about.
Sumangal Pugaliya: That's very helpful. Final question on the go-to-market investment. So, going forward, what is the outlook relative to what we've been doing last year? And also, any colour on the evaluation of the go-to-market investments so far?
Rajan Sethuraman: Yes, sure. So as Raj mentioned in response to an earlier question, the investments that we made starting the beginning of the fiscal and maybe a little bit even in the last fiscal, they're all done a little ahead of the curve, even before this interest rate, we have started playing out. And the intent was to set up a team, a front-end team, that can actually take us all the way to about $25 million-$26 million, in terms of a quarterly run rate.
So today, we are actually at about a $20 million kind of a run rate. So, we believe that the current level of investments are adequate to carry us to the $25 million-$26 million range. There will be some churn and some exits and new additions.
I mean, backfills that will happen on the back of performance of the people who are there at the front-end, whether they are on the entity side or on the client-servicing side or whether they are on the new business development side. But we do not expect that the level of investment itself will change significantly till we get to the $25 million kind of a mark. When we get to that, we will be evaluating what else is needed.
Of course, we have already begun that kind of a thought process. And we are expecting that we will probably get to the $25 million mark in a couple of quarters, in terms of run rate. So, we will start making the preparation for that.
There is also a lot of learning from the last year, in terms of what kind of people have clicked for us and worked well, whether it is on the client-servicing side or whether it is on the new business development side. So, all of those learnings will be factored into the type of people that we hire into the organization. We are not anticipating any other significant investments. Marketing and other
 investments will be in line with the revenue trajectory and the kind of plan that we have for the next
year.
Moderator: Thank you very much. The next question is from the line of Kshitij Saraf from Tusk Investment. Please go ahead.
Kshitij Saraf: Hi, good evening. I wanted to know, because Microsoft is both a customer and a key partner, just a sense of how much revenue comes as part of the partnerships for not just Microsoft, but the other hyperscalers. So, we have all these partnerships outlined in the presentation. So could you just throw some light on how these fit into the overall scheme of things and what sort of contribution is there, which are the most key partners, at least in terms of revenu

e, as we stand. And given that
you're looking to focus slightly more on the BFS side and on CPG and DTL, is this mix expected to shift in favour of any of these partners away from Microsoft? How do we think of it?

Rajan Sethuraman: Right. So, the simple answer, Kshitij, is that the partnership channel as a source of new leads and opportunities, it has not been a very significant one for us so far. I mean, we have got leads and opportunities, and we have closed some revenue. I mean, in the past, we have seen traction from Snowflake.

We have seen some traction from Databricks, from Microsoft, Azure, as well as the Power Platform ecosystem. We have seen some traction from Amazon AWS as well. So, these are the partnerships where we have seen lead generation and some revenue come in.

But I wouldn't say that this is a significant source of revenue for us, not for me to actually even put out a percentage in terms of that this is a contribution coming from this channel. Now, because of this reason, we are also doing a bit of a refocus. And the intent going forward is to just work very seriously with two partners.

And at this point in time, the two that we have zeroed in are the Microsoft, Azure, Power Platform, Fabric ecosystem. I mean, actually, Microsoft itself is also looking at promoting Fabric as the main go-to-market plank, which actually unifies and integrates many things that they have within their tech stack. And of course, AWS, given that AWS is a significant player in some of the industries where we are present.

So, the plan is just to double down on these two and drive more engagement with them. So, the partnership team is focused on how do we get more of our solutions showcased within AWS as well as Microsoft. So, for example, many of the solutions that I talked about even earlier, whether it is one customer view or whether it is smart innovation, they are already hosted on AWS and Azure.

And they're expecting to capitalize on that going forward. So, the intent is to build stronger relationships with specific account executives who are also focused on the prospects that we are interested in and bring in more leads and revenue through the channel.

Kshitij Saraf: Okay. And just to follow up on that. So, it's safe to say that you're looking at garnering direct business on the basis of LatentView capabilities itself and partnerships would just be some sort of an enabler. What would differentiate LatentView compared to other similar offerings in the market? What would you say is your USP when you look at the solution for the client?

 Rajan Sethuraman: So, I think I kind of answered this question earlier in terms of what we believe are our differentiators and boards. And I mentioned three points there. One is just the fact that a lot of our analytics shop and capability has been built on the back of working with the technology and the digital native ecosystem. So therefore, the robustness of our technical, as well as math and algorithmic approaches are exceptionally strong.

The second point that I had mentioned was the fuzzy and the complex problems that we go after. And therefore, the commensurate calibre and capability of the people that we bring to the table, right, in terms of who we hire and how do we groom them. And the third are the solutions and the accelerators. And the third point is probably more relevant, right, to this question and the earlier question that you asked.

These solutions and accelerators in many instances have actually been very pioneering in nature. For example, with AWS, we had actually won, we had participated in the AWS re-invent event even as many as eight years back, because we actually pioneered the build-out of specific solutions, leveraging some of the newer capabilities that AWS was putting out at that point in time. And we have collaborated direct

ly with AWS in building some of the solutions.

So, I think the strength of the solutions that we are building, which address very specific pain points that the industry is facing, I think that is really what helps us in terms of differentiating ourselves when we go and have conversations. So, our smart innovation solution, for example, it incorporates a lot of the nuances and latest capabilities around AI and modelling that is able to ingest vast amounts of data from multiple sources.

And apply the right kind of modelling techniques to identify what is trending, how big it is likely to get, and therefore, what kind of actions an organization should be taking on the R&D and innovation front. I think that is really the main differentiator. Of course, this will only benefit further if you are also able to showcase these solutions within the context of an AWS or an Azure, And how these solutions can work within those ecosystems as well.

And that is really what we are attempting in terms of the partnership conversations we are having.

Kshitij Saraf: Thank you. That clarifies. Congratulations. All the best.

Rajan Sethuraman: Thank you, Kshitij.

Moderator: Thank you, very much. The next line is Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Hi. Thanks for the follow-up. I have a question on the impact of profitability as a result of this acquisition. I mean, you're going to add about maybe 15% to 20% of your margin this year. Do you see this as being margin neutral? Do you anticipate margin compression? How should we think about that?

Rajan Sethuraman: So, the way to sort of look at this acquisition, Rohan, would be, one, at an EBITDA level, this deal will definitely be margin accretive, right? Although at an EBIT level, we are still at this point in time

undertaking an exercise where, of course, you will need to allocate a portion of the purchase price
itself to intangibles or assets that will come as a part of the acquisition. And therefore, you need to do
 a purchase price allocation.

We will be able to comment on the impact on EBIT specifically once we've had a chance to complete the entire due diligence exercise. But the sort of guidance that you can give us at an EBITDA level, this will definitely be margin accretive for the business because the margin profile of the opportunity we're evaluating is more healthier than the current LV business, LatentView business.

Rohan Nagpal: Perfect. Okay. And is this a company that broadly operates in Europe or is this a North America thing? So, are there synergies or is it just expanding the scope of business that you're looking at?

Rajan Sethuraman: So, geography is not the primary driver for this particular opportunity. It's more the capabilities that come along with this particular opportunity because we've repeatedly stated that our primary focus for any acquisition would be, one, if they help us fill up a white space that we have today. So of course, expanding into Europe is important for us. But for us, I think the first focus would be to expand or sort of reduce the dependence, one, on technology and expand our footprint in consumer and retail and financial services. So, this particular opportunity will help us expand into the verticals that I just spoke about.

Rohan Nagpal: Got it. Thank you. That's really helpful.

Moderator: Thank you very much. The next question is from the line of Karan Uppal from Philip Capital, India. Please go ahead.

Karan Uppal: Yes, thanks for the follow-up. So just one question in terms of next year's growth. Given that you will exit strongly in Q4, you are mentioning that Q4 will be similar or slightly better than Q3. So given a strong exit, do you believe that FY25 growth rate can be back to the pre, maybe one year, two years back when you used to do 25%-30% kind of a growth, can FY25 growth be

around those levels?

Rajan Sethuraman: A little early, Karan. Like I said earlier, we would actually be able to be in a better position to provide that guidance when we actually wrap up Q4 and we do the next conference call. Like I said, it depends on the velocity and the closure of some of the larger opportunities that we see in the pipeline. The signs are encouraging at this time. So therefore, we would want to push further ahead with the momentum that we are seeing. But we'll be in a better position to give you guidance when we do the next earnings call.

Karan Uppal: Okay, thank you. All the best.

Moderator: Thank you very much. The next question is from the line of Parikshit Kabra from Pkeday Advisors Limited. Please go ahead.

Parikshit Kabra: Hi, thanks for the chance. I just wanted to ask one question about competition. Who do you typically compete with when you're pitching for a new business? And typically, when you are pitching to a client for a new business, are you typically the first vendor for data analytics support or usually replacing somebody else?

Rajan Sethuraman: So, we see competition from different kinds of players, Parikshit. Of course, there are the other pure play data analytics companies like ourselves, like Mu Sigma, Fractal, Tiger, Tredence, and so on. We
 see them in some instances. Interestingly, though, each of us have carved out a slightly different niche
for ourselves. I mentioned that we are very strong in the technology in the digital data ecosystem. So therefore, we do, I mean, while we see them in some instances, we don't see them in all the instances. We also compete sometimes with the analytics practices of larger organizations, like an Accenture or Infy or TCS. And sometimes we see them as a threat. Deloitte, for example, we have seen them as a threat. Especially, if it is also around a strategic type of exercise. As I mentioned that our consulting practices focus on analytics strategy and roadmapping. We have even competed with the likes of McKinsey or a BCG in some instances. And then we see competition in cases from product companies because if it is a very specific problem that the client believes can also be solved using an off-the-shelf solution or a SaaS model, then sometimes we see those players also in the frame. So that's the kind of the competition spectrum. The good news, though, for us in many instances, we are actually creating the opportunity ourselves.

This is the second part of your question. So, the number of instances where we are responding to an RFP or a competitive situation, it is still a smaller percentage. I wouldn't say that it is non-existent. It used to be even smaller earlier. In the last couple of years, I would say that clients are also becoming more aware and then they are bringing multiple kinds of perspectives into the frame. And therefore, we do see instances of RFP and competition. But even today, a fairly significant portion, I mean, read about 65%, 70% of the work that we do, is something that we are able to co-create directly working with the stakeholders that we are interacting with. And in those instances, in many of those instances, we will be in a sole source position or maybe worst case, have to compete with one or other two competitors that the client chooses also to bring into the frame. But in many instances, it is really our ability to craft the right kind of opportunity and value proposition that defines what happens going

forward.
Parikshit Kabra: So just a quick follow-up on that. This percentage that you mentioned, about 65% to 70% is the opportunities that we have created or co-created with the client. Is that number changing significantly rapidly or is that how you see that progressing going forward as well?
Rajan Sethuraman: It used to be about 80%. I think now it is about 65%, 70%. I would say t

hat that percentage will actually drop further when it comes to completely new accounts and stakeholders with whom we do not have a relationship. With existing accounts, with many of the referral-based contacts and clients that we get, that percentage is still very high.
I mean, we are mostly in a source-source model when it comes to defining those engagements and initiatives. But if it is a completely new prospect where they do not have any introduction to us or a referral path experience, then I would imagine that they will increasingly become more competitive in the days to come.
Parikshit Kabra: All right, great. Thank you.
Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.
Rajan Venkatesan: Thank you. I think we have covered our current quarter performance as well as the outlook in a fair
LatentView Analytics Limited
January 29, 2024
Classification: Confidential Contains PII: No amount of detail in the current call. We would like to sort of end the call by stating that we have seen,
I would say, an increased positive sentiment as we have travelled through this year. I think we started the year on a very, very cautious footing. And as we head into Q4 of the current year, definitely the confidence levels are better than what they were at the beginning of this fiscal.
However, we continue to watch some of the trends, especially some of the news that we read about large technology players, specifically in the U.S., who are continuing to, I think, rationalize costs and look at how can they become a lot more tighter in terms of their spend and what would be the likely impact on our business. So, we will continue to be very nimble and cautious as we trade into the next year.
However, having said that, several of the initiatives that we have started in the last year are beginning to bear traction now. And we are seeing that in the form of a significantly higher pipeline that we carry today, there is an uptick in the confidence level for the business as we head into FY'24, '25. We will, as we've done in the past, we will be, as we head into FY' 24, '25, we will give you an update of where we are likely to sort of head in terms of revenue growth as well as our margin guidance, which we will be able to do towards the end of Q4 when we meet for the next conference call.
And with that, I think we pretty much covered whatever we had to say, and I'll hand it over to Asha again to close the call now.
Moderator: On behalf of Latent View Analytics Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2024

April 04, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Analyst Call held on March 28, 202 4
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Analyst Call held on March 28, 2024, post announcement of Board approval for Acquisition of Decision Point Private Limited
The transcript is also uploaded on the Company's website at
https://www.latentview.com/investor -relations/financial -results -reports/

This is for your information and records .
Yours Sincerely,
Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer

"Latent View Analytics Limited -
Decision Point Private Limited Acquisition
Conference Call"
March 28, 2024

MANAGEMENT : MR. RAJAN SETHURAMAN – CHIEF EXECUTIVE OFFICER
MR. RAJAN VENKATESAN – CHIEF FINANCIAL OFFICER

MODERATOR : MS. ASHA GUPTA – E&Y LLP, INVESTOR RELATIONS

LatentView Analytics Limited
March 28 , 2024

Moderator: Ladies and gentlemen, good day and welcome to Latent View Analytics Limited's discussion on acquisition of Decision Point Private Limited . As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. And now I hand the conf erence over to Ms. Asha Gupta Investor Relations, E &Y LLP. Thank you and over to you, ma'am.

Asha Gupta: Thank you, N eerav. Good evening to all participants and thank you for joining us in this call. This call is to discuss Latent View Analytics signing a definitive agreement to acquire Decision Point P rivate Limited . The press releases have already been mailed to you and you all can also view it on the website www.latentview.com . It is also uploaded on stock exchanges. We would recommend to stick to the questions only related to the acquisition , that is a request and this is a 30 -minute call, hence request to all the participants to restrict your questions to two per person , so that management can address most of the questions.

To take us through the call today and to answer your questions, we have the CEO of the company, Rajan Sethuraman , whom we will be referring to as Rajan, and we also have the CFO of the company, Rajan Venkatesan, whom we will be referring to as Raj, to avoid confusion while doing the transcript. Rajan will start the call and he will be going through the update of the transaction, followed by Raj, who will share the financial details, and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included , but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.

Rajan Sethuraman: Thank you, Asha, and thank you all for joining this investor briefing call related to our transaction. It gives me great pleasure to have this conversation with you all because in some sense it's been a culmination of nine quarters of effort , ever since we did our IPO in November 2021. You would all recall that we had actually set aside a certain quantum of funds that were raised through the IPO for inorganic growth opportunities. Since this is our first acquisition, we have been patient and diligent in progressing this, but we are extre mely happy and thrilled to report that we have been able to identify, have conversations, and get aligned with Decision Point, the new s about which has been shared with you all today.

Decision Point is particularly interesting for us because they bring phenomenal capabilities in a few areas, top of them being revenue growth management in the CPG space, and secondly, they have been also building a very strong Gen -AI-based solution that makes the job of consumption of analytics and insight very easy for CPG customers. CPG consumer retail is an important area of focus for Latent View Analytics as well, and it is one sector where we are doubling down on the investments that we are making and where we believe that there is significant growth potential. This acquisition of

LatentView Analytics Limited
March 28 , 2024

Decision Point actually adds a lot more expertise and capability , in addition to solutions and IP for us to continue that trajectory in terms of growth that we are anticipating in the CPG space.

One

very important point here is that in addition to the financial and legal and other due diligence that we have done as part of this transaction, we are also extremely happy that there is a great deal of alignment in terms of culture, people, capabilitie s, and values and I believe that that is extremely important in realizing synergy benefits both on the business side , as well as in terms of how we can run a more efficient business.

We believe that the capabilities that both parties bring to the table are complementary and we will be able to enhance our prospects in the target market side that we are looking at. Decision Point already has a presence in Latin America in addition to a g rowing presence in the US and Europe. The investments that we have made in recent times on the go to market side in the US and Europe are going to be a fairly important aspect of how we'll be able to take the solutions from Decision Point around revenue gr owth management , as well as conversational analytics into those markets as well.

Likewise, our capabilities in the area of supply chain, in the area of R&D and innovation are also exciting prospects for Decision Point's existing customers, and we will be taking this joint bouquet of solutions across these areas for new customers in the CPG space as well.

So overall, we are very excited by what we can accomplish in the next two, three years. We expect that our CPG business will be even stronger and grow faster on the back of this acquisition, and it will contribute a significant percentage of revenue in a t hree-year timeframe.

With that, I will hand it over to Raj to touch upon some of the financial aspects.

Rajan Venkatesan: Thank you, Rajan. Good evening to one and all. It's in fact, like Rajan mentioned, it's a great pleasure for us to be on this call today because I think in some sense after our IPO, this would happen to be the next biggest announcement or sort of event in the company's history .

So like Rajan mentioned, there was a certain amount of money that was raised as capital, which was earmarked towards inorganic expansion. And while it's taken us a good portion of nine odd quarters for us to get to this point, one of the aspects that we've been very keen on is not acquire a company just for the purpose of buying revenue or scaling, but it has to make strategic sense for us. And in that sense, Decision Point is a very strategic acquisition for us because one, they focus on the CPG vertical, which is a core focus vertical for us. Today, our CPG practice is close to about $5 million in revenue. We believe that with the addition of Decision Point, this business is poised to become the second largest vertical for Latent View after technology.

Secondly, in terms of the company's financial profile . Just in terms of the way they've grown over the last four years, if you look at their last four year track record, up until the year before, they follow a calendar year, up until CY '22, if you look at their CAGR for the last two plus years, they were growing in excess of 50% year on year.

The last year, which I think has been sluggish for most of the players in the technology, even in that year, they've grown at close to about 20% plus, which is pretty phenomenal. And that was one of the big highlights of the acquisition for us.

In terms of the revenue for CY23, Decision Point clocked close to about $12.8 million in revenue, with EBITDA margins close to about 30%.

In terms of their geography split, you will note that a lot of the growth that they clocked in CY20, CY21, and CY22 was on the back of the expansion that they were able to achieve in LATAM. But one of the, highlights for us is the US market for Decision P oint in the last one year ha d grown from close to about $500K to about $3.5 million of the $12.8 million that we spoke about. So, the US market has grown exponen

tially for Decision Point, which, again, happens to be a focus market for us.

Rajan also spoke about Beagle, the product. That's, again, a very interesting solution and a capability for us, because we believe that it has use cases not just for the CPG industry. It's a product that can be positioned to several of our clients who ar e not in the CPG vertical as well.

So, all in all, I would say, from a strategic standpoint as well as from a financial standpoint, Decision Point is a great fit for LatentView. And we believe that there are significant synergies, especially on the go -to-market side, that can be unlocked as we move ahead. And we really hope that the first acquisition that we've done will be able to add, one, strategic value, and two, also help each other grow and make the sum of the parts much greater than what the individual values would be.

With that, I would like to hand it over to Moderator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Thanks for the opportunity and congratulations on a very good quality acquisition. So, my question is around the margins. You mentioned that this company is operating at about 30% margins or maybe more. But if I look at the revenue per employee, they are probably operating at about $35,000 a month. LatentView operates somewhere near $50,000 a month. So probably LatentView's gross margins are higher, but the acquisition that we've done, the gross margins seem to be a tad lower. So, the higher EBITDA margin is prob ably coming from the opex. Is that understanding, correct?

Rajan Venkatesan : Vimal, not really. I don't think that's an accurate description. While you're right on the revenue per employee being lower, you'd also have to appreciate the fact that we have a fairly large onsite presence where we have people sitting out of the US deli vering work. And typically, the billing rates for folks in the US is probably two and a half, three times of what we are able to charge in India . So that for us, one fifth of the workforce that we have, or the billable people that we have sit out of the US.

But in the case of Decision Point, almost entirely, their entire workforce sits out of India. They have a few folks in LATAM and maybe a handful of people in the US who are in delivery roles. But 95% of their entire delivery team sits out of India, which is why you will see that their revenue per person is slightly lower.

Now coming to the gross margin profile of the business, I would say it's very comparable. If you were to look at the margins, just for the offshore business on a standalone basis without including the onsite business, we have very comparable margins, which are in excess of 60% plus . So very comparable gross margin profile.

The profitability, to your point, on the fact that, is it on account of lower opex, specifically S&M? Maybe some of that is partially true, but I would also like to highlight the fact that Decision Point has a fairly large investment that they've made in developing their product capability . So, there's a team that is exclusively dedicated to building out the product Beagle . And therefore, that's a cost that they have to absorb. So, I would say, net -net, the 30% EBITDA margin profile that we spoke about, on e, obviously comes from the high gross margin that they're able to realize. And two, they also run a fairly tight shop at this point in time But it's also a question of the current base at which they are. As we go along, obviously, as we've also experienced, when we've grown, you have to make investments in sales and marketing, bu t their current margin profile is not because of low opex. So that statement of yours is probably not accurate.
Moderator: Thank you. Vimal, I'l

l request you to come back for a follow -up question. Next question is from the line of Hitesh from Steinberg, India. Please go ahead.
Hitesh: Thanks for the opportunity and congratulations on a good deal. My question is, if you look at their numbers, revenue more than doubled in FY23 and profits more than quadrupled. So just wanted to understand, was there any big order win or a one -off deal that happ ened that caused this? And how should we think of the current run -rate of the business?
Rajan Venkatesan : I think the result that we put out as part of the stock exchange disclosure specifically covers only the standalone results. So, what you will see is only the standalone results for the Decision Point entity in India, because they were a private limited company, and they didn't have a requirement to publish consolidated financials. But even net -net your assessment is right. Their revenue, like I mentioned, grew by 50% plus in FY23 compared to FY22 . So, a lot of the profit jumping was obviously because of th e operating leverage that they were able to realize, right, on the back of the higher revenue that they booked in FY23.
Moderator: Thank you. Hitesh, can we come back for a follow -up question? The next question is from the line of Karan Uppal from PhillipCapital. Please go ahead.
Karan Uppal: Thanks for the opportunity. Two questions from my side. Firstly, if you can speak about the revenue growth management capabilities, which Decision Point adds to the table, you seem to be quite excited about it. So, some color on that would be helpful. And second is, what's the client profile of this company? Do they have large Fortune 500 clients? And any common clients of LatentView and Decision Point?
Rajan Sethuraman: Hi, Karan, thanks for the question. You are right. We are really excited by the possibilities in the area of revenue growth management. In fact, I kind of alluded to it in my opening remarks. There are three areas that we are particularly excited about. One is the entire R&D and innovation space. And our smart innovation solution plays there. The second is supply chain management and related aspects of demand forecasting, on -shelf availability. And that is where our connected view probably plays well. The third area has been revenue growth management. In some sense, I would say that revenue growth management is top of mind for the Chief Commercial Officer, Chief Revenue Officer of CPG organizations today. And there's been a significant push even in the last couple of years on this topic. We believe that the RGM capabilities that Decision Point brings are really superlative. And they have been able to even displace larger consulting firms in terms of the quality of the work that they do.

Specifically, on what it entails, there are three, four areas that get a lot of attention. One of them is pricing. The second is promotion. The third is assortment. For example, there is a lot of opportunity to use data analytics to optimize on all these fronts. And that is what the role of revenue growth management is in terms of how do you make sure that you're getting the right kind of inventory of the right pack s izes in front of the customers at the right price points . And using the right promotion. So that's the p lay really. And there's a lot of action happening on the front. So that is what we see on the revenue growth management side.
On the customer list, very similar profile to what we have at LatentView Analytics. Decision Point has been working with large Fortune 500 companies. In fact, many of them are leaders in their space. We are not at liberty to share the names of the clients at this point in time. Maybe we will be able to do that later on. But I c an give you confidence that they are all in the Fortune 100 list even. And very similar kind of profile to organizations that we work with.
Ra

jan Venkatesan: I think you had one more question on whether there's any client overlap. So, there is no client overlap between us and Decision Point at this point in time, except for maybe one client. All the clients are unique. And in that sense, in all the clients, there's absolutely no overlap at all.
Moderator: Thank you very much. Next question is from the line of Manan Poladia from MKP Securities. Please go ahead.

Manan Poladia: First of all, congratulations on your acquisition. I said that I'm very excited about this. Rajan, the last time we spoke on the Q3 Earnings Call, you'd mentioned in detail your three -pronged approach to generative AI. And specifically in the CPG segment that you checked. Now that you've acquired Decision Point, I'm assuming there must be some sort of strategy change with respect to how we want to approach generative AI. That's my first question.

Secondly, the last time we spoke, you said we have about $650,000 in a single deal win on generative AI from some specific strategic customer. Now with the acquisition of Decision Point, how does our generative AI mix as a percentage of revenue change?

Rajan Sethuraman: I mean, there is no major shift in strategy as far as Gen -AI is concerned. In fact, if you remember, I had mentioned those three things that you alluded to. First is that we will be building core Gen -AI products and solutions, like the laser that we have t alked about, an AI pen pal, for example. The second was to embed Gen -AI wrappers into our existing solutions and value propositions. And the third was to use Gen -AI to drive internal productivity, which we could then potentially pass on t o even the customers. This was a three -pronged strategy.

Decision Point's Beagle plays into the first piece of the strategy that I mentioned. Their Beagle product is very specific in terms of bringing domain knowledge and understanding in the CPG space, in particular, that allows B2B users of data analytics and decision makers to query their own internal data and the analytic analysis that they do and the insights that they generate, so that they can more effectively understand and apply them in their decision making. So that's what Beagle allows.

So, it's very complementary and related to our strategy, but it is a unique solution in the sense that there is so much of CPG domain expertise that's been baked into that space. So, in some sense, it's

very much aligned with our earlier strategy. Beagle already generates about a million dollars of revenue. So, with the addition of Beagle, our own Gen -AI quantum of revenue will go up. I mean, thanks for recalling the $600k plus project that we won, that I talked about. Since then, there have been more pieces of work as well that we have signed on.

In general, we see a fairly significant uptick as organizations are transitioning from just talking about applying Gen -AI capabilities to evolving very particular use cases. So, for example, very recently, we are signing up with one of the banks in Europe that will help them use Gen -AI for generating analyst reports. I know that a lot of you on this call are analysts, but the interesting part is that the bank is examining whether the analyst reports that they put out on the stocks that they monitor, the fir st version of that can be generated using Gen -AI. And that's what we are going to be helping them with.

Moderator: Thank you. The next follow -up question is from the line of Vimal Gohil from Alchemy Capital. Please go ahead.

Vimal Gohil: Thanks for the opportunity again. Rajan, if you could just highlight what are we doing to sort of retain the senior management there? Will they continue in the same roles? How do we sort of integrate the senior management there with us? Are there any ESOPs that we are going to offer? Or what's the plan there? Thanks.

Rajan Sethuraman: Yes, the plan i

s to have the senior management team of Decision Point continue to run their business.

But we are also planning, and we are going to be executing points of integration in several areas. So first off, Ravi Shankar, who is the founder and CEO of Decision Point, will come on board and he will become the overall lead for the combined CPG practice. And this is going to t ake effect immediately.

In addition to that, we have identified one of our strongest delivery managers who used to head up our technology delivery to come in and take charge of the combined delivery of work that happens in the CPG space. In addition to that, there are other point s of integration just on the business side in terms of the people we have at the front end from a go -to-market perspective, the client partners and the account managers. So, all of this will now become one CPG vertical for us right from day one. In additio n to the structural changes and the roles and responsibility that it entails, we are also putting in mechanisms to ensure that this combined CPG practice attains a certain target by year three. So, there are earnouts that the Decision Point team will get based on how they perform at Decision Point, but there are also additional incentives that we are putting in place for the performance of the combined CPG practice. So, these are all things that we're going to be implementing from day one.

Part of the consideration of this deal is also in relation to retention bonuses that will be paid to key personnel. So, we are putting in all of these mechanisms in place to make sure that one, we are able to operate as one combined team, and secondly, everybody is aligned on the same goals and targets.

Moderator: Thank you. Next question is from the line of Arvind Chetty from Dymon Asia Capital. Please go ahead.

Arvind Chetty: Hi Rajan! Thanks for taking the question and congrats on the good acquisition. Just wanted to clarify in terms of revenue, Decision Point is about $12.8 million in CY'23, right?

Rajan Venkatesan: That is correct.

Arvind Chetty: Okay, because the press release that you've given indicates about INR80 crores of revenue ?
Rajan Venkatesan: So, like I mentioned, the press release only gives out the standalone performance of the India entity. They are a private limited company . Because we have to give audited financials over there. And they operate in other markets, which are LATAM and the US today. And there is no requirement for us to do an audit in those geographies. And because of which the company at this point in time, whe n they continue to be a privately held company, they are not publishing consolidated financials. So, for the purpose of the stock exchange disclosure, what we've disclosed is the standalone figures. But the $12.8 million number that we put out in the investor presentation is actually the consolidated picture.
Moderator: Thank you. Next question is from the line of Satyam Aggrawal from Yashwi Securities. Please go ahead.
Satyam Aggrawal: I just wanted to confirm, when will we be able to see the consolidated number of both entities?
Rajan Venkatesan: So as is customary in a transaction like this, we expect that there are, of course, a few condition precedents. So, while we signed the definitive agreements today, there are a few conditions that need to get closed out before we can formally pay out the consideration. And from that point in time, we will be able to consolidate the financial results of Decision Point. We expect that this process could take anywhere between 30 to 60 days . Based on the list of activities that need to get completed . So, our expectation at this point in time is somewhere in the middle of Q1, we will be able to complete all the closing formalities. And end of Q1, you may not get a full quarter view of the current. But Q2 onwards, you'll be able to see financial results

for LatentView as well as Decision Point.
Moderator: Thank you. Next follow -up question is from the line of Vimal Gohil from Alchemy Capital. Please go ahead.
Vimal Gohil: Thanks again. Rajan, if you just highlight, how does this acquisition change our aspiration of increasing our consulting mix? Does it really change that or there is no change out there because of this acquisition? And you also mentioned the product capabili ties for Decision Point. Would you be able to give us a split between product and services for the acquisition?
Rajan Sethuraman: Yes, we can do that. I mean, so on the consulting capability, absolutely yes. RGM is one of those areas where you have a fairly significant amount of thinking and interaction with the senior most stakeholders on the commercial side in any organization. So tha t's something that we believe will add to our consulting inject capabilities in terms of just the play that we are making in that space.
If you look at the nature of the work, the Decision Point has been doing in the area of RGM, a lot of it is fairly consulting oriented just in terms of the fuzziness of the problem that you need to go after. And the kind of iterative problem solving that i s called for. So therefore, we see this as an addition to our consulting capabilities.
Secondly, at this point in time, Beagle as a product is only about 5% to 7% of their revenues and the rest of it is all services revenue. But we are expecting that the Beagle product revenue will grow much faster in the coming years, and we are expecting that it could potentially reach somewhere between 10% to 15% over a two -year period.

Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I will now hand the conference over to the management for closing comments.
Rajan Sethuraman: In closing, I would say that this has been a fairly intensive period of work for us over the last couple of years, ever since we did the IPO. As I mentioned earlier, we have been fairly careful in terms of evaluating opportunities that have been presented in front of us, not just in terms of data analytics maturity and expertise and solutions, but equally important from a culture integration standpoint. And we want to ensure that whoever we bring in, right, there is a great deal of alignme nt on that front as well.
I would say that with that Decision Point, we are very happy that we have been able to find alignment on all of those different areas. Of course, the hard work of getting the integration plan executed and many of the synergies being realized still remains ahead of us. But based on all of the interactions so far and the commitment, passion, interest displayed by both sides, I am very happy with the progress that we have made. And I believe that we have the right foundation in place to try to execute well on this. So obviously, we'll have more to share within the coming quarters as we're able to execute that plan. Thank you all for joining today and wish us well as we begin this new phase of our journey.
Moderator: Thank you very much. On behalf of Latent View Analytics Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: May 2024

Classification: Internal Contains PII: No

May 14, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call held on May 07, 202 4

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on May 07, 202 4, post an nouncement of financial results of the Company for the quarter and year ended March 31, 2024.
The transcript is also uploaded on the Company's website at
https://www.latentview.com/investor -relations/financial -results -reports/#financial -results
This is for your information and records .
Yours Sincerely,
Thanking you,
For Latent View Analytics Limited

____
P. Srinivasan
Company Secretary and Compliance Officer

"LatentView Analytics Limited
Q4 FY24 Earnings Conference Call"

May 07, 202 4

MANAGEMENT :
MR. RAJAN SETHURAMAN – CEO
MR. RAJAN VENKATESAN – CFO

MODERATOR :
MS. ASHA GUPTA , E&Y LLP, INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day and welcome to LatentView Analytics Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*"and then "0" on your touch -tone phone. Please note that this conference is being recorded. I now hand the

conference over to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you, ma'am.
Asha Gupta : Thank you, Steve. Good evening everyone and welcome to Q4 and Full Year FY24 Earnings Call of LatentView Analytics Limited. The Results and Presentation have already been mailed to you and you can also view them on the website, www.latentview.com . In case anyone does not have the copy of Press Release or Presentation or you are not marked in the mailing list, please do write to us and we will be happy to send you the same.
To take us through the results today and to answer your question, we have the CEO of the Company – Rajan Sethuraman, whom we will be referring to as Rajan, and we have the CFO of the Company – Rajan Venkatesan, whom we will be referring to as Raj. This is just to avoid the confusion while doing the transcript. We will start the call with a brief update on the Business , which will be given by Rajan and then followed by financials given by Raj.
As usual, I would like to remind you that anything that is mentioned on the call that reflects any outlook for the future or which can be construed as forward -looking statement must be viewed in conjunction with the risks and uncertainties that we see. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports that you can find on the website.
Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.
Rajan Sethuraman : Thanks, Asha. And thank you all for joining this investor call.
I wanted to first of all kick this off by saying that this year, while it has been a bit of challenging year for most organizations, we are very happy with the kind of performance that we have been able to put out , close to 19% growth under uncertain economic conditions. I am sure that many of you are following the results of other companies in the space, and you have been witnessing the impact that the macroeconomic scenario has been having on these organizations.
Of course, in Quarter 3 , we were a little bit more optimistic about how Quarter 4 could turn out for us given the conversations that were happening at that point in time. I do have to indicate that some of those conversations are taking even longer to transpire. And therefore, our Quarter 4, quarter -on-quarter growth has been only of the order of 3.6%, though the year -on-year has come in at 21.7%. Overall, I feel that the general sluggishness and uncertainty, while it is resolving, it is still going to take some more time for it to play out.

We are energized by the fact that all the renewals that we want to do by the end of the year, they are all done. And we are able to start the year on a fairly solid footing. But of course, the challenge around winning large discretionary projects continues to remain. I think that the confidence in undertaking initiatives that are anchored around new ideas and innovation will take some more time. There will be, of course, a lot of pilots and experimentation that will happen. For us as well, that has played o ut well in the fact that we have won six new additions to our account list where projects have been kicked off. We also saw a lot of new initiatives on a smaller scale being kicked off by our existing acco

unts and our existing stakeholders. So, all
of that gives confidence that the general interest and experimentation is still on, especially around areas such as generative AI and leveraging the entire large language model and GPU technology that is available.
On that note, some of the highlights that we had this quarter, other than the additions to the client list itself, we saw a good traction in terms of our generative AI solutions and our pilots. We were able to kick off a lot more. Our laser and AI Penpal s olutions continue to find traction in the marketplace. And there are new conversations that we are adding to the list with every passing week.
We also formed a partnership with NVIDIA on the generative AI tech stack. You all know that NVIDIA has been the leader in terms of the GPU technology and the chipsets. And there is a huge waiting line for NVIDIA GPUs in general, given the huge amount of in terest that the world is witnessing on large language model and gen AI in particular. NVIDIA has also been looking at how they can create more stickiness by not just doing the chip on the hardware part, but also creating a tech stack that can enable the us age of the GPUs to deliver on use cases that can give business impact. So, this tech stack is what we are leveraging in the partnership with NVIDIA. And we have been working on multiple use cases with clients as well as some internal pilots. And early results are very encouraging, especially in areas where you need a huge amount of compute to handle streaming data and create real -time analytics and insights from thereon. So, the NVIDIA partnership is something that we are really excited about.
We also launched a marketing analytics center of excellence in horizontal. We have been doing a lot of work in marketing analytics over the years. We felt that on the back of all of that, it's a good time to put our arms around some of the latest and great est that is happening in that space, especially around full funnel growth marketing and how we can look at B2B companies for

revenue generation through marketing mechanisms. These will be areas of focus for the marketing analytics team. And they're also go ing to be leveraging gen AI solutions for creating that kind of use cases and value propositions.

You have already been updated about the acquisition of Decision Point. We are still in the final stages of diligence and paperwork. Expect that this could take another 3, 4 weeks for us to conclude. The last couple of weeks, I and some of our leadership te ams were in the U.S. and in Mexico meeting up with clients of Decision Point as well, and we were very energized by the

conversations that we have had with them in terms of, one, just the stickiness and the quality of work and the impact that Decision Point has been delivering. But more importantly, the synergy opportunities that come about because of interest in the soluti ons that LatentView has built in the area of R&D and innovation, in the area of supply chain, on -shelf availability. These were solutions that were of interest to the stakeholders and clients of Decision Point as well. And on the flip side, we also see a g reat deal of interest amongst our sales and client partner personnel in bringing the RGM solution that Decision Point has built into the clients that we work with on the consumer package good side. So, overall excited by the progress there, and we are expecting that more will happen right in the coming quarters on the back of Decision Point. In fact, if I were to kind of put out our projections and expectations in a two -year timeframe, we are expecting that our consumer package goods practice could pot entia lly get to about 20% of our revenue on the back of this acquisition and further investments that we will make in that area.

Finally, I just wanted to wind up with one other exciting thing tha

t happened this quarter. We

were selected as the Partner of the Year by the International Myeloma Foundation, and I was in New York a couple of weeks back to receive the award. Very excited about that because while a lot of the work that we do for our clients is in the area of top -line and bottom -line impact, given that they're a for -profit organization. The International Myeloma Foundation is a not -for-profit organization that has been focu sed on helping patients diagnosed with myeloma to, one, understand their scenario and context better, and then start preparing for how they can handle the situation, shortening what we call the time to hope so that they can find the way by which they can g et back on the recovery track. So, we have been helping build the kind of data platform that is necessary to assimilate information from multiple sources so that doctors and caregivers and patients can get a full 360 -degree view of everything that impacts them on their journey to recovery. So, this, in some sense, is really a life -or-death type of challenge that we have been tackling, and I think this is a matter of great pride for all of us that we have been able to impact this in a meaningful fashion. So, more to come along those lines in the quarters, hopefully working with the International Myeloma Foundation and other similar organizations.

With that, I will pass it on to Raj to touch upon the financial highlights .

Rajan Venkatesan : Thank you, Rajan. Good evening, everyone. Thank you for joining us in our Earnings Call . This will be the last Earnings Call for the Financial Year FY24, and we are happy to sort of end the fiscal on a strong note . While I know at the beginning of the year, I think we had planned for a much faster rate of growth, like Rajan just elaborated, the overall macroeconomic environment continued to be fairly challenging through the year, and therefore, we are particularly d elighted that despite the overall sentiment being quite muted, even now, we managed to deliver a 1 8.9% growth year -on-year basis.

Traditionally, Q4 of a fiscal is, in some sense, it's a bit of a soft quarter for us, because Q3, which is the last quarter of the calendar year, tends to be the strongest, and in that sense, Q4 is generally

soft compared to the Q3 quarter. We are happy to report even in despite that overall trend, you are still able to clock a decent 3.6% growth on a quarterly basis, and a 21. 7% growth on a year -on-year basis . In constant currency terms, we grew by about 3.8%. I think for this particular quarter, we have had overall a bit of a depreciation on the dollar compared to the previous quarter . So, that also had a little bit of an impact on overall rupee -denominated growth .

In terms of the other income, our other income for this particular quarter stood at about Rs. 15.8 crores, a decrease of about 31 .3% on a sequential basis, which is fairly large. This was primarily driven by a swing in the forex losses. These are essentially loans that have been given by LatentView India to its group companies in Europe as well as the U.S. We had a gain of close to about Rs. 5.5 crores in the previous quarter. In this particular quarter, we had a loss of about Rs. 1.5 crores on account of the reinstatement of offset loans, and that sort of offset the other income that we clocked for Q3.

But from an operating standpoint, EBITDA for this quarter stood at Rs. 40.4 crores, reflecting a growth of about 9.8% on a quarter -on-quarter basis and a 34. 04% on a year -on-year basis . We are also happy to report that we delivered to the promise that we had put out at the beginning of the year that our EBITDA margins will inch back towards the historical levels of 25% -plus levels by the end of this quarter. Of course, we would have ideally lik ed this to be largely driven by revenue growth, but we have been able t

o get to these levels through a combination of revenue growth as well as strong fiscal discipline that we were able to exercise, plus some of the operating efficiency that we were also able to see in Q4 of the current fiscal . One of the other factors that also led to, in some sense, the EBITDA margin improvement was some level of rationalization that we had done in some of the G -team investments that we had made in Europe, where some of those, based on performance reviews, we did some bit of rational ization in our go -to-market spend specifically, which also resulted in the margin expansion in this particular quarter .

Our PAT for this quarter stood at about Rs. 45. 2 crores, reflecting a decline of about 2.8% quarter -on-quarter and a growth of about 32 .2% on a year -on-year basis .

On a full -year basis, revenue stood at about Rs. 640 .7 crores, reflecting a growth of 18.9% . And as we had outlined at the beginning of the year, the endeavour was to drive growth in the range of 25% to 30%, even if that meant that we had to sacrifice margins a little bit. I think some of these actions that we took at the beginning of the year, where we went ahead of the curve and we made a lot of significant investments, we have also re -evaluated and re -calibrated some of those investments that we had made . And we believe that the current EBITDA margin levels are sustainable going forward as well, if you are able to repeat the revenue growth that we clocked in the current year.

In terms of the overall geographical split of revenues, the US continues to be the dominant geography, contributing 95% of overall revenues. Europe contributed about 1.4% to the overall revenues . But we are seeing good traction in Europe. Raja n spoke about revenue growth being

also driven by some new logo additions. We continue to see add new logos in both Europe and the US, which is quite promising for us . Ideally, going forward, in the coming fiscal, we would want Europe and APAC to contribute at least 5% to 6% of our overall revenues, and we will be able to give a better outlook on the contribution of Europe as we get into FY25 .

Overall, in terms of our balance sheet, our cash and cash equivalents, excluding the IPO money, stood at Rs. 1,100 plus crores as of 31st March 2024 . The Decision Point acquisition will be funded through a combination of money that we had raised through the IPO. You would recollect that we had earmarked about Rs. 147 crores out of the IPO money towards inorganic expansion, so we will be fully utilizing that as a part of the Decision Point acquisition. Incrementally, the additional outflow that will happen, which will be close to about Rs. 180 odd crores, will be funded entirely out of the Company 's internal cash accruals .

Our overall headcount for the quarter stood at about 1,280 people. As we have always highlighted, we will continue to invest in people. We onboarded close to about 133 people from campuses in this particular quarter . And as we head into FY25, we are fairly optimistic that some of the relationships that we have built through the course of FY24 will start yielding results and our strategy will play out positively.

With that, I am going to hand it back to Asha, and we can open the floor for Q&A.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil : Sir, my first question is overall on the growth and the margin outlook that you provided, in a very turbulent year, you have been able to sort of grow at high teens in dollar terms . So, just on the trajectory and especially after the acquisition that we have taken, you look at the synergies that we will have that will prove to be an additional lever. Maybe the environment could bottom out

in the first half . So, in the second half, we could see material acceleration. Any thoughts on that? And th e second question is on margins. Given the fact that Decision Point operates at 30% EBITDA, we front -loaded some of our investments. And despite that, I think you mentioned that the margins could remain at these levels. So, if you can just maybe clarify th at your comment on EBITDA margins, was it including the acquisition or excluding that?

Rajan Sethuraman : Vimal. Rajan here and thanks for the question. In terms of the growth that we are expecting, obviously, it's good to be optimistic. But you will also recall that when we started out the previous year, the expectation was kind of similar, that the first h alf will be a little separate and things will pick up in the second half of the year. Now, reality has been a bit more challenging than that, with the uncertainty and the sluggishness extending right throughout the year.

And at this point in time, the general commentary that you will be hearing from other companies as well is that we are still not out of the woods and it will take some time. As I said, we are energized by the fact that all of our ongoing work has been renewed entirety and we have a good foundation. The pipeline building, though, I would have to admit that it could have been much better in comparison to where we are today. There are a few opport unities that are large, $2 million and more. But larger opportunities, especially if these are new initiatives, they are taking a lot more time to fructify. And the expectation is that we will start to see some acceleration, in the coming quarters.

So, I would say that we are still cautiously optimistic about how things can pan out in this year. Of course, the addition of new capabilities such as revenue growth management that is coming on the back of the Decision Point acquisition, plus also the investm ents that we are making into the marketing analytics horizontal, the NVIDIA partnership, the Microsoft fabric ecosystem, these are all things that we expect will pan out well for us in terms of creating new conversations and opportunities. And therefor e, we should see an uptick on the back of all of these things. So, yes, that's where we are in terms of still cautiously optimistic about things will pick up. I will request Raj to comment on the margin impact of the acquisition.

Rajan Venkatesan : So specifically, on the margin impact of the acquisition, obviously while the Decision Point does operate at 30% plus EBITDA margin level. Definitely in that sense, the acquisition will be EBITDA accretive for us once we start consolidating these numbers . But again, we will also have to appreciate that at the current size, Decision Point is roughly at about 1/7 of the size of LatentView . So, therefore, it will not meaningfully move the needle in terms of an overall EBITDA expansion .

Now in terms of our own organic EBITDA goals for the next year, our goal would be to stick to this band, where we have operated in between 21% to 23% for this year . We will still continue to invest for growth and we will keep looking to invest in capability building as well through the year. So, I think from a go -to-market standpoint, I would say a lot of the investments that we wanted to make are already fully baked in . I am talking about account managers, I am talking about farmers and hunters that we hav e in the market. So, most of those investments are all fully baked in. Where we may still continue to incrementally invest would be on the capability building side, where we are either building some of the new age solutions, Rajan spoke about the Gen AI, some of the interestin g solutions that we are building. It could be in partnerships , it could be in marketing events . There we will, I would say, front end some of the investments in the beginning of the year, in

the first half, because that's the only way we will be able to bu ild momentum and pipeline as we get into the fiscal . So, I would say definitely for the first half, we will continue to remain in this band of 21% to 23%, and the growth comes back to the 6% to 8% and the 10% sequential quarter growth. We should be back at the 25% EBITDA margin levels towards the end of the year , but definitely for the first half of the year, we want to remain in the band of 21% to 23%.

Moderator : The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Sir, on the growth part in FY25 versus FY24, so if you could help us give, or maybe from a pipeline perspective, you spoke about it, that pipeline is not as great as you would have expected. But can you give some perspective on a YoY basis, how is it looking? And also, if you could comment a litt le bit on the TCV side, like is it up, down, flattish. So, how should see numbers panning out in FY25?

Rajan Sethuraman : Hey, Mohit. This is Rajan. The pipeline is obviously larger than definitely at the start of the last year, or even at the midpoint of last year. What I meant is that we would have liked to see more large initiative opportunities in the pipeline. Much of the conversation still seems to be incremental in nature, and that is where I think the uptick will start happening when we have even larger conversations that get into the pipeline.

But having said that, it is where we are at this point in time would be that the confirmed revenue that we have on the order book that's 100% confirmed, plus the extensions that we are at in the second half of the year, largely, they already add up to more than what we have done as revenue for the last year, because the run rate that we have at the end of quarter is really what is going into the next year. So, we are a tad above the revenue that we would have done for the last quarter. The pipeline, at this point in time, if I take the pipeline and then apply probabilities on that, and then I look at what that will get us, it will give us a further growth of close to 20% of what we have done for the last year. Now, of course, there is this job of converting the pipeline, and then there is the job of adding more into the pipeline as well.

So, in some sense, based on all this, what guidance we can provide at this point in time will

probably be around a similar kind of a growth rate compared to what we have seen in the last year. Now, the expectation will be that we will be able to fill in more into the pipeline, as well as improve the chances of conversion as we go along. Now, some of the things that I talked about earlier, in terms of the investments that we are making in the marketing analytics horizontal, the fabric e cosystem and the partn ership, these are all expected to provide more fillip. What I am saying right now, though, is the organic part of it. We have not factored in the revenue that will come in from the acquisition. Of course, the inorganic acquisition -related revenue will be all on top of what I am talking about. So, that's where we are at the start.
Mohit Jain : So, organically, we should be very similar to FY24 from a growth standpoint, and also from a margin standpoint.
Rajan Sethuraman : That's correct, yes. Broadly, that's the kind of guidance that we are able to give at this time.
Mohit Jain : And second, we were very positive on Q4 at the beginning of the quarter. And while we ended up slightly slower than what we anticipated, so is there some cancellation involved here or do you think it is just the elongation of deals, which is resulting in to slower growth? Or maybe in just a gap of 3 months, the growth is slower in Q4 versus what we anticipated earlier?

Rajan Sethuraman : There is no cancellation. We a

re not seeing any adverse developments at all. It's just that the optimism that we had in the first half of the year, and even getting into Q3, some of that is taking much longer to really convert. So, we were expecting that we would close a few more opportunities and then commence work on them in Q4 itself. What I see right now is that these have taken longer. Some of these are very interesting opportunities. In fact, there are at least 2, 3 of them, which ar e at least $0.5 million dollars plus in terms of the revenue side. Sitting today, I mean, for the first quarter, we see that the growth could again be back in the 6%, 7% range, quarter -on-quarter. But of course, I mean, we have like a month and a half rema ining in terms of getting some of the work underway. We will have better clarity on how Quarter 2 and the rest of the year pans out over the next couple of months. But at this point in time, I would say that, yes, it's Q4 being tepid is largely a matter of decisions getting delayed and no adverse development in terms of ongoing work.
Mohit Jain : And last for Raj, so we will be integrating from Q1 for the entire quarter, is that correct?
Rajan Venkatesan : So, we will not be able to get the full benefit of Q1, Mohit, if I can answer it correctly. Our target date for closing the draft was initially around the 15th of May, but there are some regulatory approvals that need to come in and some of these things are so rt of beyond the control of the companies. So, it may take us a week or 2 more to get this done. So, hopefully, our endeavour is to at least get 1 month of results consolidated with this month. We will start seeing the full benefit of the acquisition from Q2 onwards.
Moderator : The next question is from the line of Srinath V from Bellwether Capital. Please go ahead.
Srinath V : I wanted to understand how did Decision Point perform in Q4 for the full year, if you could share some numbers? How are we progressing on integrating Decision Point with our CPG business? Our CPG business probably did not have a kind of suitable performa nce that we would have expected at the beginning of the year. So, how are you looking at it? And from my understanding of Decision Point, do they have the kind of capabilities for developed markets or are their products more suited for developing markets where we may also have some sales network where we can take them to? So, can you kind of explain how Decision Point and our CPG business will move forward, say with a kind of a 3 -year outlook? That would be great.
Rajan Venkatesan : Srinath, I will take that first question on the full -year performance. So, this is something that we had also indicated when we did the press conference on the back of the acquisition announcement. So, for the full year, their last fiscal, their revenue was close to about $12.8 million in revenue. And their margins, like we have mentioned, were in excess of 30%. So, that's what they recorded for the whole of last fiscal. They are, of course, from an outlook standpoint, given the smaller base and also the fact that they operate in fairly high growth areas of RGM as well as Gen -AI, the expectation is that they should be able to grow at a much faster rate than the LatentView growth rates, right? So, we expect them to continue to grow at anywhere between 25% to 30%.

However, to your point, on whether how much of their current solutions and services that they render in LATAM markets, how much of that can be replicated in the U.S. markets, I think that's specifically the area where LatentView will sort of come in. I will let Rajan talk a little more on the go -to-market activities that we are already sort of jointly pursuing as well as some of the initial, I would say, feedback that we are getting from joint prospecting that we are doing. But we believe that the solution that they've built,

while historically they've grown on the back of
their strength in LATAM , we should be able to replicate some of that success in our focus markets of U.S. and Europe on the back of our go -to-market teams.
Rajan Sethuraman : On the integration, there has been progress that we have been making already over the last month and a half. In fact, I don't know whether I mentioned this earlier, but I and Krishnan Venkata – our Chief Client Officer, were in the U.S. and in Mexico meeting with their clients and also their personnel over the last couple of weeks. And we were very energized by what we saw. There is a great deal of interest amongst Decision Point's current clients on the capabilities that we bring to the table around R&D and innovation and around supply chain and on -shelf availability. Likewise, there is a great deal of interest within our teams on the RGM capability that we can take into our existing accounts. So, from an integration perspective, we have already put a structure in place where Ravi Shankar, who is the Founder and CEO of Decision Point, will take on the overall responsibility for the CPG practice. And we have deputed one of our top delivery persons into managing the combined delivery of the CPG organization on the back of this acquisition.
In addition to that, we are also allowing for full overlap of sales and revenue credit between the 2 teams so that there is absolutely no friction between the 2 organizations in terms of pursuing opportunities in the market, jointly going to market where w e are able to pitch the full suite of solutions that we are able to bring to the table, and making sure that we are actually getting the synergy benefits of the relationships as well as the capabilities that have been built by both the organizations. So, I am expecting that the integration will benefit from the structure and the incentive and the other mechanisms that we have put in place. And we should be able to see some rapid acceleration on the growth of the CPG practice right on the back of that. Of cours e, this is all planned. We do need to execute well. But that's what we are all here for and we will be focused on this from day one.
Srinath V : So, you believe that this product can be basically taken to developed markets as is because it's a product stack, right, in that sense. So, that's where I wanted to kind of quiz you a bit.
Rajan Venkatesan : Srinath, so it's a solution. I would not put it as a product at this point in time. I mean, what they have built is an RGM capability, which is a combination of the frameworks and approaches that they have built, plus the IP that they have created, right, on analysis around pricing, around promo tions, pack size optimization and so on.

So, it is still being offered in a services model by Decision Point as well. But the IP that they have built, which helps them deliver on that, is a fairly strong IP. This apart, there is a solution called BeagleGPT, which is leveraging fast language models an d operates within the Microsoft Teams ecosystem, but to deliver the insights and the results of the analytics to the end decision makers.
So, it's a fairly strong combination of solutions, accelerators, and IP that enables the delivery of services. So, that's what we have been talking to with our clients as well. Many of our clients are today in the U.S. and in Europe, and our teams are very energized by the early conversations that they have been having. RGM is a fairly important topic for most CPG organizations, irrespective of where they might be located today from a geography standpoint. And if you are able to demonstrate a strong capabil ity in that area, there is quite a bit of traction. That's what we are seeing in our early conversations. And the expectation is that there will be a good pipeline of real opportunities that we can build and conve

rt going forward.
Srinath V : Perfect. Just a last question. How do we see inorganic going forward? I remember we have a team looking at prospective companies. Do we pause and work on integration and come back 12, 18 months later? Or it's a much more parallel process, given that other parts of our business may have some interestin g synergies with other, prospective companies, maybe in industrials or data engineering or so on and so forth. So, how do you see inorganic opportunities now going forward, given that we have had a s ignificant recent deployment?
Rajan Sethuraman : It will be a parallel process, Srinath. We do not intend to take our eyes off the opportunity funnel from an inorganic standpoint. In fact, next week I and the leadership team are going to be in Pune meeting with another prospect in the Data Engineering space. Data Engineering plus they have built a platform. There are a few areas of focus for us. One, as you pointed out, is Data Engineering with focus on strong capabilities, even in one of the hyperscalers. That could be a really interest ing opportunity for us. We are also looking at BFSI and Retail as two other industry verticals where there could be opportunities. And if it's a combination of those two dimensions, meaning Data Engineering work for Financial Services companies, then that would be even better because it takes on both the dimensions. So, that will continue to be an activity going

forward. We are, in fact, continuously engaging with some of the third -party external partners that we are working with as well.
And we will be looking at opportunities that are available. I think the timing also today is very interesting because many of the smaller companies in the last 12, 18 months, because of the macroeconomic sluggishness, have faced challenges and then there i s a more realistic kind of an expectation from a valuation standpoint. And therefore, the window of opportunity will be available and you would want to leverage it. So, I don't think there is any plan to slow down or not look at opportunity. Of course, som e of the management time and bandwidth and attention will go into the integration itself. So, to that extent, we will factor that in. But clearly, the lookout for opportunities is always on.

Moderator : The next question is from the line of Arvind Chetty from Dymon Asia. Please go ahead.
Arvind Chetty : I just wanted to understand, we are expecting first half of FY25 to be relatively muted, but despite that, Q1 would look more like 6% plus kind of a sequential growth. And in the exit of the year, we would like to hit about 8% to 10% sequential growth. Is that the kind of aspiration that you are gunning for?
Rajan Venkatesan : So, yes, it's not like the first half is expected to be muted. Of course, one of the things that Rajan did speak about is to continue to build on the pipeline that we are already seeing. But our sense is at this point in time, based on the visibility that we have, we will be able to generate a 5% to 6% sequential quarter growth for Q1. Specifically, when it comes to H1, we expect that some of the deal conversions that we w ill see in Q1 should also give us additional revenue, visibility as well as upt ick in Q2. So, at this point in time, we will not be able to give a quarterly guidance for Q2 specifically, but the expectation is that growth momentum could pick up in H2 compared to H1.
Arvind Chetty : And our aspiration to reach about 25% margin in exit quarter, and that would be achieved if we sort of hit that 8% to 10% kind of a sequential growth. So, from a YoY standpoint, do we see that our revenues on a YoY basis keeps improving through the year?
Rajan Venkatesan : That is correct. So, like I said, a lot of the investments on the go -to-market side have already been fully baked in current cost structure. So, we don't intend to add incre

mental headcount on
the go -to-market and sales functions. So, that is something that, in some sense, we have sort of fully factored that in. Where we will look to spend incrementally would be on the capability - building side, the solutioning side, and also to some extent on the marketing spend itself, I think where we believe some of these spends will help us set ourselves up really well for FY26 and FY27. So, with a 3 -year view, I think some of the investments that we will be making in the current year may not give us immediate revenue upt ick in the current fiscal, but we believe these are essential for us to continue to deliver the 25% growth rate o ver the next 2 to 3 years . We need to make some of these investments on marketing as well as solution -building.
Now to answer your question on margins itself, like I said, for the first two quarters, we will try to keep the margins in the band of 21% to 23%. That's where we would like to keep them. You would also appreciate that Q1 typically has the full impact of wage increments that we have given out, which in the current fiscal for India -based roles, we have done increments in the range of 8% to 10% on an average. And for U.S. roles, these have been in the range of 4% to 5% . So, there will be, I would say, some level of impact on margins in Q1 on account of the wage hikes, plus also seasonally, you will have higher visa spends in Q1. So, we believe this will have some short -term impact in Q1 specifically, but we are fairly confident that we should be able to maintain a band of 21% to 23%. If we are able to get back to the 6% to 8% sequential quarter growth, we should be inching up on the margin side as well towards the rear end of the year.

Arvind Chetty : And just last question on decision point. If you can, Decision Point revenues for Q4 and the headcount addition that we have done in this quarter, I believe it does not include the employees of Decision Point, right?
Rajan Venkatesan : That is correct. It does not. It’s also because we have not consolidated. We have not closed the acquisition. So, we will start reporting numbers on a consolidated basis by Q1. At this point in time, we will also include their headcount when we report numbers.
Arvind Chetty : And Decision Point revenues for Q4, if you can?
Rajan Venkatesan : Again, like I said, they are a privately held Company right now. They are still in the process of closing their books and getting their accounts audited. So, we will not be able to give out those numbers at this point in time.
Moderator : The next question is from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal : Two questions from my side. Firstly, on the hiring. So, if you look at the hiring for this quarter, it is probably the strongest since the IPO. However, the commentary on FY25 growth is a bit cautious. So, how shall we interpret this? Are you being more conservative given that FY24 was a bit weaker than your expectation? That's first. And a related question to that is if you can give us the vertical outlook for FY25. In FY24, the growth was led by technology and industrial verticals. But Retail , CPG, and BFSI were a bit muted. So, the growth outlook vertical -wise would also be helpful.

Rajan Sethuraman : This Rajan here. I will take the question on the outlook for the full year, and I will get Raj to comment on the verticals. I mean, I don't know whether I should say that we are being conservative. But obviously, the general uncertainty in the macroeconomic scenario is still there, I mean, it is not completely sorted out. Most organizations would be making similar commentary. As I said earlier, I mean, a lot of the work that we are already doing, it is fairly important and critical, and that is the reason the book of work has been renewed. But newer initiatives are still experimenta

l in natu re. There are a few good big ticket opportunities, but it is not the gush of opportunities that you would have liked to see, right, when we start the year. So, that is the reason for the kind of outlook that we currently have in terms of how the year will pan out. Of course, these things can get impacted by the initiatives that we are spending money on and investing. I talked about the partnership with NVIDIA, I talked about the marketing analytics horizontal, I mean, these are the bets that we are making, that these could provide the new ideas and the innovation that clients are looking for, and that could spur growth. But we will want to see how this plays out over the next 1 quarter or so before we are able to give better guidance. Raj, do you want to add on the verticals?

Rajan Venkatesan : Yes. See, in terms of the verticals, I would say, as we get into the current fiscal, technology will continue to be the big vertical for us, but we are definitely very excited by the prospect of

partnering with Decision Point, which will significantly add to the capabilities that we can take to market jointly. One, it opens up a new market as well for us, which is Latin America, and we are happy to report that some of the early conversations that we are having, even with clients in Latin America, seem very interesting for some of the work that we do, which is on the marketing analytics side.

So, we are expecting this year to be a fairly strong year for the CPG vertical. Financial Services , again, will be a vertical where there will be a big focus this year. So, some of the clients that we work with, we are seeing some early sort of conversations where there are significant large opportunities that are getting created in Financial Services , and apart from that, industrial would be the other big focus vertical. So, for us, technology followed by CPG, followed by Financial Services , followed by in dustrials, in that order would be the verticals that will drive growth for us this year.

Karan Uppal : Just a follow -up on the first question. So, the hiring is very strong. So, are we hitting the peak in terms of our utilization, and hence the hiring is very strong?

Rajan Sethuraman : So, the hiring is partly also a commitment that we made in the campus. So, we have taken a look at how the next year is going to pan out based on the early indications that we have, and then we have gone ahead and onboarded most of the campus offers, hir es that we did. So, at this point in time, there is only a small batch of 30 people out of the 450 offers that we had made on campus. So, we already onboarded close to 360 people, there were some dropouts because this year has been a bit pr otracted in terms of the onboarding, but of course, many of them also held on to the offer because of the general scenario in the market.

Out of the people that we have onboarded, we have already deployed about, I would say, 40% of the people, and the rest of the people are in either boot camps or they are shadow mode and so on. There is a significant amount of campus hiring and onboarding that we have done. We have tempered the next year's hiring on the back of what we have seen this year, given that some of the people that we have already onboarded will be available for upcoming opportu nities. For next year, we have made only about 250 offers on the campuses. So, partly what you see as the headcount addition is really on the back of all the campus onboarding that we have done, and we will watch in terms of where the utilization maps. So, right now, the utilization is lower than where we would have been in the f irst half of the year. It has gone down on account of the campus hires, but this is something that we have anyway factored on in terms of the margin profile that we want to maintain at this point.

Moderator : The next question is from the

line of Rushabh Shah from Buglerock PMS. Please go ahead.

Rushabh Shah : So, in one of the calls, you said that you are doubling down your investments in the CPG, Consumer Retail , and even today, you are saying that the growth in FY25 would be led by CPG,

Consumer Retail . So, why do you think so? Sir, what could be the next trigger point for LatentView in coming years in the CPG , Consumer Retail segment?
Rajan Sethuraman : So, the inorganic investment is completely in the CPG space, but it does a lot of work in the CPG space. So, obviously, there will be a huge chunk of investment going there. But even if we look at our own organic investments in terms of adding clients, p artners, we have made investments in the CPG space. So, we are expecting that that will pan out. So, in terms of the contribution, the expectation is that we will inch towards about a 20% kind of a contribution over the next 24 months. For the last year, we were probably at about 8% or so in the single digit. So, there is an expectation that CPG will contribute quite a bit to the revenues.
Now, as I mentioned earlier, we are always on the lookout for inorganic opportunities, and we are also making investments in the Financial Services and in the Retail . Retail probably will be slightly behind in terms of Financial Services , the investments that we make in Financial Services . Retail will be a tad lower. But at this point in time, the plan is that we will be shoring up on what we can do in the Financial Services space.
So, if you ask me how the scenario will look, say, 18 -24 months' time, definitely the contribution from these 2 verticals, CPG as well as Financial Services , should be much, much better than where we are today. Today, both are in the single digits. We are expecting that both of them will be close to the 20% mark, which means that technology as a vertical, anyway, the contributions will come down on a percenta ge basis. We are expecting growth to happen in all the 3 verticals, but on the back of the investmen ts, the growth should be stronger in the CPG and the Financial Services space.
Rushabh Shah : My second question is, sir, how big will be the data and analytics market? So, the estimates for ‘24 was around $300 billion. Do you think that it will be achieved in this calendar year? And what's your aim for the next 5 years? Where will this market be ? And what will be our market share in this entire universe?
Rajan Sethuraman : The market share, I think we are too small, okay, in the entire ecosystem.
Rushabh Shah : Not market share, let's say where we will stand in the universe, where will we be in the next 5 years?
Rajan Sethuraman : Yes, I will get to that. I mean, in fact, we commissioned market intelligence exercise, and that is starting to give us some input as well. The expectation is fairly similar to what we had seen when we did the IPO. If you remember our DRHP, we had talked about a mark et size of potentially $300 billion in a year time span, at a CAGR of about 18% -20%. It's fairly similar.
Of course, a big chunk of that is also including captives of multinationals. Just to point out the market is going to be very large, and as I said, we are fairly small in the scheme of things. So, therefore, there is a lot of headroom for growth.

Our expectation is that we will be able to get on to a 25% -30% growth trajectory over the next 3, 5-year timeframe. Of course, that is the organic growth trajectory. With every acquisition, we will be able to create a step change as well, and the intention will be to try and at least replicate, if not improve upon the growth rate, right, on the back of the acquisition.
So, you can do the math based on this to see what it will lead to in a 3, 5 -year timeframe. The point, though, is that, I mean, there is

enough headroom for growth. 25% -30% kind of a growth trajectory should be very much doable, provided we don't have too much of the sluggishness. I mean, of course, the last 12 -18 months have been extraordinary because of all the interest rates and other challenges. Of course, I mean, it's not that, like, we won't have any such challenges in the future. We will have to, of course, look at what is the impact it is having. But broadly, from a long -term trajectory standpoint, I would say that 25% plus growth rates are very much possible.
Rushabh Shah : My last question is, from the last 2 or 3 quarters, we are witnessing that the addition of new accounts are smaller in size. So, has the management's focus changed from the bigger accounts to the smaller accounts? Is there any specific reason you would like to highlight?
Rajan Sethuraman : Not really. There is definitely no deliberate choice of going after smaller organizations. Our focus continues to remain the Fortune 500 companies. The acquisitions, the new logos, revenue that they are bringing in, though, is on the tad lower side. In t he sense that most companies, even large Fortune 500 companies, are reluctant to kick off substantial new initiatives, given the uncertainty that provides. The one redeeming area has been generative AI and related technologies. But even the re, it's still largely pilot and experimentation that is happening. Too many substantial initiatives that have been kicked off. I mean, we had one win, which was close to about $0.5 million mark. And we have a second win recently with one of the large auto

manufacturers in Europe, which is also close to that mark. So, we are expecting that that will
pick up in the coming months and quarters. Oddly, the growth is on the back of the ticket price
of the initiatives to get in with in t he new logos, and not necessarily any change in the strategy
in terms of which accounts we go after.
Moderator : Thank you. The next question is from the line of Agam from Raj Trading. Please go ahead.
Agam : Just a quick question. I missed your opening remarks . So, for the other income, you said that
some loans you have given to your global competitors. So, can you talk on that? I just missed
that part.
Rajan Venkatesan : These are part of the IPO proceeds that we had raised, that where we said that we will capitalize
some of our overseas subsidiaries in Europe and US. So, one of the subsidiaries is in UK and
one of the other subsidiaries is in Netherlands and Germany. So, these are interest -free loans that
have been given out, and which are repayable over a 3 to 5 -year period. Because as per
accounting standards that we have to comply with, we need to restate these loans every quarter.
And whenever there i s a sharp sort of movement in either GBP or euro compared to the rupee,

we have to book these mark -to-market losses as part of our piece for that quarter. And that is
what you see over here. But at a consolidated level, ideally, because the gain in one place is
effectively the loss is another place. But unfortunately, the loss in this case is not accounted as
part of the P&L. It actually goes into other components of income and that's why you see the
impact at a PBT level.
Agam : I was wondering just as, just to a previous participant, you said that you will be reaching 25% to
30% growth in 3 to 5 years. So, should we assume this post 3 years or 1 year down the line?
Rajan Sethuraman : No, no, sorry. I didn't mean that we will reach 25% to 30% in a 5 -year time frame. What I meant
is that if you take the entire period of time, a CAGR of 25% to 30% is very much possible, given
the market potential and the focus that we have in select are as. Now, currently, as you see, for
the last year, we have done about 19%. How quickly we can move from 19% to 25% plus will
be based on how the economic scenario turns o

ut in the immediate future. And of course, if you
take a long enough t ime frame, like 5 years, there will be other bumps also that one will witness.
But a CAGR of 25%, 30% within that period is very much doable.
Moderator : The next question is from Akshay from 360 One Asset. Please go ahead.
Akshay Ramnani : I just had one clarification on the comment you made on FY25 and Q1. So, just trying to work
some numbers. You mentioned how you may have a visibility of 5% to 6% growth next quarter.
And you also mentioned that FY25 on an overall organic basis should be similar to what you did
in FY24. Now, if I look at your exit run rate and take a 5% -6% sequential growth, then in the
next quarter run rate itself gives you that similar growth which you did in FY24. So, obviously,
you will be growing in the coming quarters Q2, Q3, Q4 as well. So, I am just trying to understand
what is behind that commentary of similar FY25 while the numbers suggest otherwise.
Rajan Venkatesan : I would say, obviously, as we stand at the beginning of the year, I think the commentary and the
guidance that we want to give out or put out is based on the visibility that we have for the full
year as of this point in time. Obviously, we all understand that the order book and the pipeline
is getting built up through the course of the year . Also, you would have to appreciate and
understand that the type of business that we are in, typically, our client contracts are up to a
period of 1 ye ar. So, we do not generally have visibility, I would say.
While we have a good visibility in terms of what are the projects that are likely to get extended,
but we do not have multi -year relationships with a lot of the accounts, which is why the guidance
that we are at this point in time able to put out is on the basis of the visibility that we have at the
beginning of the year, which is based on the current order book plus the high probability pipeline.
But, of course, as we execute through the year and as the visibility gets better, these growth rates
can be imp roved over the current period. But, obviously, there is pipeline that needs to get
converted. What we have also seen in Q4, in fact, one of the questions that we had answered, I
think, was by one of the earlier analysts had asked that while the initial indication was that we

will grow at about 5% odd in this particular quarter, we did also see some deals that we were
hoping to sort of close out, which sort of slipped into the next quarter. So, some of these things
will also play out which is why we want to give out a guidance which is more reasonable and
achievable, and we will update the guidance as we head into the year, depending on the visibility.
Akshay Ramnani : But, just for my confirmation, the numbers which I called out, was it a fair calculation or was I
missing something in those numbers?
Rajan Venkatesan : It was a fair calculation, obviously, but then you'd also have to understand that at the end of the

day, in some sense we are not a SaaS business or we are not a product business where the run rate can be taken to be like a given for every quarter. So, a t this point in time, what we believe is fairly reasonable and possible is the growth rate that we achieve between 18% to 20% for the year, but as we continue with the year, some of the deals that we are actively pursuing, Rajan spoke about the pipeline, there are a few large opportunities also in the pipeline. If we are able to convert some of that, we should be able to accelerate growth. But at this point in time, the 18% to 20% is what we are comfortable guiding.

Moderator : That was the last question for today. I would like to hand the conference over to the management for closing comments.

Rajan Sethuraman : Okay. Thank you. So, I think we covered most of the ground in terms of the highlights that we had to share and also the ou

tlook that we have of the business. I think some of the additional momentum will come from opportunities that we are able to create on the back of the initiatives that I talked about, whether it is in Generative AI, whether it's Microsoft Fabric ecosystem, or whether it's the NVIDIA partnership or the marketing analytics horizontal, or the opportunities that we can crea te through the acquisition. Obviously, the intent and the planning, there is a lot of thought that's gone into it, and we are focusing our time and attention on what we can do on this front. Of course, how all of this pans out will also depend upon how much of spending and optimism returns to the market itself.

We are seeing early signs that the investments that we are making are all in the right areas on the back of the conversations and the leads that we are getting. We do want to keep focusing on them so that we are able to convert them into opportunities, rea l opportunities, and real project work that we are able to win. Overall, I would say that at this time, given the performance that we have had in the last year where we have done reasonably well in spite of a full year of sluggishness, we are expecting tha t we will be able to do better in the coming year.

But as I said earlier, it is a tone of cautious optimism that we would like to adopt at this point in time. We will be able to update you on how things pan out in the coming quarters. The expectation is that things will be at general uptrend from Q1 to Q2 to Q3 to Q4. We don't see any other significant adverse things that might be happening just within the data analytics space. Overall, that space will continue to grow, and the areas of our focus will give us even further

momentum in comparison to the industry growth rate. We feel confident that our strategy will play out well on the back of optimism returning to the market.

With that, I think we have covered the ground that we wanted to cover, so we can close the call. Thank you all for joining today, and look forward to engaging again soon.

Moderator : On behalf of LatentView Analytics, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Aug 2024

Classification: Internal Contains PII: No

August 01 , 202 4

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call held on July 26, 202 4

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the transcript of the Earnings Call held on July 26, 202 4, post an nouncement of financial results of the Company for the quarter ended June 30, 202 4.

This announcement is also available on website of the company
i.e., https://www.latentview.com/ .

This is for your information and records .

Thanking you,
For Latent View Analytics Limited

____
P. Srinivasan
Company Secretary and Compliance Officer

"Latent View Analytics Limited
Q1 FY '25 Earnings Conference Call"
July 26, 2024

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
MR. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – E&Y LLP, INVESTOR RELATIONS

Latent View Analytics Limited
July 26, 2024

Moderator: Ladies and gentlemen, good day and welcome to the LatentView Analytics Limited Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from EY Investor Relations. Thank you and over to you ma'am.
Asha Gupta: Thank you Neha. Good evening everyone and welcome to Q1 FY25 Earnings Call of LatentView Analytics Limited . The results and presentations have already been mailed to you and you can also view them on the website www.latentview.com . In case anyone does not have the copy of the press release or presentation , or you are not marked in the mailing list, please do write to us and we will be happy to send you the same.
To take us through the results today and to answer your questions, we have the CEO of the Company, Rajan Sethuraman , whom we will be referring to as Rajan and we have the CFO of the Company, Rajan Venkatesan, whom we will be referring to as Raj. This is just to avoid the confusion while doing the transcript. We will start the call with a brief update on the business, which will be given by Rajan and then followed by financials given by Raj.
As usual, I would like to remind you that anything that is mentioned on the call that reflects any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risk and uncertainties that we face. T hese risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports that you can find on our website.
Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.
Rajan Sethuraman: Thanks, Asha. Thank you all for joining the first quarter earnings call for Financial Year 2025. I hope you all had a chance to go through our presentation and the press release.
Very happy to report that we have started off the year on a fairly strong note. As you all know, the macro environment continues to be challenging and you would have already started looking at results that have been shared by other publicly listed companies in the IT services space. We are very happy that we were able to grow our reve nue sequentially on a quarter -on-quarter basis, 4% plus, and also on a year -on-year basis, 21% plus. Our EBITDA margin came in a tad lower in comparison to the last quarter, ma inly on account of wage revisions and costs that we had incurred on visas for people in India as well as people in the U .S.
In general, I would say that the growth continues to be a little on a muted note given the sluggish macroeconomic scenario. A lot of the growth that we are witnessing is coming from work that we do for our existing accounts, both existing as well as new groups and new stakeholders. New logos, I would say, are still harder to come by and even when we win that, it is starting off on a much smaller scale in comparison to what we were experiencing maybe a year and a half back. That being said, there is a lot of interest, especially on the back of new technologies in relation to a rtificial intelligence and Gen -AI and predictive analytics work and there are a lot of conversations that are moving in the right direction. We did win quite a few marquee logos in this quarter and some of them we were able to start off at a fairly large clip of close to half a million do llars or more and we saw such traction with

some of our existing accounts as well

where we kicked off fairly substantial engagements for existing
as well as new stakeholders.
However, I would say that in general, when new initiators get kicked off, we see that the quantum and the size of the initiatives tend to be a bit more experimental and smaller. Specifically on the Gen -AI front, there has been a lot of experimentation that has happened over the last 12 to 18 months and in our recent conversations, we hear a lot more positive orientation in terms of now moving from pilot and experimentation to prod uction. Many of them are contemplating how they prioritize some of the initiat ors that have proven successful in the experiment stage and there are quite a few conversations where they are looking to move it to the next stage of production. At this point in time, our Gen -AI pipeline is also looking fairly strong, over $4 million wor th of conversations that are at a closure stage and many more in the top stages of the funnel. In general, I would say that the positive signals we see a bit more of that in North America. Europe, I would say, is still a little behind the curve on that one , but in Europe as well, there are quite a few conversations with larger Fortune 500 companies, which are in the Gen -AI space as well as in the predictive analytics space.
The other important update I have for you is that we have now completed the acquisition of Decision Point. The integration efforts are on in full swing. The teams, both from Decision Point as well as LatentView, are now working in a fairly collaborative fashion in terms of taking value propositions

and solutions that each of us have into our existing and prospective clients as well. There are at least half a dozen conversations where w e believe that the joint capabilities will be of significant importance in terms of new work that these accounts are looking to do.

At this time, I would say that for the year, full year, depending on how things pan out in the second half of the year, we could see a growth of somewhere definitely close to what we did last year, which is in the 16 % to 18 % range. But depending on how the second half of the year pans out, it could come in much better than what we saw in the last year. We are continuing to double down on a bunch of investments that we have started making in our marketing analytics horizontal partnership with Microsoft Fabr ic, Databricks, the NVIDIA partnership and so on. And at this point in time, we are also looking at repositioning some of the investments that we have in the front end to the channels and the areas where we are seeing more traction, be it in terms of the partnership or be it in terms of the specific capabilities that we intend to take into the market.

Overall, I would say that there is a general sense of positivity and optimism at this time within the client ecosystem that we are in conversations with and that is also reflected in the sentiment within the company in terms of what we can accomplish this year.

With those opening remarks, let me hand it over to Raj to take you through some of the financial details in a bit more detail.

Rajan Venkatesan: Yes. Thank you Rajan. Good evening everyone. Welcome to the Q1 FY25 earnings call. As Rajan mentioned , we actually started the year on a positive note with a strong performance in Q1. For the quarter ended June 30th, we closed with revenues of INR 179 crores , which reflects a 4.2% sequential growth and a 21.1% growth on a year -on-year basis. Most of this growth as already explained by Rajan , was driven by , I would say existing relationships that we have had. But I think just to add to what Rajan also said while some of the new l ogos that we have signed up for, while they may not have started off on a fairly large sort of contract value, each of these logos I think at least three of them that

we'v

e added in this particular quarter , have the potential to become fairly large -size opportunities if we deliver the initial piece of work well. So , two of them are Fortune 500 logos of the three that I spoke about. So definitely from a logo addition standpoint these are the right type of logos that we would like to work for. So that's again a positive aspect.

On the existing relationships again bulk of this revenue increase came from our clie nts in the technology vertical, b ut more importantly I think this quarter we also saw a good amount of expansion that happened in the BFSI vertical where some of our existing relationships we've been able to expand into those relationshi ps and really sort of grow them a nd that is reflected in the contribution that you will see from the BFSI sector as well. For this particular quarter , BFSI contributed close to about 10.4% as opposed to the 8% -odd levels in the previous quarter.

Our other income for this particular quarter stood at INR 17.4 crores , an increase of 10% on a sequential basis. This increase was primarily driven on account of a forex loss that we had to book in the last quarter which was offset by a gain or a lesser l oss in this particular quarter . The quantum of the loss that we booked in the last quarter was significantly higher. That number has come up. These losses are not operational in nature, they are more losses that are driven by intercompany or group company loans that we've granted to our subsidiaries overseas, the correspondin g effect of which is booked under other comprehensive income. So there is one leg that gets accounted for in other income and the other leg goes to other comprehensive income. And so this particular quarter that loss being lower we were able to see an expa nsion in other income.

Our EBITDA for this quarter stood at INR 38.3 crores , a decrease of about 5.2% in absolute terms on a quarter -on-quarter basis, but on a year -on-year basis grew by about 36.3%. As indicated last quarter and we had sort of emphasized on this when we did our last earnings call , wage hikes in the range of 10%-odd for India and about 4 % to 5% for overseas regions were given out effective 1st April and that did have an impact on our margins for Q1. Incrementally, there were higher spends owing to cyclical visa costs that are typically booked in Q1 where the H -1B lottery happens and the U S government fees , and the attorney fees paid in relation to applying for these H -1B visas is typically booked in Q1 and that had an impact as well. On top of that we also had incremental advisory and professional charges on account of the acquisition that we closed in this particular quarter. The incremental visa plus the professional and advisory fees contributed about 0.9% of the EBITDA contraction and wage hikes contributed ab out 1.2% of the EBITDA contraction. So , of the 2.1%, 1.2% came from wage hikes and 0. 9% came from higher visa and professional and cons ultancy charges. The second bucket , which is the visa and the professional fees , we expect that we will not be incurring at similar levels in the quarters to come and so therefore the impact of that should definitely go away in the following quarters.

Our PAT for this quarter stood at about INR 38.9 crores, reflecting a decline of 13.9% on a quarter - on-quarter basis , although it grew by 18 .5% on a year -on-year basis. One of the primary reasons for the decline in PAT, of course, besides the drop in EBITDA that we've already discussed is attributable to the 10 AA benefits for our SEZ units going away and this is something again that we had indi cated in our last earnings call. Incrementally, the last year we also had the benefit of fairly large tax breaks that we got on account of exercise of ESOPs in our US subsidiary. S o the full benefit of which or almost the 80% benefit of which was booked in the previous year itself. We only have a residual 20% bene

fit that we're able to book in this year and that too we will be doing that on a staggered basis or a prorated basis over the course of the year. Both these two mains that are at ETR for this year and this

should be fairly reflective of how our ETR will be going forward as well , will be between 24% to 25% going forward. That's fair and we believe we are already at those levels in Q1. S o, this effective tax rates will continue going forward.

In terms of industry or vertical offerings , the technology continues to be the strongest vertical as has been the case in historical periods contributing to about 70.9% in the current quarter followed by industrials at 11.5% and financial services that I already mentioned contributed 10.4% followed by consumer and retail. Now please bear in mind that consumer and retail for this specific quarter does not include any results of Decision Point, neither does the financial results of the company. Like Rajan mentioned, while we close this acquisition as of 1st of July we will be consolidating the results of decision point with the Latent View results starting Q2. So, the following quarter is when you will see the full impact of the merger or from the acquisition. We expect that the synergies that we will be able to generate owing to the acquisition should have a positive impact on the consumer vertical. Not just the consumer vertical , we are seeing significant traction in industrials as well as financial services. Technology to a lesser extent, but definitely significant joint go-to market efforts are underway in consumer, industrials and financial services and we believe that there will be significant synergies that should come from the acquisition itself.

In terms of the overall geographical split , the U .S. continues to be the dominant geography contributing 93.7%. Europe is still at 1.3% continues to be fledgling. But one of the good news is again with Europe is, we are adding several small marquee logos each of which we hope to convert and make them i nto fairly large opportunities, b ut still the traction in terms of the deal size continues to be fairly small and sluggish as far as Europe is concerned.

Overall, our balance sheet continues to be strong . Excluding the IPO money , the cash and cash equivalents stood at about INR 1,133 crores as of 30th June. However , with the acquisition of Decision Point that was concluded on July 1st close to about INR 330 crores of the cash balance will be invested for closing this acquisition and therefore , you will see some impact of the lower investment balance that we will carry on the other income. You will be able to see that in the following quarter.

In terms of our overall headcount , we stood at about 1 ,261 at the end of the quarter. We are very happy to announce that we have honoured our commitments to onboard all our campus hires as we speak right now. We onboarded close to about 60-plus people in this quarter, b ut while on a net basis you will see a decline in the headcount for this quarter compared to the last quarter. That is also attributable to typical attrition that we see in Q1 as we announced our wage hikes as well as bonuses. We do see a spike in attrition in Q1 and that's been the trend historically as well and this year is no different.

In terms of the outlook , I think Rajan has already spoken about the revenue outlook. In terms of the EBITDA margin , while we clocked close to about 21. 4% in this particular quarter , we do expect some of those one -off costs in relation to visa as well as the other professional charges to go away in the following quarter. We also do anticipate that as revenue continues to grow through the course of this year, we will be able to see some of that operating leverage kick in and so we should be back at those 23% odd levels by Q3 is the estimate at this

point in time.

With that, I'm going to be handing it back to Asha and we can open up for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Managemen t. Please go ahead.

Vimal Jamnadas Gohil: Gentlemen thank you so much for the opportunity. My first question is on our progress that we have made on Gen AI. I think you mentioned that we have been sort of looking at a lot of deals that are now getting converted into pilot. I just wanted to get a sense on what is the nature of these deals. Is it more towards data engineering, cleaning up data for enterprises who are looking to develop their own LLMs? If you can just help us get a sense on that ? Another question is on the growth in our top 20 that seems to be a bit muted this quarter. Most of the growth has come from excluding of top 20 accounts. If you can just highlight the reason for the same ?

Rajan Sethuraman: Vimal, thanks for the question. I will answer the first one and then I will have Raj address the second question.

The Gen AI opportunities that we are pursuing they tend to be across two, three different categories. On one hand , we have opportunities related to analyzing unstructured data. Data that exists in the form of contract documents, process flow charts and the like. And getting insights out of that in terms of how contracts are set up or how they are performing, what kind of discrepancies are there. In general, any kind of unstructured content be it around procurement, be it around marketing, sales, that's one type of work that we are doing.

The second category of work is generating new content. And this new content could be content that is used for a promotional campaign, for example , these could be content for personalized marketing and discount programs, for example. So this is the second category where Gen AI is being used to generate new content that is personalized and tailored depending on the context.

And the third type of work using core Gen AI solutions is analyzing structured data. And this could be data from the client organization, supply chain or from their marketing department or it could be from sales or customer experience even from HR. There is a very interesting conversation that we are having right now in terms of using Gen AI to improve the employee experience and define what we call the employee segment of one, looking at employee lifetime value. So this is the third category where you are pointing the Gen AI LLM, large language models that structured data and answering questions about that data as well as any analytics that exist on the data without any kind of hallucination, which means that you are using only the data from the enterprise to answer those questions.

So those are the three types of work that we are doing. A lot of it is currently a work that we are currently doing at least is more on the analytic s side of it as opposed to the data engineering side of it. However, we do see that some of the conversations as they move from a pilot POC to a larger enterprise kind of scale application, it will be necessary to bring together data from across the enterpr ise both structured and unstructured and create the right kind of a foundation before you can apply the LL Ms on top of it. So that's broadly the kind of conversation that we are having at the moment.

Vimal Jamnadas Gohil : So Rajan, just one follow -up there. Talking about getting insights from the data that you already have and analyzing structured data and helping inter -department movement of the same, how is it different from the work that we did in the pre -Gen AI era?

Rajan Sethuraman: So the Gen AI enables you to do this at a much faster, rapid scale and turnaround. There is a huge amount of product

ivity uplift that we can see in terms of performing the nature of the work. It is not necessary for you to go into writing the sequels and in some inst ances even the modelling .

For example, the latest launch from Azure , the AI studio that they have launched that allows you to actually use predefined components that are available for you to do a lot of this work and without the need for complicated assembly of the different components as well as iterating through all of t hem in terms of what works. The Gen AI platforms and the technologies that are available allow you to execute many of these in a seamless fashion, while at the same time getting the benefit both in terms of computational speed and processing power reduction, as well as how you store from a memory standpoint. They are also allowing the use of different types of LLMs. You are not bound to one LLM, so therefore the platforms that are available allow you to play around with different kinds of LLMs.

So basically, if I were to summarize it is reall y the speed at which you are able to execute the same type of projects and the options that are available for you to experiment and then figure out the solution that generates the best kind of response for you with the least amount of cost both from a comp uting as well as from a memory standpoint.

Vimal Jamnadas Gohil : Understood, sir. And sir, on the Ex of top 20 client growth, if you could just answer that one.

Rajan Venkatesan: Yes, sure. So specifically on this question, you will see that there has been growth in the top 5 and the top 10. I think you are specifically referring to the 10 to 20 bucket, is that correct?

Vimal Jamnadas Gohil : I am just looking at the top 20 and then Ex of top 20, that's all.

Rajan Venkatesan: Yes, so if you look at the top 5 and the top 10, I would say that there has been growth in those buckets. Specifically in the customers that sit between 11 and 20 . There were, I would say a few one -off projects that we had executed and some of these were signed together in Q3 and Q4, which we delivered and once we delivered those pieces of work, we didn't have any follow -on work or they didn't get extended for instance or we didn't get additional work on the back of some of these one -off projects that we had executed. So that is primarily the reason why you will see a small dip in the 10 to 20 bucket. But outside of that, you are right, there have been close to about eight odd new accounts or new clients that we have signed on in Q1 , each of which contributed fairly meaningful numbe r, but still not very sizable in terms of their overall as clients they are not sizable clients but there was a meaningful chunk of revenue that we were able to generate from some of these new logo signings, which also meant that the growth came outside of the top 20. So your assessment is correct.

Vimal Jamnadas Gohil : And sir, last question, if you can just help us quantify the M&A advisory fees for the quarter.

Rajan Venkatesan: So the M&A advisory fee for the quarter would be close to about in terms of rupees that we would have paid close to between INR 9 million to about INR 1 crore that we would have paid in this quarter.

Vimal Jamnadas Gohil : Okay. Thank you so much, sir and all the very best.

Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rat hi group. Please go ahead.

Mohit Jain: Sir, I missed the revenue growth outlook. So one was why Q1 was slightly slower and then in terms of demand, what are you seeing in the near term, like 2Q and 3Q?

Rajan Sethuraman: The growth outlook for the year, Mohit, it continues to stand at the 17 %, 18% mark that we had talked about. In fact, if I take a look at the probability weighted pipeline that I have that number looks better but some of them are still at the 25 % and 50 %

probability. So we just want to see how this pans out in terms of actual conversions coming through. But at this time, there is confidence in terms of getting

to that 18 % kind of a number from year -on-year for the full year. Q1 itself has been a bit of a slower start in comparison to what we anticipated when we were in Q4 of last year. But that is largely because some of the deals that we were expecting to commence , commenced a little later in the quarter. So instead of getting started in the month of April itself, we have had to wait until end of May or even June in terms of the work itself getting started. So we are seeing that uptick from that will be there an d we also see some closures happening in this quarter itself, which will contribute to this quarter and beyond. So, ye s, that's the overall commentary. I mean, reasonable confidence on about 17 %, 18% for the full year could get better if things unravel and get s fructify faster.

Mohit Jain: And this was primarily in high -tech verticals? These lower deal ramp -ups?

Rajan Sethuraman: No, high -tech has been okay, I would say, in fact. I think the sluggishness has been in some of the other sectors. In industrials, in consumer, in retail, some conversations for example. These have taken a bit longer. Overall, with technology , we are seeing the traction seems to be picking up at this time.

Mohit Jain: Okay and earlier we were looking for around 23 % margin for the full year. But now your outlook is 23% by end of the year like 4Q.

Rajan Venkatesan: So, I'd say if we get to the top end of the 18 % to 20 % type growth, while we are projecting 16 % to 18% Mohit, if we are able to go beyond 18% growth for this year, I think we should be able to , on a full year basis also get to that 23 %. Because most of the investments on the SG&A side are all fully baked in. I don't think there will be any incremental investment that will kick in. So most of the growth that we will deliver , will all sort of flow through to the EBITDA. So if you're able to stick to the higher end of the guidance and maybe go a little beyond, we should be able to deliver a t 23% on a full year basis as well. But right now , our comfort level is on guiding that we will be back to the 23 % by Q3. And then Q4 if we are able to do s lightly better numbers then it could be even higher in Q4.

Mohit Jain This is without including acquisition?

Rajan Venkatesan: That's correct. All of this is just organic. So inorganic we will start guiding once we start consolidating their numbers from Q2 onwards. At this point in time, all the projections that we are giving is all organic.

Mohit Jain : Right. And they are operating at 30 % ind of margins, right?

Rajan Venkatesan: Yes, they are operating at 30 %. That's correct.

Mohit Jain : So we should take into account wherever the consolidation happens ?

Rajan Venkatesan : That's correct. Yes.

Mohit Jain : That's all sir. Thank you and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Karan Uppal from Phillip Capital India. Please go ahead.

Karan Uppal: Thanks for the opportunity. Good evening, Rajan and Raj. First question is on BFSI. So BFSI has been growing very well , congratulations on that. So, if you can elaborate on what sort of projects you guys are winning and which are the end clients in BFSI . Given that BFSI is such a large vertical , are

we serving the big banks, capital markets, cards and payment companies, insurance companies. So if you can elaborate that will be helpful.

Rajan Sethuraman: Good evening. The focus for us in BFSI till date ha s been largely related to the fintech and the non - traditional space. So , trading platforms, payment mechanisms, investment, asset m

anagement
investment companies. These are the ones that we are focused on.
While we are currently pursuing opportunities with a few banks and insurance companies they are yet to take off or fructify. So therefore , there isn't much happening in that space. All of the action has been in the other areas that I talked about. And there it has been fairly broad spectrum. There's quite a bit of work that we have been doing around fraud, risk, financial, compliance analytics type of work.
There is work that we do quite a bit related to customer experience and marketing analytics. There ar e projects that have been kicked off on the underlying data engineering and data platform requirements for the asset management companies.
We are also doing work related to some Gen AI areas. In fact , one of the conversations that we are now having with a bank is about using for analysing the filings that companies do , with the exchanges and the central authorities and how can you use Gen AI to come up with financial analysis of those companies.
So that's the kind of problem statement that we are examining. So a fairly broad spectrum of work but I would say that till date it has still been largely in the non -traditional space. We are spending time and effort on the banking and the insurance space. The expectation is that we will have a few that we will be working with , in the next two to three quarters timeframe.
Karan Uppal : So Rajan just a follow -up here. So the sequential growth has been in the range of high teams or even more than that. So do you expect this momentum to continue?
Rajan Sethuraman: Related to I mean the overall growth of the company, right?
Karan Uppal : No, I'm talking specifically for BFSI. For last three quarters the growth is almost 20% on an average. So, do you expect this to continue or it will moderate?
Rajan Sethuraman: No, we are expecting it to continue. In fact we are expecting that it should get better in the coming quarters. In fact one of the discussion points that we had in the board meeting today was further doubling down on the domain expertise that will bring even more domain specific solutions. I mean I talked about the broad range of areas where we are working but there are a few specific value propositions that we have identified as well wherein we want to double down even more. So there will be some investments that we will be making on shoring up on the domain expertise in that area and that coupled with using Gen AI and some other areas with the traditional sectors we are expecting to see more traction in BFSI.
If you remember BFSI was one of the areas that we had identified even during our IPO in terms of doubling down and building out for the opportunity. While the market has been a bit sluggish, we also used the opportunity to understand where we are strong an d what we can play at and at this point in time there is increasing confidence that we will be able to pursue the opportunities that are coming our way in that space.

Karan Uppal : It's a bit intriguing because you are also lowering the guidance. Last time when we spoke you mentioned about 18 % to 20 % kind of a growth . Right now you are talking about 16 % to 18 %, given that most of your large verticals like BFSI and Technology, where you have spoken about positive outlook. So, w here is the stress coming in your portfolio?
Rajan Sethuraman: I would say that the sector where we are concerned at this point in time is only retail. We are seeing a positive momentum in all of them. In terms of the overall growth trajectory we are indicating , we are taking into account while the conversations are underway and there is a great deal of interest, it does take time for clients to sign up even for the first pilot or initiative and even when they do that , they are starting off a little small and not a

t the kind of ticket sizes that we we re anticipating.
So I am just being cognizant of all of that happening. As I said earlier during my opening remarks , if things start getting better in the second half of the year we would be able to do much better than the 17%-18% that we are talking about at this time .
Karan Uppal : And last is on Europe. Basically , we had invested in leadership as well as in S&M in the past but we are yet to see substantial results there , so what is the update on Europe?
Rajan Sethuraman: So Europe has been a tough situation . I mean in general the degree of conservatism that prevails in Europe given the current macroeconomic scenario is definitely a lot more in comparison to the US.
On top of that Europe is also a tougher market to break into from a relationship standpoint. Th e good news for us though is that at this point in time there are at least half a dozen logos that we have either signed up or we are on the verge of signing up which are all of the right sizes.
It has taken quite a bit of investment and effort on our part even to get the first initiative agreed there . But all of them are talking about how the relationship can scale if we do the right thing. On our end , I would say that the investments that we did at the front end , in the sales and business development , some of them panned out for us and some of them didn’t, in terms of personal calibre , what they brought to the table, the solution ing approach that they were able to employ versus what the client wa s looking for and what we had to offer . So w e are also learning from all of that experience and we are adjusting the model.

Some of our people who we had earlier deployed from a sales perspective, are helping with the solution ing because that's where they are able to play a more impactful role. The expectation is that with all of this we should start seeing some uptake. Raj mentioned that we are currently less than 2% , 1.6% or so in terms of contribution. If things go well even in the remainder of the year , I would expect the contribution to double for the current fiscal itself. W e should be approaching the 3% plus mark in terms of overall contribution as we close this year. If we have the right foundation clients , many of them do spend money on analytics and we would expect to grow with them in the coming quarters .

Karan Uppal : Thanks a lot and all the best .

Moderator: Thank you. The next question is from the line of Nilesh Shah from Julius Baer . Please go ahead.

Nilesh Shah : Just to sort of zoom out a bit , I am looking at the industry structure as you had really structured it in your DRHP where you had sort of broken down the data and analytics new pool, in these sort of four parts , you had enterprise data, then these sort of three parts that follow from that , which are descriptive, predictive, and prescriptive. Now I just want to take your perspective, if you were to compare how the

market was, before the advent of Gen AI and now, how do you see the market shifting into these different pies .

The concern that we have is that, do you see a trend that more of the customer mindshare and dollars are going towards the data engineering side because you have a lot more data that can be processed . And the second bit is that are the later parts of that value chain where companies like yourself would operate, do you see any signs that companies may choose to either do them in -house or use some of these tools at scale that may sort of curtail the size of projects that firms like you rself could get? If you could share your thoughts on that, it would help. Thank you.

Rajan Venkatesan: Yes, sure. Thanks for the question, Nilesh. You are right in the sense that as the industry evolves and the maturity of companies go up in terms of how they use data analytics, they will p

ursue more
complex and fuzzy problems which require them to bring in data from across the enterprise, outside the enterprise, necessitating a more sophisticated data platform. So there is definitely going to be a ton of work that happens on data engineering and data platforms and this is something that we have anticipated and we have prepared for as well. I mean, today about 20% of our revenue comes from doing that type of work. We are expecting that percentage could go up in the coming quarters, in the coming years. In fact, one of the things that we discussed in some amount of detail in the board today was about doubling down even more with specific partnerships that we have, ad ding people to the front end, the partnership channel directly in the market in the US and also hiring people on the sales busine ss development side with the kind of connects with the CIO city organizations that will be undertaking the central data platform type of initiative. So that is definitely happening. Now, having said that, the data engineering and all of this work is not something that any organization will do in isolation. It is always as a means to an end and the end objectives typically will be in the use cases that they seek to execute and these use cases will, while they will benefit from the advent of Gen AI and other kinds of tooling and technologies available, the scope and the opportunity there is very vast. I mean, most organizations, even with using some of the tooling that is available, will only be able to raise themselves up to a certain kind of a level playing field. And when organizations do that, all that happens is the level playing field changes for a broad spectrum of companies within that. A technology like Gen AI will accelerate that process of creating that level playing field, but then you will have to look at the next level of sophistication and advancing in terms of how you use the information.

The underlying analytics that will need to be done, the predictive prescriptive type of work, the underlying analytics around connecting that between the business use case and decision making, that will still be there to quite some extent. I mean, I gave y ou the example of using Gen AI to look at financial statements and come up with investment thesis on how the companies are performing, as an example. Another recent example that we have encountered is how we can use Gen AI to actually do fairly complex en try, market entry and market positioning type of analysis.

Now, we have been having conversations with a company that does this kind of work. But all that means is that , that tool and the technology will create a new level playing field with the work moving on to a more sophisticated plane, right, in terms of what you can do with that information. So our philosophy and our expectation on this one is that there will be a l ot more work that will happen on the predictive prescriptive analytics side. Some of the simpler stuff, though, right, which is the look back ana lytics and the business insight generation type of work, that could get commoditized and automated using the technology because that is well understood. You can avoid the problems of hallucination and stuff and so on, right, in those areas. So that will happen. But in terms of the decision making and the optimization, the tooling and technology will create more opportunities to get on into a more advanced type of approach.

Moderator: Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco . Please go ahead.

Pranay Khandelwal: Hi, thanks for the opportunity. I just wanted you to talk a little bit about the products that we have and also the product that Decision Point has, BeagleGPT , how has the adoption for those products and if you can give a breakup also of the revenue from products ver

sus revenue from services ?

Rajan Sethuraman: Yes. So, hey, Pranay, I just want to, I mean, at the outset say that we don't consider what we have built so far as products. I mean, I would best classify them as accelerators and solutions because we are not at operating in any kind of a license revenue or a subscription type of a model. Whatever we have built, we are typically using them in the provisioning of the services, right, that we bring to the table. So I talked about LASER or AI Penpal earlier, right? These are the GenAI produc ts, the solutions that we have, which help analyse either unstructured data or generate new content.

Similarly, our smart innovation solution or connected view supply chain solution, I would say all of these are in the nature of solutions and accelerators that create a fairly good starting point for us as well as non -linearity in terms of effort that we n eed to expand . For example, recently we completed a significant migration project for a large media retailer. Media retailers, they are a retail company, but they primarily use television as the channel, right, for their business. It was a significant amount of migration work and we were able to almost cut down 60% of the effort required using our MigrateMate solution. However, none of these are solutions that we can sell or give away as a product and we still need to be in the mix in order to make use of that solution to deliver the services. On the other hand, BeagleGPT, I would say, is a product. They have been able to actually sell them, sell BeagleGPT as a subscription, as a license model. So it's a bit of a first of a kind for us. They have also integrated it very effectively with the Microsoft Teams environment. So therefore, deployment and usage also becomes fairly simple. There will be learnings for us as well in terms of taking some of those components and then making it possible for us to maybe evolve the solutions that we have, right, to a product level. At t his point in time, though, we are kind of fairly clear that overall strategy and philosophy for us is that we will continue to be a bespoke analytics consulting and ser vices organization. Product revenue, if any, will be marginal in the scheme of things. And we will be using that more for creating the non -linearity and the entry point, right, in terms of conversations.

BeagleGPT has good potential. It's already generated a million dollars of revenue, right, for Decision Point in the last year. And this year, if conversations are anything to go by, it could generate even more revenue. So we will continue to double down on that and then make further investments to see how w e can continue to evolve the product as well.

Pranay Khandelwal: All right. That'll be all. Thank you.

Rajan Sethuraman: Thanks.

Moderator: Thank you. The next question is from the line of A agam Shah, an individual investor. Please go ahead.

Aagam Shah: Thanks for the opportunity. So most of my questions have been answered. Good question. On the opening remarks, you said that in terms of client, you have 100 new logos, but it's taking time in terms

of spending level from them. So when you see them, you know, the spending level increasing or the getting more business from them. You can elaborate on the same ?

Rajan Sethuraman: Yes, sure. Thanks for your question, A agam. I think it's a matter of time. What has happened is given the general uncertainty on the macroeconomic environment, discretionary spending that clients have kicked off, have focused more on the newer areas and technologies, you know, like the Generative AI type of solutions. And obviously, in those areas, they are being caut ious that they seek to understand what the technology is about, what it can do for them. Therefore, the pilots that they have kicked off have been smaller. And this has bee

n the case, you know, even with larger organizations.

I'm expecting that as these pilots yield results and they can see some direct benefit, right, either on the top line, bottom line or the metrics, then the appetite for expanding this will come in. And we are also seeing softening in terms of the interest r ates and potentially, you know, likely the macroeconomic uncertainty itself unwinding. So it's just a question of time. I mean, our expectation at this point in time is that the second half of this year itself could see some of that uptick happening as cli ents move from smaller to larger initiatives. Even in these new areas, some of the clients with whom we have been working for a longer period of time, w hether it's a relationship 3 years or more, they have already taken that kind of an approach.

One of the largest accounts that we work with, we were able to win a $1 million Generative AI engagement, right, this year already, and we are executing on that. So I'm expecting that uptick could happen even in a quarter or so.

Aagam Shah: So just a last follow up. So basically, what I understand is, so all levers are in place in terms of hiring, in terms of investments, technology, everything. So you just need the macro environment to support you, right?

Rajan Sethuraman: That is correct. The good news is that even in this sluggish macroeconomic environment, we have been able to grow our existing accounts and bring in new logos as well. So that is giving us confidence. That plus the fact that there are multiple conversations and opportunities that we have in the pipeline, that gives us confidence that once the sentiment improves a bit in terms of starting to invest for the future, things could pick up pace pretty fast.

Aagam Shah: Okay, that's it from my end. Wish you the best.

Moderator: Thank you. The next question is from the line of Narayan, an individual investor. Please go ahead.

Narayan : Sir, my question is in the field of risk management. So what are the major risks and challenges that you foresee and how are you planning to mitigate them in the near future?

Rajan Sethuraman: Yes, thanks for the question, Narayan. It's a very broad question, of course. There are risks all the way from strategic type of risks to what one might encounter on the IT and the cyber security space. From a business standpoint, right, if I were to just look at business risks, I think we typically look at two or three areas. One is the risk related to general demand environment and the macroeconomic scenario. This is what you have been seeing playing out over the last almost 6 quarters, right, when things are softened up. And we are seeing that the growth rates are much lower in comparison to what we were anticipating, right, before this whole downturn started. And there the best defense is to keep investing in the right kind of capabilities and the tooling and the expertis e so that our solutions and expertise

make sense even in that type of an environm ent. And I believe that that is the approach that has actually stood as well in the last 4 quarters to 6 quarters , where we have continued to grow, albeit at a lower rate in comparison to what we were doing earlier. But we have still managed to grow during those periods , right, in terms of quarter -on-quarter and year -on-year growth.

Another big risk that you typically see from a business standpoint is just the pace at which the technology is evolving and the need to keep abreast of those technology changes and make sure that we are not only aware and we are able to learn all of the st uff, but we are also able to incorporate it in performing the work that we do for our clients and bring the best and the newest innovations and ideas that emerge from the advent of those technologies.

I think Generative AI is a great example of that. And in

fact, I was talking to somebody earlier today and they were asking me, do you have a Generative AI practice? And I was responding to them saying that for the kind of work that we do and the industry that we are in, we cannot say that we have a Generative AI practice because everything that we do has Generative AI embedded in it in some form or the other, whether it is around Generative AI core solutions or Generative AI wrapper in the solutions and t he services or whether improving our own productivity as an organization a nd the performance of the work. So I think that's the second risk. And we need to stay completely clued in and then we need to be fast and adapting to all the new technology changes that are coming.

The third is, in general, this area also lends itself to rapid commoditization and automation, which means that we cannot just keep doing work that we did in the past and hope that clients will continue to pay top dollars for that type of work. We have to continuously keep innovating and finding new problems, more complex and fuzzy problems.

I talked about how any new technology raises the level playing field. But the good thing is that it also raises and increases the visibility that we have. It's pretty much like a climbing a mountain. The higher you go, the more becomes visible to you. And therefore, that is the visibility and understanding that we try and bring to the context that we are aware of more advanced problems and approaches and solutions, and we can take them to the table.

So I would say broadly from a business standpoint, those are big things. I'm not talking about other risks like geography, client diversification risk, and I mean, there are any number of risks. And of course, cybersecurity itself is a fairly big area because we deal with data , and we have to be very careful about it. But those are all, we obviously have awareness of what is happening and we are putting in the right kind of mechanism. I'm assuming that you are talking about business risk rather than those other types.

Moderator: Thank you. The next question is from the line of Hasmukh Vishariya from Tata Mutual Fund. Please go ahead.

Hasmukh Vishari ya: Yes. Thanks for the opportunity. My question is around the guidance and risk to that guidance. So just wanted to understand that for the lower end of the guidance, what sort of deals momentum you have considered for the existing book of business, how from the existing book of business, how much, let's say, revenue growth can come from and how much i s built in from the potential, let's say, deal conversion?

Rajan Sethuraman: Yes. So I would say that right now, if I just look at the confirmed revenue that we have, which means

these are all deals that have been signed and switched up, as well as the high probability extensions that we are looking at, that itself amounts to about 10% plus growth. So, 10% of growth will come just from all the confirmed work and the high potential extensions that we have.
On top of that, there are other projects where extensions are feasible. And in addition to that, we have almost $45 million pipeline for this year itself, meaning that this is revenue that can convert in this year if all the stars align. Now, of course, th e $45 million pipeline, the opportunities are at various stages of the funnel. And we have assumed a certain kind of conversion and probability to arrive at the guidance that we are given. If things move faster, all these are real opportunities which have a non - zero probability of conversion anywhere from 10% and above. Some of them will be at 25%, 50%, and so on. So the pace and the velocity at which these deals will move through the funnel and the actual conversion is what will determine whether we are able to go past the higher end of the guidance that we have given.
Hasmuk

h Vishari ya: Got it. Just a thought process behind the question was basically you have talked about macro improving or the macro improving from H2 onwards. If that, let's say, gets pushed by a quarter or two, whether there is any risk to the guidance is what I wanted to understand?
Rajan Sethuraman: I don't think the lower end of the guidance will get impacted by that. We will be able to deliver . I mean anyway, the range that we are given is fairly narrow. We are talking about 16% to 18%. At this point in time, I would say that 18% is fairly confident of that, even without any improvement in the macroeconomic scenario. If the macroeconomic scenario improves, then we could go well past the 18% guidance.
Moderator: Thank you. The next question is from the line of Abhishek Murarka an individual investor. Please go ahead.
Abhishek Murarka : Yes. Keeping our growth trajectory in mind, I just wanted to know what type of investment are we looking in terms of talent?
Rajan Sethuraman: Yes, thanks for the question, Abhishek. Right now, the main investment that we are looking at is doubling down on a few areas. Right. One is around data engineering and the capability. As we have said, the data engineering will become even bigger in the coming quarters and the coming years.
Today, we have about 200, 250 personne l who do data engineering work. But there is no concentrated expertise in a particular area. We are kind of agnostic and we do work across all the hyperscalers. We do work with Snowflake and Databricks. We use a bunch of other tools and technology as well to do the data engineering work. The intention now is to pick one of them and double down. We have chosen at this time Databricks as the partner that we want to really build some serious expertise. And there are some specific things that are happening within the Databricks ecosystem as well in terms of new things that they are introducing. This then and Microsoft Fabric that I mentioned earlier, this is the other one in which we are going to be making some substantial investments. So some of the hiring and talent additions will be in those areas, just shoring up even more on the Databricks high -end architecture type of skills, as well as people with certification investments that we make into training people and all that. So that is one area.
The other one is related to the domain expertise that I alluded to, especially in the area of financial services. I talked about traditional areas of banking and insurance services and also the work that we do in other parts of the BFSI spectrum. Likewise, investments that we want to make around industrials,

automotive, around retail as a business area. These are all the areas where we are looking at adding more domain experts into the mix.
At this point in time, some of the value propositions that we are able to offer in these areas, they are more of the generic horizontal value propositions that we are offering, like supply chain analytics or marketing analytics. We want to make it a lot mo re specific and tailored, similar to what we have in the consumer package good space. If I can recall, remind people on the call, with CPG, we are focusing on three specific areas. We are focusing on R&D and innovation with our smart innovation solution. We are focusing on -shelf availability, demand forecasting with our connected view supply chain solution. And then we are focusing on revenue growth management with the acquisition of Decision Point. We want to be able to do similar type of value prop and offering with a very tailored to the particular challenges that BFSI or Banks and Insurance are similarly right in industrials or in retail operations. That is the attempt and that is where we'll be adding more domain experts. I hope that answers your question.

Moderator: Thank you, ladies a

nd gentlemen. We'll take this as the last question. I would now like to hand the
conference over to the management for closing comments.
Rajan Sethuraman: Yes, thank you. We feel at this time, in closing, I would say that the start for this year, quarter one, the while it's coming at the 4% plus kind of a mark and it is a tad lower than what we were hoping for, right? When we were in the second half of the last fiscal, I would say that the signs that we started seeing then are still intact.
We would want to be able to accelerate some of the opportunities that we are chasing. And we want to move on to that trajectory, right, depending on how the external scenario unfolds. But I would also add that a lot of the investments that we had made, rig ht, either in building the solution or the front end bandwidth is what has made all of those conversations and opportunities in the pipeline possible.
So at this time, I would say that while we will make some adjustments in terms of repositioning and reprioritizing the investments, right, moving some of the front end into the capability and the domain expertise and stuff that I talked about. I think we a re well positioned for capitalizing on the opportunities, right, when they do start getting unlocked. There are good signs of that happening in many of the verticals.
We are also energized by the acquisition of a Decision Point and just bringing in more thinking, thought leadership, and solutions right to the table, specifically in the consumer package good space. In general, when something like this happens, it's also a shot in the arm for the entire organization. And we ca n see that kind of momentum and positivity in all that we do.
So the expectation is that this year, in the coming quarters, we will see even greater momentum on not only CPG, but also in the rest of the industries where we are operating. Technology already, we are seeing some good traction. Raj talked about the optics that we are starting to see in the financial services space. Retail is still a bit sluggish. And I expect that there will be some more pain in that space. But otherwise, in all the other sectors, we are starting to see some momentum. And then we want to ride that momentum right in the coming quarters.
So overall, positive about how things will pan out right over the remainder of the year s. We don't want to run ahead of ourselves. And we want to watch how things unfold as we make the reprioritization

decisions right with respect to our investments.
With that, I'll hand it to Raj for any further comments that he has.
Rajan Venkatesan: Yes. Thanks, Rajan. In closing, I'd just like to reiterate some of the points that Rajan already spoke about. While Q1 did come in at the lower end or slightly below our expectations, and a lot of that was primarily driven by, I would say, delay in signing on some fairly promising or high probability deals, right? But the good news is we were able to stitch togeth er some of those deals towards the end of Q1, which means that we will be able to see revenue from those dea ls flowing in Q2, ri ght?
We've also added close to about eight logos, of which I would say three would be Marquee logos that gives us the confidence that if you're able to land some of these POCs or initial pilot projects that we are executing in these Marquee logos , we should be able to build on the strength of the relationship over the rest of the period.
The acquisition of Decision Point unlocks several joint go -to-market pursuits, some of which is in positioning their RCM services to our client set, some of the solutions that we are building to their client sets. Also, nearshoring opportunities in LATAM, again, represents fairly significant joint go -to-market opportunities where we are positioning resourcing from either Mex ico or Chile for clients of

population. This, again, is a new, I would say, dimension or new area of growth for us, which seems to be fairly promising at this point in time.
So all in all, I would say there are several positives to take from the Q1 performance and also some of the sort of activity that has been happening, even though they may not have necessarily converted it to active deal closures. But having said that, as a lways, we continue to tread with caution, right? I mean, we do understand that while the confirm plus the order book will mean that we will be able to deliver a 10% to 12% type growth. There is still work to be done. There are deals to be closed. Also, on the account management side, we have to continue ramping up our efforts on mining the existing relationships, right? Some of the large accounts that we have grown to very, very sizable values. And therefore, that means that there is increased pressure on us to deliver outstan ding quality to these accounts. And we will have to continue to do that, watch our service delivery excellence metrics very, very closely, right? So, that would be on the top line side. But as we continue to grow and scale, we will al so continue to look for opportunities to drive some of the operating metrics around utilization, non-site offshore ratios, look at near -shoring as well as offshoring as opportunities for us to improve the margin profile.
Also, look at G en A I and as well as, using internal repository of solutions and accelerators to drive

efficiency as well as improve pricing, right? So, we will continue to work on the operating margin side as well to improve the margin profile and not just rely on top line growth. And, all that I can say is at this point in time, it does feel, that we are ending Q1 on a fairly strong footing. But having said that, there is still work to be done. But we are hopeful that we have the right team in place to de liver the sort of growth trajectory that we've indicated on this call.

With that, I would want to hand it back to Asha to close the earnings call.

Moderator: Thank you. On behalf of LatentView Analytics Limited , that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2024

Classification: Internal Contains PII: No

November 18, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol: LATENTVIEW
Dear Sir/Madam,

Sub: Transcript for the Investor Day 2024 (Business & Financial Updates - Session)
This announcement is also made available on website of the company i.e., https://www.latentview.com/.
This is for your information and records.

Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer
With reference to our earlier intimation dated November 06, 2024, and November 11, 2024, regarding the Investor Day event held on November 11, 2024 (Monday), we would like to inform you that the transcript for the Investor Day 2024 (Business & Financial Updates - Session) is enclosed herewith.

"Latent View Analytics Limited
Q2 FY25 Webcast of Investor Day "

November 11, 2024

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO , LATENT VIEW ANALYTICS LIMITED
MR. RAJAN VENKATESAN – CFO , LATENT VIEW ANALYTICS LIMITED
MR. PRANAV ADVANI – FINANCE & M&A MA NAGER

Latent View Analytics Limited
November 11, 2024

Pranav Advani : Good evening, everyone, and welcome to the Q2 FY '25 Webcast of the Investor Day to discuss the business and the financial updates of Latent View Analytics Limited.
Latent View Analytics is today represented by the CEO of the company Rajan Sethuraman , whom we shall be referring to as Rajan during the course of this webcast , and we also have the CFO of the company Rajan Venkatesan , who m we will be referring to as Raj. We will start the session with a brief update on the business , which will be given by Rajan , and then followed by an update on the Q2 financials given by Raj.
I would like to remind you that anything that is mentioned on the call that reflects any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risk and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports that you can find on our website.
Having said that, I will now hand over the floor to Rajan. Over to you.
Rajan Sethuraman: Thank you, Pranav , and welcome everybody to the webcast and the interaction today that we have lined up for our investors.
Today, being the first time that we are doing in-person event, we also wanted to use the opportunity to provide a little bit of perspective about our journey so far and what we have in store for the future from a strategic perspective . So, that is what we are going to be talking about . So, we are going to give a little bit of the market outlook. We will talk about our journey so far and then what our growth strategy is like going forward .
So, firstly, looking at the market itself, you will all recall that we had shared a bit of that perspective as part of our IPO and as part of the DRHP that we had put out at that time. So, we have done a little bit of refresh of that in terms of where we see the market today and how that will lead to the kind of headroom that we see for growth in the coming years.
We still see that there is a fairly aggressive amount of opportunity that is there and number that we had put out at that time, if you remember was about +$160 billion by 2026. We see that that is still playing out. The market size for data analytics itself has been growing quite rapidly , and that growth is continuing , and we believe that that growth is a secular trend that will play out in the coming years as well.
We also see that there are a lot of new technologies that are coming to the fore. I mean, we have been talking about artificial intelligence and generative AI as well . So, these things will continue to power what the opportunity is going forward. In some sense, we can split the timeframe that we have been in existence as well in line with how things have played out, right , over the market .

So, if you look at traditional analytics that got done from , say, 2010 to 2018, it was all really about how do you solve a particular user's challenge or problem, maybe within a business unit or within a functional area as part of a particular value chain , right? And how do you look at data that they had access to , mostly structured data at that point in time, but data that was there within the enterprise , and how do you look at understanding a little bit more about what has been happening within the organization and why it does happen , right? What we call typically diagnostic and descriptive kind of scenarios and trying to get them better understood, not just in the form of data on tables, but also visualizations that can help organizations consume an d understand and appreciate that better.
From 2018 to 2020 , there was a inflection point , and there were several technologies

that started
coming to the fore, not that these technologies did not exist in the past, but are coming together of different kind of developments, right? One in terms of the cost of memory and compute becoming lower and newer technologies available to organize and process data meant that some of the approaches and algorithms that mathematicians and scientists knew could now be brought into the world of business as well. So, things like cloud computing, AIML, they started driving the action , and you see the emergence of a lot more of these technologies playing a role in helping companies understand not just what happened and why it happened, but also in terms of predicting a bit more about the future, what is going to happen and therefore what can companies do about them, right? So, that is where a lot of the stuff started moving .
And today, from 2020 onwards, you are seeing the emergence of AI led analytics, artificial intelligence is the buzzword today. Everybody is talking about AI and generative AI . And the interesting part of it is that it is no longer just in the realm of mathematicians and scientists or even just businesses, but today you are also seeing how consumers are very well versed with it, right? Everybody has used a Chat GPT for something or the other and we are all familiar with the capabilities that brings to the ta ble. Even school going kids know how to play around with it at least, right? And I am sure that they have been using it for very interesting use cases themselves .

So, today you have a scenario where there is a bit of a culmination of all of these technologies and the trends that have played out and organizations feel a lot more comfortable with accessing and analyzing data across the enterprise, structured data as well as unstructured data, data from other parts of their ecosystem, including their vendors, customers and so on and then being able to actually look at all of that information to solve the kind of business problems and questions that they are going after.

In some sense, we believe that today the evolution is from a scenario where IT and ITES systems were supporting what I would call systems of record to one where we are now going to systems of decision making, right? And the systems of decision making will heavily leverage the kind of technologies that they have talked about. So, data and analytics will move from being an

Rajan Venkatesan: enablemen t to anothe r suppo rt function to one which will become fairly central, right, to the strategy of the organization to drive business growth going forward.

Now, as an organization, we have been aware of what is happening right in the market, and we had kicked off several initiatives as well as changes so that we are better prepared for addressing the opportunity that the market presents. One of the things that we looked at was like which aspects of data analytics are emerging.

So, AIML and advanced analytics, the data visualization that I talked about earlier, data e
ngineering, right? These are the different parts and what we want to share here is that what is the composition between these different types of work and what is the kind of growth rate that we see happening in each of those areas. Of course, AIML and predictive prescriptive advanced analytics will be a fairly significant chunk in the times to come . It is already more than one third . We believe that it will grow very fast in the coming years as well.

I did mention earlier in an answer to another question that data engineering is at an inflection point and how it will be very important for organizations to have very robust data platforms to power their analytics. So, again, we see a lot of growth happening in that space.

If you look at an industry perspective, we all know that segments like Banking , Financial

Services and Insurance and Retail and CPG have been the forerunners when it comes to using information technology. It is no different when it comes to Data and Analytics as well . They actually form a fairly big chunk of all of the money that is being spent and the work that is happening in data analytics. Segments like Technology and Healthcare, they come behind them . We see good growth happening in these sectors as well. I mean , both BFSI as well as Retail and CPG are expected to see fairly aggressive growth rates in the coming years. So, this is a bit of the market perspective in terms of how we see different types of work and industries stacking up. Now, our response also has been to make sure that we align with that.

I think the one point that I wanted to add just on the earlier slide was, while we are very, very strong on the technology side and that as you can see is probably about 12% of the total market spend, with the Decision Point Acquisition plus also some of the solution building that we are doing, specifically Anup spoke about product innovation, right, smart innovation, so we are investing heavily into the Retail/CPG domain , which is one of the largest spenders for analytics initiatives.

BFSI again, while some of you may have had a chance to look at our most recent earnings, While historically, you know, BFSI did not grow at a pace that we would have liked it to, but this year specifically, we should end the year with about 10% contribution from the Financial Services vertical. So, we are seeing a lot of traction coming in from both FS as well as CPG. And we hope that in the years to come, in the next three to five years, as we present our growth strategy, these

verticals, in addition to TMT, which is expected to grow at a steady rate, will significantly contribute for in our growth journey.

Rajan Sethuraman: Now, thanks for adding that, Raj . So, the other aspect has been how is outsourcing panning out as far as data analytics is concerned. And there was a question earlier, right, in terms of core processes and non -core processes, and how organizations look at them.

There are different type of players in this market. We have pure play analytics companies, like ourselves, and you would have seen some of the other names that we have indicated there, and how they are panning out, right, in terms of their market share and the growth that is happening in the space.

There are large IT services companies, systems integrators that also play within this data analytics space, what kind of market share they have, and how they are growing within the space.

And then there are business process management companies. I mean, these people have had

access to a lot of data about the processes, in some many instances non -core processes, but also organizations that have been supporting on core processes, and how they are panning out.
And then finally, you also have large, you have consulting firms, the likes of a BCG, for example, or McKinsey, right. They have been part of this data analytics landscape as well coming in more from the business strategy, and how do you help connect the dots with data analytics.
Each of these segments are experiencing different kinds of opportunities and growth rates, and then there is a certain kind of positioning that we enjoy as well. Our kind of take on the matter is that the pure play data analytics companies are the ones that are able to marry and connect the dots a lot better between the business problems and what organizations can do with their data.
And in many instances, helping them think through their analytics strategy in terms of the initiatives that they should be u ndertaking . So, we believe that the growth as far as this segment is considered will continue to accelerate in the coming years.
Now, this is a bit o

f a market perspective that I want to give. Now, looking back at our journey so far, again, we wanted to talk about the different evolutionary stages or what I would call as orbit shifting moves that we have undertaken in the last 18 years of our existence. Early years from 2007 to 2014, we really looked at how do we build partners with some of the largest brands that are out there.
I mean, by stroke of luck, we started off with the technology ecosystem, working with some of the large players in technology and in the digital native realm, and that kind of helped us gain a foothold in the U .S. market as well. And even today, a lot of the work that we do and the revenue that we get comes from the technology and the digital native ecosystem.
One other orbit shifting move that we made at the time was to bring in a professional CEO . From 2010 onwards, my predecessor became the CEO taking over from Venkat, who was the Founder

CEO , right , till at that point in time. Those were really good years. I mean, we grew very aggressively . We featured 9 times in a row on the Deloitte technology Fast 50 in India, and it was a period of fairly aggressive growth and expansion for us.
2015 to 2020 onwards, I see as a period where we did make again a few orbit shifting moves, but it was also a phase of consolidation for us, and then putting in place the kind of platforms that we needed to capitalize on the opportunity that we saw ahead of us. So, we launched and reorganized ourselves by industry verticals starting the year 2016. We also looked at how we can strengthen our operations and make sure that we are having a more broad -based kind of an approach to delivering client services. And we did see recognition from external partners during that period as well.
Now, this phase that we are currently in from 2021 onwards, since we went public , our IPO was in November 2021. That 's been a continuing journey of evolving from being an analytics execution partner to an analytics thought partner and a consulting partner.
In some sense, a lot of the things that we have been doing in th ese last three years have been about how do we go to market more on the back of specific solutions and value propositions and how do we get a seat at the table ahead of even companies thinking through what should be their analytics initiatives and partnering and helping them think through the book of initiatives that they should be executing.
And of course, this period has also seen as being active on the inorganic front with our first acquisition of Decision Point happening four months ago. So, going through these evolutionary stages has also meant that we have been able to build the capability and the muscle required for us to be a fairly aggressive player in this space and capitalizing the opportunities that are available.
Now, the Decision Point acquisition itself has been a very interesting and important one. I talked about how we are pivoting more towards the value proposition and the solution led kind of an approach. Earlier, we had identified that areas like R&D and innovation, we touched upon that earlier with the smart innovation talk, supply chain, these were very important areas. We also saw revenue growth management as a very important topic of concern for consumer -packaged goods companies. And that is what we have been able to address and that is the gap that we have been able to plug through the acquisition of Decision Point .
Decision Point also brought in capabilities on the generative AI front with the BeagleGPT as a solution , and we have been able to capitalize on that as well. This is also a bit of a foray for us into the product space. So, while over the last 18 years, Latent View has built multiple solutions and I would call assets and accelerators, we had never real

ly truly graduated to a product. What BeagleGPT does is to bring that kind of thinking as well into our spectrum of services , and we have been able to now look at the growth that we can drive in the product space as well.

The third thing that we now have on the offer is a presence in Latin America, not just in terms of addressing the market opportunity there, but also Latin America being a base where we can support our clients out of from a near shore perspective. So, there is a lot of action , and we already have a few of our clients starting to make use of LATAM capabilities and resources for some of the work that we do for them.
Decision point also brought in a lot of marquee logos that they were already working with in the CPG space. So, this has meant that we actually have dramatically upshifted in terms of the volume of work, but also the nature of the companies and the l ogos that we are working with in the CPG space. And then I talked about the access to the talent that is available within the Latin America market. So, all these things are really helping power the action that we see in the CPG space.
Now, we are very keen to move forward with fairly strong top line and bottom -line performance. Raj, do you want to touch upon it?
Rajan Venkatesan: Thanks, Rajan. So, coming to the financials which I am getting would be of the most interest for the audience today. So, what we try to present over here is , of course , while we don't have a full -year data for FY '2 5, we have the last 12 months ' data, we wanted to present data from a year before the IPO and where we are today, right?
So, it's impressive what we have been able to accomplish over this four-and-a-half-year period in terms of just top line growth. The numbers that you see for the year before the IPO, FY '2 1 was the full year before the IPO, we were at about $41.4mn. So, roughly , we are at about 2x that size, but if you just take the I PO year as a benchmark, we are at about 1.6x to 1.7 x that size, right , as we stand today . And most of this growth except for the last quarter where we consolidated the Decision Point numbers along with us, this entire growth has been on the back of organic initiatives that we have driven.
In terms of the EBITDA profile for the business, I want to spend a little time over here because I think while the pre -pandemic days, we were operating at levels of EBITDA margin in excess of 30%, right ? Those are also periods that you would have to understand from the way the delivery model was moving, clients were very, very comfortable because people were working remotely, there was hardly anyone coming to office, right? So , there was a significant shift of the delivery teams to an offshore model, right ?
So, I remember we were almost skewed to a 1 :6 sort of a ratio at that point in time where for every one person who is co -located at a client location, in the United States, we had six people working out of India . So, it automatically meant that your gross margins were significantly better at that point in time . So, this is a phenomenon that played out in COVID and the year after COVID . So, that's one aspect.

Secondly, at that point in time, I would say, it was also, as would be the case with most companies that were battling with demand concerns around COVID , we also, I would say, in some sense, tightened our belt, right? We wanted to conserve cash flows . We wanted to optimise costs, which necessarily meant that on the business development side as well as corporate and enablement functions, there was a lot of tightening that happened around that time in terms of spends, which automatically meant that most of the incremental revenue that was coming in was all flowing through to the bottom line beca

use there was really very minimal S &M spends as
well as G &A spends at that point in time. So, in some sense FY '21 and FY '22 EBITDA margins were not sustainable margins in some sense, because the level of off -shoring that was happening as well as the SG&A are not representative of where the business is today.
Now, clearly on the back of the IPO, one of the promises that we did make was we will expand our footprint in Europe, which meant that we added a significant business development presence in the region. What we also did was, U .S., which is our primary market, we added a lot of firepower in the front -end growth engine, which was the hunting team.
So, just as a point of reference, we had close to about 3 sales folks at the time of the IPO. That number from 3 went up to about 16 people in the United States and close to about 9 folks in Europe. So, a lot of those investments that we did played out in the year FY '2 3, which is when you started seeing the margins drop because those investments were happening. But the full impact of those investments really played out in FY '2 4.
You will remember that at the beginning of last year, our EBITDA margins dropped to as close as 19.1%, but it was also something that we had clearly guided the market on. We were saying that we were investing for growth and not just on the sales and marketing side. It was also on

solution building for the future because clearly these investments, according to us, were necessary for us to differentiate ourselves in the market. But what you will see in the most recent period is w e have started seeing an upwa rd trajectory in that margin. In fact, for the most recent quarter, our adjusted EBITDA margins were close to about 22.5%. We expect this trajectory to go up as we get into H2 FY25 . What we also very strongly believe is the level of investment that is there in the business today is good enough for it to sustain for the next, I would say, even $25mn to $30mn, $25mn to maybe $50 million of growth. So, we don't need to make a significantly higher level of investment. So, a lot of the growth that will come now should ideally generate operating leverage , and you will see that playing out in the margins.

Now, it's also one thing to say that yes, the margins should expand, but we will continue to invest wherever we see. Data engineering is one big focus area. For instance, our partnership with Databricks is something that we announced , right? We will continue to invest in these pockets because, again, we believe th ese will be significant growth drivers for the company as a whole.

And a lot of that EBITDA margin is, again, reflected in the way our PAT margins have also played out. The one thing, though, that I would like to call out specifically with regards to PAT

is the two big delivery centers that we have , In fact, the delivery centers that we have in India is one in Bangalore and the other one is in Chennai. Chennai, of course, being the largest delivery center, our SEZ benefits for the delivery center expired last year, right, which is why you will see tha t PAT as a percentage of revenues came down because we lost the tax benefits associated with that SEZ.

But, all in all, I would say the margin profile of the business is continuing to look good. We were very happy that we were able to deliver our seventh consecutive quarter of sequential revenue growth. And with the Decision Point acquisition today, we are hoping that we will end the year with close to about, on a pro forma basis, between $100 million to $105 million in revenue. So, if you take that into account and compare it with where we were in the IPO timeframe, we have grown 2x from that time. And so, our goal also is to get to a certain number which Raj an will talk about when we talk about the strategy part of it . So, I am going to

hand it back to Raj an now
to talk about the strategy.

Rajan Sethuraman: Thank you . So, Yes, moving forward, how do we look at things spanning out for us in the coming years? First off, we want to get to a $200 million to $220 million target by FY27 or FY28 , thereabouts. You will see that this will be a doubling of where we are likely to end this year at, right? In some sense, it is a bit more than the doubling of where we are likely to end this year at . So, we would have grown about 2.5x from the time that we did the IPO . We are expecting to double again in that kind of timeframe , and we believe that that opportunity is there in the market in terms of what we see as headroom for growth .

So, earlier I had presented what are the horizontals, right, the type of work that are panning out as far as the market is concerned and where the expected growth is . So, what you see here on the slide # 13 is like what is our composition of the work, right? So you will see that AI, ML, Advanced Analytics work is close to one -third for us. Data engineering is about 20%, one -fifth of the work that we do today and about half of the work that we do today is in the area of data visualization and generating insights and doing data analytics. The growth is obviously expected to be really high on the AI, ML and the Advanced Analytics front and Data Engineering as well. In fact, I believe that for us, data engineering can be close to 35% or even 40% of our revenues, with the right kind of focus in the next two, three -year timeframe.

From an industry standpoint, again our presence in the high growth sectors of BFSI and Retail is quite low. We are very heavily indexed on technology and the digital native space, the TMT space and as Raj mentioned earlier, that is the one where we have had our biggest growth vectors. However, we believe that a lot of the work that we do and the technology and the tooling understand that we bring because of working with the best companies in technology and the digital native space, we will be able to bring it to bear on the CPG, on the BFSI and the Retail space.

In fact, the acquisition of Decision Point and shoring up on the quantum and the nature of the work that we do in the CPG is also a further commitment to really driving the action as far as the CPG space is concerned. So, we are expecting that growth in those verticals, BFSI and CPG and Retail will be a lot more in comparison to what we will see as growth in the other sectors and that will actually pave the way for the kind of doubling that we intend to achieve right in a 2-3 year kind of time frame.

The priorities that we will be focusing on in terms of making that happen. One is , of course, the work that we have been doing at the front end of the value chain, customer and marketing analytics, we believe that there is a lot more action that can happen on th at front. So, one of the things that we did when we started out this year was to actually build out, start building out a marketing analytics center of excellence, where we bring that we can drive the next set of innovative ideas that organizations can look at.
So, from a holistic perspective on improving marketing return on investment . So, how do we have conversations with the Chief Marketing Officer and their team in order to drive that action. So, in this area particularly, we have also made a significant investment in terms of asking our entity lead for the technology vertical to take up this new role so that we can really accelerate what we are doing in the marketing analytics space. So, that is an area of focus for us. We will obviously look at generative AI . There is a lot of conversations and interests. Today, when I look at the opportunity pipeline that we have, over 20 %-25% of them are related to ge

nerative AI
opportunities . There is still a lot of experimentation that is still going on, but we are also starting to see that some of the more mature organizations from an analytics perspective are starting to move from just doing experiments with generative AI to actually putting production systems in place, and that automatically means that the spend and the size and the impact of those initiatives will be much larger, and that's what we are starting to see. So, we have already started winning deals which are a million dollars or more just on the generative AI itself. There is a lot of experimentation going on, and I am sure that that will continue, but in the coming q uarters, we are expecting that there will be a lot more initiatives that start to see production.
I talked about data engineering earlier, how it will be a very important area of focus for most organizations that are moving from addressing the low hanging fruit to the more complex initiatives. This is an area that we intend to double down on. We had partnerships with some of the players in space earlier, including Snowflake , Fivetran , for example.
Today , there is a lot of action happening with the Databricks and just a month ago we were elevated to the highest partnership tier as far as Databricks is concerned. We are already having multiple conversations with them with their leadership, industry leadership as well as their alliances leadership and we believe that the Databricks data engineering opportunity will be a big space for us to capitalize on.

We are also investing in this space in terms of sho ring up our own alliances team as well as the number of people that we will have trained, certified and building the kind of solutions that can be hosted on the Databricks platform also.
We are also looking at near shore centers . I talked about how Latin America with the new capability that we now have can actually serve as a talent base for our clients in North America. We are starting to see quite a bit of traction there , and we will be doubling down on that going forward. We have had questions earlier also about what we are doing in Asia Pacific in India. We have done a few experiments over the last 12 months or so . And at this point in time , we have decided that we will double down specifically on the opportunity in the global capability center space.
There are many organizations that either have a subscale analytics capability , or they are looking to set up a new capability, right? They might have an IT services capability but not an analytics capability . And then there are , of course , organizations that are looking to augment the capability that they already have . So, we do have different kinds of models that we are taking to them in terms of how can we be a very credible partner whether they are looking to set up a capability , or whether they want to transition their subscale capability into a more effective kind of a model , or whether they are just looking for a partner to augment what they are doing. We are starting to see some good traction on th at front , and this is an area that we will really double down on in the coming quarters .
And finally , I think all of this work happens only because of the high caliber talent that we have within the organization . So, this is an area that will continue to be a focus in terms of how do you build out the kind of skill sets and stay at the cutting edge in terms of the new technologies and the developments that are happening in this very dynamic space , and this is an area that we double down on to make sure that the supply side is well addressed as well. I mean , all the other five points that I tal ked about were really related to go -to-market and creating the demand for the kind of services that we provide , but we want to

make sure that on the supply side as well
we are well positioned .
So, broadly from a management and the leadership standpoint , these are the strategic priorities that we have . Over the next three years , we believe that if we execute well on them , there is

enough headroom for growth , and there is enough opportunity. We believe that we can achieve the doubling of the revenue that I talked about , right , in the two , three -year timeframe if we were to execute well on that.
I think that kind of brings us to the end of our initial introductory remarks on our performance and how we see things going forward . We will be happy to take questions right now.
Pranav Advani : Thank you so much Ra jan and Raj.

Moderator: Thank you very much. We have a text question from Suraj Malu from Catamaran, and there are three questions in the line. The first question which says, can you please help understand what is the work that Latent View does for key clients like Adobe , Microsoft, Google? Second, is Latent View involved in the development process of ChatGPT or Bard ? Third, in the presentation you mentioned NVIDIA as a technology partner . Can you please help understand the partnership with NVIDIA and the kind of work done along with it?
Rajan Sethuraman: I will take this question . So, firstly, on the nature of the work that we do for some of the large technology clients, it is a fairly broad spectrum. I mean, a lot of the work that we do is at the front end of the value chain, customer analytics and marketing analytics, whether it is about segmentation, micro segmentation, or identifying cross -sell, upsell opportunities, questions around loyalty and personalization, customer lifetime value, helping organizations think through their media mix strategy, looking at marketing return on investment with respect to the spend that we are doing on promotions and campaigns. This is the mainstay of the w ork and the technology clients that you mentioned are no exception. We actually support them on many of these topics.
We also help with quite a bit of problems related to fraud and risk analytics. For example, how do you identify whether a transaction that is in progress on a platform could be an e -commerce platform or it could be a ride-sharing platform, whether that is a genuine or a fraudulent transaction. We help clients with that.
We do quite a bit of work on the supply chain front as well. For example, with one of the leading manufacturers of printers and laptops, we have been helping use sensor data that comes from all the instrumentation that they have done on these devices to figure out when that printer or laptop is likely to fail and what can you do about it from a predictive maintenance s tandpoint. So, w e do quite a bit of work related to demand forecasting, inventory management, spares optimization and the like.
More recently, we have also started working with some of these organizations on the people analytics front, which is to help them think through how can they use data that they have about their employees and people to create better employee experiences. We talk about customer experience all the time. But just like how you can look at customer segmentation and customer lifetime value, you can also move to what I call an employee segment of one. And how do you create really powerful experiences for your employees in terms of all the different HR aspects that you touch upo n. So, that is the broad spectrum of work that we do.
I will answer the third. I can 't recall the second one. The third question was about the partnership with NVIDIA. NVIDIA , you all know , is a fairly significant player today. In fact, they have risen to prominence fairly rapidly and especially so in the last year, 18 months, just because of the quantum of data that organizations have today and

the fact that they need ever more higher
orders of computing power to process all the data that is available. In some sense, the use cases

that are interesting and relevant to the NVIDIA partnership are the ones where you are dealing with very large volumes of data, where you need real time analysis and analytics to support decision making, and which requires a very high degree, high volume of computing as well . So, those are the kind of use cases that appeal to that partnership , and those are the use cases that we are evaluating . So, for example, let 's say that there is a football match happening in a stadium , and people are sitting in diffe rent parts of the stadium , and you know that there are these billboards that are there around the stadium. What kind of advertisements do you show when a particular play is in progress in the football match? And who do you want to show that? That could be an interesting use case.
You can take the same use case and extend it to an airport kind of concept. I mean , we all go through airports all the time and then we see these different billboards. What advertisements do you see? For example, when you are boarding, when you are waiting to board a particular flight could depend on who is standing there in the queue, from which city to which city it is and therefore what kind of ads do you want to show .

So, there are very interesting use cases which require you to analyze data that is available then
and there and then provide a good quality of insights . So, those are the kind of use cases that
appeal for that NVIDIA partnership. And w e are working with them to identify and implement
those use cases, either as experiments or proof of concepts so that organizations that have those
use cases will be able to capitalize on them.
Can you remind me of the second question?
Pranav Advani : Do you work with ChatGPT or Bard?
Rajan Sethuraman: The question was whether we have been helping them build out Bard and ChatGPT . The answer
is 'no'. We are not involved in building out the LLMs and ChatGPT . What we help organizations
though is, how do you make use of those technologies? So today, if there is a Gemini or a
LLaMA or other kind of LLMs available in the market, how do you make use of them to address
your business problems . That is what we focus on. And that itself is a big gap. I mean, there is
always a big gap between what is available in the form of the latest technology in the market
and how can you make it relevant to your business problems .
So, we focus on understanding some of these technologies and then bringing into life in the
business context. The good news though is that because we work extensively with the technology
ecosystem, we get exposure to these technologies well ahead of them becoming available even
in the public market .
So, we have worked with the precursors of a Gemini . We have worked with some other
transformer models that Google was experimenting with. And since we have that upfront

understanding, we are able to bring the power of those technologies to many clients as soon as
they become available for public consumption . So, that is what we focus on.
Moderator: The next text question is from Mithun Aswath from Kivah Advisors . And the question is, is the
doubling of revenues based on organic growth?
Rajan Sethuraman: Now, I would not say that it will only be organic growth. I did mention that data engineering is
going to be an important area of focus . So, right now, our M&A efforts are focused on two
things. One is the successful integration of the first acquisition that we have done, Decision Point
and making sure that now we are realiz

ing all the synergy benefits.
The other thing that our corporate development M&A team is focusing on is to identify targets
within the data engineering space with the heavy emphasis on Data bricks , right? Because that is
the partnership that we are also investing in. And I believe that some of the growth that we are
looking for will come from the inorganic route as well. Now, I don't know yet in terms of how
much of that will play out. We believe that the organic growth opportunity itself is fairly
significant, but we would be keen to also supplement that with inorganic route.
Moderator: The next text question is from Pratap Maliwal from Mount Intra Finance. And there are two
questions. First, can you provide some more color on data engineering vertical and the type of
work we do in the segment? And the second is, what should be the likely growth rates of our
main areas of descriptive perspectives and data visualization analytics given the effect of GenAI
on these areas?
Rajan Sethuraman: So, on the type of data engineering work we do, I would have to provide a little bit of context in
the sense that our data engineering practice is born out of the need to make sure that the use
cases that we are working on are delivered in a very effective manner .
So, when we started moving up the maturity curve in terms of the complexity of the analytics
use cases that we were starting to address, that is when it became apparent that many
organizations don't have a great data ecosystem. I mean, they have data which is very
fragmented, and which is residing in multiple silos. And while that is okay, when you are trying
to solve for a local optimization problem working with data within a particular part of the
enterprise, the moment you move on to more complex initiatives, that no longer suffices .
So, much of the data engineering work that we do is really about how do you create those data
ecosystems that can help you do the more complex analytics that you are looking to do. So, quite
a bit of the work is around moving data into those kinds of platforms, designing, architecting
and building those platforms.
Of course, we use some of the latest tooling and technology that is available and provide as well
like a Snowflake or an Azure or a GCP or AWS , for example, and Databricks , of course, which
I have been talking about . So, our people bring that kind of design and architecting capabilities

to the table so that we can help build those platforms in which you then bring in the data and
then you do the analytics on top of it.

I will give you an example that might help illustrate. We have been working with one of the largest food logistics company in the U.S., and they are a company that has been created through the acquisition of some 35 different operating companies over the last, I don't know, two decades.

So, the challenge when you grow through acquisition like that is that, each of those companies that you acquired, they come with their own data ecosystem, their own legacy , and they have organized and worked with data in different ways. And now today, when you want to offer a more holistic kind of a customer experience, leveraging all of the things that these different operating companies do, you can do that only if you have a grasp of all the data as well within these different operating companies.

So, that is what we have been helping them with, creating a data platform that can pull data from all of these different ecosystems and operating companies so that you can provide very powerful recommendations . When the food truck goes to deli

ver, whether it is green grocery or whether it is other kind of produce, meat and poultry and so on, the truck driver is in a position to make recommendations to the shop that they are delivering to.

So, let's say that it is a pizza outlet that this truck is going to and you know that that pizza outlet today is buying only flour from you. They don't buy cheese , they don't buy olives, they don't buy other things. How can you make recommendations at the right price point and the right kind of inventory replenishment kind of mechanisms so that the pizza outlet will start buying more from you.

So, that is the kind of capabilities that can be created if you have the right kind of data platform, especially in the context of ecosystems that have very disparate type of data silos. So, that is the nature of the work that we do on the data engineering front.

So, can you remind me of the second question ?

Moderator: The second question was, what would be the likely growth rate of our main areas of descriptive or perspective and the data visualization analytics given the effect of GenAI on these areas?

Rajan Sethuraman: So, we have actually shared a bit of the perspective earlier. We are expecting that there will be a lot more action on the predictive , prescriptive analytics and the data engineering front. GenAI is probably going to solve a lot of problem statements and make life lot easier on the diagnostic descriptive and the visualization part because diagnostic descriptive is always in the context of a historical perspective, and you are really looking at structured plus unstructured data to answer those questions around what happened and why it happened.

Similarly, I would believe that visualization capabilities in terms of figuring out what is the best way of representing a data, generative AI capabilities will be really good. We already have implemented that using BeagleGPT. In fact, later on, people here, at least in the audience in this room, you will have an opportunity to understand what I mean when you go and take a look at the demo because for every kind of question, there is always an ideal visualization that will make sense. And today, the GenAI capabilities are already pretty good in terms of figuring out what is that ideal visualization that will make you understand and interpret that data.

So, therefore, my hypothesis would be that visualization, diagnostic descriptive analytics will probably start getting more automated through the GenAI kind of capabilities, whereas data engineering as well as at least a more complex data engineering part as well as a predictive prescriptive analytics will definitely require a human in the loop. The good part is that even in those areas, some of the routine stuff will get taken care of by the GenAI so that the human in the loop can focus on the more complex aspects of the business problem that they are trying to solve.

So, the growth rates will be higher in predictive prescriptive analytics and around data engineering, whereas diagnostic , descriptive and visualization will start tapering off because a lot of the work will now get automated.

Moderator: Thank you. The next text question is from Hardik Ashraf from Nuvama Asset Management , and the question is, while you have guided for doubling of revenue in next two years, what would the expected margin profile look like in terms of EBITDA and PAT?

Rajan Venkatesan: So, obviously, I did touch upon the topic of margins and for the most recent quarter, you would see that on an adjusted basis and the adjustment really over here is for some of

the transaction related expenses in relation to the acquisition of Decision Point. If you actually adjust them out and look at the core performance of the business as is, we are looking at a 22.5% for the most recent quarter, right?

We expect that this should continue to improve while for the first quarter we were in 21.5% levels, we improved that by 100 basis points on an adjusted basis for Q2FY25 . We expect this trajectory to be significantly higher in H2FY25 , right, where at least for H2FY25 we should be in the range of 24% to 25% for the company as a whole. We expect that this sort of margin profile should continue for the next two years . So, you can expect that the doubling of revenue should come in with margins between 24% to 25%. That's the level that we would like to maintain and anything that's over and above that, right, and if you see operating leverage playing out, as Rajan mentioned, we will continue to invest for growth. Our primary objective is obviously to double that revenue and get to those numbers . The margins, we believe we have enough levers as well as enough plays in hand for us to manage margins. I think , at this point in time, the focus is to get the growth to the 30% odd levels which we were recording around the

pandemic times . So, that's our priority number one. But margins, we expect it to settle down between the 24% to 25% and anything over and above that will be reinvested back.

Pranav Advani : Thanks. Those were all the questions from online. I will now request people in the audience, if they have any questions, they can ask them now.

Unknown Analyst: Yes, I wanted to understand our partnership with Databricks slightly better as to how does it enhance our existing set of capabilities. You did mention about the ability to pull the real-time data. So, can you elaborate more on such capabilities that come with Databricks?

Rajan Sethuraman: Yes, so Databricks is doing a lot of the innovation there, in terms of the product that they have on offer, right? How it allows you to do so much of the analytics and the organizing and the governance and all of that stuff that I talked about . So, when organizations are now evaluating what is the right platform of choice for them to be able to drive their decision -making and optimization better, Databricks is emerging as a pretty good option . I mean, not that everybody is on Databricks. I mean, there are many other legacy systems in place. And then, of course, Microsoft Azure has been building out Microsoft Fabric, for example, as an alternative where they believe that they can offer the same kind of capabilities. Same thing is going on with AWS and GCP, in terms of the kind of ecosystem that they are building.

At this point, Databricks is like out in front in terms of the innovations that they are bringing and at the right kind of cost points as well, and efficiency points . So, we believe that they have a good runway of growth over the next three to five years, and that is what we want to capitalize on by building our own expertise and capabilities in using Databricks as a product and helping organizations implement and realize the value from that implementation. Many of these products, there is a certain kind of licensing model that they have, and it makes sense for an organization that has invested in that product to get the full mileage out of that investment . And that is where we come in and help. I mean, you might have decided to buy Databricks and implement it in your enterprise, but then how do you realize the full impact and benefit of that implementation will depen

d on how well you are able to identify business use cases that you can deliver on, which either impact your top line or your bottom line, right? And that is where we come in with our understanding of the kind of problems and opportunities that organizations can pursue . So, we are shoring up on the bench strength of our Databricks and data engineering practice, the number of people who are trained on that, who are certified on that. We are also building now solutions and value propositions that can be used as assets and accelerators to make things happen. So, if there is a particular kind of business problem that you are trying to solve, do we have an accelerator which can work within the Databricks environment that addresses that? It could be a supply chain use case, it could be a customer analytics use case and so on. So, that is the kind of investment that we are doing. The expectation is that we will be able to ride on that wave, the growth wave that Databricks is experiencing in the market by being a very credible partner to them in taking that solution.

Pranav Advani :

Unknown Analyst:

Rajan Sethuraman: Now, Databricks has numerous other partners, right? So, it is not as if we are the only partner, but we want to be a very, very strong credible partner that is not just doing execution, but is also bringing thought leadership in terms of driving use cases. Databricks measure themselves and their people based on the consumption of Databricks because the way it is priced and licensed is based on how much of the Databricks capability is being utilized by the client . And as I mentioned earlier, the flip side of whether the client is getting enough mileage from that is that if they don't, they are going to start turning off the tap, right? They won't pay that much for the license . They will cut down on the number of licenses, they will cut down on the number of modules and so on, right? And that is what Databricks wants to avoid. So, the more use cases that can be identified and brought on to the ecosystem, that is what they would be

interested in and that is where we partner.
Can we have the next question, please?
Hi, thank you. You just mentioned an accelerator also that will help you deliver faster, I am guessing. So, would it be fair to say that you are working on improving the average revenue per employee? Okay, let me put it a different way. Is your revenue completely dependent on the number of employees that are being utilized or are you having ways that is increasing the amount of revenue per employee you are able to generate? If that is what you said, if that is true, then the revenue, the EBITDA margin increase that you are expecting over the next couple of years, how much of that will be coming because of the accelerators and how much of that would be coming because of general overheads operating leverage kicking in?
Yes, I mean, we have not done the exact math to answer your question precisely, right? But you are correct in the point that you are making, right? The expectation from the investments that are going into our solutions, our value propositions and the accelerator is that we can create non-linearity in terms of effort versus revenue and margins that we are getting.
We have already seen good success with several of our solutions . I mean, earlier in the day we presented smart innovation and the work that we have been doing with that CPG company on the ice-creams front, right? We have done similar work for other categories like beauty and cosmetics. Another very important solution where we have seen a good amount of non-linearity is on the data engineering front, right? Our data migration accelerator, MigrateMate, that is what it is called, that has been creating a lot of non-linearity.

I mean, there are instances where we have saved like up to even 40%-50% of effort on the back of using the accelerator.
The endeavor would be to constantly keep finding those kind of examples where we can build an accelerator that will create that non-linearity. Sometimes non-linearity is in terms of business development and convincing a solution, convincing a client to adopt a certain kind of an approach. Sometimes the non-linearity is in terms of the actual effort involved in executing on

that project itself. That will be an important aspect of margin and revenue improvement in the days to come.
Operating level is also important. We want to make sure that we are constantly looking at how well we are running the organization. So, that will be an area of focus as well. We will, I think, maybe be in a better position to answer your question as we see some of these things play out there.
Pranav: Thank you. At this point of time, I would like to thank all the participants from the webcast who joined us. I would now like to take the next question, please.
Unknown Analyst: Yes, thanks. Raj, i n your guidance for this year, that is FY25, about $100 million to $105 million in revenues, how much of demand environment improvement are we building? Are we building any improvement in the overall demand environment? In the previous interactions, you have highlighted that there is some hesitancy of new clients actually going ahead and spending more rather . So, how much of that are you building in that continuity or are you building in improvement in demand in the immed iate near term? I have one more question after that .
Rajan Venkatesan: So, I will let Raj an answer the demand side of it, but just to sort of, you know, you spoke about the $100 million to $105 million was the number that I gave , right? So, that, of course, the $105 million is on a p ro form a basis assuming with consolidated Decision Point for the 12 -month period. The fact is that we consummated the transaction only on towards the end of Q1 . So, we are consolidating their results for 9 months . So, $100 million to $105 million is assuming we had 12 months of performance of Decision Point . So, I just wanted to clarify that .
Rajan Sethuraman: So, for the $105 million , there is no need for major improvement in the demand scenario. I mean, this is like something that we are reasonably confident of based on the current trajectory of what we see. Now, the second half of the year could turn out to be better though.
In fact, we very recently won the largest ever single statement of work deal that we have in our history amounting to more than $3.5 million on a per-year basis . So, this is like the biggest deal that we have done. There is another one in the works, which is probably going to be close to a million dollars or $1.5 million with another CPG company. And there are a few of these that are now starting to see the light of the day.
I mean, I have been mentioning this in the past several quarters on how clients are still sitting on the sidelines and waiting to make those big commitments. Our expectation is that things will get better . So, if that happens, there will be a bit more upside on the numbers that we talked about.
Unknown Analyst: That's great to hear. My second question is on one of the slides that you presented on the competition cohort. Now , I wanted to understand more as to how do we make sure we differentiate between our pure play IT services peers, wherein they have access to, especially the IMS guys, have access to the backend of the client, would they possibly be in a better position

because they have access to all the raw data, whatever that goes into the cloud, because they would be doing cloud mi

gration and stuff, how do we sort of make sure We differentiate against them ? And the second cohort will be the consulting guys . I mean , they have been doing this since a long time . So, how do we make sure we sort of go a step ahead against the Deloittes of the world .

Rajan Sethuraman: Interestingly , the answer to that is going to be lying between the two , right ? If you look , I mean , it's like the difference between accounting and consulting , right ? I mean , IT services organizations , they do a lot of work in terms of building those systems of record . Not to say that they are not supporting and helping organizations on process improvement and decision making and optimization, but their legacy and their DNA really is around building, putting in those large systems in place and that is the perspective with which they come.

Consulting companies on the other hand, they focus more on understanding the business environment and figuring out benchmarking , for example, across different enterprises in the same industry or even in other industries that are relevant to you , and then therefore figuring out what are the three, what are the next big trends that you need to be bothered about as far as your context is concerned. Now, the ability to marry the two and then bring the right kind of approach to how you can use the data and the analytics in order to drive those business strategies is where we play. Now, that doesn 't mean that these other organizations cannot do it . I am sure that people on the consulting side, I mean , many of them have already started creating those practices . Now whether it is a BCG GAM MA for example, McKinsey had a BTO, a Business Technology Office long time back, Deloitte has that capability, they can all do that. So, it is also a question of price points, in terms of where do we play and what is the speed, agility as well as the depth of understanding that we can bring on the technical side to those conversations. So, I think we have a sweet spot today in our ability to make all of that happen and that is what we are trying to exploit in the coming years. Conversations, we are seeing shifts though, in the sense that all of the work that we were doing, say up till like 10 years back or even like 6 -7 years back, much of it would have been conversations that we had with only business sponsors and business stakeholders. Today, some of the work that we do is really in terms of having conversations with the C IO, CTO organization, the Chief Data Officer , the Chief Analytics Officer , right? So, some of that shift is also happening, but this has always been a bit of a holy grail issue for most companies, meaning that you build a lot of IT and systems, but when it comes to decision making, many of them still pull data into thei r spreadsheets and then they act on them.

So, I think that is the opportunity that is still playing out, how do you put in better quality decision making and optimization systems and today, data analytics as a space sits at the top of the pyramid trying to bring together all of the stuff that is there in the ecosystem , and I think that is the play that is available for us.

Pranav Advani : We will be taking two more questions. Anyone has a question? Yes, ma'am, please.

Grishma Shah : I am Grishma Shah from Envision Capital. Curious to know how would be our length of engagement with our customers increase given that if we are accelerating the growth pace, one is to expand the capabilities but also the other is to expand the tenure that we work with the clients. So, if you could highlight.

Rajan Sethuraman: So, even today, 70% of the work that we do is what we call managed services. In a managed services engagement, we will have a master services agreement in place that can span anywhere from three, five, right? S

ome of them are even indefinite, meaning that there is no end date, right? And the MSA really determines the scope of what all we can engage with in the client organization.

Individual statements of work still tend to be a year long, typically, and that is something that I am expecting to change. Already some of the engagement that we are signing , they span larger time horizons, longer time horizons, right? Two years or three years and so on. I am expecting that as organizations move up the analytics maturity curve and they go after the more transformative complex kind of global optimization, as opposed to optimizing in a particular area, the length of those engagements will a lso become more, right? And therefore, I would expect that the tenure of each statement of work will increase.

But having said that, even the construct that we have today is, while we have to go through that effort and that activity of annual renewal, in most instances, we have seen that it has been fairly smooth sailing, right? I mean, even if I take the time during my presence in Latent View into account, which is the last eight and a half years, we haven 't had too many instances where a client decides to cut down the scope of the work dramatically . Any kind of cut -downs typically tend to happen when we are only engaging with them in a fixed -free, fixed -scope project . And some early demises a re there, meaning that we do one project and then we are out, but otherwise managed services construct, it is a fairly predictable kind of a model.

Rajan Venkatesan: Just to add to what Rajan said, I think this time we have also, in addition to the usual metrices that we put out, if you look at our invest or deck , there are a few other metrices that we speak about. One of them is also the length of the relationships that we have had with clients of ours. And today, if you just look at the revenue that we generate from clients where we have had a relationship in excess of five years, so that is about 76% of our revenu es today . So, that should also give you a sense of the high degree of renewals that typically happens. And in general, I think we obviously can do a much better job of generating new logo revenue, but traditionally our strength has been, once we land into an account, we are able to land and expand, right? So, I think farming is obviously our strength and that is also demonstrated in the revenue that we generate with clients where we have had contractual relationships over five years.

Pranav Advani : Thank you so much for all the questions that you asked today.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2025

Classification: Internal Contains PII: No

February 13, 2025

The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol: LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call for the quarter and nine months ended December 31, 2024 held on February 07, 2025
Pursuant to Regulation 30 read with Part A of Schedule III and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on February 07, 2025, post announcement of financial results of the Company for the quarter and nine months ended December 31, 2024.
The transcript is also uploaded on the Company's website at https://www.latentview.com/investor-relations/ .
This is for your information and records.

Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer

"LatentView Analytics Limited
Q3 FY '25 Earnings Conference Call"
February 07, 2025

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
M R. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – E&Y LLP, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of LatentView Analytics Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y LLP, Investor Relations. Thank you, and over to you, ma'am.
Asha Gupta: Thank you, Alaric. Good evening to everyone, and welcome to Q3 FY'25 earnings call of LatentView Analytics Limited. The results and presentation have already been mailed to you, and you can also view them on the website, www.latentview.com. In case anyone does not have the copy of press

release or presentation or you are not marked in the mail, please do write to us, and we will be happy to send you the same.
To take us through the results today and to answer your questions, we have the CEO of the company, Rajan Sethuraman, whom we will be referring to as Rajan; and we have the CFO of the company, Rajan Venkatesan, whom we will be referring to as Raj. This is just to avoid the confusion while doing the transcript. We will start the call with a brief update on the business, which will be given by Rajan and then followed by financials given by Raj.
As usual, I would like to remind you that anything that is mentioned in this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.
Rajan Sethuraman: Thank you, Asha. Good afternoon, everyone, who has joined this earnings conference call. I wanted to kind of just kick it off with a few opening remarks about the quarter that's just been completed.
You will see from the press release and the numbers that we have shared that we had a very strong quarter in Q3. And there are several things that highlights for us during this quarter. We do see some traction coming back in terms of bigger deals that we have been pursuing over the last several quarters. And this is something that I've been highlighting in earlier interactions, and we were very happy to note that we were able to close some of these big deals. One of the notable big deals is something that we have shared as part of the press release as well. It's the largest deal that we have done till date in terms of annual revenue from a single statement of work, and this is one of our existing accounts.
So in general, the traction with existing accounts is fairly strong. We also had a strong quarter in terms of the number of new logo additions that we had. I'm also happy about the fact that 3 of these accounts were one of that we had worked with in the distant past, but with whom we were able to re-engage and bring them back into our fold. About half of these 10 new additions are Fortune 500 companies, and they will have substantial requirements in data analytics in the coming years as well, and we expect to grow them significantly over the course of next fiscal and beyond.
However, I do want to point out that with many of these fresh starts, we are still seeing initiatives more

in the nature of pilots and POCs, thereby restricting the initial deal size and the engagement to about $100,000 to $200,000. But these are all very interesting projects that they have kicked off in the AI/ML, th

e generative AI and the Agentic AI space. Over 10 new engagements for us this year so far in the Generative AI space. And this is something that is going to grow in the coming quarters as well.
Another important highlight for us was the very strong performance of the BFSI vertical. We have crossed the $10 million mark in terms of the revenues that we are expecting for this vertical in this year. And overall, for the full year, we will be growing in excess of 40% rate when we tie it up at the end of the year. This has been on the back of new wins. The 3 logos that we got back into, they were all in the BFSI space, and we also had some strong deal momentum with the existing accounts that we are working with.
On the flip side, we do see some headwinds when it comes to the CPG space, the consumer goods space. This is an area where we have doubled down on the recent times in terms of investments that we have made, both organic as well as inorganic in terms of acquisition of Decision Point. We do see some headwinds in terms of the general market conditions for CPG companies, which has resulted in their own subdued performance. And also impact in terms of their market capitalization and appetite to spend on initiatives, as a result of which there is some amount of consolidation and cost cutting that is going on. We are looking at this and then we are figuring out ways by which we can reallocate effort and resources in the right direction so that we continue to do well in this space. This will continue to be an area of focus, and I will keep you updated on subsequent interactions in terms of how this space is panning out.
I also wanted to call out that last quarter, we had indicated that as far as Europe is concerned, we will be doubling down specifically on the CPG space. So overall, CPG is seeing a lot of focus from us in terms of leadership and management attention. We just need to navigate the current challenges that is there in the overall market environment for our consumer goods companies.
On another note, we had a very, very strong quarter in terms of our data engineering horizontal and the Databricks Center of Excellence and the partnership that we're building with Databricks. I had mentioned earlier that we have been elevated to the elite partner tier, which is the highest partnership tier. This quarter also saw us becoming a part of their product, Advisory Board with our lead for the Databricks COE being nominated to the Partner Advisory Board. This is a board that Databricks leads on when it comes to the evolution of Databricks itself as a solution and product, and we are very happy and proud we are part of that advisory board.
We also had a couple of our people being designated as partner champions, which is the highest recognition they provide to people who are solution architects and who bring the depth of technical

expertise required to implement and deliver using Databricks. There's also good traction in terms of the number of opportunities that we are jointly pursuing. And this quarter saw that not only us bringing opportunities to the table, but that being reciprocated by Databricks as well, right, in terms of the leads into which they were getting us in terms of conversation.

The other good point for us this quarter has been the traction that we have seen with the global capability centers and with the India practice. Two of the new logos that we won there with large business houses in India. And it's interesting to note that these are substantial engagements in terms

of the India market, and we are seeing some interest in terms of employing and deploying the really high-end Generative AI and other types of solutions that would help them manage their operations, improve their decision-making and effectiveness.

On the GPT front, there has been expansion with some of our accounts. We also have good interest in terms of the new conversations, and we are expecting that we will close a few more in the current quarter and the next quarter.

Finally, I just want to call out that overall, from a brand building and applicability perspective, the events that we organized, the marquee event that we do in the Bay area, which is related to LatentView Analytics Roundtable event as well as other events related to GCC and other specific verticals also saw would be the traction. And we are seeing impact in terms of the kind of conversations as well as the leads and opportunities that are being generated by them.

So overall, I just want to conclude by saying that as a fairly strong quarter. I had earlier indicated that the second half of the year we will see uptick in terms of the revenue numbers. And we are very happy to note that quarter 3 did deliver those numbers. Of course, the entire environment is currently in a fairly interesting inflection point. I'm sure that all of you have heard news about DeepSeek and other related innovation that is happening in the space. While some of these dynamic forces will create challenges and will mean that there is a certain quantum of work that could get automated or being driven by solutions. We also believe that this brings a whole host of opportunities for us in terms of what we can do with emerging technology. So our focus and our attention will go towards building the kind of solutions and capabilities that will help us deliver using the new technologies.

With that, I'll hand over to Raj to talk about financials and give a bit more color.

Rajan Venkatesan: Thank you, Rajan. Good evening, everyone, and welcome to our Q3 earnings call. Rajan gave a good perspective on the business performance as well as the overall sentiment and the current momentum that we are witnessing. On the back of that, we are pleased to report that the operating revenue for the current quarter came at about INR 228 crore, reflecting a growth of almost 9% on a sequential basis and 37.5% on a year-on-year basis.

Now of course, the 37.5% on a year-on-year basis also includes Decision Point for the current quarter, whereas we didn't have the results for Decision Point in the previous year. But the good thing to note is for this particular quarter, both the organic as well as the inorganic business on a sequential quarter grew in excess of about 8.9% to 9%, as you can see in the investor presentation that we put out on our website.

In terms of what really drove the growth in this particular quarter, growth largely continued to come from existing logos. Rajan spoke about the large deal win that we had at one of our largest accounts, which is our largest single value SOW till date. That plus growth in some of our accounts continues to be the pillar or really the reason why we've been able to sustain the growth momentum.

However, what is also very positive notice in this particular quarter, we were able to add close to about 9-plus accounts. While we were not able to realize the revenue potential from some of these new signings in this particular quarter, we will see the full benefit of some of these new signings in the

coming quarters.

In terms of the dollar revenue growth itself for this particular quarter, the dollar revenue came in at $27.2 million compared to about $25.1 million in the previous quarter. There, again, the growth in dollar terms was also fairly good.

The one point that though I would want to specifically spend some time on is you would note that we've also in our press release, we reported that our adjusted EBITDA margin came in at about 26.1%while the reported number came in at about 22.1%, the reason why the adjusted EBITDA is a little important for us to dig a little deeper is, this particular quarter, there were two things that impacted our reported earnings, one of which we had already disclosed in the p

revious quarter which

was the transaction-related expenses. These are essentially retention bonuses and payments that we earmarked for Decision Point acquisition. And so that is a charge that we are accruing on a quarterly basis. So that was one.

But more significantly, this particular quarter was again impacted by a forex loss, which was primarily on account of intra-group loans. So, these are loans that we had given out to our subsidiaries in U.K., Netherlands and Germany to capitalize them. And there was a sharp movement in the INR versus the GBP and euro, which meant that for this particular quarter, the total loss that we had to book on account of the forex movement was close to about INR 6.8 crore. Now had these two things not been there, our business EBITDA or the adjusted EBITDA that we reported would have come in at 26.1%, which is reflective of the strong operating performance that we were able to deliver in this particular quarter.

Now the PAT for this particular quarter came in at about INR 42.6 crore with a PAT margin of 17.6%. Now while on a sequential basis, the performance continues to be strong. If you compare this on a year-on-year basis, you will also recollect that this year in comparison to the last year, the 10AA benefits that we had for our delivery centers in Chennai, we actually lost the SEZ benefit. So we no longer get the tax exemption. The second reason is also that last year, we had the benefit of certain ESOPs that were exercised in the U.S. due to which there was a carry-forward loss, which we were able to offset in the previous year. So both those benefits cease to sort of continue in this particular year because of which our effective tax rate has gone up for this particular year. Also the PAT for this quarter, as I called out, was also impacted by the forex loss that we had to report.

In terms of, I would say, the geographical split of revenues, U.S. still continues to be the dominant geography, contributing about 90% of our overall revenues. Europe and LATAM, of course, continue to be much smaller. But we do expect that with the Decision Point acquisition on a full year basis, we will have the full benefit of the integration in the following year. Our percentage contribution from APAC as well as LATAM regions should go up in the following year.

In terms of the industry, technology continues to be the strongest vertical for us, which came in at about 65% of the overall revenues. CPG and retail contributed about 19% of our revenues. And the financial services practice, while I know for this particular quarter came in at about 9% of the overall revenues, one of the things that we are happy to report is that sequentially as well as I would say, on a year-on-year basis, our financial services practice has continued to grow. In fact, we are well on our way to sort of deliver a $10 million sort of a business for the financial services in the following quarter.

Overall, I would like to end by saying that as we had outlined during our Analyst Day in the last quarter, we had given a revenue outlook, which was in the range of $100 million to $105 million. Our current performance is definitely tracking towards that number. We expect to close, on a full year basis, our numbers will be in that range that we had indicated in our Analyst Day. And as we speak, we are also in the process of putting together a strategic plan for us to deliver the $200 million to $220 million that we had outlined over the next 3 years that we had outlined during our Analyst Day.

Overall, I would say, a strong quarter with strong operating performance. Our cash balance again stood at in excess of about INR 1,000 crore as at the end of the last quarter, which reflects the strong cash generation capability of the business.

Our overall headcount for this quarter, including the Decision Point employees came in at about 1,600-plus employees. With that, I'm going to conclude, and I'm going to hand it back to Asha and we can open up for Q&A.

Moderator: The first question comes from the line of from Vimal Gohil from Alchemy Capital Management Private Limited.

Vimal Gohil: Congratulations on a very strong quarter. Sir, my first question is if you can help us, now there is a definitive change in the commentary from the erstwhile quarters, wherein we were a bit circumspect of closure of large deals. Since that has changed, do you see the similar kind of a momentum carrying forward in Q4 as well? But after this kind of a performance, I was actually expecting our guidance to be upgraded. So, if you can help us give us some more color over there? And how do we see FY'26 shape up post this? Secondly, on margins, I mean, when things are not so great in terms of demand, but we continue to pursue investments in capabilities and sales. How should we see the trade-off between investments and the revenue growth helping margins going forward?

Rajan Sethuraman: Sure. So yes, you're right. I mean, this quarter has been a definite bump up in terms of the growth trajectory. The reason we are being a little cautious about guidance for the full year as well as for the next fiscal is also because of the winds of change that are blowing at this point in time. I also called out the headwinds in one of the verticals, right, which is the CPG space. So we do want to watch this and understand this a little better.

From a medium-term perspective, there is emerging understanding that a lot of the work that is currently being done using FTE services model will start shifting to more of products and solutions that are employing the emerging foundational plus reasoning model plus Agentic AI, right, on top of that. Now we believe that, that is an opportunity for us as well because these things need to be put together and they need to be built. But what that will also mean is that for the current quantum of work that is being done, the productivity benefit will significantly kick in. And therefore, if the model continues to remain where we use a solution at the back end but leading with FTE and services. We'll have to obviously find 2x, 3x the current quantum of work that we are doing for us to sustain that kind of revenue run rate. Of course, if it shifts to a complete product model, then licensing and other kind of mechanisms will kick in. So that is one aspect of it.

The second is there is also going to be opportunity related to a whole lot of new things that can be done, right, on the back of the emerging tech stack. And given our 18-year history and experience in a variety of problem areas, we believe that we can build the right kind of solutions that will make

sense in that emerging context. So, all of this opportunity is there, but we do need to understand this a bit more, we need to spend a bit of time in figuring out what is the approach that we will take for the opportunity while protecting turf as well, in some sense.

So we'll be able to update you more in a quarter or so. We are also in the middle of our internal strategy discussions, as Raj mentioned earlier. So at this point in time, I would say that we just want to factor in all of these things and not run too much ahead of ourselves in terms of the guidance that we provide.

Raj, do you want to comment on the investments and the margins?

Rajan Venkatesan: Yes. So as far as the investments are concerned, we would continue to invest on some of the specific areas that we've outlined, right? For instance, developing, maybe earmarking a certain portion of expenses towards R&D to build out capabilities on the GenAI side and some of the emerging sort of trends that we see, is going to be a part of the strategic plan. We will also continue to invest for building out our Databricks capability, which again, fro

m a strategic standpoint, we believe is going to be a strong pillar of growth for us.

So some of these investments, I would say, will continue to sort of stay ahead of revenue visibility in some sense, right? I think if your question is where the long-term EBITDA margin going to track towards. So even in this particular quarter, if you see, adjusted for this forex loss, which is completely non-operational in nature, it has nothing to do with the business performance. It is more to do with the treasury side of things. And this also, by the way, we are taking some corrective actions on this. We will sort of look at the level of debt that has been given out to some of our subsidiaries. And therefore, the level of volatility or the forex losses that you will see in the coming quarters should come down, and that should not have an impact on earnings. So adjusted for this forex loss, we were already at about 25% odd levels in this current quarter.

Now of course, if the question is whether this 25% will sustain and then therefore, we will deliver 25% to 30% growth at 25% EBITDA margin. I think the question really is, one, Rajan did speak about the fact that there could be right now where we are, the industry itself is at an inflection point. And therefore, we may need to make some of the investments around building out GenAI capabilities, building out some newer gen capabilities. And some of this would need some level of, I would say, reinvestment back into the business, and that could be between 1% to 2%. Our sort of guidance is that we would want to stick to a floor EBITDA, but we will be able to give a better guidance as we conclude on our strategy exercise, which we are currently doing.

But long term, the intent would be to stay between that 20% to 25%, if possible, towards the higher end of that guidance, but we will continue to invest for growth is the guidance that I would like to give.

Vimal Gohil: Understood. And the $3.2 million contract that we won, any ramp-up timelines that you would want to offer the tenure etc?

Rajan Sethuraman: It's fully ramped up already. So it's a 40-member plus team. We have fully ramped up that project and we have started executing.

Vimal Gohil: So basically, you will see the impact of execution in the next quarter itself?

Rajan Sethuraman: Yes, yes. We already saw it. We are seeing it in this quarter.

Rajan Venkatesan: Yes, the last quarter had only probably 1 month of the revenues. This quarter is where we will really see the full benefit of that.

Rajan Sethuraman: Yes, you are right.

Vimal Gohil: Understood. Understood. And just last question from my end. You pointed out a lot of interesting developments in the industry over the past 15 days or so. Initial assessment tells us that given the incrementally the hardware intensiveness of GenAI is expected to go down, which will bring out the focus on software engineering per se. How should we see LatentView's value addition to our clients in this kind of a scenario? Assuming that this plays out the way we see it.

Rajan Sethuraman: Right. So from a decision-making standpoint, which is what data analytics is all about and also embedding the decision, into the operating flows and processes of an organization, the stack is evolving, right? I mean you do have a data layer at the bottom. And there is work that needs to be done on the data layer itself. I mean, because you can deploy, even if you have high-quality foundation models, and reasoning model, all of that is only as good as the data layers that you have built. So there will be continuing investments on the data engineering front and building those data layers. I'm sure that there will be plenty of opportunities there and that is kind of aligned with our thinking in terms of building capabilities around data engineering, Databricks and so on. So there's going to be opportunities there.

But above the data layer, you will then have the foundational models, right, the broad-based foundational models, which can provide the kind of capability around analyzing unstructured, structured, video, all kinds of data, right, and with the generative AI capabilities that are there. But above that, you will then have reasoning model in the stack. And the reasoning models will tackle very specific areas with particular expertise around that domain, right, solving particular pain points and opportunities. And then once you are using the reasoning models, then you need a way by which you can disseminate that information into decision-making and that is where Agentic AI and then embedding it into application layer, right, that clients already have concept. So that's the kind of emerging stack when it comes to decision-making and data analytics.

Now in all these layers, clients organizations will have different options available in terms of buy versus build. And if they are buying it, right, the number of different routes that they can take. I mean earlier, foundational models meant going to the large Bahamas models like an OpenAI or Gemini. But now DeepSeek has shown that you can actually take a very different kind of an approach, to building foundational models even. So all of these layers, there will be options available and they will have a choice of partners to work with. And that is where we see a certain amount of confusion also in the minds of clients. And our own consulting practice is now focusing on building out points of view in terms of how clients can navigate all the choices and options available for them when it comes to creating this stack and utilizing components of the stack that they already have.

So we see opportunities emerging in terms of advising clients on this and then also building and implementing, right, components of this as we move along. The good part of this is that a lot of the pain points and opportunities that clients are intending to address and which then might have delayed

or postponed could potentially be done at a much lower cost going forward.

Even very simple things like that go from look-back analytics will probably get a lot less expensive because of the combination of the components in the tech stack. So that's where the opportunities will emerge as well. So our intention is to have a very solid understanding of the stack, create the kind of decision path for navigating that stack itself and then build the components that would go into that stack.

I don't think we'll build all of that stuff, but we will build the ones where we have the strongest experience and the domain expertise so that we can actually bring the efficiency and the effectiveness impact for our clients in terms of how they do their decisioning making.

So that's how we are seeing them evolve. At this point in time, we are fairly optimistic about the number of opportunities it will create for us rather than being worried about some of the volume of work that could potentially get productized or automated in the past.

Moderator: The next question comes from the line of Karan Uppal from PhillipCapital India.

Karan Uppal: Congratulations on a strong set of numbers, both on growth and margins. And thanks for the additional disclosures around the operating metrics in the presentation. So the first question is on the productivity benefits. So Rajan, you alluded to some of the productivity benefits which needs to be passed on to the clients. So some of our peers are highlighting about this where they have passed on these productivity benefits to the high-tech clients. Now you have 65% exposure to this segment. So are you also witnessing a similar ask from these large high-tech clients in any of the work schemes? Yes, that's the first question.

Rajan Sethuraman: Yes, absolutely. In fact, we were just discussing exactly

this point in the strategy discussions that we
were having. So there are already expectations from clients as well as existing stakeholders as well as new prospects in terms of the total quantum of effort that will be required in doing some of the work that we are doing and also the turnaround time. I mean what clients were willing to wait for, for a couple of months or 3 months, the expectation is that it will now be done in weeks. The good thing is that the evolving technology stack actually allows you to do that.

So absolutely, I mean, the only point I want to call out is that if we keep the solutions and the assets and the accelerators that we are building at the back end and primarily engage from a contracting perspective, using an FTE services model, then it will mean something, right, in terms of the revenue for the current quantum of work and the volume of work that they are doing.

However, if we're able to convert these into solutions that can be deployed or even products, if you might make a leap, then you have other engagement contracting models as well, right, that could actually help split the benefit of all of these productivity improvements both ways, meaning that the client gets the benefit and because we have built that product or solution, we get the benefit of an asset. So that's the intent. So we are building those kind of solutions and assets, right, that will help us make that kind of shift as well, right, in terms of how we engage with the client.

Of course, it is best done in areas where we are very confident on the back of the experience and the domain understanding and capability that we have built. And these will be created as capsule, right, that we can take into the market. I mean the good thing is that a lot of the solutions that we already have, whether it is in supply chain or whether it's around R&D and innovation or RGM or multilayer visibility, right, all of these already have these components, and we are also enhancing them using the new reasoning models and the Agentic AI kind of mechanical. So that's the intention that we will look at finding ways by which we can also partake of the productivity benefits, right, that we can push into the stock.

Karan Uppal: So just a follow-up on that. So you don't expect passing on these productivity benefits to the clients, you don't expect that to be deflationary for you from the revenue perspective. You still think that based on your capabilities and the solution set, you can still find ways to generate additional revenue. Is that what you are saying?

Rajan Sethuraman: No. My point is that we need to pass it on to the client as well. When I said partake, I mean see, the emerging stack also means that clients are also familiar with the art of the possible. And their expectation also changes in terms of the turnaround time and the effort estimate that they believe is required. Our intention would be to try and find ways by which we can create contracting models where we get some part of that productivity outlook right, or not pass on everything to the client.

If you engage only in FTE services model, then the client just pays for the number of people that you deploy, right? We will find ways by which we can also price and cost the solutions and the assets and the accelerators. Or if possible, even build these out as products, that can be licensed out. So that is what the attempt will be, right, in the coming months.

We have some experience in doing this in the past. I mean, the company that we have acquired, Decision Point, they have already successfully demonstrated with their BeagleGPT solution. And we have done that in the past as well, right, some of the solutions that we have built. So the intention would be to try and capture some of the productivity benefit for ourselves while passing on a good chunk of it to the clients as well.

Kara

n Uppal: Okay. Got it. Secondly, on Generative AI. So how is the Generative AI pipeline shaping up for you? Also, is Generative AI eating up some of your existing analytics business, let's say, in data visualization, diagnostic, descriptive analytics?

Rajan Sethuraman: The second part of the question is what I kind of answered, right, earlier because some of the expectations around productivity improvement and turnaround time really stems from the advances in generative AI and Agentic AI and so on, and that's what we are building in. The Generative AI pipeline is pretty strong. I mean, even in this fiscal, about 10% of the work that we are doing is around Generative AI. If I look at the pipeline for the next year, almost 20% of the conversations that we are having are all around Generative AI.

In the past, I have indicated that we have been taking a 3-pronged approach when it comes to generative AI. There are 4 generative AI solutions that we have built where the main value proposition is based on the generative AI capabilities. Agentic AI will now get added on to that as well, right, on top of it, in terms of how we also build it or embedded into a workflow that actually gets delivered.

The second aspect of the generative AI approach has been to create the Gen AI wrappers on all of our existing solutions so that interacting with those solutions and accelerators becomes very easy, whether it is being done by our people or it is being done by the client. And the third aspect has been the whole productivity area, okay?

In terms of how do we do work smarter and faster using generative AI. And that is a point that connects to the second part of the question. I mean if we can use GenAI-based approaches and solutions to do our work faster, our work with less effort, then that's the productivity benefit, right, that we are looking to share with our clients, give it to the client, but also find ways by which it can enhance our own margins, right, and our revenue returns.

Karan Uppal: Okay.. And last question from my side is on the TCV. So you mentioned that overall, you are seeing good traction in the bigger deals. So how is the TCV right now versus, let's say, a year back? And how is the overall pipeline for you?

Rajan Sethuraman: See, our business tends to be a bit cyclical in the sense that when we end the fiscal quarter 4, which is the quarter that is currently underway, that is when we have the best number from an order book perspective because all of the ongoing contracts and statements of they all get renewed anywhere starting the November, December time frame and ending with Feb/March.

So when we get to the end of the current quarter and when I connect with you all again, that is when our order book will be the best. Once that happens, over the course of the year, the orders start getting executed and then we have to wait for the next round of renewal, okay? So I just want to give a context.

Now with that context in mind, if I look at what were the order book number at the end of quarter 4 last year versus where we expect to be at the end of this year, there will be a good 35% kind of a jump

in terms of the order book. So that's the visibility that we have at this point in time.
Moderator: The next question comes from the line of Chirag Kachhadiya from Ashika Institutional Equities.
Chirag Kachhadiya: So I have a couple of questions. I just want to know when this amortization and depreciation charge will get normalized? And second, as we aim to almost reach to double the size of the top line in next 3 years or more than that, what will come from the pricing per se, I mean, increasing the price of the services which we are offering from cola perspective? And second, from logo addition point of view, should I take assumption like we will double the existing client base to reach to that attrition level which we mentioned

during Analyst Day? Yes, that's two questions I have.
Rajan Sethuraman: So yes, thanks for your question, Chirag. I'll address the second part of the question, and then I will turn it over to Raj to talk about the depreciation and amortization part of the question.
In terms of the expectation on how much of this will be contributed by price revisions and increases. Typically, in the past, we have seen year-on-year about 3% to 4% kind of benefit coming in from price revisions. This is in a regular year, okay? I mean if you have challenging years like COVID and all, then obviously, that number goes for a toss.
Now given the current economic situation, with a certain amount of uncertainty related to tariffs and all that other things, plus the technology inflection point that is happening, it's a hard thing for us to

predict. We haven't factored in any kind of pricing-related impact, in our current projections that we are making, right, when we say that we will double from $100 million to $200 million and $200 million to $220 million, right? If we are able to secure pricing increases, then it will be good for us, right, on top of that. What was the other part of the question?
Chirag Kachhadiya: On depreciation and amortization part. When it will normalize?
Rajan Venkatesan: So the amortization or the intangibles that came from the Decision Point acquisition will last for a period of about 5 years. So per se, the transaction-related costs that we are now excluding for the purpose of adjusted EBITDA don't relate to the amortization. They are more in relation to specific retention bonuses that we have year-marked, which is to be paid out at the end of 2 years. And that is expected to continue for another 5 quarters, post which you will not see the impact of the transaction related cost that we are currently disclosing under adjusted EBITDA.
Rajan Sethuraman: Chirag, I remember the second part. You were asking whether the number of clients will double for us in that period where we are looking to double the revenue? Not really. Because, in general, we see that in any year, 80%, 85% of our revenues really come from existing clients and grow with existing clients. So, at this point in time, I think we probably have about 60 accounts that we are working with. I'm not expecting that 60 to become 120 in a 3-year time frame. On the contrary, we will be comfortable if we are able to add even anywhere between half a dozen to 10 accounts every year, but accounts which are strong and which can provide the kind of revenue trajectory right, over a period of time.
So the intent also in terms of bandwidth allocation for our market-facing people will be heavily skewed in the favour of client servicing, client partners, account managers because we believe that we do have a good set of accounts where we can actually go deeper and broader, right, in terms of the spectrum of services that we are providing them.
So those general trajectory will be to double down a lot on fewer accounts, but do more work with that. So I'm not expecting that the number will double. It will increase, of course. We will have a growth team focused on acquiring new logos, but we are fine with that contributing a certain percentage, right, around the 15%to 20%, right, with the bulk of it coming from growth from existing accounts.
Chirag Kachhadiya: Just one follow-up question. So in a scenario where development in LLM and Generative AI side is coming on a very lesser amount of time, the way DeepSeek and all has happened in the past 2 weeks. So do you think going forward, companies, especially our clients establish in-house department for the generative AI and all that somewhere create a hurdle for us or anything such your thought on same?
Rajan Sethuraman: Yes, it's an interesting dynamic, right, that's at play. I mean, imagine that a client organization with deep

large pockets had taken a call that they will replicate an OpenAI, Gemini type of an approach, and they had started investing a significant amount of money into building a LLM. They would have also been appended significantly by the change that has been introduced because of DeepSeek's approach. So while everybody is happy about the fact that you can build foundational models using a stackable kind of a mechanism and a route. It also has shown that any paradigm can be disrupted. I

mean, for a fairly long period of time, almost 2 years since ChatGPT became widespread, right, amongst even lay people. Everybody was talking about how you need to put in a whole amount of money, right, and spend millions of dollars to do anything. Now that whole paradigm has been thrown out of the window because of what DeepSeek has done.

So while there is appreciation, there will also be a little bit of apprehension in terms of what will be the next new paradigm, right, and whether it will come even faster at us. So my expectation is that clients will need to factor all that in, right, when they decide to do something in-house. I'm sure that some of them will do. I expect clients to build more small reasoning models, which address their particular pain points. But then small reasoning models also mean that they lend themselves for third party to come in and build something really strong and credible. So there will be that build versus buy and the choice of many options that will be available, and that will be the new emerging ecosystem. And clients will also need help and advice in navigating all of that stuff, which is what I mentioned earlier saying that consulting work around that itself, right, could be significant. So all of this means it's a fairly dynamic evolving scenario. And I'm sure that clients will all find their equilibrium point, right, within this depending on their own culture, personal preferences and all those stuff.

Moderator: The next question comes from the line of Varun Kumar, an Individual Investor.

Varun Kumar: Congratulations for the great set of numbers. I just want to know if we are planning to have another acquisition like we have done Decision Point a time ago. And you also talked about that we are looking for some other opportunities as well in future. Do we have any other plans like this in our pipeline?

Rajan Sethuraman: So, the area that we have all been discussing, debating and converging towards to do something around data engineering, specifically around Databricks as a capability because that's the area that we are doubling down significantly. I did mention earlier on how in the new stack around decision-making, the data layer will still be a very important aspect on the foundational layer, right, of the stack. And most organizations still struggle with it. I mean every conversation that I'm having with the CIO, CTOs and CDIOs, they all talk about how it is a big issue for them, right, just in terms of the very fragmented data ecosystem they all have even within the organization. So with that in mind, that is an area where we are looking for opportunities. But we also want to be careful in terms of identifying, evaluating and then pursuing the opportunities so that we are fairly confident that, that will be accretive, right, in terms of both revenue growth trajectory as well as EBITDA. And therefore, we will be fairly choosy and selective, right, in terms of what we do. We do also have the task of the ongoing integration of Decision Point. I did call out that the CPG space is facing some headwinds. So, we have to figure out how to navigate all that and then get the full benefit of that acquisition, through the integration measures that we are undertaking. I mean, obviously, at the end of the day, it's all a question of how much leadership and management bandwidth we can allocate to all this.

Our M&A co

rporate development team is still in action and the team is still identifying and continuously evaluating and bringing opportunities to the table. So that work is still on. So if we find a good opportunity around that, we will definitely pursue it.

Moderator: The next question comes from the line Shubhansh Singh, an Individual Investor.

Shubhansh Singh: Sir, I have one simple question. How will the reported EBITDA be impacted by this bonus-related

charges, which we are offering to Decision Point? And secondly, sir, a general question as I'm a layman. Since this Generative AI is panning out and is disrupting, the companies would need certain experts to execute these Generative AI projects. So we are in the best position to provide this service. So how do you see Generative AI contributing to our revenues and our businesses?

Rajan Sethuraman: Yes, Subash, thanks for the question. I'll address the second question, and then I will turn it over to Raj to talk about the impact of the bonus payment to Decision Point on the EBITDA. You are absolutely right. I mean, I think Generative AI and the entire emerging evolving landscape around that presents a whole host of opportunity. Also, what has happened in the last 2to 3 weeks, it has kind of opened up a lot of clients and stakeholders who are kind of sitting on the fence and then thinking about what they do or what they do not do.

Now they all see that there is a real opportunity because the cost of doing what they were intending to do is potentially a lot lower, maybe even on an order of magnitude lower, right, in comparison to what they might have been thinking about earlier. So, this will mean that there will be a whole lot of opportunities that will come. And you are right that they will be looking for experts who can help them do the kind of solutions, also navigate all the choices that are available in front of them. That's what I was mentioning earlier when I said that our ability to help them with consulting and thought leadership on understanding, evaluating and navigating the options around that stack, that itself could be a significant aspect of the work that we do in the coming quarters. So our intent is to double down on all of that stuff. Because we have been doing generative AI work already through the course of this year and even in the last year, even with the precursor of some of the technology like a bot, which came before Gemini, for example, right, from the Google House.

We are in a fairly strong position in terms of our understanding of the space and how we can apply all of these things, right, in the contact with the clients. So our intent would be to double down and create those opportunities for us and for our clients as well. Raj, do you want to talk about the bonus payment?

Rajan Venkatesan: Yes, specifically, the retention bonus, right, I mean, I did talk about it, the fact that this is, in some sense, not relating to the core operations of the business. This is, again, a transaction-related cost. But since we follow Ind AS. And Ind AS says that anything that is linked to the service or service tenure of employees needs to be classified as a payroll expense. And therefore, this particular retention bonus that is earmarked for a set of critical employees that came along with the Decision Point acquisition and which will be paid out at the end of 2 years, which is the earn-out period and there is a present value that is estimated for this liability.

And what we are doing is we are essentially creating a charge that is there in the books every quarter. Now you will see this charge coming through for the next 5 quarters, post which you will not see this impacting EBITDA. I hope that answers your question.

Moderator: The next question comes from the line of Vimal Gohil from Alchemy Capital Management Private Limited.

Vimal Gohil: What I noticed is despite

the challenges that we are witnessing in CPG, Decision Point still made it to a 9% sequential growth this quarter. So is it that the challenges were back ended in the December quarter and you will see the full impact of that in March? Or is it that the other verticals for Decision

Point performed exceedingly well during the quarter this past?

Rajan Sethuraman: Yes, Vimal, obviously, the work that Decision Point has done and delivered in Q3 has been contracted even earlier, and we have executed that. You will also recall that Decision Point does a lot of the work in project mode on a fixed fee, fixed scope pricing kind of a model as opposed to the managed services kind of a construct that LatentView has been employing, right, in the vast majority of the work that we do.

So when I mentioned the headwinds, it is the visibility that we have, right, in terms of prospective conversation. We do see that many of the conversations that we have been pursuing over the last couple of quarters, they are taking time to fructify. There are delays. And in general, it is because of a bit of the stagnation that consumer packaged goods companies have seen in the last half year or maybe a year. That coupled with some of the tariff and other implications that could potentially be there, it is a cost for concern. I mean, LatAm is a big market for Decision Point. And any tariff kind of impact that might be there could impact the revenues from LatAm, could impact revenues from China, for example, right, for some of the CPG companies that we work with.

We're just being cautious in terms of the unfolding scenario, and we would like to understand that better. There are opportunities in the pipeline, some of them fairly significant that we are pursuing. But we do see headwinds in terms of the tone of the conversations that we are having, with the stakeholders that we are interacting.

That has also meant that in many instances, clients have resorted to some amount of consolidation and shifting of decision-making from business stakeholders to central CIO, CTO procurement organization that have cost control more as the focus. And all of those things could have a bearing in terms of how this thing unfolds. So we're just being watchful of that, right, in terms of being cautious about the projections.

Vimal Gohil: Rajan, with all the puts and takes, do we see Decision Point still growing in FY'26?

Rajan Sethuraman: Yes, yes, absolutely. That's the plan that we have created, and we are working on it. And it is not just Decision Point now, it is the combined CPG practice that we have, right? We are preparing the overall strategic plan for growth. And at this point in time, aspirationally, we are still targeting 40% to 50% growth, right, in terms of the combined CPG practice that we have. And this will also include investments that we are making in Europe, for example, right, in terms of the front-end team. Of course, all of that needs to pan out. I mean this is a plan that we have. This is an aspirational plan. We do need to execute and then we need to see that decision-making come through from our clients for us to realize those growth numbers.

Vimal Gohil: In this current demand environment, even if you were at 30%, I think it will be a damn good job.

Moderator: The next question comes from the line of Varun Kumar, an Individual Investor.

Varun Kumar: What will be the guidance for Q4 in terms of revenue? And I can see the profit after tax is almost 17% of our revenue as there was a lot of transaction costs involved, as Raj mentioned. But going forward, what we can expect in terms of PAT, like it will be 20% or anything around that? Can you please put

some light on it?

Rajan Venkatesan : So yes, so in terms of the guidance for Q4, you'll have to appreciate the fact that Rajan did menti

on

Q3 was a very, very seasonally strong quarter for us. We also executed on several large initiatives that we won at some of our largest accounts. Some of these projects, for instance, while we did execute, we also have to understand that some of them will go from a development phase to a maintenance phase in the coming quarters, which would mean that the revenue growth guidance that we can at this point in time give for the next quarter will be between 2% to 3%. That will be the range at which we will sort of operate on a sequential basis.

On the EBITDA side, our expectation is that the margin in this particular quarter was impacted by this forex loss that we had, but we don't expect a similar sort of a charge in the following quarters, which means that at least on the EBITDA side, we will be in the range of 24% to 25% for the subsequent quarter.

Your question again on PAT. PAT again was for this quarter came in at 17% and was impacted by the forex loss. If you take that out, realistically, the business should continue to deliver a 20% PAT number in the long-term.

Moderator: The next question comes from the line of Karan Uppal from PhillipCapital India.

Karan Uppal: So just on the TCV discussion. So Rajan, you mentioned that the TCV growth has been in the range of 35% last Q4. And given the strong exit which we'll have in Q4. Do we expect FY'26 to return to, let's say, 25% to 30% sort of growth for us?

Rajan Sethuraman : So, part of the jump is also on account of the inorganic addition, I mean, out of the 35%. So I mean, obviously, there will be a re-baselining effect, that will kick in at some point. And then we will have to look at that. I mean our sense at this time, like I said, we are still going through the internal discussions. We would like to be a bit conservative and then put out a guidance more in the 18%to 20% kind of a range in terms of what we see.

We have to factor in all the points that I talked about. But the excitement is there in the team in terms of the opportunities that they are seeing in every one of the verticals. So I will be in a position to give you a better answer when we meet again at the end of next quarter. At this point in time, we would like to retain the current trajectory of growth rate as guidance.

Moderator: Ladies and gentlemen, that brings us to the end of the question-and-answer session. I would now like to hand the conference over to the management for the closing comments.

Rajan Sethuraman: Thanks, and thanks for coordinating this. Yes, it's an exciting period for everybody in this space, anyone who is doing any work related to data analytics, whether it is somebody like us, doing only data analytics work or whether it is a client organization and their internal analytics team or whether it is a large systems integration firm. That is also doing a bunch of other work because what has happened in the last few weeks has opened up a whole bunch of possibilities and everyone is trying to understand what this means for them in terms of what they can do. I think start of the possible has undergone a fundamental shift in terms of the impact of the evolving tech landscape and the stack

itself.

At this point, based on our initial reading and assessment, we believe that the mix and the type of work that we do and how we do that work and how we deliver that will all go a fundamental shift in the next 2, 3 years. But rather than worrying about how many jobs it's going to take away and what it will mean in terms of ongoing work, we feel excited by the possibility that it will unlock a lot more investment coming into the space.

Some clients, from organizations that build solutions from other players within that ecosystem. And we believe that it will create plenty of opportunities for us as well. So in some sense, we are looking at how we kind of redefine and look at what shape and for

m our own approach and business takes in the coming quarters. So it is definitely an inflection point in some sense. We do believe that it will be a positive inflection point based on how we view the situation at this point in time.

And we are gearing up to put our heads down and then build the kind of capabilities and solutions and value propositions that will make it exciting for our clients and for our people as well. So that's where we are. I will obviously have a lot more to share in the coming days as some of these things become clearer to us. But thank you all for attending the call today, and we hope to talk to you soon. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of LatentView Analytics Limited, that concludes this conference. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Jul 2025

Classification: Internal Contains PII: No

July 28, 2025

The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol : LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call for the quarter ended June 30, 2025 held on July 21, 2025
Pursuant to Regulation 30 read with Part A of Schedule III and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Earnings Call held on July 21 , 2025, post announcement of financial results of the Company for the quarter ended June 30,2025 .
The transcript is also uploaded on the Company's website at https://www.latentview.com/investor -relations/ .
This is for your information and records.

Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer

"Latent View Analytics Limited
Q1 FY '2 6 Earnings Conference Call"
July 21, 2025

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
MR. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – E&Y LLP , INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to LatentView Analytics Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y LLP , Investor Relations Management.

Asha Gupta: Thank you, S hubham. Good evening to everyone, and welcome to Q1 FY '26 Earnings Call of LatentView Analytics Limited. The results and presentation have already been mailed to you, and you can view them on the website, www.latentview.com. In case anyone does not have the copy of press release or presentation or you are not marked in the mail, please do write to us, and we will be happy to send you the same.

To take us through the results today and to answer your questions, we have the CEO of the company, Rajan Sethuraman, to whom we will be referring as Rajan; and we have the CFO of the company, Rajan Venkatesan, to whom we will be referring as Raj. This is j ust to avoid any confusion while doing the transcript. We will start the call with a brief update on the business, which will be given by Rajan and then followed by financials given by Raj.

As usual, I would like to remind you that anything that is mentioned in this call that reflects any outlook for the future, or which can be construed as forward -looking statements , must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our webs ite.

Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.

Rajan Sethuraman: Thank you, Asha, and thank you all for joining us for this quarterly investor update. You have probably already seen the press release that we have put out for this quarter. So , I'm not going to repeat whatever is there on the press release.

I just wanted to start off by saying that we are very happy that we had a 10th consecutive quarter of growth, and we are starting to see some more positive signs, right, in the external environment. I wanted to touch upon a few points that have transpired for us over the last quarter and then also some early thoughts on how the rest of the quarters in this fiscal are looking like. And then after that, I will pass it on to Raj to provide some additiona l commentary on our financials.

So first off, you would have seen that we won 7 new accounts this quarter. More than the fact that we had 7 additions to our logos, I'm really happy about the quality of the new client deals that we are bringing on board. On 3 of them, we see fairly high growth potential as well, which could materialize and transpire even within the next 12 to 18 months' time frame. In addition to that, our existing accounts also grew really well, especially in the Financial Services space, we saw that 2 new accounts that w e have added in the last 6 months, they're already showing immense potential for growth. If all things go well, we might very soon be able to share that we were able to grow from INR 0 to INR 5 million dollars in one of those accounts within a 12 -month period itself. So , there is definitely a lot of momentum in the Financial Services space. Last year, that was the fastest -growing vertical for us. We are expecting that there will be a repeat of that. And in fact, this year's growth will far exceed what we di d in the last year.

There are also some early signs of revival i

n consumer goods. I don't want to specify numbers here at this time because it's still a little of early days. However, we did have new wins in this quarter. More importantly, we are starting to see some traction with the CIO, CTO audience as far as the consumer goods vertical is concerned.

In some sense, we are starting to see that many of the clients are starting to think about a more integrated transformation program that brings together the 3 important capabilities that we are taking into the consumer goods vertical. Research and development, which helps them spot trends and identify new product innovations. Supply chain capabilities that help them all the way from procurement, manufacturing, inventory planning, demand planning and on -shelf availability and integrating that with our revenue growth management capabilities that ensure that all of that translates into real money on the top line as well as bottom line, helping with product price promotion architecture. So , we are starting to see the emergence of conversations where these capabilities can be integrated into one holistic kind of an approach, driving true digital transformation for them.

Finally, we are also seeing in the consumer goods space a lot more traction with our Databricks partnership. In fact, I'm about to travel to the U.S. in a day for a series of events that we'll be holding in the consumer goods space in Atlanta, Dallas and i n New York. And the consumer goods GTM lead for Databricks will be a keynote speaker for us in one of these events. So, there's quite a bit of interest and traction from the database side as well.

If you recall, we talked about 3 important pillars of our growth strategy in terms of getting to the USD

200 million mark over the next 3 years. I wanted to touch upon each of them in terms of what's happening and how we are doing.

The first one is our strategy around the focus accounts that have been identified about 26 of them. There were 3 broad objectives there.

• The first one was just to significantly increase the sales process rigor and discipline. This is something that the project team has been focused on over the last 3 months. And I now believe that we have put in place a fairly robust mechanism to understand where we are in terms of the opportunity funnel all the way from opportunity identification through to closure and what could be bottlenecks holding up in each of those opportunities, in each of those key accounts. So that mechanism is in place. At this p oint, the focus of the project has shifted to expanding and defining the opportunity space at a more granular detail, and that work is currently underway. And there is also work that is being done on sharpening the relevance and narrative that we have arou nd the content and solutions that we are taking into the market. So, the focused account strategy, I would expect will give us more benefits in the remainder of this quarter and through this fiscal, not to mention the next 2 years as well.

• The second pillar that we had talked about earlier was the partnership with Databricks. I already alluded to how there is good traction with leadership in the consumer goods space as far as the Datab ricks partnership is concerned. From our end, we are going ahead with the formation of a full Center of Excellence around Databricks that will bring together with many aspects, starting right from the relationship that we have with Alliance leads and account executives and the industry s olution people, right, on the Databricks side. And then stepping up on the GTM and the sales team that we have and then moving on to people we are bringing

in from a solution and a technical architecture standpoint. And finally, the team that we are building out to support Databricks on professional services. So , this Databricks CoE will now have identified leader that

we have already identified internally. And this person will now bring together all of these different elements that I talked about to further drive and accelerate how we do on the partnership. We are also in the process of expanding the GTM and sales team on the Databricks side. One of the peop le has already joined us. There are 2 more roles. We have made a few offers, and we expect to close them fairly quickly. There is also a great deal of traction with Databricks on everything related to generative AI. In the recently concluded summit by Databricks, the Data and AI Summit that happened in San Francisco, they talked a lot about how the Databricks platform is goi ng to dramatically improve GenAI capabilities for everybody, integrating even native capabilities for Gemini or OpenAI, for example.

We are also looking to capitalize on that significant shift and new functionality that we are incorporating into the platform. To that extent, recently, we had organized a generative AI workshop for one of the prospects that we were chasing, and we were ab le to convert that account on the back of the GenAI workshop. This is a workshop that we were able to jointly orchestrate and conduct along with Databricks.

This is one of the accounts that I'm expecting to scale to INR 2 million or more , right , even within the next 12 months itself. There's a great deal of interest in this account. And on the back of this success, Databricks is also looking at taking us into 15 more workshops with several accounts right from their portfolio as well as from our p ortfolio. We were also very happy that many of our solutions, including MigrateMate and ConnectedView and MARKEE, they have been included as part of the Brickbuilder Solution s portfolio that is there in Databricks.

And finally, at this point in time, we are also doubling down on building competency around SAP data migration. You would all know that Databricks has announced a solid partnership with SAP, and there will be a lot of work that will be related to managing SAP data within the Databricks environment and we're building capabilities around that.

• And finally, on the third pillar of priorities that we talked about, that was in the area of generative AI and agentic AI. The good news from our end is that we have again already identified internal leadership that is going to be running this Center of Ex cellence for us. Not only that, we have already staffed the Center of Excellence with 10 people, half of them coming from our own teams, experts that we had within the context. And then we have hired another 5 people from outside.

In addition to that, we are also supplementing the team with interns, many of them PhDs who bring very, very specific capabilities in terms of the type of use cases and architectures that we are chasing. So, we are in the process of building out the team, and we'll continue to build out the team right in the next few quarters.

At this point in time, for the current year, we already have $6 million of work confirmed on GenAI and agentic AI, and there is another $8 million of work that is in the pipeline that we are actively engaged, and we expect to close. This quarter also saw u s getting recognized by Analytics India

Magazine as one of the top players in the GenAI and the agentic AI space as part of their PeMa Quadrant, and we are really proud about that outcome.

Finally, when it comes to the actual focus of the GenAI, agentic AI CoE, we will be doubling down on Gemini, Azure AI Foundry and Data bridge as the most important LLMs and platforms on which we intend to deliver the kind of work that we do. Of course, we will keep our eyes and ears open for all other development t hat is happening in this space. In fact, you will recall that one of the significant objectives that we have for Center of Excellence is to do the R&D and the e

xperimentation that needs
to be done so that we are able to help clients resolve the optionality that is emerging in this space and help them choose the right technical architecture for the GenAI and the agentic AI business use cases.

Finally, before I hand over to Raj, I also want to update you on the development at our end. Our Chief Client Officer, Krishnan Venkata, who had been with us for 17 years, he decided that to take a break and pursue opportunities elsewhere. His last date wi th LatentView will be the 8th of September. We are currently in the process of making some internal changes related to the consolidation of horizontals and how the entities will report. At this point in time, all the entity teams and the horizontal capabi lities that were reporting into Krishnan will now report into me and I'll directly oversee them. Of course, there will be an evolution over a period of time that will help us in terms of bringing the necessary management bandwidth and leadership on all of the accounts. We are very thankful to Krishnan for the service that he has provided to LatentView over the last 17 years. He was our first employee in the U.S., and its no small measure right in terms of the kind of success that we have achieved. So callin g out Krishnan's contribution and thanking him for that.

With that, I'll pass it on to Raj to give some additional commentary about our financials.

Rajan Venkatesan: Thank you, Rajan. I think you've fairly covered the business update as well as the outlook in terms of where the business is headed. I'm going to keep it a little shorter, and I'll focus on the financials and then we can open the floor for Q&A.

In terms of the performance for the quarter, of course, we are very happy that we were able to report a 10th consecutive quarter of demonstrating revenue growth with the total operating revenue coming in at INR 236 crores, which in percentage terms was a growth of about 32% on a year -on-year basis and then this also included INR 22.2 crores of revenue from Decision Point. Please note that the acquisition of Decision Point was consummated towards the end of Q1 of FY '25 and therefore, on a Y-o-Y basis, Q1 results for last year did not include the results of Decision Point. This, by the way, concludes 1 year since we acquired Decision Point and of course, going forward, the goal will be to significantly accelerate that business. But from the next quarter onwards, even the corresponding quarters will be on an apples -to-apples basis . So, it will include the results of Decision Point as well.

In terms of what really drove the growth for this particular quarter, Decision Point, you would see that we've given a split of revenue between LatentView and Decision Point , there was a lot of positive momentum in the Decision Point business.

And I'll come back a little later in terms of the commentary that we had on the CPG industry itself in the last few quarters where we were witnessing strong macroeconomic headwinds. We are seeing some temporary leg down in that. And therefore, there is som e good positive momentum. I'll come back to that.

But in terms of the other businesses, we are particularly pleased with the performance of Financial Services in this particular quarter, which delivered a revenue of close to 21.3% sequentially and 48.4% on a Y -o-Y basis. We are fairly upbeat about the gro wth momentum in Financial Services. You will all know that last year, Financial Services grew by about 60% on a Y - o-Y basis. We would ideally want to replicate a similar performance this year. But at this point in time, we're fairly confident that the bu siness could deliver a growth in excess of 40% .

Tech, of course, in this quarter relatively witnessed a flattish quarter, partially attributable to the fact that there were a few one -off projects that I think or consult

ing projects that we had executed in the
last quarter, which came to an end. But then there was no follow -on work that we were able to sign up for those proje cts in this particular quarter.

The positive update again over there is that there is some pipeline that is generated on the back of these one -off consulting projects that we delivered in Q4. We expect that these pipelines will get converted in Q2, and we will start seeing growth momentum come back in technology as well.

But what we are happy to report is for the last quarter, we had, I would say, close to about 2 or 3 good logo wins in technology, and we will see the full benefit of revenue accruals from those logos in the subsequent quarter . So, all in all, while this quarter, tech was a little muted in terms of overall growth, we expect that in the coming quarters, tech will again sort of be a big contributor to the overall company level growth.

Our EBITDA margins, for this particular quarter came in at about 21.4% , this is on a reported basis. And on an adjusted basis, excluding the transaction -related costs for the Decision Point acquisition came in at about 22.2%. I would say this is largely in line with how we had guided our margins would be in Q1. You would all note that we had indicated that we plan to roll out wage hikes effective 1st of April and the wage hikes that were sort of given in this year, I would say, was slightly higher than normal, not on so much on the fixed compensation side, but more on the performance and the variable pay side, we had given out fairly substantial increment. This is also in line with recommendations that we received from an external consultant that we engaged in for the comp benchmarking exercise. So, the reported margin of 21.4% fully factors in all the wage hikes that were given. Excluding such wage hikes, ideally, our reported margin for the period would have been higher close to about 3% . And therefore, in this particular quarter, we were not able to sort of scale the business to the extent there was an impact on account of wage hikes. A couple of other factors that impacted the margin for this quarter. Of course, there was a drop in visa -related costs. You will all note that our visa expense is a little cyclical in nature, and therefore, bulk of the expense for the business is typically booked in Q4 when we get the results of the H -1B lotteries. There was, I would say, lower visa expense in this quarter. So , to that extent, the EBITDA was positively impacted. By the way, in this particular quarter, we did higher level of marketing expenses compared to the previous quarter. So , EBITDA was negatively impacted by wage hikes and higher marketing expenses and positively impacted by lower visa costs.

Coming to the PBT for this particular quarter, the PBT came in at about INR 62 crores, up 18.9% on a year -on-year basis. Of course, the profit before taxes was positively impacted by forex gain from some of the loans that we have given to our group companies, and that gain came in at about INR 6 crores. And going forward, the one update that I would like to give to all the analysts is that we are looking to rationalize some of the loans that have been given to our group companies.

This is also in line with the new transfer pricing structure that we've put in place, which will ensure that these overseas subsidiaries are compensated for all marketing -related expenses on a cost -plus basis, and therefore, they may not be substantial inv estments. And it's, I would say, a corporate call at this point in time to reduce the level of loan. And going forward, you may not see this level of forex gain or losses. And therefore, you will see steady state, I would say, EPS numbers going forward. The EPS for this quarter came in at about INR 2.46, a drop of 5% Q -o-Q. Of course, some of this is obviously led b

y the drop in the EBITDA percentage and as well as in absolute terms. But more importantly, the PBT for this quarter was also positively impacted by a couple of factors. One, the gain on i ntercompany loans that I just spoke about was INR 6 crores. In the last quarter , which is the immediately preceding quarter, that number was close to about INR 2 crores. So , we had a higher gain of close to abou t INR 4 crores in this particular quarter.

We also had the benefit of an election to move from the old tax regime to the new tax regime in this particular quarter , the tax rate that the business will pay going forward from some 29% , this is for the India business from 29% to 25%. In the bygone quarter, this also positively impacted the deferred tax liabilities that we were carrying on the balance sheet, which were initially being carried at a rate of 29%, they had to be sort of brought down to 25% in line with the new tax regime. And therefore, you had a onetime gain. There is a note to this effect that's included in the financials as well. And therefore, these were 2 things that impacted the EPS for the current quarter positively.

Going forward, I would say technology will continue to be our core growth driver . And we believe financial services, again, while it delivered a solid set of numbers this quarter, will continue to grow in the coming quarters as well.

From the balance sheet standpoint, of course, we continue to have a fairly healthy level of cash. And Rajan spoke about the 3 big strategic initiatives: one, looking at deepening our client relationships; two, enhancing our GenAI capabilities through the Center of Excellence that we are establishing; and three, deepening our partnership with Databricks and also going to market aggressively along with Databricks to sort of build that practice out. So, I would say these would be the 3 big initiatives or bets that we have, and we will continue to allocate capital for these strategic initiatives.

In terms of current order book, we have a fairly strong order book, which gives us reasonable confidence to deliver the 18% to 19% growth that we've been talking about. In terms of the pipeline, again, the pipeline continues to be fairly robust and healthy . And based on what we see, we will come back to the analysts maybe end of Q2 to give an updated fee l where we'll be able to go past that number . But right now, there seems to be fairly strong momentum in the underlying business.

With that, I would say I've covered most of the updates that we had, and we can open the floor for Q&A.

Moderator: The first question is from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My first question is , the organic business, was the growth soft than what you were expecting at the

start of the quarter? If yes, what has led to the softness?
Rajan Venkatesan: Yes. So , Aditi, on the organic business, I would say, definitely, the growth number of 0.3% that you see is a little softer. But the other point that I did forget to mention, by the way, in dollar terms, the underlying business grew by about 2.8%, whereas in rupee terms, and that's the numbers that you guys

have access to right now, the underlying business grew by only about 1.6% . So there is a currency impact in this particular quarter where the rupee appreciated against the dollar. So , the growth in the core business is definitely higher than the 0.3% that we see.
Having said that, I did speak about a few projects that we did, and these were, I would say, discretionary one -time projects that we executed in Q4 in some of our large accounts. We were hoping the follow -on work on the back of the work that we had executed to sort of get stitched up in this quarter. I would say there has been a timing delay in terms of signing on the additional work.
Also, while there was a healthy pipeline for

the core business, which is tech, we have seen a small delay in converting some of those pipeline opportunities, which has resulted again in the slightly muted growth that you see in the core business.
But there is nothing that is out of the ordinary or I would say there is no loss of customers or things like that. In the next quarter, in fact, we already see enough order book in the form of confirmed order book to deliver a healthy growth. And this is f or the core business.
Aditi Patil: Okay. So do we see any downside risks to our 18% to 19% USD revenue growth guidance for the full year?
Rajan Sethuraman: Not at all. In fact, as Raj mentioned, some of the things that we were expecting to come through, they are now starting to come through, and we have seen some of those conversions happen even already in the second quarter. So the second quarter numbers wil l not only be on track for the 18%, 19% that we have guided. In fact, it will also catch up with the slight dip that you have seen in the first quarter.
So, at this point in time, we are very confident of going past the 18%, 19% number. In fact, I was just having a debate with Raj before this call whether we should put up 20% at this time. We will hold our horses at this time, but there is a great deal of con fidence that we will go past those numbers.
Aditi Patil: Okay. This is very reassuring. I have a third question on what led to the strong recovery in Decision Point? And should we see Decision Point growing at the same pace as organic business in FY '26?
Rajan Sethuraman: I would expect that the growth will, in fact, outstrip the organic business because they are coming off a small base, if you remember, and they also had a dip in quarter 4. As I alluded to earlier, we are seeing positive signs and momentum. I talked about how clients are starting to look at a more integrated perspective, right, across R&D, supply chain and RGM. We are also starting to gain more traction with the decision -makers in the CIO, CTO audience.
This quarter, we had a few wins as well in the consumer goods space. In general, I feel that the tide is turning. Of course, we want to wait and see how fast it turns. But definitely, the performance for Decision Point in Q1 and then going forward into Q2, Q3, we expect to be fairly strong.
Aditi Patil: Okay. And on the GenAI work, you mentioned a good order book and a good pipeline. So what kind of work are we doing for the clients in GenAI space? Is it based on like enhancing revenue for the client?
Rajan Sethuraman : Yes, it is full spectrum actually. I mean, there is work that is being done in the area of customer experience and marketing. So for example, one of the accounts that we have won in the consumer goods space, we are using generative AI to help generate the audio video content as well as the text

content that goes on their direct -to-consumer website. This is an apparel company, but they specialize in innerwear.
And that's a very different kind of segment, in comparison to other companies that we are familiar with in the apparel space. And they had reached out to us , this is a client where we conducted the GenAI workshop along with Databricks. And we have been able to showcase a very, very strong, powerful way by which they can leverage GenAI and the agentic architecture around that to automate the content generation, that gets on to their D2C website. I mean this is an example of the consumer goods space.
Similarly, in the Financial Services space, there is a lot of traction in terms of helping generate reports that are covering a fairly broad spectrum of areas, around asset management, around investment banking, for example, and again, these are instances where you can use the power of GenAI, LLMs, reasoning model, some semantic layer combined with an agentic architecture to generate the first draft

of reports that can be put out.
Of course, right now, most of this still involve a human in the loop in some form or the other. But we are progressing to increasing order of sophistication in terms of what the GenAI, agentic AI solution

itself can do so that the human in the loop is able to bring in a higher order of thinking and application, right, before the solution gets absorbed within the decision -making process. So fairly broad spectrum impacting operating parameters, revenue as well as cost.

Moderator: The next question comes from the line of Vimal Jamnadas Gohil from Alchemy Capital Management.

Vimal Gohil: Very reassuring comments on the growth going forward. I just wanted to check on the wage hikes and the consequent numbers that we're seeing on attrition. Typically, we've seen about 120 to 150 basis points of wage hike impact depending on the environment o n our margins every year.

This year, it has been double of that. And if I were to sort of join the dots with the attrition that we are seeing at 23%, I think it's on the higher side vis -a-vis the industry. So how should we marry these 2 data points in front of us? And what are we d oing to correct that?

Rajan Venkatesan: Yes. So Vimal, to your point on the wage hikes being slightly higher than the usual, you are right. The intent this year was for us to look at compensation as a total sort of rewards policy and not just look at the fixed component hike that we do. But in line with revisiting the comp philosophy, what we've also consciously done is look at a pay -for-performance sort of a structure where all people who are at, say, manager levels and above have a very attractive incentive component, but ther e is strong linkage to company performance as well as the BU to which they belong . There is some linkage to that as well.

And therefore, while you do see that the percentage impact on the margins has been higher, a lot of it is actually linked to the performance and as well as of the BU that they sit in as well as the company level performance. Now of course, while the impact is a lot more prominent in this particular quarter, as the business scales, right, I mean, of course, periodically, our endeavor would always be to operate at a fairly healthy margin levels. When I say margins, these are at gross margin or project margin levels.

And therefore, we will look at all other levers. This coul d be pyramid restructuring , it could be looking

at the on -site/offshore mix as well as looking at utilization, all of these are levers that we typically look at to sort of bring back the margins to normative levels or historical levels . So that's the commentary on wage hikes. And I would say that over the next couple of quarters, we should be able to salvage whatever we've lost in the form of margin loss that have come from the wage hikes.

Your second point was around attrition. See, while it's higher than the IT services standard, Vimal, in general, what we've seen as a company, attrition, which is less than, say, 25% for us is at manageable levels. And what we've also seen is Q1, which is typically after we pay out the bonuses and the var iable pay as well as the increments, there is a slight uptick in the attrition.

In fact, we are pleasantly happy to note that this year, that number is, I would say, while it's at 23%, it's not gone up significantly in comparison to immediately preceding quarter. This is again seasonally a quarter where post the wage hikes and post th e variable payout, you will see an uptick in attrition. So, I don't think as a business, we are very worried about that particular metric at this time.

Vimal Gohil: Understood. And one more question would be on margins itself. If I were to look at another 2 metrics, which is the offshore ratio, which is at 83 %, utilization at 82%, we've maxed out these 2 levers. Given the fact that the growth could be slightly higher than what we've seen in the near past, how about some operating leverage kicking in? Do you see that coming in and helping you get to margin level s that you've seen historically?

Rajan Sethuraman: Yes. Yes. I think the operating leverage will come in, but the growth that we are anticipating, right, we are also in the process of building out buffers, specifically for the GenAI, Agentic AI type of opportunities also for the Databricks Center of Excellence, ri ght, both on -site and offshore. So, I think that utilization, we will watch it carefully, but we also want to make sure that we are not shortchanging on the supply front, right, and the availability of skilled people. So yes, I me an, to answer your question, I mean, operating leverage will kick in, but we will also watch out on how the utilization balance needs to be right in relation to demand and supply.

Moderator: The next question comes from the line of Rushabh Shah from BugleRock PMS.

Rushabh Shah: So one question for LatentView , hiring is the most important part. So what quality do we investigate in the candidate? And what are your basis of criteria to judge a hired candidate?

Rajan Sethuraman: See, the capabilities and the qualities we will look for, there will be a spectrum depending on whether they are hiring somebody at a junior entry -level analyst consultant level or whether we are hiring somebody who's more of an expert and a seasoned pro. I n general, we look for people who are motivated and self -starters. We look for people who have an intense amount of curiosity because this is a very dynamic and evolving space. And unless people bring that kind of curiosity, it is very e asy to kind of stay close to just what you already know, right, from the past and then lose out on what might be happening, right, in terms of the changes in the environment and the evolution.

So, there is a lot of emphasis we lay on learning and development as we go along. In fact, one of the things that we have been very proud of from a very early stage is exposing all of the people in the organization to the upcoming opportunities so that they t hemselves can take a call on what kind of technologies they want to spend their time, right, learning and building skills and capabilities. And we make a fairly broad spectrum of training options available to them. At a more senior level, we will obvio usly expect that people also bring a certain amount of expertise, right, whether it is a technical

expertise or whether it is algorithmic or whether it is domain expertise. And then again, domain expertise can be either in the functional area like parts of the value chain as in marketing and finance and supply chain and so on or else it can be an industry domain understanding or a subsector understanding. So that combination of technical algorithmic and domain understanding, coupled with that curiosity is what helps us deliver what the clients are looking for.

See, at the end of the day, we are more akin to management consulting kind of an organization because a lot of the work that comes to us is fuzzy and ill -defined. So therefore, these are the qualities that people need in order to be able to diagnose the problem and then suggest the right kind of approaches, right, and then bring the mathematical and technical rigor, right, t o be able to solve the problem.

So, it's a very consultative kind of a model, ability to, of course, professional skills like building relationships and then questioning and problem solving, right, these become very important as well.

So that's really what we look for. Once people come in, one of the most important metrics that we look at is what is the impact we are creating on the client engagements that they are working on. This is something that we take extremely seriously. We have an int

ernal service delivery excellence team that

tracks every project in terms of what does the original business value that was prom ised versus what got delivered at the end of it. And this is not just something that we evaluate on our own and pat ourselves on the back. This is actually administered in the form of a voice of customer survey that goes out every 6 months and our immediate sponsors and stakeholders in the client organization as well as the ultimate sponsors going all the way to the C -suite, they get this sur vey. In fact, the survey for the last year is currently on, and we are starting to get responses.

Every engagement that we do, the clients come back and tell us whether the impact was conceptualized, analyzed and it was delivered, whether they were able to implement it and realize the benefit. And then we also look at whether we got kudos and appreciat ion from the senior most level within the client organization. And these all form a very important part of the performance management process that we have.

So somebody within our organization will be able to get their top ratings only if they have received this kind of acknowledgment from the client in terms of the impact that they have delivered. So that's a very, very important thing that we look at. Of cou rse, there are many other things, right, that one includes in the performance management process. But this is one thing that we are extremely proud.

Rushabh Shah: So just a second question on the client engagement. So , we do projects for some clients like for some small projects, and we don't have follow -up work with them, in the sense we don't get a long -term contract. So how has LatentView had follow -up with them? And has client s engaged with us after a small project being done for them?

Rajan Sethuraman: In general, we are able to convert initial engagements, whether they are in a staff augment model or whether they are in a fixed fee, fixed scope model into longer -term managed services contracts in about 70% of the time. But in the other 30% of the cases, it might still continue either in a staff aug model, or it might fall off after the first fixed fee, fixed scope engagement that we do.

In some instances, we also see that while there may not be anything that happens immediately after the first project, we are able to re -engage with them a year, 2 years down the line, 3 years down the line. In fact, this quarter, one of the engagements whe re I talked about fairly fast -track growth, this was a client with whom we used to work when they were in a different organization 6 years back.

And then they came back to us because, I mean, that organization decided to take all data analytics work in -house, and then they actually terminated relationships with multiple data analytics vendors. But when this person moved into a different organizatio n and they needed help and support, we were the first port of call for them. So , there are several instances where ex -clients and alumni clients and even alumni employees come back to engage with us right after a period of time.

We now have a formal process that we have launched as well, where we look at all clients that we have engaged with in the past and what is the current status of our relationship with them and whether we are in a position to go and help them in some form or the other, in their current role that they are performing.

We are also extending this exercise to over 3,500 alumni that we have, who have passed through the portals of LatentView and who are currently working, right, in other organizations. And if they happen to work in our current client or prospect organizations, we want to tap into them as well. So these are all avenues that we will continue to look at in the future.

Moderator: The next question comes from the line of Karan Uppal from PhillipCapital Indi

a.

Karan Uppal: So Rajan, just a question on BFSI. So very consistent sort of performance in BFSI. So would love to hear your comments on which subsegments are driving this performance? And how is the competition in this space, which are the competitors which we are competing with? Yes, that's my first question.

Rajan Sethuraman: Sure. The growth that we are seeing is more on the fintech and payments and that type of area, because that is where we have been stronger even in the past, though we worked with a fewer set of accounts. We are just extending our understanding and expertise in th at area to grow those relationships. Banking /insurance, we have had starts, but I would want to see a bit more traction with some of the larger banks that we are engaging. I mean I talked about the European bank, for example, right? I think that is the place that grows strong. There is an engagement that we have started with one of the largest consumer banks in the U.S. as well. It is still taking shape. I'm expecting that some of these relationships with the larger banking clientele could potentially start giving us even bigger kickers in the next couple of years. But at this point in time, it is largely around asset management, around fintech payments that is driving the traction.

Karan Uppal: And which are the competitors which we are competing with in this space?

Rajan Sethuraman: I think the competitors will be fairly broad spectrum. I mean you can have anybody even the IT services players, right, if they have strong analytics solutions that they bring to the table. There are other pure -play data analytics companies as well, which do work in the Financial Services space. So you won't have likes of a Palantir and all, for example, in the space in terms of product companies, but this is traditionally the largest sector, right, for IT services as well as even data analytics. So it is a well - entrenched space. We are happy tha t some of the more interesting innovative ideas and GenAI solutions that we are taking into the market is what is finding traction. And that is something that we will continue to look at capitalizing on.

Karan Uppal: Okay. Second question is on retail and CPG as a vertical. So , core vertical , [ex] of Decision Point appears to have declined sharply for second quarter in a row. So could you help us understand is this

performance the bottom because the commentary suggest s that you are seeing some turnaround in this space. So yes, I would love to hear your comments on that.

Rajan Venkatesan: Karan, I don't think it's right to say that the core verticals declined, in fact, the last quarter, when you see Decision Point had actually witnessed a fairly sharp decline. In fact, there was a lot of headwinds, specifically in the CPG vertical, which I think we had guided when we came on the call as well, we did say that, of course, right now, there's a lot of macroeconomic headwinds for the CPG space. Tech had done fairly well last quarter. I would say this quarter, for us, because of the large base that the technology vertical is on, the fact that this has been a flattish quarter is probably that's the reason why you're saying that the rest of the busi ness has actually not performed. But again, a couple of reasons, right? I did speak about the fact that the last quarter, there were, I would say, 2 to 3 fairly large onetime projects that we had closed. This is for the top 2 accounts where we did some on e-time projects and we were hoping that we will be able to close the follow -on work, which will come as a result of that execution of the one -time projects in Q1 and start booking revenue as well. There had been some shift in terms of the time to sign those deals, right? So that has definitely impacted the revenue that the technology vertical has reported in this quarter.

Other than that, ther

e has been, I would say, a marginal decline in the industrial vertical as well, again, partly attributable to some level of one -time projects that were executed in the last quarter. These were initial POCs that we had done on the GenAI side again, for a fairly large industrial house. We're happy to report that again , there is a meaningful pipeline that we are currently working on, which if we're able to close now, the industrial vertical again will be back on the growth trajectory.

For technology, we are very confident that for the next quarter, we will sort of be back on the growth trajectory . And this quarter, while it was a flattish quarter, was largely because of delayed signing, follow -on work on the back of one -off projects that we had executed in the last quarter. I hope that answers your question.

Karan Uppal: Yes, yes. Just a follow -up there. My question was pertaining to the CPG and retail vertical [ex] of Decision Point. So there, it appears to have declined for the second quarter in a row. So just wanted some clarification on that.

Rajan Venkatesan: So there, yes, you're right. I think your assessment is right. But again, we've had a couple of good quality logo wins, right? Rajan spoke about the innerwear apparel company where I would say while we are starting off with the initial sort of POC, which h as to be executed by August, we are very, very positive about the engagement on this particular opportunity, and we believe that this can be a substantially large opportunity if Phase 1 is delivered. So , I would say definitely, there, aga in, we are seeing some green shoots.

We did see some contraction in a couple of accounts where we were working, and these are slightly longer -term relationships that we've had, where I would say there were some changes, some rationalization in terms of the number of vendors that the client or ganization was working with, which resulted in some shrinking the existing logos. But I would say on a full year basis, our CPG business [ex] of Decision Point, again, will be back on a growth trajectory. This is based on the order book and the pipeline t hat we are currently carrying.

Karan Uppal: Okay. So if I have to summarize from the commentary on all the verticals as well as the guidance, so

no client -specific issue as such and no pain in the CPG vertical going ahead. Is this a fair assessment?
Rajan Venkatesan: Absolutely. Absolutely. I mean whatever pain was there in terms of 1 or 2 specific names there where there was, I would say, some level of budget rationalization as well as vendor rationalization that was happening, that has already been factored in the re sults for the current quarter.
Karan Uppal: Okay. And just last question on GenAI. If you could help us understand in terms of the deal sizes and the tenure in the GenAI work? And is it largely project -based work? Or is there any annuity component also which you are seeing.
Rajan Sethuraman: It's a combination . Obviously, GenAI, agentic AI being the new kid on the block, right, in terms of the buzz and the excitement. There will be a bunch of POCs, pilots and experimentation type of projects that are happening. But we are seeing instances where it's already moving into production with a longer -term kind of involvement in terms of executing the work using the new architecture and the framework that is emerging.
We are assembling the team largely as an expert team. So because there are already people within the organization who have been doing GenAI, AI type of work. So , it's not as if we don't have a critical mass of people within industry entities, organizations that we have. The purpose of the horizontal CoE, the Center of Excellence , is to bring a higher order of expertise and capabilities, right, in relation to the R&D experimentation that I talked about. So , we will be largely staff

ing with people who bring that kind of perspective and expertise into that team.
Moderator: The next question comes from the line of Pooja Jain from Trinetra Capital.
Pooja Jain: So my question is, how are the macroeconomic headwinds like interest rate hikes, client IT spend reductions and involving AI regulations impacting your project pipelines or pricing flexibility?
Rajan Sethuraman: I think macroeconomic headwinds have been prevailing for almost an 18 -month kind of a period, right? And I'm sure that you are hearing commentary from other service providers as well, right, in relation to how it continues to be a bit sluggish when it come s to large initiatives, new decisions on that side. Over the last 18 months, we have also experienced that. I mean the good news has been that with many of our existing stakeholders, incremental opportunities have been easy to come by.
And that is what has helped us, right, deliver the 18%, 19% organic growth rate that you have seen in the last several quarters. We are still also looking at when the inflection point will happen in terms of kicking off new initiatives, which are substantially larger. But while this has been happening, there is also a shift in terms of decision -making aro und at least the data platform.
Most organizations have come to realize that they do need to have more robust integrated data platforms in place. And therefore, data engineering and the work there is expected to be a fairly significant boost in the coming quarters. At least when some of the uncertainty in the macroeconomic scenario is lifted, right, around inflation, around tariffs, war, all of that stuff.
One of the first things that we would all expect organizations to do is to put in money into cleaning up and improving their data platform. And that is the reason we are also gearing up, right, with the Databricks partnership and the capabilities that we h ave on data engineering. I think initiatives which are more sophisticated, right, in the AI, data science, GenAI kind of space, that will also gather

momentum. At least many initiatives that saw the light of the day in terms of pilots and POCs, clients will be more willing to commit real dollars to production type of engagements.
At this point in time, I would say that while that interest and excitement is fairly significant, they are still being a little cautious in terms of signing up for the larger production scale engagements. And that is what should change once the move gets b etter in terms of the uncertainty in the macroeconomic environment.
Moderator: The next question comes from the line of Srinath V. from Bellwether Capital.
Srinath V.: Just wanted to understand data engineering, the kind of Q -o-Q growth is shown and kind of looking at your commentary, would it be fair to assume large part of Databricks and other hyperscaler work is in the order book and yet to see execution? How do you s ee this particular business growing over the next, say, 12 to 18 months?
Rajan Sethuraman: Yes. I mean Databricks in particular, we are expecting a lot of acceleration. In fact, only on Friday, I was reviewing the pipeline, right, that we have visibility into in terms of what Databricks is chasing and there is a whole host of migration opportuni ties that are in there. And this is the migration that needs to be done to clean up the data ecosystem, right, that I alluded to in my response to the earlier question.
I also talked about the competency around SAP and the alliance that Databricks themselves have announced, right, with SAP. So, there is a fairly large quantum of work that needs to be done in terms of cleaning up and getting the data platforms ready to be able to capitalize on the new tooling and the new approaches that everybody is building into the platform.

So whether it is a Databricks or Snowflake or even the Azu

re AI Studio or even the GCP plus Gemini
platform, all of them can deliver value only if there is a significant amount of effort put into the underlying data. And that is the reason we see that there will be a big uptick in term s of opportunities. So there are already opportunities in the pipeline, right, that we are having conversations with. Clients just need a little bit more of a push on that front . I mean, with respect to the macroeconomic. And otherwise, they are still waiting and with a large data cleanup exercise of this sort, the essential question is always like, do I just do it in a bit -by-bit piecemeal manner, use case by use case or do I go ahead and make those big investments right ahead of the curve. And that is where we are also having conversations with clients.

And in many instances, we are recommending what will make sense given the culture, maturity, and the approach that the organization takes. And in many of the instances, we do see organizations willing to make that commitment, which is why the conversation is also shifting to the CIO, CTO audience, as opposed to just the business stakeholder's audience. So we are expecting that there will be good momentum in the coming quarters.

Srinath V.: Yes. About 18%, 19%, 20% growth on this INR 360 crores base would start to work over 5% kind of quarter -on-quarter growth. So would it be fair to assume that our order book is there, thereabouts in the execution pipeline to see that kind of ramp -up in growth over the, say, the next 2, 3 quarters?

Rajan Sethuraman: Absolutely, yes. That's where we are.

Srinath V.: Perfect. One suggestion from my side, Raj, it would be nice if you could start disclosing constant currency growth so that confusions on currency going forward would be easier. And that way we can model it out easier.

Rajan Venkatesan: Point taken. We will consider it, for sure.

Rajan Sethuraman: Next time, so yes, we'll do that.

Moderator: The next question comes from the line of Pratap Maliwal from Mount Intra Finance.

Pratap Maliwal: I just had one question regarding a recent management interview that you had given, where you had said that service providers like us would have to pivot to become AI integrators like the system integrators. So I just wanted to understand what would be the change from this in our current business model? Does it kind of, in particular, change the kind of contracting that we do. As you said that we convert work to managed services after initial projects? Does it change anything on that front? Just some idea around that.

Rajan Sethuraman: Yes. I'll first talk about what I meant by the AI integrator role, and then I'll comment on the contracting model. What I mean by being an AI integrator is playing the role of a service provider, consultant that can help organizations navigate the increasi ng optionality and complexity that i s emerging in the AI ecosystem.

I mean we all see the explosion that even happened in the high capital -intensive LLM space, right, once DeepSeek came in and revealed their modeling approach. We are seeing the same thing happening, right, whether it comes to reasoning models or whether it is small language models, whether it is semantic layers, whether it is RAG models, right, retrieval -augmented generative models. So, in all of these areas, and not to mention the agentic infrastructure itself, right? I mean Databricks, for example, recently announced Agent Bricks as their agentic architecture. And you have already seen what OpenAI has announced last week. So that optio nality and the complexity, and the ability to navigate that is really what I meant when I said that one needs to play the role of the AI integrator.

All evidence that we have till date in terms of enterprises attempting to go it alone indicates that it is a fairly challenging and complex space. So,

while they might initially be euphoria in terms of we have
implemented, say, Databricks or Snowflake and then therefore, now our own business users and data scientists can go ahea d and do what needs to be done. When it eventually comes down to implementing enterprise use cases, you still need to choose the right kind of technical architecture that solves for your context both on the technical environment that you have as well as the business case and the use case environment that you have. So that is the role that one could play.

What this will mean, however, is not that every line of code, every piece and component needs to be built by us. It might mean that we are able to leverage a lot of the tooling, technology, functionality components that are already available as part of the evolving complex landscape. And therefore, that is what will enhance significantly the efficiency and the productivity of the team.

But there is a role for service providers like us. The ones who do this faster and disrupt and go with the best kind of technical architecture innovations and solutions will be the ones that emerge victorious in this. Now what is the implication that it has on the contracting infrastructure? I think managed

services models will continue to be in vogue. I don't think they're going to get replaced by one -off

fixed fee, fixed scope projects only.
But there will, of course, be maybe a higher percentage of fixed fee, fixed scope projects that start happening, especially when the analytics maturity and the internal environment of the client organization is very strong, they might need initial and peri odic refreshes of architecture and decisions related to that as opposed to ongoing continual support, right, for everything that needs to be done. So we got to see how that impacts the contracting model.
I'm expecting that there will be more instances where we are able to go in and help them on specific technical architecture engagement as well. However, if you do that well and you establish your capability, then whenever there are opportunities, whenever there are requirements to get a whole lot of work done, then the organization that helps with the architecture could be the one that is called upon as well to execute on the use cases. So that's how I see this evolving.
Moderator: The next question comes from the line of Jalaj from Svan.
Jalaj: Congrats on a decent set of numbers in this tough environment. So , as I had two sets of questions basically. First, I wanted to understand with regards to Decision point, the role of payment, at least for that 70% has been made or there is something else which you need to be take? Any amounts?
Rajan Venkatesan: So, the 70% acquisition, all the payments in relation to that has been completed. In fact, in the current quarter, we have made the acquisition of another 10% in Decision Point. So , with this, in terms of payout, what will be payable, and this will happen around June of next year , is the payment for the balance 20%.
Jalaj: And there is no specifically performance -linked portion also on this or there is a part to that also?
Rajan Venkatesan: It is. The consideration is linked to underlying performance, which is revenue as well as floor EBITDA that they need to maintain for the overall business.
Jalaj: Okay. And the second question was more to do with our aspiration. So would it be fair to assume that the top line aspiration of $200 million is by F Y'28. Just a direction, maybe not to sticking to the number, but the way we are growing, I guess, that is very much achievable. And secondly, just to add to it is the revenue growth for the balance of the year for our aspiration looks like a very accelerated growth. So , there is no assumption of macro improving, I'm assuming built into it.
Rajan Sethuraman: Yes. The 3 -year $200 million target calls

for approximately a 26% CAGR. And as we just alluded to,
I think at this point in time, there is a good deal of confidence that we should be able to go past the 20% kind of a number, even before the end of this qua rter. And if things improve a bit from there, then the 25%, 26% that is required should be achievable.
Now of course, we don't want to jump the gun here and say that everything is hunky -dory. Obviously, that's an aspirational number, right, that we have put out, keeping in mind that the expectations that we have also around how the macroeconomic uncertainty will resolve , at least in certain areas, right, not everywhere. And we'll watch out for that, right? We will anyway double down on the areas where we are seeing traction, right, in terms of what is happening.
If you look at Databricks, for example, since we talk about the Databricks partnership, they have put

out a CAGR of 60%, right, that they are targeting in the next few years. So therefore, we are also encouraged by what we see the larger players talking about here.
I mean, in fact, this afternoon, in response to a query from one of our Board members, I was doing a bit of look up on what is the consensus estimate on GenAI, agentic AI growth over the next 5 years. And everybody is talking about anywhere from 35% to 45% .
So that is an area that we will focus on double down on, right, so that we are able to realize that aspiration. Of course, there's a lot of work to be done, but I mean, irrespective of macroeconomic uncertainties that might be providing now, there are other factors also that could play out, right, in how it unfolds.
Moderator: The next question comes from the line of Shubham Sehgal from SiMPL.
Shubham Sehgal: Could you just share how many new clients were added during the quarter? And additionally, if you could break down the revenue growth of how much came from the existing clients versus the new ones?
Rajan Venkatesan: See, the overall number of new clients that were added during the current quarter, I would say, was about 7 in total. In terms of the split of the growth , in terms of what came from existing clients versus new clients. So like I mentioned, right, in dollar terms for this quarter, we grew by about 2.8%. Of that 2.8%, I would say about 0.6% came from new clients that we added in the current quarter and the remaining came from existing logos.
Moderator: The next question comes from the line of Surbhi from Bellwether Capital. Please go ahead.
Surbhi: Hi Rajan, you spoke about some integrated deals in the CPG vertical where you would go from R&D to supply chain and then integrating it with RGM. Could you throw some light on such deals and explain how the scale up for the same will happen? Would it be more gradual in nature? Or would it be more like an upfront pitch for an integrated project on the go? And in such cases, what could be your average deal sizes and the length of relationship with your clients and so on and so forth?
Rajan Sethuraman: Yes. Our intention, Surbhi, is to make a bit more of an upfront transformational pitch. We are seeing

some degree of receptivity from this from some of the clients that we are having conversations with. We are also seeing a greater deal of receptivity from Databricks as a partner because they are also looking to differentiate themselves in the evolving landscape. And these could involve pitches being made more to the C -suite, maybe even to the CIO, CDAO type of an audience as opposed to se parately to the supply chain organization or the R&D innovation organization or to the team that is responsible for modeling, pricing and so on.

So, we need to kick it up a few levels. We are looking forward to Databricks also supporting us, right, in those kind of conversations. The 3 events that I talked about, which are happening in the U.S., we are looking

to pitch that kind of an idea, at least a ppeal, in terms of how that can help organizations that adopt a more integrated approach to realize more value, both on top line and bottom line, right, if they take that kind of an approach. We are seeing some early encouraging signs on those types of conversations. If that happens, then even initial engagements can easily be upwards of $1 million. Because of course, they won't do it for the entire company. But this kind of an integrated approach if

you take a particular product market or a product category market, say, a particular beverage or a food item or a cosmetic and you're just looking at one geography and implementing it there. This kind of an integrated approach can still mean that it is a s ubstantial engagement. And that's the kind of thing that we'll be pushing for.

Surbhi: Got it. Very clear. And anything you want to call out specifically on Europe? We've seen some good traction on Q -o-Q basis. Anything that you would like to specifically call out here?

Rajan Sethuraman: Yes. We are seeing traction both in the Financial Services space and in the consumer goods space. I mean if you remember, a few quarters, a couple of quarters back, we had already started talking about that we want to double down only on these 2 industries in Eu rope. And at this point in time, I think we have upwards of half a dozen clients that we are working with in these 2 sectors put together.

We recently also relocated one of the decision point key people into the geography in London. We are in the process of adding another client partner, specifically for one of our accounts in the region. In the Financial Services space, I mean, when I alluded to the growth that we are seeing, the account where the person who used to work with us earlier came back and engaged us, that is again in Europe.

So, we are seeing some traction in consumer goods as well as in BFSI in Europe, and that is what has led to the Q -o-Q. We are looking at certain other options as well, right, in terms of partnerships that we could potentially do with local European management consulting and boutique consulting organization. These are early -stage conversations at this time, but we will want to double down on these 2 verticals and then bring in other levers that can help accelerate our growth.

Surbhi: Got it. Just one follow -up here. Any internal milestones for this geography, say, 2, 3 years out?

Rajan Sethuraman: Slightly early days. I mean, in the past, we had alluded to Europe contributing 10% plus, right, in terms of revenue for us, right, in a 3 -year time frame. I mean, obviously, we haven't cracked the code on Europe yet as a geography. So , I would want to take some more time before I'm able to put out a number.

Moderator: The next question comes from the line of Aagam Shah, an individual investor.

Aagam Shah: Sir, quick 2 questions. Most of my questions have been answered. Sir, other income for this quarter was around INR 23 crores. So it should be in this range for going ahead?

Rajan Venkatesan: So, Aagam, like I mentioned, there was forex -related gain, and these were gains on account of loans that we have given to our subsidiaries in U.K., and that came in at about INR 6 crores, right? So , of the total other income reported for this quarter , of the INR 23 crores, INR 6 crores pertains to this forex . And I don't think we should model i t for the future period, obviously, this level of gain or loss will sort of come down because as I alluded to in the earlier part of the call, our intention is to pare down or substantially trim the level of investments in Europe because of some of the transfer pricing changes that we have made.

And therefore, we don't need that level of investment or debt to be sitting in the books of the subsidiaries. You will see this level of gain or loss tha

t we've reported historically to come down. So , you should consider that as a one -time more than sort of factoring it as an ongoing gain.

Aagam Shah: So, it should be remained in the ballpark of INR 15 crores to INR 20 crores?

Rajan Venkatesan: Yes, the other income should be going forward, in the range of INR 17 crores to INR 18 crores. Give or take, of course, that number could go up or go down depending on the yield that the treasury generates, but it should largely be in the range of INR 17 crores to INR 18 crores.

Aagam Shah: Okay. And all the commentary given by you all and the excitement around the GenAI and Databricks and data engineering and all, and even after the revival of the consumer vertical Q -o-Q, maybe we are being a little conservative in growing by 18%, 20%, but t here is a scope of overachieving this number?

So how are we looking at it?
Rajan Sethuraman: I mean there is always a scope for number. I can ’t deny that. But we also want to see the deals coming through, signatures on the dotted line and work commencing. I mean, as you can sense from this call and our commentary, there is a greater deal of optimism, right, in comparison to where we were even 1 quarter back based on what we are seeing. But we will want to keep guiding, right, on the basis of some of these things fructifying and coming through as well. A lot more conversations seem to be progressing to the final stages. In general, the sales cycles have been long right through this last 18 months and longer. And I don't feel let up on the sales cycles themselves. But given that some of these conversations were kicked up 12 months back, 18 months back, we are starting to s ee some of them coming through at this time, right? And we are obviously adding new opportunities to the pipeline as well. So the thinking is that we will be able to move past that kind of a number.
Moderator: The last question for today comes from the line of Aditi Patil from ICICI Securities.
Aditi Patil: So my question is on margins. For how many quarters should we see the transaction -related expenses? When do we expect them to phase out? And for the full year, since we have a higher impact of the annual compensation this year, should we see the full year margins to be lower versus FY ' 25?
Rajan Venkatesan: So to answer your first question, the transaction -related costs, I think that will sort of play out for the next 3 quarters. And therefore, you will see this getting fully phased out by March of '26, right? And thereafter, you will not have this cost.
Coming to your question on the impact of wage hikes and consequently, what will be the full year margins. See, like we mentioned, we want to keep the consolidated margins on a full year basis in that 23% to 24% sort of range . And then we are fairly confident that the impact of the wage hikes notwithstanding, we should be able to bring back the sort of margins to that level on a full year basis.
The only thing though that I think Rajan also spoke about this briefly where there was a question by Vimal on the operating leverage playing out was that we are, at this point in time, planning for investments on the Databricks side as well as the AI, CoE side, right? I think while we have made some investments already, we are in the process of formulating one, setting up the team and also formulating the plan for the rest of the year.
We do see substantial opportunities to set up these CoEs or practices well so that they're able to deliver disproportionate or exponential revenue . So, in that process, there could be some investment that could sort of, again have some impact in the short term.
But I would say long term for us, the margin should be in the 23% to 24%. Any deviation from that, we'll definitely be mindful of that, and we'll call that out. If we see any impact on account of the investm

ent that we are making, we will call that out. Bu t right now, that doesn't seem to be the case. I

think we should be back to 23% odd levels fairly soon.
Aditi Patil: Okay. And my last question, just last bit. You spoke at length on the data engineering space opportunity you see. So when you do a data engineering project, does it also count with the analytics work? Or is it purely the data engineering work?
Rajan Sethuraman: Most engagements in data engineering will have some or the other business use cases, right, driving the need for getting the data engineering work done. In the past, almost all organizations were taking a piecemeal approach, meaning use case by use case, t hey will go back and figure out what is the data environment they need to get in order.
What we are starting to see now is that quite a few organizations are thinking about investing in their data infrastructure and getting it sorted out as a cost of doing business, meaning that they are ready to do it ahead of the curve, right? And taking a philosophy that we build a good data infrastructure, the use cases will come, and everybody will benefit from it . In which case, the initial data engineering engagement could be just about getting the data house in order . But you know that, I mean, the organization is always executing a bunch of things, right, even around their data analytics requirements.
So even if it is largely a data engineering engagement, there could also be a handful of use cases that they would like to see implemented and executed as part of that engagement itself so that they start seeing the impact and the benefit of what they are doing.
Aditi Patil: Okay. Okay. Got it. And in the data engineering service line, for the last 2 quarters, there has been a sequential drop. So is it like a one -off thing?
Rajan Venkatesan: Maybe in percentage terms, there has been a marginal drop, Aditi. I don't think in absolute terms there has been a drop , Like I said, right, there will always be some short -term quarter -to-quarter, if you see, there could be some projects that we execute, which could sort of not have follow -on revenue that could have an impact on a Q -o-Q basis.
But then I think on a full year basis, we definitely are on track to deliver the same impact, if not higher than the company level of growth, the same level of growth in data engineering practice as well. In fact, this is higher on the back of all the work that we did .
Moderator: And that was the last question for the day, I would like to hand the conference over to the management for closing comments.

Rajan Sethuraman: Yes. I think we had a fairly lengthy and detailed interaction. I think I at least covered all the points that were in my mind, right, in terms of what we would like to convey. In summary, I just wanted to say that there's a bit more optimism that we have b ased on how the environment is panning out and how it is unfolding. We are also energized by the traction and the progress that we are making on the 3 strategic priorities that we have.

I think all of th ese are also very synergistic in nature. I mean I talked about how the generative AI CoE focus is helping us even with the Databricks partnership because Databricks has identified as one of the GenAI partners that they will work with, right, in terms of taking it into consumer goods companies, for example.

So, I think these are all connected and related. And that's how we are looking at it and approaching it as well. And we are putting in more organizational constructs and mechanisms at our end as well to make sure that we are not losing out or missing out on any of the synergy, right, that exists between the different aspects of o ur strategy and our priorities.

So that is what will be the focus of the management and the leadership team. We have discussions happening not only within the management team, but also with our Board. You will all recall that Dr. Anindya Ghose has joined us recently as one of our Independent Director . In fact, he is here with us today and tomorrow, and we are going to be having some discussions specifically focused on the topic around GenAI and agentic AI.

So we are expecting that we will get more good counsel, right, on how to take this forward. And that's the advice that we will seek to action on, right, and drive things forward. So , with that, I think I'm kind of done with my closing arguments. Raj, if you want to add anything?

Rajan Venkatesan: No, I think we've pretty much covered everything . I think we've had a fairly extensive call. So I think, obviously, the focus will be on executing the strategy that's been put out. And that's where I think over the next couple of quarters, we'll be putting our heads down and executing to the plan that's already been laid out.

Moderator: Thank you, sir. On behalf of LatentView Analytics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2025

November 03 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol: LATENTVIEW

Dear Sir/Madam,

Sub: Transcript of Earnings Call for the quarter and half year ended September 30, 2025
held on Monday , October 2 7, 2025
Pursuant to Regulation 30 read with Part A of Schedule III and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Earnings Call held on Monday, October 2 7, 2025 , post announcement of financial results of the Company for the quarter and half year ended September 30,2025.
The transcript is also uploaded on the Company's website at
https://www.latentview.com/investor -relations/ .
This is for your information and records.

Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer

"Latent View Analytics Limited
Q2 FY '2 6 Earnings Conference Call"
October 27, 2025

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO

MR. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – E&Y LLP , INVESTOR RELATIONS

 Moderator: Ladies and gentlemen, good day , and welcome to LatentView Analytics Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y LLP Investor Relations. Thank you, and over to you, Ms. Gupta.

Asha Gupta: Thank you, Ranju. Good morning to everyone, and welcome to Q2 FY '26 earnings call of LatentView Analytics Limited. The results and presentation have already been mailed to you, and you can view them on the website , www.latentview.com . In case anyone does not have the copy of press release or presentation or you are not marked in the mail, please do write to us, and we will be happy to send you that.

To take us through the results today and to answer your questions, we have the CEO of the company, Rajan Sethuraman, to whom we will be referring as Rajan; and we have the CFO of the company, Rajan Venkatesan, to whom we will be referring as Raj. This is j ust to avoid any confusion while doing the transcript. We will start the call with a brief update on the business, which will be given by Rajan and then followed by financials given by Raj.

As usual, I would like to remind you that anything that is mentioned on this call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the floor to Rajan. Over to you, Rajan.

Rajan Sethuraman: Thank you, Asha, and thank you, Ranju. Thanks, everybody, for joining the earnings conference call. Belated Diwali greetings to you and your family. As Asha mentioned, the press release and the investor presentations are available to you, so I'm not going to bring the details there. I just wanted to provide color on a few aspects of the business that might be of interest to everyone. I will take a slightly longer preamble time to provide this overview. We have a hard stop today at 10 .25. S o we'll be taking the last question at 10 .20. But since I received questions from several of you prior to this call, I'm going to try and address as many of them as possible, right, in my preamble.

So firstly, starting off with the recent deal wins, you would have seen in the presentation that there are multiple clients there that we have talked about. I just wanted to highlight that there are 3 clients with whom we have already engaged, where we hav e started off with engagements anywhere in the range of $250,000 to $0.5 million, but we see good prospects, meaning these accounts can potentially grow to $2 million, $3 million per year revenue even within a 12 to 15 -month kind of timeframe. So that's a fairly strong sign in terms of the interest in the value propositions we are taking. These have been long sales cycles with these accounts. But at the end of it, winning the first account and then seeing the traction for more work that we can do, that is something that I wanted to call out. In addition to that, there are at least 4 opportu nities, which are fairly large in the sense that there will be million -dollar -plus opportunities. There are 1 or 2, which are even substantially larger. Of course, the lar ger ones would be multiyear opportunities. We will have results on the RFP process and the selection in the next 1, 2 months' timeframe. So when we'll

get to the end of this quarter, we'll be able to provide

 more updates in terms of how the closures on those opportunities have progressed. But in general, fairly upbeat in terms of recent deal wins and what we are seeing in terms of pipeline action.

There are a few things that have been interesting and significant for us, right, in terms of building out the pipeline and the opportunities and the momentum in terms of growth drivers. The first thing, of course, has been our partnership with Databricks. This quarter, we added a couple more people to the front -end sales team exclusively focused on selling Databricks opportunities. We also now have 7 people certified as Partner Champions, about 350 -plus people who are certified in the Databricks capabilitie s. We were recognized as Databricks professional services partner as well. And we conducted 4 generative AI workshops along with Databricks. The intent is to do 10 more in the upcoming quarter and the second half of the year. There is a good deal of tracti on on generative AI type of capabilities. And we would have updated you in an earlier call that we are one of the partners that Databricks has selected as a generative AI partner. This quarter also saw about close to $1.4 million in terms of new wins that came on the back of the Databricks partnership. We are also getting funded for some POCs and pilots that we are conducting for clients, and that's a good sign that

Databricks trust us as a partner to go into new conversations with the client.
One other thing that we are doubling down on, as we move forward in the second half of the year, is to build SAP -related capabilities on the Databricks platform. You all would know that Databricks announced a fairly strong partnership with SAP that allows people who are using SAP as the ERP to use a combination of the SAP platform on the Databricks platform to do the analytics and all the advanced modeling and stuff that they want to. So there are opportunities related to some amount of migration and moveme nt of data between the platforms as well as deploying use cases, leveraging the capabilities of both SAP and Databricks, and this is something that we intend to capitalize on. So we are starting to build out an SAP -focused competency within the Databricks horizontal. So all of this means that while last year, we did about $11 million of revenue related to Databricks, this year, we are fairly confident that we will go past the $1 9 million mark. You will recall that we have set a goal of getting to the $50 mi llion mark in a 3 -year timeframe. And it's great to see that the first year is off to a fantastic start with almost 80% plus growth in comparison to what we did last year.
A second important area of focus and attention is our AI Center of Excellence. I had called out how we had regrouped our organization into 2 horizontals, one being a functional consulting horizontal, which is focusing on analytics strategy and road mapping, supply chain analytics, HR analytics and fraud and risk and marketing analytics. The other one is that technical horizontal capability, and that is where we are creating the AI Center of Excellence.
We are using a concept called the House of AI, wherein all the work that we do across the spectrum from a technical standpoint, whether it's data engineering, data science, advanced analytics, machine learning, generative AI and agentic, we are able to bri ng it all together in the context of addressing specific client problems. Most clients really don't care too much about how a service provider might be organized, right, in terms of having different competencies. What matters to them is how we are able to bring it all together to address the problem that they are tackling . And that's the reason for the House of AI concept.
They have already staffed us with a core team of 8 people. Many of th

em are PhD level students and
candidates, who we have brought on board. They're all working on specific problems. At this time, there are 3 external facing value propositions that this te am is working on. One is focused around
 synthetic data. The second is focused on churn analytics and bringing an agentic framework to that. And the third one is focused on bringing generative AI plus agentic concepts to the integration between CRM and LLM. We are experimenting initially with HubSpot, which is the CRM that we are using, and with Gemini as the LLM platform. But the intent would be to expand this, as we understand this and go forward.
Apart from this, there are entity teams and account teams that are already doing a good amount of work in generative AI and agentic AI. One of the projects that I thought I'll highlight is related to an agentic plus generative AI framework that we have cre ated for helping organizations optimize their cloud usage, whether it is memory or computing, especially if the organization is using a multi -cloud platform, say, across Azure and AWS and Databricks and all that. There isn't one unified way by which they c an optimize the provisioning of compute and memory for the different workloads and the tasks that they might be executing on this kind of an environment. Our tool helps identify and analyze all the past workloads in the last 2 - 3 years, you can define the period, and then, come up with more optimized rules for the provisioning of compute as well as memory so that not only is the effectiveness and efficiency of the workload execution and the task execution increases, but it also reduces the cost of compute and memory in a significant fashion. And we have evolved an architecture where there is a rule -based approach as well as a generative AI agentic approach. And all of this is orchestrated using the agentic framework, providing the human in the loop, the override capabilities as well depending on what they want to deploy and what they would choose to keep in abeyance. This is something that we are really excit ed about, and we'll be taking it to multiple accounts as we move forward. So overall, from a generati ve AI and agentic perspective, last year, we had done about $7 million of revenue. This year, we have already clocked $5.5 million, and there's another $7 million in the pipeline that we are pursuing. I'm expecting that this will continue to grow as we move forward with more use cases and more opportunities coming our way.
The other thing that I wanted to highlight, right, before I give some generic updates is the integration and the progress that we are making with the Decision Point acquisition. It's more than a year now. In fact, this quarter was the first quarter, quarter 2, where we are able to provide a like -to-like comparison as well because we had completed the acquisition before the start of quarter 2 of last year. It's good to see that the integration and the synergies are starting to come through. In fact, this yea r, we are expecting our combined consumer goods practice to grow at about 28% in comparison to what we did last year. There is a good deal of focus on making sure that there is alignment across the leadership team, bringing in additional bandwidth and capabilities, whenever it is called for.
One good thing that we are also seeing in client conversations is that more clients are starting to talk about end -to-end value proposition, where the multiple value props that we had between LatentView

and Decision Point, all of them can be brought together in order to drive the overall impact that the client is looking for. So an integration all the way from annual business planning to supply chain demand forecasting, on -shelf availability to revenue g rowth management, pricing, promotion, pack architectur e levers and bringing it all together to drive rev

enue growth for consumer goods companies.
So that is seeing a good deal of traction.
In general, we have seen that it's a fairly strong uptick in terms of the pipeline. There is some slowdown in Coke as a business. Coke had 2, 3 years of solid growth in the past. And this year has been a bit sluggish for them. They have seen some volume dr op and shrinkage. So the Coke conversations are going a little slower. But even with that, we will do this year much more than what we did with Coke

 last year. So there is growth happening anyways. In addition to that, we are seeing good traction with the accounts that we are having conversations in Europe and Latin America. Both Europe and Latin America will grow fairly strong for us as far as the con sumer goods practice is concerned.
I will go back to the one area where there is some amount of concern, and this is in relation to the technology vertical. If you recall, our technology business is split internally into 3 different parts. There is a team that focuses on the consumer tech b usiness, one that focuses on B2B tech, and the third one, which focuses on communication and devices. In general, I would say that it's been a bit of a slow year so far. At this point in time, the visibility that we have is probably about 7%, 8% of growth. We are hoping that we will go past the 10% mark and get into maybe the low -double digits in terms of growth for the year.
There are a few things that we are seeing in the market. In general, there is some amount of tentativeness and sluggishness. There is an ask for consolidation, and also, in terms of pricing -related questions and conversations. Generative AI and agentic, th ere are expectations also in terms of how these will really drive action and help drive productivity and efficiency, right, for the clients that we are having conversations with. In response to this, in addition to the incremental growth that we are drivin g, we are also opening up new possibilities for ourselves. One is with one of the larger accounts that we have, not just to sell to them, but also sell with them. So there is a fairly strong analytics capability that this client brings to so many other org anizations. So we are starting to build out a practice. This is early days. We'll keep you posted on that, that we update you in the next quarter.
The second interesting piece of work is a completely new area that we have gotten into for one of the tech companies. This is in the area of cybersecurity. You all know that the amount of risk related to cyber threats and cyber -related challenges are alway s on the increase. And this is something that we have been debating and evaluating for the last 18 months, but we finally saw some traction with a significant win coming our way, almost close to $1 million, where we are going to be helping them with the cy bersecurity analytics. While the first exercise is underway, we are already seeing traction with other parts of the same organization, and we are likely to expand there. If this is something that we are able to create frameworks and an approach out of, this is something that we' ll potentially explore taking to other organizations as well, at least in the tech space and potentially in other sectors as well. So the cybersecurity analytics is a practice that we are exploring.
Thirdly, we are continuing to add more bandwidth at the front end in terms of client partners, in terms of go -to-market personnel as well. And this is something that we are expecting to pay dividends in the second half of the year. Overall, with all this, we are expecting that we'll be able to push the growth rates further. It's not that we are shrinking in technology. As I said, we are currently in the high single digits. We want to at least get to the low double digits if possible on the back of all of th ese actions.
So, let me now summarize

with all this. I mean, there are several growth drivers that we are focusing
on. I have talked about the focus account initiative that we had kicked off at the start of this fiscal, where we had identified about 27 accounts, and the i ntent was to really double down and grow with them through mining and farming. That exercise is going well. There are multiple conversations that project team has been a part of where they have helped move the needle in terms of progressing the opportun ities and closures.
At this point in time, there are almost 140 teams that we have identified across these 27 accounts. And

 the project team is busy looking at how can we convert them into opportunities in the pipeline and push those conversations. The plan is to get to at least an additional incremental revenue of $8 million to $10 million right on the back of all of this even before the end of this year. And we'll keep you posted on this as we move forward. A second growth driver is the Databricks area. I've talked about it. And the third one is the AI Center of Excellence and what we are doing with the House of AI concept. Te chnology, I already covered in terms of what we are trying to do to address some of the sluggishness that we see there.

Two other areas where we see as growth drivers, one is the expansion in the Latin American market. I already talked about how the CPG business is doing well. Recently, we engaged an external consulting firm to help us understand and explore the Latin Ameri can market, and they have identified opportunities in other sectors, especially in banking financial services. The banking financial services has been growing really strong for us over the course of this year. In fact, if things go well, we will do upwards of 75%, 80% of year -on-year growth in the financial services space. We want to take this momentum into the Latin American market as well. And that's the reason for kicking off that exercise. So LatAm expansion and growth could be a growth driver, not only in the remainder of this year, but in the coming years as well.

And finally, nearshore strategy is something that we are more aggressively exploring. You all have seen the news and seen some interpretations on the visa restrictions that are coming about. This will obviously mean that clients will also be more intereste d in exploring nearshore. So we are building out a proactive strategy on this. We already have a demand view on this and a supply view on this. We are bringing it together. And with specific accounts, we are having proactive conversations on how we can set up the right kind of capabilities and teams in a managed services model or in a staff - up model for them in the nearshore locations. At this point, we have about 20 -plus people supporting clients. The intent is to take it to 100 people over the course of the next 12 months. And that is something that could potentially be a strong growth driver for us in the coming years as well.

The net impact of all of this is that earlier, we had given a guidance of about 18% to 19% in terms of revenue growth. Right now, we are upping it only by a percentage, potentially 19% to 20%. There are good signs and opportunities in the pipeline, and I t alked about multiple growth drivers as well. However, you will all remember that this quarter is the quarter of renewals for many of our accounts. So we don't want to kind of jump the gun here and do anything and provide a guidance that may not pan out. I mean, we do want to see how the renewals work out and give you a better update when we wrap up this quarter in terms of where we are likely to get.

Some people had asked what is the guidance for the 3 -year outnumber we had put out, right, $200 million to $220 million. There is no change to that at this time. We are looking to get to that number, and we are on track. We need to acceler

ate a bit more, of course, but some of the sluggishness could potentially go away on the back of more certainty, at least around visa, around tariffs and so on, and that should give us some tailwinds. So right now, it's too early for us to provide any revision for the FY '28 kind of number that we have talked about.

Overall, on the H1B as well, we are not very concerned. The last lot of visa applications that we have done, they have already come through. So we have almost 15, 20 people who we can deploy on engagements and that will cover us well for the next year. The re is already a very strong talent acquisition capability for hiring people locally in the U.S., and we are stepping up on hiring from

campuses, both undergrad as well as post -grad campuses in the U.S. So at this point in time, we do not see any kind of negative impact because of the H1B visa -related issues, right, that have come about.

Finally, there was one question on whether any furloughs are expected in Q3 and all that. I want to say that there is nothing that we are seeing. On the contrary, there are multiple conversations where the clients have indicated that they have some leftove r budgets and excess money that they need to spend before the end of this fiscal. So we are expecting some of that will give us some momentum, right, in the remainder of this quarter.

Yes. So that's the update I had. I'm going to stop here and pass it back to Raj to provide any additional color he wants to on the financials.

Rajan Venkatesan: Thank you, Rajan. Thank you for that comprehensive update on both the business side as well as giving some guidance on the financial side. Now, given that Rajan has already done a fair bit of context setting in terms of what really panned out in this quart er, I'm going to provide a quick update on the financial side, and then, we can open up for Q&A .

Like Rajan mentioned, we are happy to report this is our 11 th consecutive quarter where we've been able to deliver sequential revenue growth with a total operating revenue of about INR 257 crores, which obviously also means that we've hit INR 1,000 crore s run rate, if we were to sort of continue on the same trajectory, which is a pretty significant milestone for us. This also reflects a growth of about 9.1% on a quarter -on-quarter basis and a 23.2% on a Y -o-Y basis.

As Rajan already highlighted, the Y -o-Y growth is on an apples -to-apples basis because we had the consolidated results for Decision Point starting Q2 of last year. So, therefore, the 23.2% also reflects a fairly healthy growth, even considering Decision Po int in the fray. For this quarter, while we discontinued giving out revenue numbers for Decision Point separately like Rajan mentioned, we are now going to market as one consumer practice . And that's going to be the goal for the -- at least the next year t o sort of drive significant synergies and be perceived in the market as one company.

Having said that, for this particular quarter, on a stand -alone basis, Decision Point would have delivered close to about $3.1 million to be precise in revenue on a stand -alone basis. But then, including all the work that they do for LatentView plus some of the other synergies, the total revenue attributable to the Decision Point business is close to about $4 million . So like we've mentioned, we are fairly pleased with the sort of synergies that we are seeing across the CPG - practice as well as the nearshor ing, as Rajan had pointed out .

Both of these continue to do very, very well for us. We are particularly pleased by the strong traction that we've seen in the financial services practice, which has been, I would say, largely driven by clients that we have won in the last 12 months. But t hen we've executed really, really well in these couple of accounts. And one of those accounts is well on the way to be a

$5 million to $6 million plus type

account. The other account is close to $1 million plus already . And these are all within 12 months o f adding these accounts. So particularly pleased with the strong momentum that you're seeing in the financial services practice, which has also grown almost 94% Y -o-Y and about 30% on a sequential basis.

The other significant vertical that drove the growth for this quarter was CPG where we saw year -over-

 year growth of about 23%, which is again taking into account the Decision Point on an apples -to-apples basis. Well, on the EBITDA margin side, Rajan already spoke about the fact that we are, of course, continuing to invest in capability building for Databr icks as well as the AI Center of Excellence.

We are also continuing to add sales and business development bandwidth for the technology vertical, as well as we will continue to add some leadership on the sales and business development side. So the margin for this quarter, while it came in at about 21. 8% on a reported basis on an adjusted basis, which is after adjusting for the transaction -related retention bonuses that we've earmarked for some of the Decision Point employees, Adjusted EBITDA came in at about 22.5%, which reflects strong operational exe cution as well as effective cost management .

In terms of where we would want this EBITDA margin to settle, obviously, there were a few questions that were directed in terms of where do they see us ? See, on a full year basis, while I know in the past, we had given a guidance of about 23% to 24%, we are seeing significant momentum, on the Databricks channel as well as the financial services practice. We would want to continue to keep this momentum up.

As a result of which, on a full year basis, initially we had guided on a 23% to 24% band, right now, we would want to keep the level of investment sustained. And therefore, for the full year, we would like to guide that EBITDA will be between 22% to 23% be cause you would want to incrementally deploy some of the additional cash that the business is generating back into driving growth . In fact, going past even the 19% to 20% guidance that Rajan put out, our endeavour would be to go past that number. And there fore, the additional investment will be directed to delivering on that growth promise.

The PBT for this quarter stood at about INR 61.7 crores, up 5.9% on a year -on-year basis. You all would have noted that the PBT for this quarter came in lower in percentage terms compared to the previous quarter. The primary reason for the lower PBT is the lower forex gain that we had on intercompany loans in this particular quarter. The last quarter, we had a gain in excess of about INR 5 crores, attributable to these intercompany loans. I'm happy to note that we have significantly pared down these loans t hat were granted to some of the subsidiaries. Also happy to report that some of the subsidiaries, the European subsidiaries, in particular, are beginning to show strong cash flows as a result of which the funding requirement is also coming down. Therefore, going forward, you will not have such large movements in terms of forex gains or losses. So this would be more steady state going forward. So that's one of the reasons why PBT came in lower for this quarter.

Also, PAT, you would have noticed that the PAT percentage has come down in this particular quarter to about 16 -odd percent. Primary reason for this is, going forward, the ETR for the group will be between 25% to 26%. As I had noted in the first quarter earnings update, we had a one -time gain owing to an election to move to the new tax regime for India, right, as a result of which there was a deferred tax gain that was booked in Q1. That benefit did not sort of follow th rough in Q2 as expected. And therefore , going forward, the ETR for the group will be between 25% to 26%

. So the PAT that

you see will be more steady state going forward. You will not have significant fluctuations on a quarterly basis as far as the PAT line is concerned.

From a balance sheet standpoint, our cash balances continue to remain very, very healthy. Of course,

 we continue to remain very active in our pursuit of looking out for acquisitions, potentially in the data engineering space or in the AI space. So those would be the 2 areas in which we would look to do M&A. But then, we also want to be careful about valua tion expectations as well as not sort of picking assets that don't strategically align with us. So we will be careful in terms of where we allocate capital, but we are fairly active in our pursuit.

In terms of the order book as well as pipeline, Rajan spoke about the fact that this is renewal season for us. While we are very, very happy with the growth that we've delivered in Q2, and we hope to replicate a similar performance in Q3. End of Q3 is wher e typically a lot of our renewals, especially with our tech clients happen. And therefore, we want to sort of deliver to the promise of the 19% to 20%, in fact, go past that. But then we also want to be mindful of the fact that there are pressures around b eing a little more competitive in terms of pricing as well as being a little more, I would say, ahead of the curve in terms of delivering efficiency for clients. And therefore, we want to be watchful as we head into the renewal season.

That said, we are very bullish about our financial services practice. We are very bullish about the Databricks practice, and we will continue to drive investments in the AI CoE as well. These initiatives are very core and integral for us to, one, enhance o ur technical capabilities to be differentiated in the marketplace to also sustain growth, as well as continue to deliver industry -beating growth. So I would say we would continue to make investments in all these areas that I've outlined, but then with a vi ew to sort of deliver better growth in the coming future.

With that, I will hand it over back to Asha and open the floor for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Vimal Jamnadas Gohil with Alchemy Capital Management.

Vimal Jamnadas Gohil : Congratulations on a good quarter. Sir, my first question would be for Raj, if you could just give me some color on the cost front. If I were to look at the opex of INR 33.5 crores this quarter, and even if I were to reduce or take out the INR 1.9 crore s transaction cost, the number is still about 25%, 27% higher quarter -on-quarter and almost 50% higher Y -o-Y basis . If you can give me some breakup, how much of that is related to core marketing or growth -related costs? How much is that related to visa? That will help.

Rajan Venkatesan: Yes. So thanks for the question, Vimal. I do understand and appreciate the concern around the higher opex . But I would like to highlight that almost all of this increase, is, one, attributable to higher marketing costs. So just to give you some perspective, our marketing costs are generally very seasonal in nature, where we do a lot of our marketing events ty pically in Q2 and maybe early Q3, before November essentially because November onwards, people tend to go on leave till the end of th e year. So a lot of the marketing spends that we do are concentrated between the months of August through October .

In particular, this year, we've done close to about 5 small format events in the US as well as in Latin America and London . So this meant that there was a significant uptick as far as marketing costs are concerned as well as travel associated with these marketing events is concerned. And that's one of the big drivers for the higher opex spend.

Two, so you would all note that all the costs in rel

ation to the H1B applications for us are booked in

 Q4, most of the big spends are booked in Q4. And, therefore, Q1 tends to be a little lower in terms of the visa cost. So , on a quarter -on-quarter basis, the visa costs were higher by close to about $220,000 . So that was again a significant cost that we had for this particular quarter in comparison to Q1. So Q2 compared to Q1, those costs were higher by about $ 220,000.

The third one, if I can highlight is in relation to some of the bandwidth or the leadership that we are adding . Rajan spoke about the couple of people on the Databricks front, on the sales and business development side that we've added. We've also added a few people on the Adobe Solution practice. So actually for us to source some of this talent, we've had to engage external consulting firms to bring on some of this talent, And there were recruiting -related costs that were associated with bringing on this t alent. So that would be another close to about $150,000 to $180,000 that we have spent. So all of this meant the higher marketing cost plus the higher visa cost plus the higher sort of recruitment costs in bringing in new talent meant that the opex for this quarter wa s higher than the last quarter.

A lot of this will taper down in the following quarter. You will see lower levels of opex , specifically at least as far as marketing is concerned. But visa would be steady state going forward. So you will not have this level of expenses again. I hope that answers your question.

Vimal Jamnadas Gohil: Yes. So , would it be fair to say that we'll be operating in between INR 30 crores to INR 33 crores a quarter going forward, given the growth rate requirements that we have?

Rajan Venkatesan: Yes. That would be the range.

Vimal Jamnadas Gohil: Fair enough. Fair enough. So Rajan, my next question with you, if I were to look at our revenue by offerings, and if I were to sort of join the dots between what has happened in the technology vertical for the last couple of quarters, my question was on yo ur diagnostic offering. So that service line or offering has also seen flattish trends of about $16 million to $16.5 million a quarter for the last 1 year. However, if I were to look at 3 of your high -quality or high -intensity offerin gs, which is RGM, consulting and predictive analytics, that has seen a lot of growth. Is this a conscious pivot? Or the pain in the diagnostic vertical is also related to the tech vertical that we have?

Rajan Sethuraman: Yes, it's a bit more related to the technology vertical because that is where the clients also have better appreciation of what can be done using the emerging tooling and technology. So, therefore, there will be greater pressure on how some of the diagnost ic descriptive work can quickly get converted or at least be done in a more efficient manner, using generative and agentic approaches. Not that the floodgates have opened there, but we see quite a bit of that kind of ask coming our way, e ven in the consolidation and the price conversations that we are having.
The traditional sectors, I think, they still are at a certain level of maturity, where they may not want to completely switch over, to new models of getting diagnostic descriptive work done. So in general, this pressure will continue, not just in the tech sector, but also in the other sectors as well. What we are looking to do though is whether much of this can be delivered using a more cost -effective framework, leveraging generative and agentic technologies.
One of the things that we are building, for example, it's a solution called Wiz.ai. This is specifically focused on dramatically accelerating and automating the entire dashboard decision board creation work. So clients can directly interact with Wiz.ai in a natural language conversational format. And the tool has enough domain knowledge an

d semantic understanding built that for specific sectors and use
 cases, it can quickly come up with the first version of the dashboard within a matter of minutes rather than weeks of effort that it would have taken, to do the wireframing and the work.
So there is work that we are doing. The expectation or rather the intent with all this is that we will be able to take a more efficient, powerful mechanism for getting this work done. And, therefore, not only will we retain the quantum of work, but we'll g row the quantum of work as well by demonstrating a superior approach to doing that work. But taking all of this into account, the future, of course, is more in the predictive, prescriptive, GenAI, agentic architectures, and that is where a lot of the actio n will be as more organizations mature and adopt some of these mean.
Moderator: Next question comes from the line of Rushabh Shah with BugleRock PMS.
Rushabh Shah : Sir, as you mentioned a lot on AI, my question was one of our competitor, Tiger Analytics, they are targeting 1 billion revenue by 2030 as AI will become their core business. So what is our thought process on it? Where are we seeing ourselves like 5 to 6 y ears down the road?
Rajan Sethuraman: Six years down the road? I don't know, okay, honestly. I mean, we are trying to figure out where will we be 3 years down the road. See, secular momentum and path will be , that there will be increased adoption, of all of the emerging technologies. But I'm sure that you're hearing enough commentary also around how much these emerging technologies will result in new work versus work that is currently being done, completely ge tting automated and done in an agentic fashion.
Our thought process at this time is that we be a disruptor, right, that we build those AI value propositions and the agentic frameworks that can help do that work. But it is very hard, to put down what is going to happen 6 years down the line? In 6 years, I mean, you could have artificial general intelligence, right? So I don't know. I mean, at this point in time, this is the best answer I'm able to give to this.
Moderator: Next question comes from the line of Sucrit D. Patil with Eyesight Fintrade Private Limited .
Sucrit D. Patil: My question to Mr. Rajan, Mr. CEO is, as analytics becomes more commoditized across industries, what unique positioning or strategic shifts do you see helping LatentView stand out over the next few years?
Rajan Sethuraman: So I called out the growth drivers when I did the preamble. So , our efforts will be focused on those growth drivers . Plus, the question that I just answered, the big shift that is happening in the world towards AI and generative and agentic . That is where the action will be. The one thing that I can see and I can call out confidently is that domain understanding will continue to be a very important aspect of how all of these new tooling and technology are brought together.
We recently did an event in Latin America and Mexico, and the external speaker that we had, talked about the advances, in the agentic and the generative AI spaces and how there are several companies, right, that are already doing very interesting work, wit h all of those technologies.
But she did call out that the organizations that are lower down on the maturity curve and who are yet to get started, the best advice that she could give them was think about your top 3, 4 problems, and the context of the problems and what are the major KP Is you're looking to impact in those problems and then how can you bring the power of data analytics, AI and everything, to addressing and solving
 those problems.
So that domain knowledge is something, I think, that will continue to be a very important aspect of how these technologies play out. That plus the entire ar

ea of enterprise scale, privacy, confidentiality,
transparency, governance, hallucination -related co ncerns, these are the things that will be a major talk,

in terms of how you can apply the power of these technologies. I mean, the technology capabilities are getting demonstrated through POCs and pilots. But to apply it to enterprise scale, you will have to marry it with the domain understanding and the enterprise scale thought process, on privacy and governance and transparency matters. And that is where we would like to really build our capabilities as well . That's how we are looking to address this.

Moderator: Next question comes from the line of Sameer Dosani with ICICI Prudential AMC.

Sameer Dosani: First question is hi -tech vertical when I look at, right, last 3 quarters have been soft for us. And this, I think, is reflected in our top 5 accounts that is also growing slower than the industry than the company average. Can you explain what to think abou t this piece? And we have renewals coming up in Q3, so can you give me some early indications? Because what's happening is that hi -tech as a vertical, some of the clients that we may have may also be looking to cut costs. So any views on these 2 points, is my first question.

Rajan Sethuraman: Yes. I mean, it's not very different from what I have already mentioned. The tech space have the best understanding of the evolving technologies because in many instances, the clients that we are working with are building the next new, when it comes to tho se tools and technologies. Therefore, there is an expectation that the cost benefits and the efficiency productivity gains from these technologies are applied internally to running their business as well. So there is an increasing demand from them that their partners and service providers are able to make use of all of these things, right, in the most optimal manner possible.

That apart, I guess, some of the cost pressure is coming from the inordinate amount of capital investment and expenditure that is being directed at infrastructure. So if you see $500 billion investments being made into data centers and building even more p owerful language models and the energy supply, that goes and all that, then the companies are going to squeeze whatever they can, in the rest of the business in terms of running it in as operationally efficient manner as possible. There are already a lot o f questions and talk about how all of this investment is circular in nature, is it really pushing the boundary for the LLMs, whether an LLM -based approach to AGI, because that seems to be the quest is the approach that will yield the result because at the end of the day, LLMs, they use only language -based reasoning and modeling. There are many different classes of intelligence, like spatial intelligence or visual intelligence or physical dynamic intelligence and so on.

I mean, these are other approaches that other organizations and researchers are working on at this time.

My point is that the LLM -based frenzy that is happening right now, directing a huge amount of investment into those areas, will mean that the cost pres sures in the rest of the businesses will continue. Therefore, this is something that we can continue to expect in the next few quarters.

Moderator: Next question comes from the line of Pritesh Thakkar with PL Capital.

Pritesh Thakkar: Good set of numbers. I just had a question on top account that we added in the band of $500 million plus. Which vertical does it belong to? And how is the potential to scale it further in the account, if

 you can color or highlight on this one?

Rajan Sethuraman: Yes. We added accounts in multiple verticals over the last quarter and a couple of quarters. I mean, there's an account that we added in the consumer goods space, for example, where there are follow - on conversations with t

he affiliates . The initial piece of work was in the range of about $500,000. 2 projects that we have won recently, both in the industrial auto component manufacturing space, both of them are in that range as well. And in one of them, there is a significant Databricks -driven transformational program that they are looking at, which could lead to a multimillion -dollar, multiyear engagement. And the second one is related to a lot more work in the supply chain analytics space that we can do for them. So we are seeing traction in industrial, in consumer goods, in financial services as well at this point in time. One other account that we also added in the B2B technology space, that is showing some good traction as well. I mean, the initial work that we did was again of the $0.5 million range, but we are seeing more opportunities in the remainder of this year as well.

Moderator: The last question comes from the line of Srinivasu K with TIA.

Srinivasu K : Sir, you said you are targeting $19 million Databricks revenue this year while building the SAP on Databricks competency, right? So how do you see revenue acceleration from this channel? And also, is the margin profile on Databricks above the company average?

Rajan Sethuraman: I'll answer the second question. The margin profile is not contingent on whether it is Databricks' work or not. It is contingent more on the complexity of the problem and the extent of usage of advanced analytics of generative and agentic architecture. So that is where the margin profile. Otherwise, Databricks work is similar to work that we might be doing with any of the other cloud platforms, whether it is AWS or GCP or Snowflake for that matter.

The first question in terms of how is the SAP competency going to help, we will have to come back to you on the objective impact of that because it is very early days. We are just starting to build the competency. This was a big partnership announcement th at happened from Databricks very recently. I mean, when I say very recently, it's almost 6 months old now, but it is only now that they are starting to see the traction on that. And therefore, they are encouraging many of their partners to bring that kind of SAP capability and competency, where the combination of SAP and Databricks, will deliver the goods for the client. I'm expecting that this will continue to push us in the right direction. I mean, already, even without doing any SAP related work on Datab ricks, we are seeing good growth rates with the Databricks practice. I'm expecting that the SAP competency will add further fuel, to us moving in that direction.

Moderator: Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Rajan Sethuraman: Yes. Thank you, and thanks all for your questions and for joining us today. I mean, feel free to reach out to our Investor Relations team for any additional follow -up and stuff , we'll try and address them. Subsequently, today, we do have some other media interactions that are lined up at 10 .30, and that's the reason that we had to cut this short right at this time. At this point in time, I would say that in general, there is a good amount of momentum in many parts of the business, which we have called out.

The tech sector is one where we see some tentativeness, not that we are not growing there. I mean, we

are growing at a certain pace there, and we want to pick up the pace even more. And that is the reason we are making those investments, in those areas that I talked about. I talked about the sell with capability that we are building with one of our account s. I talked about the cybersecurity analytics practice that we are incubating, even the work that we are, otherwise, doing with the AI Center of Excellence. And all the new value pr

ops that we are building using the agentic architecture, this is all aimed at demonstrating and showcasing to the tech sector that we can also be ahead of the curve, in terms of how we can bring more productive, efficient approaches to the problems that they have, even in the diagnostic descript ive space. So the intent is to drive these hard and capitalize on them in the remainder of this year and set up good momentum for the next fiscal as well.

Overall, we are pleased in general with the progress that we are making on several fronts. We continue to add bandwidth in the front end as appropriate, churning out and making sure that the team is really delivering the goods for us. And we continue to ma ke investments and capability building as well in all the horizontals and the areas that I talked about. And there are new areas that we have identified and that we'll be investing in as well.

With all that, we are expecting that the second half of the year will be a fairly strong second half as well and that we will be able to provide even better guidance, as we wrap up the next quarter. But, otherwise, thank you all for joining the call. Raj, did you have any final comments? Otherwise, we can close it.

Rajan Venkatesan: I know there are 5 or more people who have questions. We have Aditi, Pareek , Vimal, Pritesh, Karan, who I think still have some outstanding queries. So please feel free to reach out to the Ernst & Young team, to the extent some of your questions have not been answered, and we'll be happy to answer them to the best of our knowledg e. Rajan, you pretty much summed it up well, and there is nothing additional that I need to add at this point in time.

Rajan Sethuraman: All right. Thank you. Thank you all for joining today. Take care.

Rajan Venkatesan: Thank you.

Moderator: Thank you. On behalf of LatentView Analytics Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

May 2 5, 2026

The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.
Scrip Code: 543398
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex Bandra East,
Mumbai 400 051
Scrip Symbol: LATENTVIEW
Dear Sir/Madam,

Sub: Transcript of Earnings Call for the quarter and financial year ended March 31, 2026 , held on May 18, 2026
Pursuant to Regulation 30 read with Part A of Schedule III and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Earnings Call held on Monday, May 18, 2026 , post announcement of financial results of the Company for the quarter and financial year ended March 31, 2026.
The transcript is also available on the Company's website at https://www.latentview.com/investor -relations/ .
This is for your information and records.

Thanking you,
For Latent View Analytics Limited

P. Srinivasan
Company Secretary and Compliance Officer
Membership No. F11519

"LatentView Analytics Limited
Q4 FY26 Earnings Conference Call"
May 18, 2026

MANAGEMENT : MR. RAJAN SETHURAMAN – CEO
MR. RAJAN VENKATESAN – CFO

MODERATOR : MS. ASHA GUPTA – E&Y LLP, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Latent View Analytics Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y LLP, Investor Relations team. Thank you, and over to you, ma'am.

Asha Gupta: Good evening, everyone, and welcome to Q4 FY26 Earnings Call of Latent View Analytics Limited. The results and presentation have already been mailed to you, and you can view them on the website, www.latentview.com . In case anyone does not have the copy of press release and presentation or you're not marked in the mail, please do write to us, and we will be happy to send you the same.

To take us through the results today and to answer your questions, we have the CEO of the company, Rajan Sethuraman, to whom we will be referring as Rajan. And we have the CFO of the company, Rajan Venkatesan, to whom we will be referring as Raj. This is just to avoid confusion while doing the transcript. We will start the call with a brief update on the business and financials, which will be then followed by the Q&A session.

As usual, I would like to remind you that anything that is mentioned on the call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we take. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the floor to management. Over to you, sir.

Rajan Sethuraman: Thanks, Asha, and thank you all for joining the call. I'll take some time to cover 4 topics on which I thought I'll provide some additional color in addition to the information that's been already made available to you as part of the press release and the investor presentation. And then I'll hand over to Raj for further commentary on the financials.

The first topic I want to talk about is the whole AI thrust for the organization as well as what you all have probably been hearing about in the external media and within the IT services world. We are seeing fairly strong traction for all the AI work that we have been doing. Internally, we have been looking at AI work as work that we do using traditional AI, generative as well as the new agentic solutions that are being implemented.

And we did an internal check on the work that's been done last year in relation to all these three - traditional, generative and agentic. And we are happy to share that about 28% of our revenues for last year involves one of these three, where the AI aspect is clear and visible to the client, which means that they can experience the generative AI interactions or the agentic solutions directly in the implementation that we have done for them, which we feel is a fairly strong traction for the work that we've been able to do on that front. So, we call this primary AI, where the AI solution is directly visible in the hands of the end customers that we are working with.

In addition to that, there is a fairly good chunk of work where the AI is kind of under the hood, but it is still powering either the decision-making or the modeling of the workflow or the process aspect as the case might be. And that is to the tune of another 21% in the work that we did last year.

So overall, almost half the work that we have been doing has involved AI in some shape

and form, a
good chunk of it being directly visible right in the hands of the end customers.

There is a fairly broad spectrum of work which we are doing within the agentic space itself, and I'll touch upon that in a few minutes. But in terms of the tooling and the technology that's used, it's covering all the major names that you're familiar with, whether it's Codex from OpenAI or Claude Code and Claude Cowork from Anthropic, Gemini Antigravity, right? All of these are being put to good use in the work that we are doing.

We are also doubling down significantly on the AI partnerships and the work that we're doing, and I'll come back to that in a minute. But before that, just giving a bit more color on the nature of the work that is being done using generative and agentic, in particular. There's work that we are seeing in the payments, invoice reconciliation space where agentic flows are being implemented.

There is quite a bit of work that we are doing on market intelligence gathering and orchestration and making it available in the hands of decision-makers, running campaigns in an automated fashion using agentic frameworks that have been implemented.

A significant amount of work is being done for marketplaces and platforms around fraud analysis, counterfeit detection and quite a bit of work also, again, in the manufacturing space in relation to warranty claims handling. So these are some examples where fully agentic workflows and orchestration have been implemented, and that is actually starting to yield business impact that is directly visible to the client.

From our perspective, we are really doubling down on further strengthening our AI capabilities, both on the go-to-market (GTM) front, as well as on the internal capability building. So there is a Claude certification program that's currently underway, where over 200 people have signed up and almost 40 people are in final stage of launch. So there's a great deal of enthusiasm for all actions related to that.

I was in the U.S. the last 3 weeks, and I had the opportunity to meet a lot of clients and also our partners. And one of them that we are starting to work with is Anthropic and the person who leads the Anthropic partnership, and there is a good amount of traction on that conversation as well.

From a capability standpoint, we are going to be building further strength in terms of the agentic focus, especially senior architects that we'll be hiring. And the entire model, you are probably also hearing that it's kind of like shifting to what is being termed within the industry as forward-deployed engineers where people with full spectrum skills, in some sense, it's a bit of full stack engineers from the past, but with additional AI capabilities and domain understanding and customer interaction capabilities, right, all that rolled into one is what is termed as the forward deployed engineers.

We are again looking at building capabilities around forward deployed engineers who are able to bring the data engineering, BI, data science as well as AI skills together in designing and implementing the solutions, right, that make a difference in the client organization.

One final point on the AI. The announcements by OpenAI and Anthropic that they are going to be forming joint ventures to create services arms, and extend their capabilities not just beyond the models that they are building to directly getting into enterprises. While there have been concerns around that in terms of what it means for services companies, I think it's also a validation that a very strong services

layer is required.

And just the models by themselves cannot deliver value until the services layer is available to take care of a lot of the orchestration, not just the business process and the decision-making and the embedding within the workflow, but more importantly, topics around transparency, governance, e

valuations, validation, provenance, ability to prove something, right? All of these things are important questions. And this is what a strong services layer can help accomplish so that AI solutions are not just some model that's sitting in an ivory tower, but it's actually seeing practical application with very defined business benefits. So, I just want to give you that perspective from a traction standpoint.

The second topic is our partnership with Databricks. Again, a lot of traction on this trip to the U.S. I had opportunity to meet multiple people on the partnership ecosystem. Our partnership in the consumer goods manufacturing and technology space continues to evolve and strengthen. I also had a chance to meet with the person who heads up the professional services partnership. We have a small foothold there. And this conversation helped push that further in the right direction. We are also evaluating potential inorganic acquisition opportunities where these firms come with a much stronger professional services partnership with Databricks. And this is something that, again, we validated with the Databricks leadership team on whether that will actually help propel us right into the next orbit.

So this is something that we will double down on in the coming months and quarters. The Databricks Summit is coming up in June, and we will have a very strong representation there with many of our leaders being in attendance. We also organized several exclusive dinner events with several of our clients and prospects and I'm expecting more traction on the back of that.

Finally, we are continuing to make investments both on the go-to-market front as well as on the back end capability experts, architects and so on. And this action will continue in the coming quarters. So this year, two strong pillars of growth will continue to be the AI traction and the partnership with Databricks. And we are expecting that these will yield profits not only in this year but in the coming year as well.

The third topic I wanted to briefly touch upon is the investment that we made in Healtheon. You would have seen the press release that came out earlier in the last quarter. It’s a small investment, but we are the first investor into Healtheon.

Healtheon, when we started looking at them and evaluating them, they came with an exceptionally strong business problem and a use case. But more importantly, a very, very well thought out technical architecture and an agentic framework that can solve the revenue cycle management problem within the healthcare space, using largely, right, 80%, 90% of it being done using an agentic orchestration. And of course, there is a human in the loop aspect to that as well, but the solution that they had built and that they had conceptualized and designed was something that resonated with us.

They are currently in the process of building out the agentic suite and the technical solution. They have also signed up two charter clients with whom they are working to build out these agents. As part of the access to the full suite of agents that they will be building, which we can then leverage and use them in other conversations, both from a showcase perspective as well as using them as components in the solutions that we deliver. Plus the revenue cycle management solutions that they are building will be available in a composite fashion if we intend to take it into other health care clients. So I'm expecting that there'll be more traction in the coming months and quarters, and we'll keep you posted

about it as we move forward.

Finally, the last topic I wanted to cover was the technology industry and some of the headwinds that we have talked about in the previous quarter. We did start this new fiscal with a bit of a gap down because of the headwinds that we witnessed in the last quarter. But I'm happy to report that there are several str ong opportunities that we are pursuing, especially on the back of the AI push that we are seeing in these accounts. In fact, in our largest account, as part of this trip, I was able to participate in three fairly large deal conversations. And one of them is almost at the point of fructifying, which will be a $3 million-plus deal in total, but the other two are also $1 million, $1.5 million in size. So, while they have not completely covered the gap down that we had, they do bring us back to a reasonable level of confidence. And we are expecting that if the momentum continues through the course of the year, we'll be able to claw back much of what was lost because of the headwinds in the last year.

One other thing is that we're also engaging with their vendor ops organization, and we are providing analytics support to them, bringing us closer to the procurement organization and getting us more visibility with what is happening within the rest of the organization. So, these are the four broad topics I wanted to cover.

Otherwise, as an organization, we continue to double down on our client partners on hiring the right go-to-market people, making some internal tweaks as well so that we are fostering greater collaboration and cross-pollination across our entities. But these are things that will pan out over the next few quarters, and we will keep you posted in terms of any specific mentions that we may have.

Very happy about how we closed out last year, and I'm seeing a reasonable amount of optimism as we step into the year.

So with that, I'll hand it over to Raj for further commentary on the financials.

Rajan Venkatesan: Thank you, Rajan. Good evening, everyone. And welcome to the last investor call for the fiscal year FY '25, '26. One of the, I would say, big positives for this year as we close the year was going past the INR1,000 crores mark, which is a fairly significant milestone for us. Even in dollar terms compared to the year in which we IPOed, we've roughly grown about 2.2x in about the 3-year time frame.

So, I would say from the sort of growth that we've delivered and consistently with profitability, we were fairly happy with the numbers that were achieved for the last fiscal. And this was also in line with the guidance that we had given earlier in the year where we've indicated that on a full year basis, we'll deliver between 19% to 20% growth with an EBITDA of about 23% to 24%. So pretty happy with the way the year has turned out to be.

In terms of specifically what's happened in this quarter, of course, Rajan already touched upon the fact that we did start the year with some level of shrinkage in one of our large accounts, technology accounts, where there was a fair bit of consolidation that happened within this one large account as well as deprioritization of some of the work that we were doing.

So, we are fairly happy to note that despite the shrinkage that happened in this large account, we were still able to grow in dollar terms by about 0.5% on a sequential basis compared to the previous quarter. This was, of course, driven largely by the strength that we witnessed in the BFSI as well as the CPG retail practice. And we'll talk a little more about what drove growth in these accounts. But BFSI continues to deliver fairly strong numbers. Even as we head into the next year, we expect this practice

to continue to deliver strong growth. For the last year, we're very happy to report that the BFSI practice grew in excess of about 80% compared to the year before.

In terms of the Y-o-Y growth, for this particular quarter, in dollar terms, the revenue came in at about 17% higher than the previous year. And in rupee terms, of course, because of the INR depreciation, the year-on-year growth came in at about 24.3% compared to the same quarter in the previous year.

I'll talk a little bit about what sector specifically. So, you w

ill see that the technology vertical for us, historically used to contribute in excess of almost 70%. I mean if you go back almost 8 quarters, right, if you go back to Q1 of FY25, the technology vertical used to contribute almost 70% of our revenues at that point in time. From there to now, you will see that the share of technology from the 70% has come down to about 55%. While technology has continued to grow, what is heartening to note is some of the other verticals, which are primarily BFSI and CPG retail, their share of revenue has grown substantially. One, obviously, based on the organic growth that we witnessed in BFSI, but two, also Decision Point acquisition, which has led to the increase in the overall CPG and retail business.

We're also happy to note that the share of revenues from the rest of the world, I mean at one point in time, maybe 8 quarters back, U.S. used to contribute 94% of our overall revenues, whereas the rest of the world, including Europe was about 6%. We're happy to note that for the most recent quarter, our share of revenues from the rest of the world has increased to about 15% compared to 6%, 8 quarters back.

So, both from a geographical concentration standpoint as well as from a vertical concentration standpoint, we have seen some of the other verticals as well as geographies expand, and that is again heartening to note.

I'll talk a little bit about the profitability itself for this particular quarter. You would have noted that our EBITDA for this quarter, and this I'm talking about adjusted EBITDA. The adjusted EBITDA came in at about 24.1%, there was, of course, a benefit of forex, which was to the tune of about 1.1% on the overall EBITDA for this quarter. But this particular quarter, we also had some benefits in terms of certain costs that were there in the previous quarter, which did not recur in the current quarter. So, you will all recollect that the last quarter, we had made corrections to our wages to comply with the

Labor Code. And also, there was severance pay that was paid for some level of headcount rationalization that we had done in the last quarter. Those two items contributed almost 1.5% of costs in the previous quarter, which did not recur in the current quarter. So we did get some of those benefits. However, the positive impact of forex and the labour code-related restructuring was offset by higher spend on travel as well as SG&A, other items like visa.

Even though our visa cost as compared to the previous year has come down, but then we did have a fair amount of visa costs for H1B filings that we had to do, and those costs were incurred in the end of Q4. Both of those meant that the consolidated impact of higher travel plus visa cost was about 1.1% on our overall EBITDA. And of course, we continue to sort of spend on certain other aspects, we still want to increase some of the leadership hiring, specifically as far as the AICOE is concerned.

Hiring client partners for some of our key accounts as well as continuing to build our Databricks practice. So, we had some level of higher SG&A spend in relation to some of these hiring efforts that we had to make. Net-net, from the 23%, the items that I spoke about meant that for this particular quarter, we came in at about 24%. But on a full year basis, again, in line with what we had guided

before, our business EBITDA for the full year came in at 23%, in line with what we had guided.

This is also the last quarter in which the transaction-related retention cost expense that we were adjusting for the purpose of reporting EBITDA that would be incurred. Going forward, you will not see that line because you will not have this cost going forward.

Coming to the PAT and the EPS, this quarter also had a small benefit coming through on account of deferred tax asset that was created in relation to unexercised ESOPs that were there in th

e U.S. Please
note that this is only for the U.S. and this was an accounting charge in some sense, and it was not charged. This was an accounting sort of asset that we had to create, which resulted in the ETR dropping from the typical 25% to about 22% levels for this particular quarter. Going forward, we will not see any such impact. And this, I'm talking about the current ESOPs that have been issued to the employees.

On the EPS line, again, EPS for this quarter, while you did see a small degrowth compared to the previous quarter, the degrowth is largely on account of lower other income that you would have seen compared to the same quarter in the previous year. You will see that for Q4 of FY '25, the EPS came in at about INR2.59 against that we are at about INR2.55. But please bear in mind for the last year, there was almost INR4.5 crores forex gain that we had recognized in relation to some intercompany loans and advances that were given out. If you were to strip that out, the EPS even on a comparative basis had grown by about 8%, compared to the previous year.

So, with that I would like to close my opening remarks saying that we are happy to note that FY '26 concluded on a fairly strong note. While there has been some level of headwinds in the technology vertical, we are impressed particularly by the strength in the BFSI and the CPG practice. Our Databricks practice again continues to generate significant traction in terms of deal pipeline and inbound sort of referrals.

We're also fairly excited about the transformation and the winds of change that we are seeing on the AI side. So close to about 28% of the projects that we delivered in the last year had a significant AI component. And we believe that this number is only bound to increase even in the current year as we continue to execute through this year. With that, I will hand it back to Asha and we can open up for Q&A.

Moderator: The first question comes from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My first question is on the technology vertical. The sequential drop in technology vertical appears to be higher than what we had called out in Q3. So, correct me if I am wrong, we had called out around $5 million, $6 million annual drop we are expecting in one of our top tech clients. So if you consider that, then the sequential drop in Q4 seems to be slightly higher. Is my understanding correct? And is there any other client-specific issue in the technology vertical?

Rajan Venkatesan: Yes. Aditi, specifically in this particular account, while the initial estimate was the drop will be closer to about $5.5 million, $6 million, that was the estimate that we had given out in the last quarter. In reality, some of the rationalization that happened subsequently as well or continue to happen meant that the total value of shrinkage was closer to about $6.5 million to $7 million. That is the total value of shrinkage that happened in this particular account.

But with this, the one thing that we want to confirm is all the renewals, all the rationalization are all

done. So, it was not $5.5 million to $6 million, it was closer to about $7 million, but coming back to Rajan's point, we are in active discussions even with this particular account on several other threads at this point in time. Which definitely gives us confidence that we will be able to recoup more than 50% to 60% of the revenue lost in this account in the next one or two quarters in terms of the overall book of work that we execute with them. So there are already some very advanced discussions that we are in with this particular client to recoup the revenue lost.

Aditi Patil: Okay. Got it. And apart from this client, what is the traction we are seeing in other clients? And therefore, like what kind of growth should we expect in technology vertical in FY '27?
Rajan Sethuraman: I can cover the tracti

on and Raj you can comment on the percentage number. The other two large accounts that we have in the technology space, in general, with one of them, it's been fairly even keel, right, at this time. They have also gone through some leadership change at their end at the very top. And the third one, they've been going through some consolidation and related exercises over the last couple of years. But at this point in time, again, the interactions that we have had so far indicates that we will actually pick up in the next year.

Other than these 3 top accounts, in general, the sentiment in the technology space, given the amount of activity that is happening in relation to AI seems to be more positive rather than negative at this time. Of course, clients want to do a lot more on their own. But there is also the general feel that whatever initiatives were kept on the back burner whatever was shelved earlier can all be picked up. And there could be movement on many of them because the economics of getting initiatives done has improved significantly. I mean you can do many of these things with much higher velocity with lower effort. And that is creating a revival of interest in exploring and doing a lot more things in comparison to budget constrained approaches. That were there in earlier quarters.

So, in general, I feel more optimistic. I mean the percentages and stuff we will obviously see as things pan out over the next one, two quarters. But at this point in time, that's the headline.

Aditi Patil: Okay. That's helpful. And my next question is on the BFSI vertical. So we had a very strong growth in this vertical for last the few quarters. But in Q4, if we see the sequential growth, it was flattish. So was there any onetime revenue in Q3, which were not there in Q4? Or what can explain this?

Rajan Venkatesan: Aditi, even in relation to what we delivered for the last quarter, the share of BFSI revenue from 14% has gone to almost 16%, in this particular quarter on a sequential basis. So there is a definite increase in this particular quarter in relation to the previous quarter.

Aditi Patil: Okay. I will just check my numbers on that.

Rajan Venkatesan: Yes. I'm happy to answer this offline. But at least for this quarter, there was fairly strong momentum even in BFSI. So, BFSI ended the year with close to about $18 million in revenue, and as the business continues to scale, you will see the incremental rate of growth dropping because obviously, they are on a higher base as well. So that is something that we will start to witness. But in absolute terms, the current business has continued to grow.

Moderator: The next question comes from the line of Karan Uppal with PhillipCapital India.

Karan Uppal: Rajan, You mentioned about the AI impact on the business is like that almost half of the work has

some bit of AI involved. So if you can give some examples in terms of the nature of services, which we are delivering as well as the deal sizes. And if you can also comment how the deal sizes are different from the traditional deal size of around $0.5 million to $1 million or maybe $1 million to $2 million. And how much of it is, let's say, the token cost, which could be a pass-through revenue and how much is retained by LatentView, so that's my first question?

Rajan Sethuraman: Yes. The last question is easy to answer. Whatever revenue that we are reporting is all our revenue. It's got nothing to do with the token cost because the model that we use with pretty much all the clients that we are engaging with is that they take care of the infrastructure tokens, whatever LLM access and all that. So everything that we are talking about is our revenue. I did give some examples when I did my opening remarks around the agentic workflows and processes. That we are impacting around payments, invoice reconciliations, market intelligence orchestration, camp

aign analytics, fraud, counterfeit analytics, warranty claims and so on.

It's fairly broad-based in the sense that any area where the process is known and the parameters are understood and guardrails can be established, guardrails in the sense that you want to make sure that there isn't hallucination, there is transparency, traceability. All of that stuff in terms of what is the decision that is being made and why is the decision made, right? And then you can clearly connect the dots, especially in a multi-agent orchestration framework when agents hand off from one to other, it's important to have that kind of recognition.

So in those type of situations where there is a good understanding of the traceability parameters, there is enough traction. Of course, simpler ones, right, where when I say traditional, when I gave those numbers, it included the combination of all three, traditional, generative and agentic. A lot of the work that we are doing is having some AI component in some shape and form.

So going back to your question on deal sizes, it is the full spectrum. I mean we are seeing examples where a particular use case or something simple is being done with trillion-dollar spend. But we are also seeing examples where the initiatives are fairly larger. In fact, the three initiatives that I referred to with our largest account, all of them involve AI in some shape and form because I mean, which technology clients are not leveraging AI. Its pretty much a given.

I mean you cannot do any work without the AI either under the hood or directly being implemented in the form of either a generative AI interface or an agentic orchestration of the workflow. So the spectrum of work from a deal size also ranges all the way from $0.25 million to $2 million, $3 millions.

Karan Uppal: Second is on this OpenAI and Anthropic launching their services arm, it's a very recent phenomenon. So any anecdotal evidence of, let's say, enterprises maybe giving more work to the services arms of OpenAI and Anthropic and maybe rationalizing third-party vendors, not LatentView, but anyone else you have seen in the industry, any observations there?

Rajan Sethuraman: It's too early to comment on that. I mean, obviously, they just have announced these launches. I think OpenAI acquired a company, if I remember, I think called Tomorrow or some, that was the name I saw. And the others are in the process of setting up their JVs and hiring people. Anthropic plus OpenAI probably had put out, recruited 500-odd people, okay, of forward deployed engineers, that I mentioned earlier.

So they will be building out these teams. But obviously, they will focus more on the areas where they

see friction with respect to the model usage. There is a fairly large amount of work that needs to be done. And we see by any stretch of imagination that an OpenAI or Anthropic will be able to do everything because the model is just one aspect of it. Everything that I talked about that needs to sit on top of that. That all needs to be done by some services company or the other.

Of course, these can range all the way from boutique firms to the OpenAI and Anthropic service arms, right, doing it themselves. But I'm sure that they are also announcing multiple partnerships. Anthropic has received applications for some 40,000 people like partners and they're working through the mechanics of these areas.

These two firms are also taking very specific approaches. I mean Anthropic has been more enterprise focused. OpenAI has been more consumer focused, but I'm sure that there will be some amount of meeting point, right, that will happen over the next few quarters. In general, my feel is that thesis play will be a significant play in the scheme of things. I mean that is the point I wanted to make.

That is not going away. Of course, the nature of the work will change in terms of the power deployed engineering model coming into play. But there is a tremendous amount of work that needs to be done on all the points that I mentioned, whether evaluation, observability, traceability, right, all of that stuff.

Karan Uppal: Okay. Got it. Next is on FY '26, in dollar terms it is 20% of growth but if can you clarify what is the organic part in it? And for FY '27, how should we think about the overall growth for the company?

Rajan Venkatesan: Yes, the organic growth for the business would be 18.2% or 18.3% because please recollect that there is only one quarter of Decision Point revenue, which was not consolidated last year. We started consolidating Decision Point revenues from 1st of July last year. So, we had 3 quarters of revenue. So it is only one quarter that was missing. So, the rest of the business delivered 18% growth. In terms of your growth guidance for the next year, and maybe, Rajan, do you want to take it or do you want me to take that question?

Rajan Sethuraman: Yes. You can take it. I can add on the color. Go ahead.

Rajan Venkatesan: Yes. So, Karan, right now, what we definitely can see at the beginning of the year, of course, when we're looking at planning for the next year, we actually want to split that answer into a couple of sort of data points. So right now, the way we are looking at our current order book as well as pipeline, we have a reasonable level of confidence in terms of high visibility pipeline and order book to deliver about 12% to 13% of growth, and that is, of course, at the beginning of the year. As we see in any year, typically, whatever you have visibility for, you will end up adding more to the order book and pipeline through the rest of the year, right, and that is where we obviously are making investments in the go-to-market side as well as on the capability building side.

All those investments are obviously targeted to deliver a growth rate, which is very similar to what we delivered this year. This is all organic that I'm talking about. I'm not talking about including inorganic. But right now, the level of visibility that we have is to deliver a 12% to 13% growth. But with investments that are being currently made to deliver a similar growth to what we delivered, which is 18% to 20%.

Rajan Sethuraman: Yes. The only data point I'll add is that in the previous years, compared to when we start the year to when we end the year, this high visibility number that Raj talked about has typically gone up in the

range of 8% to 10%. So, it kind of adds up, I mean we are targeting a 20% kind of a growth, and if things pan out well, then we should be able to get there.

Moderator: Thank you. The next question comes from Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited.

Vimal Jamnadas Gohil: Yes, thanks, gentlemen. My first question is on the overall outlook that you just provided. Partly, you've answered my question, but I just wanted to get a sense of what are we building in, in terms of tech and non-tech verticals? Are we building the headwinds to continue for the tech vertical because you mentioned that despite strong conversations with our top clients, we'll still see the revenues won't fully cover the decline that we've seen. So that essentially means that the non-tech verticals will do

the heavy lifting. Correct me if I'm wrong.
And I just want to understand the nature of the decline in the technology vertical. Is it because of absolute cancellation of projects? Or has there been a severe deflation in the amount of work we've done. So basically, what I mean is the volume of work that we've done has possibly increased, but the deflation around that has been higher than our volume growth. Has that been the case?
Rajan Sethuraman: I'll take the second part of the question. And Raj, you can comment on the percentages question. The nature of the decline is twofold. One is a consol

idation where they have decided to work with one of
several partners. This has led to some amount of the decline.
The second part of it is taking the work in-house. Specifically in this account, there was a new leader who came in to head up a big chunk of the work that we were doing. And their preferred model is to work with internal full-time employees as opposed to work with the vendors. That's what they are familiar with and comfortable with from their previous organizations. And therefore, the moment they came on board, they very clearly made their intent known to us, that this is the direction in which they're going to move.
There is no impact on account of work staying the same, but revenue falling or anything like that. I mean the way the whole industry anyway is moving is that budgets are either staying the same or going up in general. They're just getting more work done because of the increased productivity that is now possible through the use of AI, right, in all shape and form. So, if you take a baseline two years back and compare it to today across the board, right, in all industries, all sectors and more so in the technology sector, you will feel that for the same amount of budget, 30%, 40% more work is being done.
There has not been any shrinkage of budgets itself that we have seen. They've either been a reallocation to internal mechanisms or consolidation with other partners. You haven't seen instances where clients have said that do the same work for us, but we're going to pay you less. In general, they said that we are going to pay you the same amount, but more work can be done with the money as well. Raj, maybe you can give color on the percentage.
Rajan Venkatesan: Yes. So, Vimal, in terms of percentage, your assessment is right that it will be the non-tech vertical, which will have to do the heavy lifting this year. But having said that, I think right now, the visibility or I would say, the sort of confidence that we have is that technology will deliver anywhere between and I'm giving you a range over here because right now, we are working on certain pipeline opportunities depending on, one, the size of these pipeline opportunities eventually and also the timing

of when we close them, the revenue that we'll be able to book for the year may sort of change, right? So, technology vertical for this year, our sense is that it should be between 5% to 8% growth on a year-on-year basis. This is adjusting for the loss. They will still be able to recoup some of the losses. Of course, also there are some new conversations that are going on with some new logos as well in the technology vertical. So adjusting for the losses that we've already witnessed, we should be able to deliver a Y-o-Y growth of about between 5% to 8%. That's the confidence that we have.
Consumer should, our sense is right now, should grow anywhere between 18% to 22%. So that's the sort of range that we're looking at. And BFSI, obviously, the growth rates for the next year will come down compared to the previous year. But our sense is they should grow at least at about 40% for the next year, based on where we stand right now.
Vimal Jamnadas Gohil: Understood, Raj. Raj, just on margins, we've had benefits around, of course, the USD. We've also had
some employee adjustments that we have done, plus we have had our utilization levels around 90%. I do understand, I mean, the utilization going up because of employee adjustments. But to some extent, I feel we've sort of stretched our levers in terms of margins. In case there is any normalization as far as these levers are concerned, how should we think about margins going ahead? I mean I don't see any levers that we can sort of leverage at this point in time.
Rajan Venkatesan: So, your point on utilization for this particular quarter going up from the 85% to almost 89% levels is very valid, Vimal.

The only point that I would want to reiterate is one of the reasons why the utilization levels have significantly gone up in this quarter is owing to some one-off. When I say one-off, this is certain large one initial project that we have won with certain consumer clients. And they are actually cutting across two different quarters. So, some of these projects were won in February and March. And they continue to be delivered through May and June as well. So, in order to deliver these projects, of course, we had to deploy all the people that we had on the bench, and therefore, that's the reason why you have seen utilization levels going up. Having said that, I think one of the things that we continue to work through is this large client consolidation that we spoke about, a lot of the work historically used to happen on site.
One of the things that we are actively pursuing with the client is as we open new threads with the client, we want to do a lot more work either offshore or nearshore. So, that is one lever where definitely

from a margin standpoint, we will be able to make better margins on some of these projects.
Two, I think while on a full year basis, you may not have seen the impact, the favorable dollar to INR ratio right now as we see it, should continue to positively impact us. I mean if they continue to stay at these levels, for sure, I think there will be a positive impact on margins for next year. So, I think there is sufficient cushion both in terms of the movement to doing more nearshore and offshore work for technology clients plus the favorable INR USD ratio right now.
Vimal Jamnadas Gohil: The CPG vertical should see normalization next quarter, Raj, because there was a one-off this quarter?
Rajan Venkatesan: Yes, there will be some level of, I would say, normalization for the next quarter because some of these large projects that we executed, they will start sort of tapering off in the next quarter. Of course, there are some conversations in the pipeline for follow-on work, but you will see a little bit of tapering off for at least the next quarter for CPG.

Vimal Jamnadas Gohil: Fair. Thank you so much. I'll fall back in the queue.
Moderator: Thank you. The next question comes from the line of Pritesh Thakkar from PL Capital. Please go ahead.
Pritesh Thakkar So, I was referring to the earlier question of Karan. You were indicating 12%, 13% of revenue that we are anticipating. So that is majorly on the existing accounts or the qualified debt pipelines that we have. That's what we are referring to, right? as per my understanding.
Rajan Sethuraman: It's not just existing accounts. When we say we have visibility of 12% to 13%, it will be a combination of growth we are expecting from existing accounts as well as the high probability opportunities that we see in the pipeline with the new stakeholder groups and existing accounts as well as completely new logos. What Raj referred to is the ones where there is high probability and high degree of confidence. The full pipeline will have many other opportunities that are at a lower level of probability, right, which we want to progress.
In addition to that, we still have more than 10 months available, right? And we will keep adding new opportunities. The point I made was that in general, in the past, compared to the high visibility number that we talked about at the beginning of the year to where we will likely end up, we have seen an 8% to 10% kind of an addition, okay, if things go well. So that's what we are expecting for this year as well.
Pritesh Thakkar: Understood. I was just looking at the client additions that we had on a $5 million plus band. If you can provide some color on the industry profile and the scope of engagement with this particular account.
Rajan Venkatesan: Yes. So, this actually is a financial services account that we've added.
Pritesh Thakka

r: Okay. Understood. And lastly, on the bookkeeping side, two years back, if I look at our DSO was around 65 in FY '25. It was 73 a year back and now it is 80 in FY '26. So if you can provide some color why it is inching up and what should be the steady state going forward?
Rajan Venkatesan: Yes. So, I would say two things. One, as the share of Decision Point revenue to the overall company's revenue increases, you will see a small uptick. I think we are already maxed out in terms of what that impact is. But Decision Point, because they do a lot of work with CPG companies, CPG companies in general tend to have credit terms ranging between 90 to 120 days, and for this particular quarter, specifically because of the uptick in CPG revenue, which is largely driven by Decision Point, you did see that DSO days go up.
Having said that, purely from a bookkeeping standpoint, we are very well aware of the fact that the DSO was high at year-end, but we've realized a lot of those collectables subsequent to the year-end as well, right? So, some of those were billed out or were in unbilled revenue, which has been subsequently invoiced. So, there has been a fair bit of progress as far as even the collectibles are concerned.
Pritesh Thakkar: Okay. Understood. Lastly, on the margin side, given our appetite for investments, even if I look at last year, there was a lot of rupee depreciation benefit that came into our bucket, but we made a lot of investments there. So even if I were to include quarter three one-offs that we had on an adjusted basis, if I look at FY '26 margins are, I would say, marginally lower than what we delivered in FY '25. So,

can we expect FY '27 to replicate a similar trend of yours? Or you believe the investments are largely done and dusted? I heard Rajan saying that we have some seniors onboarding process. And at the same time, we are hiring forward deployed engineers there. So just wanted to understand the investment strategy that we are introducing.
Rajan Venkatesan: So yes, I would say consistent with what Rajan already alluded to, there will be some senior level hiring that we will continue to make specifically in the AI space, right, including a potential hiring of a Chief Technology Officer. So, some of these investments will be made to obviously future-proof the organization. We will continue to add people on the AI side across all industries as well because that is something that I think from how we lead conversations with clients, I think an AI-first narrative is

absolutely important. We need to hire people who deliver some of these projects at scale, right, for large enterprises, and we will continue to make investments in bringing some of these senior level folks, Pritesh.

So I don't think from an investment standpoint, all the investments that we had to do, it's not like we've done all of them. Specifically on the capability side, we will continue to invest. Maybe on the go-to-market side, we don't need to do a lot more investments. I think there is a fair amount of investment that is already there. Here and there, depending on it, it could be geography-specific investment, could be in Europe, right, specifically, we may do one or two hires. But on the GTM side, we are largely done as far as the investment is concerned. Databricks, again, we will continue to invest in this partnership channel for growth.

So, I would say the two big areas of where we will continue to make investment would be Databricks as well as the AI center of excellence.

Pritesh Thakkar: And how much is our revenue from Databricks currently this year, if I look at FY'26 full year absolute terms?

Rajan Venkatesan: So, on a full year basis, our revenue from the Databricks ecosystem put together is closer to about $17.5 million.

Pritesh Thakkar: And the Y-o-Y growth, how much that we delivered in yearly terms?

Rajan Venkatesan: So, the

previous year, the similar number was close to about $12 million.

Pritesh Thakkar: Understood. Yes, thanks a lot. Thanks a lot for answering this question.

Moderator: Thank you. The next question comes from the line of Srinath V. with Bellwether Capital.

Srinath V.: Hi, guys. Three questions. I'll just put all the questions together. Raj, first question would be the growth outlook shared in the call, would that be in USD terms or constant currency terms? If you could clarify that, that will be great.

The next set of questions are on Databricks. I want to understand the outlook for Databricks for FY '27. What's the kind of growth you guys are working with? And would it be fair to assume that Databricks-funded or cloud partner-funded projects will start coming in this year? And would it largely show up in CPG and industrials?

And the last one would be the Financial Services business, could you kind of cover it a little more in

detail, the sequential growth, Y-o-Y growth, momentum seems to continue. So again, kind of how is the outlook for FY '27, new logo additions? Or is it all coming from these existing set of customers spending more? So, these are the large three areas. If you could please address that will be great. Thank you guys.

Rajan Sethuraman: Raj, you can take the first question. I will address the second and third.

Rajan Venkatesan: Srinath, to answer your question, the growth guidance that we put out at the beginning of the call is all in USD terms, not INR.

Rajan Sethuraman: On Databricks, Srinath, the expectation is that the Databricks portfolio of work will continue to grow at about 60% plus. Last year, I think we went from between $11 million and $12 million to about $17 million plus, okay. This year, in fact, it should accelerate more on the back of the points that I made at the beginning of the call. There is good traction. There is a lot more engagement. We are talking to all the right people, the senior people. They are bringing us into their QBRs. When they do their QBRs, they call all of their account executives and salespeople, and we are able to showcase the solutions that we are building.

So, in general, there is good recognition. I talked about the professional services trust as well, right, where they could bring in partners. And even on that, I mean, professional services in Databricks context in the past has focused more on migration type of work because that's a fairly big chunk of where Databricks gets its revenue. But they are now starting to say in the recent conversations that industry solutions and building on top of the migrated data will be an important component as well. And that's where they see somebody like us bringing in more differentiation than the typical migration-only partners that they have worked with in the past. So, in general, I'm expecting that the trajectory of 60% kind of growth should continue.

On the Financial Services, it's going to be a combination of growth with the existing account, the large account that Raj has talked about, and then there is also a follow-up question, getting into the financial services. We're expecting that there will be momentum with that account going into this year. But even as we have started this year, I think we have signed up two other accounts.

And I had meetings with two more in the wealth management, asset management space as part of this trip. So, I'm expecting that there will be traction in all the spaces, payments, asset wealth management and also credit card as another space. Insurance is something that we are looking to get in. But the sectors where we are already present, I'm seeing good conversations in all of them.

Moderator: The next question comes from the line of Rohan Nagpal with Helios Capital Management. Please go ahead.

Rohan Nagpal: Just a couple of quick questions from my end. So, the first one, I think you sai

d that you'll be able to
recover 50% to 60% of the book that was eroded in your top customer by the end of the year. . Is that on a run rate basis? Or do you expect to recoup 50%, 60% of that for revenue that you booked this year?

And then the second question was, I missed a bit on Anthropic. Have you signed up with Anthropic as a partner on that professional services front or as their customer?

Rajan Venkatesan: On the first question, obviously what I meant was, we are looking to sign deals which will ensure the value of the deals itself, we'll ensure that at least we'll recoup 50% to 60% of the total annual contract value with these clients. Now depending on the timing of when we sign some of these deals, they could sort of have an impact on the revenue for the full year. But right now, as we speak for this particular client, the current projection is that we will be at least at 95% of the revenue that we delivered with this client for the last year. That is the target that we set out for this client on a full-year basis.

Rajan Sethuraman: Yes. So, it's in kind of absolute revenue terms, just to confirm that point. Not just ARR.

Rajan Venkatesan: Yes, that's right. Yes.

Rajan Sethuraman: This is discussion with Anthropic as a partner, not as a client at this time. I don't know if any requests or anything that is there on that side. I mean the good thing, though, is that we are talking to fairly senior people. And in fact, the person with whom we are engaging, he used to be at Databricks before. And we have actually started helping him directly on his analytics requirements. So, there is a possibility that we might be able to extend. But right now, it's all limited to the partnership with Anthropic.

Moderator: The next follow-up question comes from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My question was on margins. So, I think at the start of the year, we were expecting Q4 margins to be slightly higher, maybe 24.5% plus adjusted EBITDA margin. So, were there any unexpected cost headwinds in Q4? And given that we will be investing in AI and Databricks and other capability building, so do you expect the margin could be below FY26 levels in FY27?

Rajan Venkatesan: So Aditi, yes, I mean, this quarter, like I said there were a few items on this, even when I did the EBITDA walk last quarter to this quarter, there were some professional charges that were incurred in relation to some senior level hiring that we are looking to do on the Databricks side as well as the AI CoE side.

So, there were some hiring costs or consultants that we had to engage to bring on some of these senior level hires. So that was incurred in this particular quarter, which did have, I would say, a marginal impact on EBITDA for this quarter. Adjusted for that, obviously, we could have been closer to the 24.5% that you spoke about.

Now in terms of what we would like to guide for the next year, Aditi, see, like I said, I think this year will be a year where specifically on the AI CoE as well as the Databricks side, we feel the need to bring in fairly strong leadership to drive conversations with clients. In fact, like I alluded to before, there are some senior level hiring that will be done on both these fronts, which will mean that at the beginning of the year right now, what we would like to guide. And of course, this is not adjusted for currency, there will be some benefit of currency. When we did the planning, of course, all this planning was done based on USD to INR conversion ratio of INR92. Right now, where we are, we are talking about INR95, INR96 or even higher levels for the rest of the year.

But when we've done the planning at INR 92-odd levels, what we planned for is an EBITDA between 21% to 22% for the revenue growth that we will deliver primarily on account of some of these upfront investments that we are making in the leade

rship hires on the AI CoE side as well as the Databricks

side.

Aditi Patil: So, on gross margin front, I wanted to understand the gross margin profile of the AI project, AI revenue versus traditional revenue, and then also you mentioned of some of the work moving to offshore and nearshore, so is there scope for improving gross margins further because of these two factors?

Rajan Venkatesan: Yes. So, you would have seen that we started reporting the gross margins in the investor presentation also, we reported gross margins for the first time in line with what the feedback that we heard from you folks.

So, we started publishing gross margin number. So, for the full year, we reported close to about 50.8% of gross margins for the last year. When you compare this with the gross margins that we are seeing on the AI-led projects, we are seeing gross margins in the range of 55% to 58%.

So, it's a fairly broad spectrum, but depending on the size of the project as well as the nature of the projects, we are seeing that the gross margins on those projects are definitely higher at about 55% to 58%. We do see levers to improve gross margin by doing more nearshoring as well as offshoring work Aditi.

But the planning that we've done and the guidance that I gave out is without factoring in any significant

change in the current levers. So, we are assuming the current sort of model to continue. So, to the extent we're able to execute better, we should see some upside on gross margins from these fronts.
Moderator: We will take the last question from the line of Karan Uppal from Phillip Capital India.
Karan Uppal: Just wanted to understand from the pricing perspective, how much of our work is time and material versus fixed price? And how is the trend of these two line items? Is T&M decreasing in the last few years? And second part of this question is that how much deflation are we seeing in the T&M line item because of AI productivity benefits?
Rajan Sethuraman: Raj, you can go ahead. I will add in some color on that.
Rajan Venkatesan: Yes. So in terms of our overall share of fixed-bid to T&M bid, so within T&M, again, we're including the way we internally review or classify contracts is pure staff or T&M contracts, and there is a concept of managed services, which essentially, again, while the pricing is headcount-based or capacity based and there is a fixed monthly sort of revenue that comes to Latent View, it is still, to some extent, based off a headcount number. And then, of course, you have the fixed-bid. We don't do a lot of outcome-based pricing today, but fixed-bid you have.
So today, the ratio of fixed-bid to T&M for us will be closer to about 18% to 20%. So, 20% from fixed-bid, fixed type of work and then T&M would be about 80%. But within that 80%, almost 65% to 68% of that would be in a managed services construct, what I mean to say is it's not based off time sheets that someone is entering in the client systems. These are essentially people where we are contracting for a certain level of capacity and the client pays us a monthly fixed amount for those resources there. So, there is no linkage to, one, the time that is clocked or, two, the sort of deliverables that we have to deliver as part of the projects. So that's how we internally view it. What was your second question, Karan?
Karan Uppal: Yes. I was just asking what is the deflation in the T&M projects because of AI productivity if at all?

Rajan Sethuraman: I will add color to the first question also before I take up the second one. So, Karan, the plan though is to shift a bit more to both milestone and deliverable based as well as outcome-based. So that 20% that Raj referred to, we want to bump it up, okay. I'll tell you the reason. The reason is that productivity gains that you can

get by building an agentic foundry or a suite of agents that can be deployed, along with the people who do the work or even productivity benefits by building a full-fledged solution, nonlinearity or even the pace at which we can do work, these can be accrued to us only if we contract differently.
If we continue to contract either in a managed services model or in a T&M model, then the benefit of having a suite of agents that are doing a bit of work, our own people being more productive, they will only accrue to the client. So internally, we have launched an initiative where we're incentivizing our project teams, in areas that are well understood where the process is known.
And we are able to build good bounded agentic solutions that we encourage the client to contract with us in alternate models, as opposed to just a managed services or a T&M model. We'll keep you posted on the results of how that is panning out. But internally, our teams have been incentivized to move a bit more to that model.
The second part of the question, there is no deflation on the way it works is that clients continue to engage our people. In fact, in many instances, they will be willing to pay a bit more. That's why Raj was referring to an earlier question, he was saying that gross margins could be higher if you're doing agentic or AI work.
But the expectation, of course, is that though they are paying more for the people, they will expect a lot more work to be done by them, okay, within the time frame. So therefore, in terms of margin, there is no deflation. There are no rate reductions or margin deflation that is happening. It's just that people will be more productive. So, more initiatives will get done with the same set of people and same capacity.
Karan Uppal: Got it. Thanks. Thanks for the color. And all the best for FY'27.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Rajan Sethuraman: Yes. Thank you. Not too much to add. I think we covered quite a bit of the stuff. I mean this will be an important year. It will be an inflection point year, in many ways, whether we are talking about the whole AI agentic shift that is happening in partnerships with the likes of Anthropic and so on or whether we are talking about Databricks and the work that we are doing even with, say, CPG and Microsoft and so on. So, there is a lot more action that we expect to see on those fronts.
Of course, everybody is trying to understand how the entire agentic shift will play out. My own read on the matter is that there is going to be a need for a lot more complex design engineering of the agentic frameworks, which brings in all of the governance and transparency aspects that I have talked about. And we need good people who are able to marry not just the technical understanding, of how to use Claude Code or Codex or how to create agentic orchestration. But people who can marry that with the business process, the underlying risk and the transparency and the governance requirements and then bring it all together. So, in some sense, this will be a year where this whole forward deployed

engineering concept that brings together many of those things will start seeing a significant play.

We are gearing up for that in all ways on the capability, expertise, certification, hiring front as well as how we evangelize this, how we talk about this to our clients and show them what needs to be put in place so that they can get the benefits of it. So, we are expecting traction on all of those fronts. Obviously, we'll keep you all posted on a quarterly basis on how this unfolds. But thanks for your wishes. And hopefully, we will continue to execute on the initiatives that we have set in motion.

Moderator: Thank you. On behalf of Latent View Analytics Limited, that concludes this conferen

ce. Thank you,
everyone, for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.